



**GREEN
CLIMATE
FUND**

Meeting of the Board

4 – 7 March 2024

Kigali, Rwanda

Provisional agenda item 10

GCF/B.38/02/Add.10

12 February 2024

Consideration of funding proposals – Addendum X

Funding proposal package for FP230

Summary

This addendum contains the following six parts:

- a) A funding proposal summary titled "Kuali Fund-GCF" submitted by Compañía Española de Financiación del Desarrollo S.A.S.M.E. (COFIDES);
- b) No-objection letter(s) issued by the national designated authority(ies) or focal point(s);
- c) Environmental and Social report(s) disclosure;
- d) Independent Technical Advisory Panel's assessment;
- e) Response from the accredited entity to the independent Technical Advisory Panel's assessment; and
- f) Gender documentation of the funding proposal.

These documents are presented as submitted by the accredited entity and the national designated authority(ies) or focal point(s), respectively. Pursuant to the Comprehensive Information Disclosure Policy of the Fund, the funding proposal titled "Kuali Fund-GCF" submitted by Compañía Española de Financiación del Desarrollo S.A. S.M.E. (COFIDES) is being circulated on a limited distribution basis only to Board Members and Alternate Board Members to ensure confidentiality of certain proprietary, legally privileged or commercially sensitive information of the entity.

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Funding Proposal

Project/Programme title: Kuali Fund-GCF

Country(ies): Regional – Latin América and the Caribbean

Accredited Entity: COFIDES

Date of first submission: [2020/09/17]

Date of current submission [2023/12/22]

Version number [V.5]



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CLIMATE
FUND

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Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the [GCF Information Disclosure Policy](#), project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

“FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]”

A. PROJECT/PROGRAMME SUMMARY															
A.1. Project or programme	Programme	A.2. Public or private sector	Private												
A.3. Request for Proposals (RFP)	Not applicable														
A.4. Result area(s)	Check the applicable GCF result area(s) that the <u>overall</u> proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of GCF and Co-financers' contribution devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.														
		GCF contribution	Co-financers' contribution¹												
	Mitigation total	50 %	50 %												
	☒ Energy generation and access	9 %	9 %												
	☒ Low-emission transport	3 %	3 %												
	☒ Buildings, cities, industries and appliances	13 %	13 %												
	☒ Forestry and land use	25 %	25 %												
	Adaptation total	50 %	50 %												
	☒ Most vulnerable people and communities	See footnote ²	See footnote ²												
	☒ Health and well-being, and food and water security	50 %	50 %												
	☐ Infrastructure and built environment														
	☐ Ecosystems and ecosystem services														
			Total number of direct and indirect beneficiaries: 884,714												
A.5. Expected mitigation outcome (Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)	2,707,455 tn	A.6. Expected adaptation outcome (Core indicator 2: direct and indirect beneficiaries reached)	<table border="1"> <tr> <td>Direct beneficiaries: 242,335</td> <td>Indirect beneficiaries: 642,379</td> </tr> <tr> <td>0.06% of total population</td> <td>0.15% of total population</td> </tr> </table>	Direct beneficiaries: 242,335	Indirect beneficiaries: 642,379	0.06% of total population	0.15% of total population								
Direct beneficiaries: 242,335	Indirect beneficiaries: 642,379														
0.06% of total population	0.15% of total population														
A.7. Total financing (GCF + co-finance³)	128,2 million Euros	A.9. Project size	Medium (Up to USD 250 million)												
A.8. Total GCF funding requested	32.8 million Euros For multi-country proposals, please fill out annex 17.														
A.10. Financial instrument(s) requested for the GCF funding	Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8. <table border="0"> <tr> <td>☒ Grant</td> <td><u>7.8 MM</u></td> <td>☒ Equity</td> <td><u>25 MM</u></td> </tr> <tr> <td>☐ Loan</td> <td></td> <td>☐ Results-based payment</td> <td></td> </tr> <tr> <td>☐ Guarantee</td> <td></td> <td></td> <td></td> </tr> </table>			☒ Grant	<u>7.8 MM</u>	☒ Equity	<u>25 MM</u>	☐ Loan		☐ Results-based payment		☐ Guarantee			
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☐ Loan		☐ Results-based payment													
☐ Guarantee															

¹ Co-financer's contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e. GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.

² It is assumed that the resources to support mitigation in the different sectors (Energy generation and access, Low Emission Transport, Buildings, cities, industries and appliances, Forestry and Land Use) will also contribute to increase livelihood resilience (ARA1-SMEs). To avoid duplications, no specific funding is attributed to ARA1, though the total number of beneficiaries (SMEs) will be measured (refer to CO2 calculation Excel and E5).

³ Refer to the Policy of Co-financing of the GCF.

A.11. Implementation period	<i>Investment period: 5 years TAF implementation period: 10-12 years</i>	A.12. Total lifespan	10-12 years
A.13. Expected date of AE internal approval	<i>Approved by FONPROD E Steering Committee on 12/20/2022.</i>	A.14. ESS category	I-2
A.15. Has this FP been submitted as a CN before?	Yes ☐ No ☒	A.16. Has Readiness or PPF support been used to prepare this FP?	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☐ No ☒	A.18. Is this FP included in the country programme?	Yes ☐ No ☒
A.19. Complementarity and coherence	<i>Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.</i> Yes ☐ No ☒		
A.20. Executing Entity information	GAWA Capital Partners SGEIC S.A., is a private limited liability firm specialized in impact investment management services. GAWA is registered as Alternative Investment Fund Manager (AIFM) and supervised by the Spanish Exchange Commission (CNMV). GAWA will act as fund and TAF manager. All the vehicles (i.e. Kuali Fund S.C.A. SICAR – EuSEF), GP (i.e. Kuali Fund Management Sarl) and manager (i.e. GAWA Capital Partners SGEIC S.A) will be the Executing Entities because of the role that each of these entities plays in the channelling of GCF proceeds and the making of investments. COFIDES will manage EUR 0.4 million from GCF. Therefore, COFIDES will be also an Executing Entity for such activities.		
A.21. Executive summary (max. 750 words, approximately 1.5 pages)			

Kuali Fund aims to contribute to the transition to low-carbon and resilient economies in selected countries in Latin American and the Caribbean (LAC) countries by fostering the systemic adoption of climate best practices by small financial institutions, including small banks (up to Tier 2), Microfinance Institutions (MFIs), cooperatives, other non-bank financial institutions and FinTech companies (denominated all as Financial Service Providers, or FSP). Kuali Fund will transform FSPs in their transition to become greener and more inclusive, so that they ultimately end up providing green and climate products⁴ to Small and Medium Enterprises (SMEs) and to smallholder farmers (or smallholders). Kuali will also support companies with innovative climate solutions⁵ (denominated as innovative companies) to expand the number of available mitigation and adaptation solutions that could eventually be financed by FSP.

Kuali Fund will invest at least 70% of its capital in **14 countries in Latin America and the Caribbean**, as the region is particularly vulnerable to the negative effects of climate change. Some 14 million Latin Americans live in areas considered to be at high risk from climate change. Up to a maximum of 30% will be invested in **India** to share best practices in climate finance between India and Latin America on how to use technology to be more efficient and amplify impact.

Kuali Fund will therefore be invested in 15 countries. However, as some of these countries have not issued the No Objection Letter, Kuali Fund will be divided into: i) the **Funded Activity** (hereinafter referred to as the Funded Activity or Kuali Fund-GCF) will only invest in the following seven countries: Mexico, Brazil, Colombia, El Salvador, Panama, Honduras and Guatemala; and ii) the Kuali Fund-nonGCF, which will invest in 15 countries (India and 14 countries in Latin America and the Caribbean). This Funding Proposal has been designed according to the universe of seven countries, and even though Kuali Fund will cover a wider area, the figures and impacts for the Funded Activity (or Kuali Fund-GCF) are differentiated in this FP from the Kuali Fund as a whole.

Kuali Fund-GCF is expected to directly support over 237,907 smallholders and 4,428 SMEs that will collectively avoid 2,707,455 expected tons of CO₂ equivalent in 10 years expected lifetime⁶.

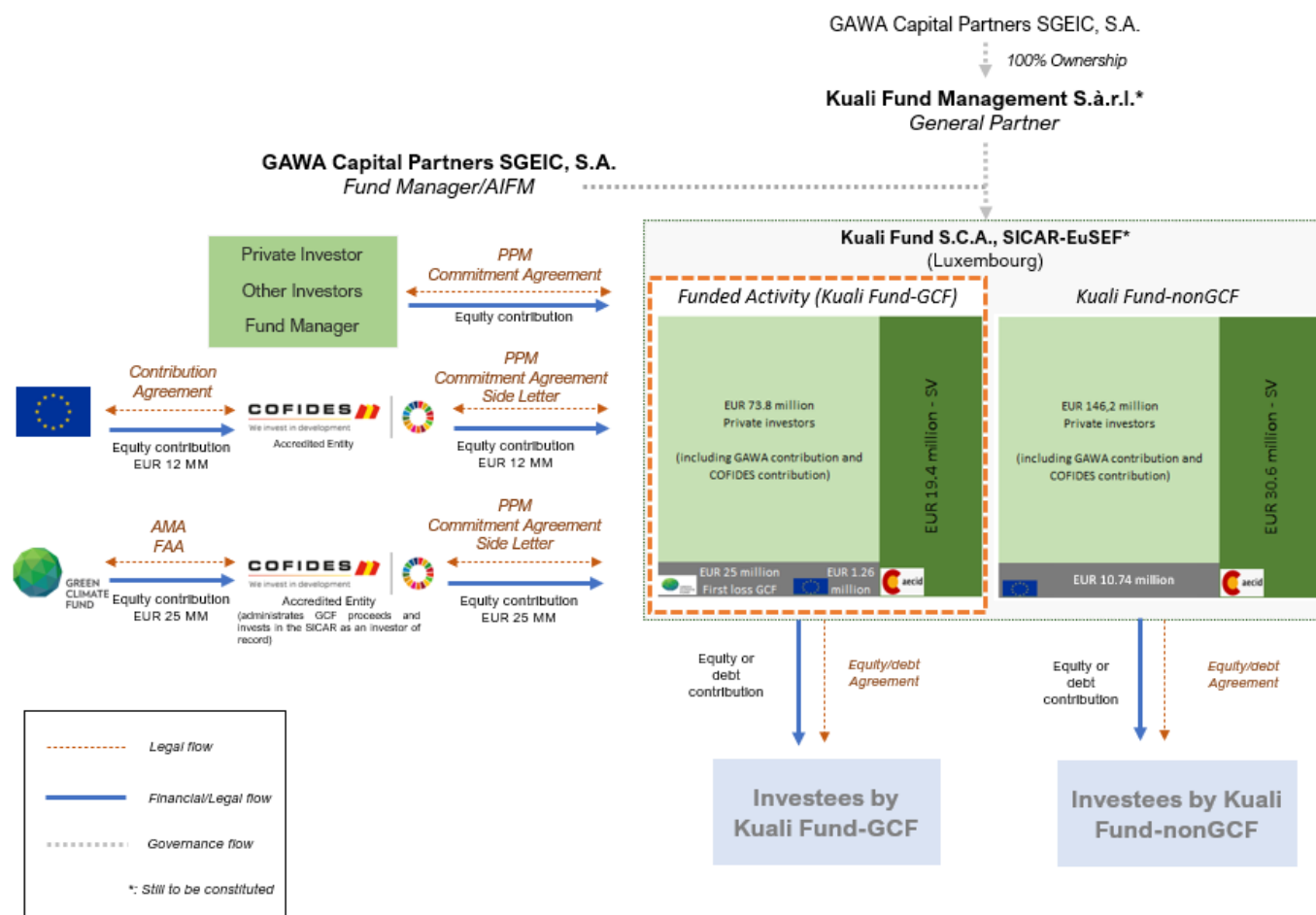
According to the IFC⁷, the climate finance gap in developing countries is USD 23 trillion by 2030. This gap implies an increase in climate finance from USD 22 trillion to USD 44.5 trillion over this period. If this target is met, climate finance from financial institutions will account for 30% of total lending from financial institutions by 2030. **So far, Financial Institutions' (FI) lending has traditionally been channeled by large banks to finance large renewable energy projects**, large industrial power plants and large efficient building construction companies.

However, **the smaller financial institutions targeted by Kuali Fund (FSPs) are key to mobilising climate finance in markets underserved by FIs (mainly referred to large banks)**. These small institutions are essential to channel climate finance to the two key segments that are the backbone of these recipient economies and that larger banks typically do not serve because of their perceived risk: **(i) the smallholder farmers segment**, which is one of the most vulnerable populations to climate change and will need to adapt rapidly to new climate conditions by adopting climate solutions, including ecosystem-based adaptation; and **(ii) the SME segment**, which accounts for 60%-70% of the industrial pollution and a significant share of global carbon emissions⁸.

Kuali Fund will also work with the innovative companies - to increase the number of available adaptation and mitigation solutions (mitigation solutions for SMEs and adaptation solutions for farmers) - and Financial Service Providers that are seeking to implement more sustainable environmental practices. The FSPs will support the SME and smallholder farmer sector and promote the creation of partnerships and synergies between traditional FSPs and Fintech companies through open banking cooperation. The impact of the Funded Activity's investments will be maximised with the support of a Technical Assistance Facility, which will assist the investees, inter alia, in implementing a green strategy, integrating green risks and opportunities into their systems, and launching and expanding green and climate-friendly products and services.

Regarding the investments to be financed by Kuali Fund-GCF, from an SME perspective, the Funded Activity will finance assets or activities such as solar roof panels, high efficiency heat pumps, insulation, low emission transport, energy efficient machinery, methane digesters, among others; and the smallholder farmers may be

supported in activities such as tree planting, composting, restoration of abandoned farmlands, on-farm irrigation systems, regenerative annual crops, silvopastoral systems or tree intercropping. In terms of innovative companies, Kuali Fund-GCF will invest in companies with innovative solutions for mitigation (such as electric transport, rural solar energy providers, bio-digester manufacturing companies, EV charging network) and in adaptation (farm-to-business mobility supply chain, smart farming, farming as a service platform or vertical farming).



Kuali Fund's structure includes the Kuali SICAR-EuSEF (the SICAR⁹) and a Special Purpose Vehicle incorporated as a Securitisation Vehicle (SV) and is divided into two funding divisions: Kuali Fund-GCF and Kuali Fund-nonGCF¹⁰. The size of Kuali Fund-GCF for investments in NOL-countries is expected to reach EUR 119.5 million in total commitments to be used for investments and EUR 5.91 million for Technical Assistance. An EUR 0.4 million is requested from the GCF for Communication, Audit and Evaluation purposes and an additional EUR 2.4 million from the GCF for Monitoring and Evaluative Data Collection.

⁴ Loan, participation in equity, insurance or any type of financial product denominated green because it will finance the acquisition of any SME or smallholder farmers' asset that have mitigation impact (any improvement in processes that avoid CO2 tons, the acquisition of new equipment that reduce the carbon footprint, low emission transport, appliances, power generation, efficient vehicles, etc.) and/or adaptation impact (innovative seeds with better adaptation to new climate patterns, risk systems, green agriculture solutions, etc.).

⁵ Companies that already offer products/services related with mitigation and adaptation, mainly "Agri-tech" and "Climate-tech" companies.

⁶ The total life of the Fund will be 10 years, with the possibility of extending the life for a further 2 years (12).

⁷ Climate Investment Opportunities in Emerging Markets, An IFC Analysis, 2016.

⁸ SME and the Environment in the EU, European Commission, 2010.

⁹ Detailed information regarding the structure of the SICAR, the SV and Kuali Fund is included in section B.4 of the Funding Proposal.

¹⁰ Kuali Fund-non GCF will include contributions from the EU and private resources to finance investments in 15 countries, including the 8 countries (Ecuador, Peru, Bolivia, Costa Rica, Dominican Republic, Paraguay, Nicaragua and India) where the NOL has not been issued for GCF contributions, up to EUR 250 million. The GCF will not be involved in these transactions.

Kuali Fund-GCF is expected to catalyse **private and institutional investments** at scale through a blended finance structure. The EU and GCF contributions to the first loss tranche of Kuali Fund-GCF¹¹ (EU: EUR 1.26 million and GCF: EUR 25 million) will be key to mobilising private investor participation by reducing their exposure to the perceived risk of the SME and smallholder farmer's sector. The GCF, EU, FONPRODE and Kuali Fund itself will also contribute to the financing of the Technical Assistance (EUR 5.0 million from GCF; EUR 0.57 million from EU; EUR 0.38 million from FONPRODE and EUR 0.04 from Kuali Fund).

As Kuali Fund-GCF will invest in 7 countries, 100% of the GCF resources will be allocated to NOL countries, and a 15% of the sum of both the EU first loss contribution and from the EU, FONPRODE and Kuali Fund contributions in TA resources will be allocated to NOL countries, leaving 85% of its resources to cover the non-NOL countries of Kuali Fund-nonGCF.

The Securitisation Vehicle will issue notes that will be subscribed by the Spanish Agency for International Cooperation and Development¹² (AECID) through the FONPRODE¹³ Sovereign Fund managed by the Spanish Ministry of Foreign Affairs, European Union and Cooperation for up to EUR 19.4 million for Kuali Fund-GCF, with a maturity corresponding to the duration of the Funded Activity (10-12 years). These notes will enhance the return to private investors.

The remaining funding is expected to come from the private sector (EUR 72.8 million) and a potential contribution from GAWA Capital (EUR 1 million).

The Subsidiary Agreements that COFIDES -as AE- will prepare for the implementation of this proposal are: i) for the equity component, the Private Placement Memorandum (PPM), the Commitment Agreement, and the Side Letter; ii) for the TA component, the Fiduciary Agreement.

Kuali Fund-GCF will use part of these resources to transform both innovative companies and FSPs to implement climate finance strategies to help the **SME** and the **agricultural sectors** to reduce CO2 emissions and adapt to the impacts of climate change. The Funded Activity will select the instrument that (i) best meets the financing needs of the investee, (ii) where possible, provides the targeted risk-adjusted return and (iii) for equity investments, has a clear liquidity event/exit strategy. The following instruments are expected to be used:

- A. **Debt-like investments:** Approximately 60-70% of the portfolio, mainly invested in FSPs (including Fintech companies), but could also be invested in innovative companies.
- B. **Equity:** Approximately 30-40% of the portfolio for investment in innovative companies:
 - i. **Mezzanine investments**, such as royalty financing/profit participation loans.
 - ii. **Growth-capital equity investments** with a significant minority stake (less than 20%), a board representation and a clear and/or pre-negotiated exit.

The investment horizon of the Funded Activity is 5 years, and most investments are expected to be made in the first 4 years, implying 3 to 6 investments per year.

Ultimately, Kuali Fund-GCF must have the capacity not only to invest in innovative companies and FSPs, but also to transform them, in order to establish more sustainable business practices, while helping to reduce the current financing gap for SMEs and smallholders and the perceived risk of providing financial services to these final beneficiaries. Kuali Fund-GCF **will transform financial institutions to adopt and implement**

¹¹ For Kuali Fund, the catalytic contribution will be EUR 12 million from EU + EUR 25 million from GCF.

¹² AECID belongs to the Secretary of State for International Cooperation of the Spanish Ministry of Foreign Affairs, European Union, and Cooperation, organised under the laws of Spain.

¹³ FONPRODE is a Governmental Trust Fund managed by AECID, with the advice and support of COFIDES. It has no legal personality, and it is aimed to provide aid finance to developing countries under the OECD's concessional terms. All activities carried out by FONPRODE should qualify as Official Development Assistance (ODA). However, according to OECD ODA eligibility criteria, only first loss tranches in structured investment vehicles qualify as such. However, Spanish budget law establishes that all FONPRODE transactions should be accounted as financial assets (General State Budget Law 2017) avoiding an impact on the deficit. The national accounting rules in force in the European Union (SEC 2010) determine that first loss investment tranches cannot be counted as assets, but as deficit. Thus, investments in capital structured funds by FONPRODE is only possible through debt instruments.

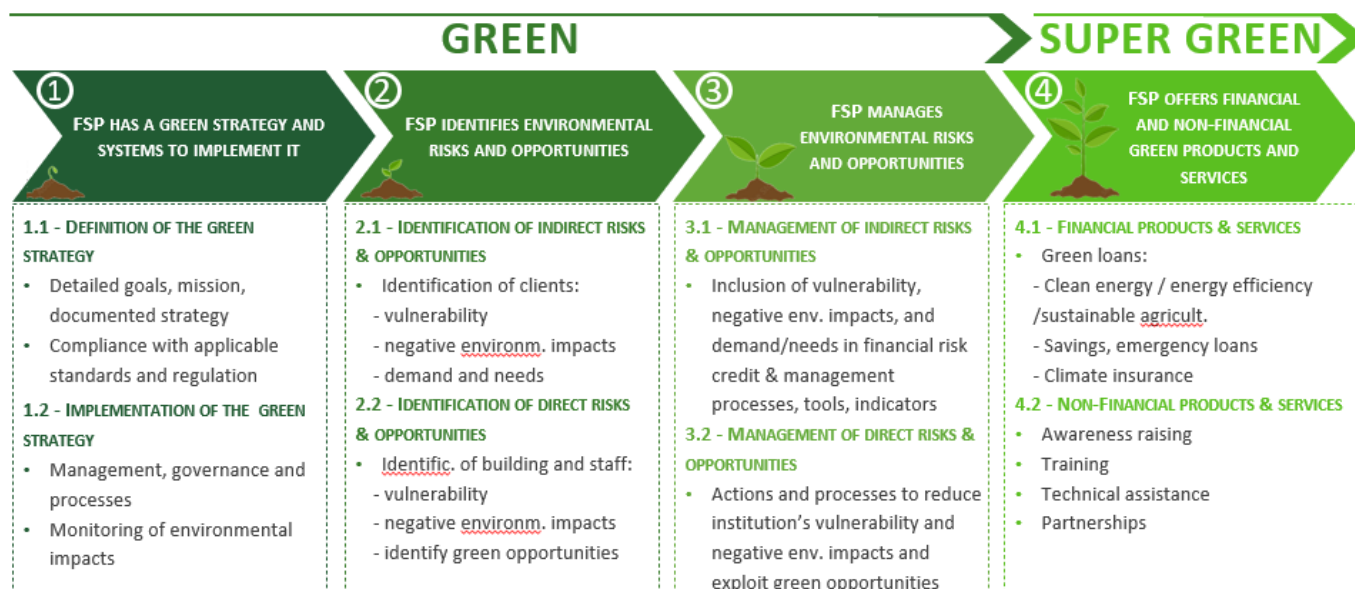
green strategies, following a progression that will be measured with the Green Index 3.0¹⁴. This Green Index analyses the institutions according to their level of green strategy and their capacity to manage environmental risk and transform their model into a greener one. In this context, Kuali will invest approximately 40% in Green Investments and 60% in Super Green Investments.

* Green Investments are those institutions that belong to Phases 1-3 according to the Green Index 3.0:

- Phase 1: **FSP** has a green strategy and systems in place to implement it, including roles and responsibilities and how the institution monitors and reports on the implementation.
- Phase 2: **FSP** identifies the vulnerability of its clients/portfolio and the institution itself, the negative environmental impacts generated on ecosystems caused by clients and the institution, and clients' need and demand of clients for green and climate practices and technologies, as well as the opportunities for the institution itself.
- Phase 3: The **FSP** has processes and tools in place to analyse and respond to the identified vulnerabilities, negative environmental impacts, and client needs and demands. The institutions translate the vulnerabilities, negative environmental impacts, demands and needs into actual risks and opportunities.

These investments are financed at market rates.

* Super Green Investments are investments in institutions that belong to Phase 4 according to the Green Index 3.0: FSPs offering financial and non-financial green products and services and companies with innovative climate solutions. In the case of innovative companies, which are all Super Green Investments, Kuali will use its investment and technical assistance to expand their operations, establish alliances with FSPs for the distribution of their products, strengthen their business model and social performance systems and increase their investor readiness to attract new investors in the subsequent fundraising rounds. These funds will aim to increase the FSP green and climate portfolio of FSPs at below market rates.



Kuali Fund-GCF will also be a key instrument in the context of the COVID-19 pandemic and its subsequent economic crisis. The Funded Activity will contribute to securing financial support for innovative companies and FSPs, especially the latter focusing on SMEs and the smallholder farmers segment, which are particularly affected by the pandemic. Kuali Fund will provide FSPs (and eventually innovative companies too) with the necessary financing, which is essential to alleviate the current post-COVID liquidity crisis. This will in turn help FSPs to secure renewals of current funding or access to new funding.

¹⁴ Green Index 3.0: https://hedera.online/gicsf_ag_tools/green-index-digital.html

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

Main impacts of climate change

The countries of Latin America and the Caribbean (LAC) - especially in Central America and the Caribbean - are already severely affected by climate variability, higher temperatures, deforestation, sea-level rise, ocean acidification and the increased intensity and frequency of climate-related disasters, which particularly affect indigenous people¹⁵.

Coastal areas, where most people of the Caribbean region live, are experiencing a dramatic increase in category-5 hurricanes due to the rise in sea surface temperatures. More than 80 million people in LAC have inadequate access to clean water and basic sanitation, and some 14 million people in the region live in areas at high risk from climate change. Transitioning to a greener and climate-resilient economy is therefore crucial to ensure that LAC can reduce its CO₂ emissions, better protect itself against climate risks and thrive in the long term.

LAC accounts for less than 10% of total global greenhouse gas emissions but is particularly vulnerable to the adverse impacts of climate change due to direct exposure to climate risks, as well as a high sensitivity to such risks and relatively low adaptive capacity. Projections show an increase in mean temperatures of up to 4.5°C by the end of this century compared to pre-industrial levels across LAC. Associated physical impacts include changes in precipitation regimes, strong increases in heat extremes, higher risks of drought and increased aridity.

In addition, the average intensity of tropical cyclones and the frequency of the most intense storms are projected to increase while sea levels are expected to rise by *0.2–1.1 mm depending on the level of warming and the region. Global warming not only affects the right to health, food, water, culture, development and adequate housing, but also threatens people's very survival and their right to life and physical integrity, particularly in the region.

According to the United Nations¹⁶, temperatures will rise by at least 1.5°C by 2030 and 100 million people will be pushed into extreme poverty by climate change. Partner countries are responsible for 63% of current carbon emissions due to strong economic growth, increased access to energy and rapidly growing populations. Partner countries therefore have a key role to play in enabling the necessary transition to a low-carbon economy needed. In particular, SMEs make a significant contribution to growth, employment and innovation in emerging economies, but they also drive energy demand and CO₂ emissions growth¹⁷.

Climate change affects every country on every continent, but it does not do it equally. People already living in poverty are often the hardest hit (75% of poor people depend on agriculture and natural resources for their livelihoods, making them the most vulnerable to the impacts of climate change), while having the least capacity to cope with them. It is estimated that climate change will force 25 million people to migrate and will cause 250,000 deaths per year between 2030 and 2050. From an economic perspective, 78% of SMEs expect climate change risks to have a significant impact on their business. The world's poorest communities often live on the most fragile land, and they are often politically, socially, and economically marginalised, making them particularly vulnerable to the impacts of climate change. More frequent and intense storms, floods, droughts, and changes in rainfall patterns are already affecting these communities, making it harder for them to secure a decent livelihood.

¹⁵ Source: UN, December 2019.

¹⁶ Source: 2019 United Nations; GHG Emissions; European Commission "SMEs and the environment in the EU".

¹⁷ SMEs contribute 64% of industrial pollution according to a study by the European Commission.

As the UN High Commissioner for Human Rights¹⁸ says: “*There must be action to ensure that all affected people can participate in designing and implementing climate solutions, and this includes specific assistance and protection for environmental human rights defenders*”.

Climate context of each target country

A summary of the key features of the climate context of each target country is highlighted below. Please also refer to the Annex 2 for further description of this context, which includes the NDCs and national climate plans/targets of each country and how Kualu Fund-GCF is addressing their key objectives and the Annex 22, which includes the calculations and methodology for each target country:

BRAZIL:

- The impacts of climate change in Brazil, which is home to nearly 60% of the Amazon, vary widely: higher temperatures can alter the range and distribution of temperature-sensitive species; increased severity of droughts can severely affect the Amazon's freshwater ecosystems and the people who depend on them; changes in precipitation and temperature can affect the spread of disease; and sea level rise and storm surges will have significant impacts on the lowlands of the Amazon delta. Combined with deforestation and environmental degradation, these impacts pose a major threat to the Amazon's natural resources and to tourism in the region. Climate variability and change also threaten Brazilian agriculture. If climate impacts reduce agricultural production, Brazil's food insecurity could increase, as could the pressure of farmers on the Amazon's land and resources.
- In recent years, the Brazilian government has implemented numerous policies to reduce deforestation rates, which fell to one-sixth of 2004 levels by 2014. However, the Amazon remains under threat of deforestation, with the rate of deforestation increasing by 29 per cent in 2016 compared to 2015. In 2008, Brazil adopted the National Climate Change Plan, which aims to address (1) reduction of greenhouse gas emissions; (2) vulnerability, impacts and adaptation; (3) research and development; and (4) capacity building and information dissemination. In 2016, Brazil prepared its third National Communication to the U.N Framework Convention on Climate Change, noting the progress the country has made and reaffirming its active participation in and support for the Convention.
- Brazil has set a relative target of a 37% reduction in greenhouse gas emissions by 2025 compared to 2005 levels. In addition, the country estimates that it would achieve a 43% reduction in emissions by 2030 compared to 2005 levels but notes that this is only a benchmark and should not be considered as part of its official contribution.

COLOMBIA:

- Most Colombians live in the high Andes, where water scarcity and land degradation exist, and in the coastal areas, where sea level rise and flooding may affect human settlements and economic activities. Rising temperature and changes in rainfall patterns are likely to lead to water scarcity in Colombia. This could affect irrigated agriculture, human health, and sectors such as hydropower, which rely on a steady supply of water. Sea-level rise is likely to have localized effects, with significant impacts in tourism-dependent cities such as Cartagena and may lead to the loss of key ecosystems such as coral reefs and fisheries, affecting important livelihoods.
- The Government of Colombia's 2010-2014 National Development Plan identified climate adaptation as a priority and established a National Climate Change System to improve coordination between institutions. Since 2014, a National Climate Change Policy has focused on mitigation and adaptation actions by increasing resilience and achieving low-carbon development.
- Colombia has a relative reduction target of 20% of projected emissions in 2030 under a BAU scenario. An additional 10% reduction would be conditional on access to international financing.

¹⁸ Michelle Bachelet.

MEXICO:

- Mexico's location between two oceans and its complex topography increases the country's exposure to extreme hydrometeorological events such as tropical cyclones, frosts, heat waves and floods. This geographical vulnerability is compounded by a significant wealth gap (53.2% of the population lives below the national poverty line) and urbanization. Aging transport, energy and water infrastructure is vulnerable to damage from floods and strong winds, especially in coastal areas. Coastal tourism, an important economic sector for Mexico, is also at risk, as is the destruction of diverse marine ecosystems. In rural areas, extreme temperatures and erratic rainfall are drastically affecting agricultural productivity, including both crops and livestock. Since 1990, agriculture has accounted for 80 per cent of the country's weather-related financial losses.
- Mexico's 2012 General Climate Change Law (GLCC) defines planning and policy instruments, including institutional arrangements and provides general guidelines for the implementation of national climate policy. Under the GLCC, the Mexican government, is mandated to formulate and guide national climate change policy.
- Mexico has a relative reduction target of 22% of projected emissions by 2030 in a BAU scenario. An additional 14% reduction would be conditional on access to international finance. In addition, the country has an unconditional black carbon reduction target of 30%, which could rise to 70% by 2030 conditional on external financing.

PANAMA:

- Widespread poverty and inequality have a negative impact on the environment. Panama is considered to be one of the most biologically diverse countries in the world, with more than 12% of its land mass is protected. Nevertheless, poverty pressures have led many to exploit the natural resources of the Mesoamerican Biological Corridor in harmful ways. Deforestation is also a growing concern, as forests cover 40% of Panama's territory.
- Soil erosion and deforestation are among Panama's most serious environmental problems. Soil erosion occurs at a rate of 2,000 tons per year. Between 1990 and 1995, the average annual rate of deforestation was 2.15%. Air pollution is also a problem in urban centres due to emissions from industry and transport. Only 79% of the rural population has access to clean drinking water. Pesticides, sewage, and pollution from the oil industry cause much of the pollution. The country's fish stocks are threatened by water pollution.
- Panama has sectoral mitigation goals. In the case of energy, 30% of the installed capacity of the electricity matrix should come from other types of renewable energy sources by 2050; and in the case of the USCUS (Land Use, Land Use Change and Forestry Sector), the targets are reforestation of degraded areas, the unilateral contribution, increasing carbon sequestration capacity by 10% compared to the reference scenario for 2050.

EL SALVADOR:

- El Salvador, along with Honduras and Guatemala, is one of the world's most vulnerable countries to climate change. The reason for this problem is that they are all in the Dry corridor, a phenomenon that causes drought in an already dry area, which until now has had two very specific rainy seasons (in June and September) that have been disappearing for some decades ago due to climate change. The latest projections show that, between 2021 and 2050, annual rainfall will be reduced by between 10% and 20% and will become much more erratic, making it much more difficult to maintain their way of live, particularly for smallholder farmers and the local population dependent on rural areas.
- El Salvador commits itself to reducing the emissions by 819,000 equivalent tons of CO₂ per year. The NDC document does not indicate what percentage of its total emissions this represents. El Salvador has set a renewable energy production target of around 86% of its electricity generation by 2030, an increase of 50% compared to the installed capacity in 2019.

GUATEMALA:

- Guatemala is a multiethnic, pluricultural and highly biologically diverse country, but also one of the most vulnerable countries to climate change in the world. Like Ecuador and many other countries in the Central American Dry Corridor, it is regularly affected by El Niño events.
- Under these circumstances, Guatemala has published its Nationally Determined Contributions. Guatemala intends to commit to reducing GHG emissions by 22,6% below 2016 levels in 2030 under a BAU scenario, if the country receives international financial and technical assistance. Without this external support, the commitment is reduced to 11,2%. The 4 main axes on which Guatemala focuses through in the document are: i) Land use change and forestry, ii) Energy, iii) Agriculture, iv) Residues.
- Guatemala has also prepared the National Action Plan of Climate Change. It is presented as a summary of the priority actions and precautions that citizens and institutions should take into account to face the risk inherent in climate change, using the IPCC report as a reference. It focuses on identifying opportunities for sustainable development to protect vulnerable people. It is in line with the objectives captured under the “Ley Marco para Regular la Reducción de la Vulnerabilidad, la Adaptación Obligatoria ante los Efectos del Cambio Climático y la Mitigación de Efecto Invernadero” (LMCC) a national law primarily aimed at combating climate change.

HONDURAS:

- Located at the heart of the Central American isthmus, Honduras, like its neighbours, is constantly exposed to extreme meteorological events. In recent years, these events have become more frequent and damaging due to climate change. From droughts to floods and erratic climate. The poverty rate in the country is 48,3%. This is exacerbated in the rural areas, which are also among the most vulnerable sectors to climate change.
- Energy and the agriculture are two main sectors in which the country intends to reduce its emissions. The country has committed to reducing its greenhouse gas emissions by 16% by 2030, and almost 90% of the reduction will come from these two sectors.
- The Honduran government has also published a NAMA for a low-carbon livestock sector in 2018, in line with its national 2013 Climate Change Law, which demonstrates the importance of the rural sector in Honduras and the need for a rapid transition to a path of sustainability in order to stabilise the livelihoods of thousands of families in a sector that is facing more difficulties every year due to the erratic behaviour of the climate in the region.

Limiting warming to 1.5°C above pre-industrial levels¹⁹ will require changes in our economic system, including the way the energy is consumed, the way industries operate, and the way food is produced. The investment required to achieve this goal is huge, ranging from USD 1.6 trillion to USD 3.8 trillion per year between 2016 and 2050. Current annual climate finance represents only one-third of the funding needed²⁰. Financial institutions have a key role to play in mobilising the remaining two-thirds of the funding needed to close the climate finance gap.

The IFC has estimated the climate finance gap in developing countries for this decade (to 2030) at USD 23 trillion. If this target is met, climate finance will account for 30% of total lending by financial institutions by 2030.

Lending by Financial Institutions has so far been channelled mainly by large banks to finance large renewable energy projects, large industrial power plants and large efficient building construction companies. However, **smaller financial institutions are key to mobilize climate finance to markets underserved by large banks.** These institutions are essential to channel climate finance to the two key segments that larger banks typically do not serve because of their perceived risk:

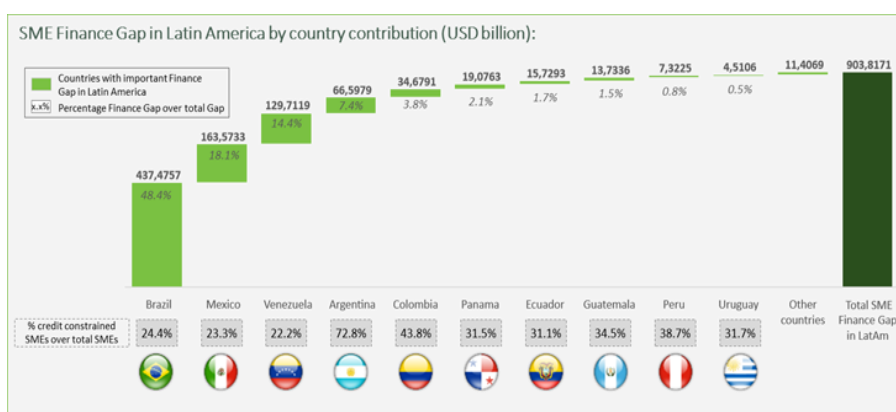
¹⁹ Intergovernmental Panel on Climate Change (IPCC) Special Report: Warming of 1.5 degrees.

²⁰ Global Landscape of Climate Finance 2019, Climate Policy Initiative

- **The SME segment** accounts for 60%-70% of environmental impacts and a significant share of global carbon emissions²¹. This segment represents a large opportunity for mitigation as SMEs typically use energy-inefficient equipment and vehicles, and unreliable sources of electricity, which could be improved by solar solutions. If properly capitalised and trained, Financial Institutions could finance equipment to increase energy efficiency and reduce carbon emissions.
- **Smallholder farmers**, who are among the most vulnerable populations to climate change, need to adapt quickly to new climatic conditions by adopting climate-smart agriculture practices and equipment. It is estimated that 95% out of the 15 million smallholder farmers in LAC are already experiencing the negative impacts of rising temperatures, unpredictable rainfall and extreme weather events on crop yields, pest and disease outbreaks, declining incomes, and food security²². Smallholders can also reduce their carbon footprint by using new equipment such as biodigesters and reforestation degraded land. FSPs can play a key role in financing climate-smart agricultural equipment to enhance adaptation and promote mitigation.

Climate adaptation for smallholder farmers

The smallholder finance gap in the region is USD 20 billion²³. This financing gap is explained by the **lack of capital and risk appetite of financial institutions to establish the right business model in terms of products, appropriate staff and processes to properly serve the smallholder farmers segment with green and climate finance products**. However, this segment represents an attractive market for



FIs, as the growth of their operations needs to come from their expansion into rural areas, as the penetration of financial services in urban areas is already high throughout the LAC region.

The potential of smallholder agriculture on climate change mitigation is important, but pales in comparison to the adaptation and resilience needs and impacts on the sector.

Five out six farms in the world are less than two hectares in size, occupy around 12 per cent of the world's agricultural land and produce about 35 per cent of the world's food²⁴, but the contribution of smallholder farmers to the food supply varies widely from country to countries. Farmers in developing countries are the most climate-vulnerable population on the planet. Their livelihoods are entirely dependent on the environment and are extremely vulnerable to even small changes in temperature or rainfall. As a result, climate change threatens to make smallholders the most climate vulnerable population on the planet.

The main practical risks faced by smallholder farmers are:

- **Drought:** A temporary anomaly in which the availability of water is below the availability falls below the needs of a particular geographical area. There is not enough water to meet the needs of plants, animals and people. It is mainly caused by a lack of rainfall or precipitation.
- **Decrease in productivity:** Decrease in the volume of the final product, whether agricultural or livestock, caused by sub-optimal production conditions.

²¹ SME and the Environment in the EU, European Commission, 2010.

²² Climate change impacts and adaptation among smallholder farmers in Central America, Celia Harvey, 2018.

²³ Pathways to prosperity 2019, Initiative for Smallholder Finance

²⁴ Sarah K. Lowder, Marco V. Sánchez, Raffaele Bertini. Which farms feed the world and has farmland become more concentrated? World Development, Volume 142, 2021, 105455, ISSN 0305-750X, <https://doi.org/10.1016/j.worlddev.2021.105455>.

- Loss of production resources: Total or partial damage to the ecosystem in which production activities, whether agricultural or livestock, take place.
- Increase in production costs: The need to cover higher costs of purchasing inputs for agricultural and livestock activities.
- Increase or occurrence of pests: Increase or occurrence of diseases in crops/animals or diseases in plants/animals, caused by external agents. Change in the phenological cycle of plants and/or the life cycle of animals.
- Landslides: landslides or movement of land masses, caused by the instability of a slope.
- Flooding: Occupation by water of areas that are normally free of water, due to overflowing of rivers, torrential rain, thaw, tidal waves above normal levels, avalanches, etc.
- Fires: A large scale fire that burns or provokes and destroys vegetation or crops that are not intended to burn.
- Erosion: Wear and tear and modelling of the earth's crust caused by the action of wind, rain, fluvial, marine and glacial processes, and by the action of living things.
- Decreased availability (scarcity) of water: A decrease in the amount of water available, either due to less water being absorbed by the soil or a decrease in rainfall.
- Reduced food security: The availability of food, people's access to food and the biological use of food.

Building climate resilience for these farmers requires a massive improvement in agricultural value chains by adopting climate-smart practices, crops and assets. The improved value chains will expand smallholder access to quality assets, inputs, training, processing, and market opportunities for high-value and climate-resilient crops. These crops and practices will restore nutrients into depleted soils and enable farmers to achieve sustainable yields and profits, bolstering their resilience to climate change. Further, new trees planted, and organic matter generated will sequester CO₂, helping to mitigate climate change.

Early adoption of low-emissions agriculture in developing countries is an opportunity for more efficient use of land, fertilizer, energy, feed and water. However, substantial funding may be needed to adopt new technologies, given diverse and dispersed smallholders and costs of monitoring.

Climate finance for SMEs

SMEs facilitate economic inclusion and livelihood benefits for the world's marginalised by offering employment as well as products and services to rural and urban communities, thereby contributing to socially inclusive, sustainable development.

MSMEs account for about 99% of all enterprises and employ about 67% of all workers in Latin America²⁵. However, due to a particular productivity gap, they account for only a quarter of the region's total output value.

MSMEs are distributed along all sector of the economy so precise emissions levels are difficult to establish but are certainly in line with their importance in the economy.

SMEs face several specific challenges regarding CO₂ emissions and climate change like their difficulty to measure and manage the emissions they produce and increasing the efficiency of the resources they use.

Left unchecked, climate change represents material risk to business cash flow and economic growth, by increasing operating costs, limiting resource availability, causing shifts in demand, disrupting supply chains, which in turn introduces new challenges to a fragile and vulnerable enterprise system.

It is in the SMEs self-interest in finding ways to both mitigate emissions and to increase resilience – helps future proof business plans, meet the climate expectations of customers, retain market access and enhance their competitive edge and thereby make it a profitable business for them.

²⁵ OCDE Índice de Políticas PYME: América Latina y el Caribe 2019

- Kuali Fund-GCF will work with smaller Financial Service Providers (FSPs) such as microfinance institutions, cooperatives, non-bank financial institutions, Tier 2 banks and Fintech companies aiming at deepening green and climate financial inclusion to SMEs and underserved farmers.

Besides, on the technology market available for climate finance, there are innovative climate companies that already use technology solutions to prevent climate change, by offering climate mitigation and resilience solutions to reduce GHG emissions or addressing the impacts of global warming. These innovative companies that employ technology to get positive environmental effects on mitigation and adaptation to climate change include, among others, agri-tech companies, climate-tech companies, renewable companies, or ecosystem-based adaptation companies. For instance, a company with operations in Mexico and Colombia, provides farmers with an easy-to-install-and-use prefabricated modular biodigester package that includes a full suite of biogas appliances and connections. The system takes organic waste and transforms it to renewable biogas and a powerful organic fertilizer that is beneficial to the soil and increases farmer's productivity. The biogas can be used as mechanical energy for farm productive activities or as a heating system for the farmer's home.

To meet the climate change mitigation goals of most emerging markets, there is an urgent need to finance innovative companies that use technology for climate change mitigation and adaptation.

Summary of sector vulnerabilities and mitigation and adaptation rationale:

Climate Related Gaps and Vulnerabilities	Region(s) affected	Kuali-Fund Segment	Potential Interventions/Investments	Expected Impact
General				
Climate finance gap in LAC	LAC	All	119. 5 M € Fund with GCF junior equity to catalyze private sector capital (approx. 73.8)	Reduction in climate funding gap in LAC. Demonstrating scalability, replicability to drive climate funding toward the SMEs and Smallholders sectors
Provision of Climate Finance through Financial Service Providers serving vulnerable population	LAC	All	Invest and transform FSPs so that adapt current risk management system to include environmental considerations and building a diversified set of green products and services that incorporate environmental benefits (loans, deposits, insurance).	Kuali will transform its FSP investees to adopt and implement green practices following the Green Index 3.0 phases. Kuali expects that between 80% and 100% of its investees will reach phase 4 after the life of the investments, where the FSPs will at least start offering financial and non-financial green products to their clients.
Lack of mitigation and adaptation solutions for the most vulnerable	LAC	All	Kuali will invest in companies with innovative climate solutions to expand the number of available mitigation and adaptation solutions that could eventually be financed by FSP.	Mitigation and adaptation innovative solutions demonstrating scalability,
Mitigation:				
High energy inefficiency in the SME sector	LAC	- Energy generation and access - Low-emission transport - Buildings, cities, industries and appliances	Invest and transform FSPs so that they provide financing toward energy generation installations, low emission transport and high efficiency machinery and appliances.	Achieve increased energy efficiency and reduce carbon emissions from the SME sector. Demonstrating scalability, replicability of energy generation installations, low emission transport and high efficiency machinery and appliances for the SME sector.

Lack of utilization of agriculture as a carbon sequestration mechanism	LAC	- Forestry and land use	Invest and transform FSPs so that can provide financing and foster the implementation of Climate Smart Agricultural practices like, Conservation Agriculture, Regenerative Annual Cropping, Sustainable Intensification for Smallholders, Sustainable Livestock Management Farm Irrigation Efficiency, etc.	Achieve increased carbon sequestration derived from sustainable agricultural practices.
Adaptation:				
Reduced crop yields, income generation and food security due to rising temperatures, unpredictable rainfall, extreme weather events, pest and disease incidence, etc.	LAC	- Forestry and land use	Invest in FSPs so that can provide financing and foster adaptation to climate change through nature-based solutions such as tree plantation, composting, abandoned farmland restoration, farm irrigation systems, organic fertilizers, regenerative annual cropping, silvopastoral systems, tree intercropping, etc.	Achieve increased smallholders' resilience derived from sustainable agricultural practices understood as function of exposure, sensitivity, and adaptive capacity

PROGRAMME STRUCTURE: COMPONENTS AND ACTIVITIES

The emissions reductions that need to occur before 2030 can largely be achieved in the 2020s by existing technologies such as solar, while the post-2030 emission reductions depend on innovative technologies. A report from the World Economic Forum²⁶ notes that to successfully expand and deploy these climate solutions based on technologies in the 2030s, emerging climate technologies need to be validated at commercial scale in the 2020s. According to a report from Boston Consulting Group²⁷, it is expected that these innovative companies will require an estimated USD 100 trillion to USD 150 trillion over the next 30 years—equivalent to roughly USD 3 trillion to USD 5 trillion annually- to fund their development and expansion.

- Therefore, Kuali Fund-GCF's investments in these innovative companies will be essential to meet the climate change mitigation goals in emerging economies. Additionally, In the context of COVID-19 pandemic and its subsequent economic crisis, many of these innovative companies have suffered lack of funding putting at risk their operations. The Funded Activity investments will be key to secure their needed financial stability and to increase their investment readiness so that they can attract further funding.
- Finally, Kuali Fund-GCF will foster alliances between FSPs and the innovative companies so that FSPs can finance the acquisition of the solution that the company implements. To achieve successful alliances, the Funded Activity will leverage its knowledge of FSPs to work with them and with the innovative company to understand their incentives, manage their expectations and reach a partnership which is beneficial for both.

Climate Finance – best practices

Countries, companies and especially the finance industry are under pressure to adopt climate finance best practices, driven both by regulation and by market dynamics, in order to reach the international commitment to greenhouse gases reduction. As financiers, FIs have the potential to substantially move the scale toward mitigation and adaptation to climate change.

²⁶ Financing the transition to a net zero future", October 2021.

²⁷ The time for climate action is now", April 2021

There are four main areas via which FIs can engage in more sustainable practices, as identified in IFC's²⁸ 2018 survey:

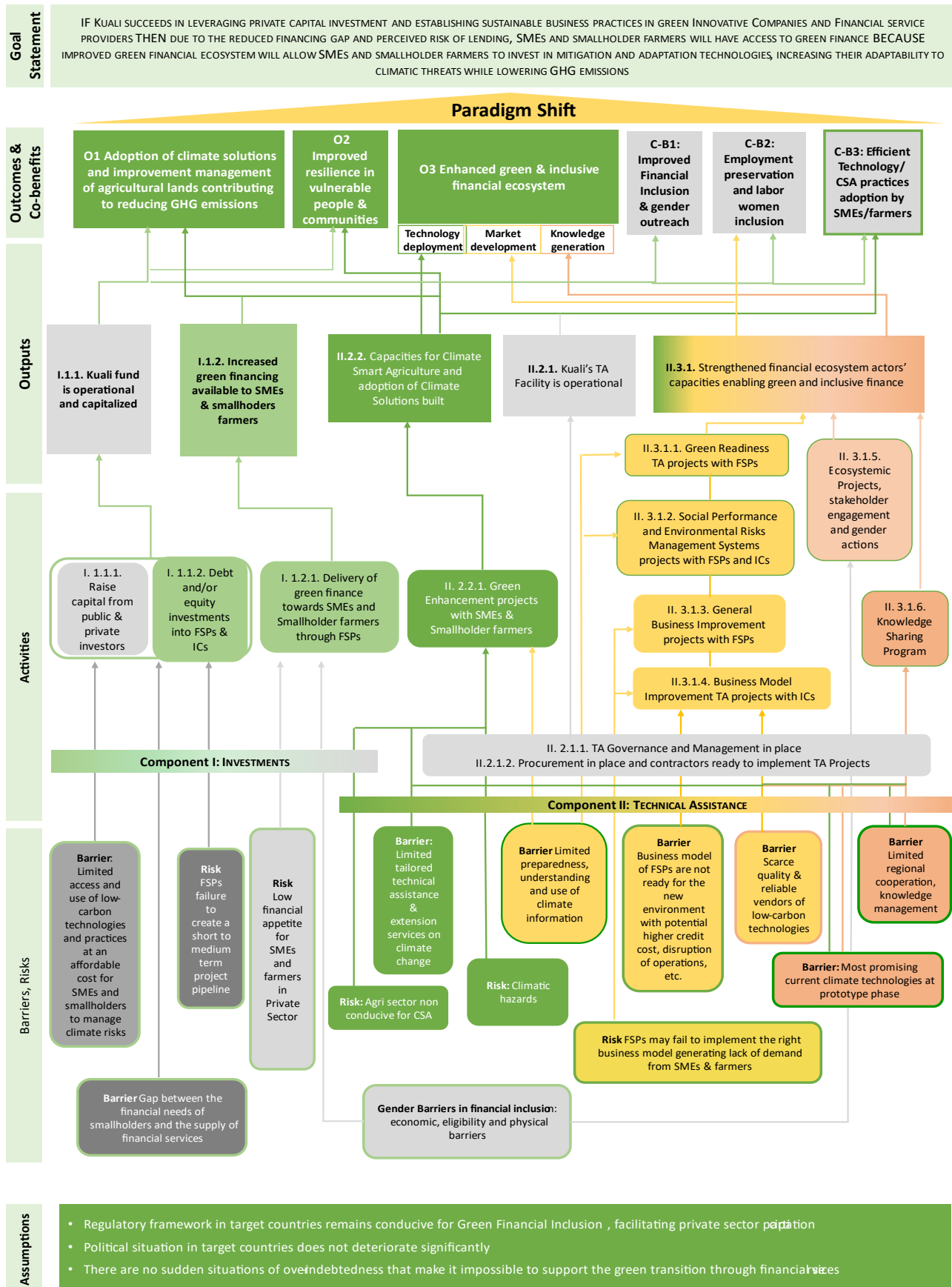
- **Green strategic commitment:** engaging with top management to implement green finance practices, cross-cutting functions, and processes. It implies making green finance a central pillar of core strategic decisions. In our methodology this corresponds to Green Index Phase 1.
- **Environmental Risk Management system:** adapting current risk management system to include environmental considerations. In our methodology this corresponds to Green Index Phases 2 and 3
- **Green products and services:** building a diversified set of products which incorporate environmental benefits (loans, deposits, insurance). In our methodology this corresponds to Phase 4.
- **Eco-efficiency practices:** reduce FIs' and clients' environmental footprint. In our methodology this corresponds to Green Index Phase 4.

IFC's survey highlighted that banks in LAC are taking steps to adopt more sustainable banking models, but still need support in the four areas highlighted above. Many banks mention that "sustainable finance models need access to new sources of financing, in particular, for growing responsible investors that exercise a strong demand for assets classified as green. In this context, institutional investors are catalysts for change, promoting green banking and actively influencing the decisions and strategies adopted by companies and banks on climate change". Smaller financial institutions such as small banks, MFIs, cooperatives, other non-bank financial institutions and Fintechs (denominated all as FSPs) are key to serve SMEs and smallholder farmers, but they are lagging in the adoption of these sustainable practices. Capital offered by the Funded Activity is therefore essential to this transformation.

Another key constraint the financial sector faces to serve the SMEs and smallholder farmers segments is performing an efficient detailed credit analysis of these final beneficiaries. Fintech sector is developing very interesting solutions to increase efficiency to serve this segment leveraging data and technology. For this reason, Fintech sector will be essential in Kuali Fund-GCF investments, by supporting green investments to SMEs and smallholder farmers and by supporting collaboration between traditional FSPs (which typically have larger balance sheets) and Fintech companies. Fintech represents not only an opportunity to deliver green financing to SMEs or farmers, but also an innovative channel to serve SMEs and smallholder farmers more efficiently and in underserved areas where only technology can reach them.

²⁸ "Green Finance Latin America Survey" IFC, 2018.

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)



PROBLEM STATEMENT

Kuali Fund-GCF's target countries face serious difficulties in achieving greenhouse gas reduction goals in countries with permanent growing demographic expectations. The financial sector worldwide is under pressure to embrace climate finance best practices. Likewise, the reduction of activity due to the effects of the COVID crisis and its consequent lack of liquidity in the markets has affected economic growth. This lack of market liquidity is even more severe with regard to SMEs (USD 900 billion gap) and smallholders (USD 20 billion gap) due to severe information disparities, large number of informal business practices, high costs to access the market in relation to available margins, heterogeneity of the market, impediments to SME and smallholder farmers growth and productivity and regulatory constraints.

The gap between the financial needs and the supply of financial services is anticipated to remain significant in targeted countries, where, according to Global Findex²⁹ in 2021, 54% of adults in average had an account in a financial institution or mobile money provider (98%-100% in high-income economies). Account ownership decreases to 45% and 50% for poor and women adults, respectively.

Financial access is more challenging for women. In LAC countries, women are 7 percentage points less likely than men to have an account. A financing gap worth USD 5 billion has been identified for women-led micro-business alone and an additional shortfall of USD 93 billion for women-led SMEs³⁰. Female labor force participation is lower than men and many women are stuck in the informal sector, lacking access to financial, human, and social capital which are key constraints for the growth of their business. These limitations are exacerbated by weaker levels of financial literacy, a shortage of available financing options and the issue of accessing this finance without legal ownership of assets and guarantees. Participants in the financial system need also to be aware of and understand how gender norms limit women's access and use of financial services³¹.

Finally, despite their socioeconomic importance, smallholder farmers, the hardest hit by climate change, are the most underserved in financial services. Women in agriculture have less access to key assets, fewer land rights and carry out a greater amount of unpaid work within the family and the community. On top of that, women are more vulnerable to the effects of climate change.

The vulnerability to environmental risks and climate change of SMEs, smallholder farmers, women and poor households in general is linked to their reliance on expensive, unreliable, polluting, and potentially harmful energy sources for their daily needs and productive activities. Farmers are limited in their capacity to invest in climate smart technologies and practices to reduce emissions, gain resilience and increase their yields.

SHIFT IN THE DEVELOPMENT PATHWAY

Financial inclusion and environmental protection are critical issues for people living in poverty and key levers to achieve inclusive and sustainable economic growth. Financial services are central to the lives of everyone, allowing people to participate in the economy, access services, seize green opportunities and build resilience. When people participate in the financial system, they are more capable to start and expand businesses, invest in mitigation and adaptation, education and manage risks. When the financial sector manages environmental risks and fosters green and climate products, it can improve clients' resilience to climate change.

²⁹ Worldbank 2022, The Global Findex Database 2021.

³⁰ IADB, Gender Lens investing: How finance can accelerate gender equality (2019)

³¹ Koning, Antonique, Joanna Ledgerwood, and Nisha Singh. 2021. "Addressing Gender Norms to Increase Financial Inclusion: Designing for Impact." Technical Guide. Washington, D.C.: CGAP

There are Financial Service Providers (FSPs) deepening financial services to SMEs and people underserved by traditional banks. Besides, there are technology solutions and climate smart practices available for implementation, offered by Innovative Companies (ICs) to prevent climate change.

ICs together with FSPs have the opportunity to participate to offset the vulnerability of poor segments and support reliable climate solutions to SMEs and farmers, thanks to the provision of dedicated financing and technical support. The proximity of microfinance institutions to their clients and their expertise in credit provision could give them a comparative advantage. To perform in green/climate inclusive finance, FSPs and ICs need to implement appropriate environmental strategies, risk management systems and design, provide in turn, green and climate financial and non-financial services to SMEs and smallholder farmers.

IF Kuali **Fund-GCF** succeeds in leveraging private capital investment and establishing sustainable business practices in green Innovative Companies (ICs) and Financial service providers **THEN** due to the reduced financing gap and perceived risk of lending, SMEs and smallholder farmers will have access to green finance **BECAUSE** improved green financial ecosystem will allow SMEs and smallholder farmers to invest in mitigation and adaptation technologies, increasing their adaptability to climatic threats while lowering GHG emissions

Provided that key external conditions in target countries (**assumptions**) are not significantly deteriorated, i.e., that the regulatory framework remains conducive for Green Financial Inclusion, facilitating private sector participation, that the political situation does not deteriorate significantly and that there are no sudden situations of over-indebtedness that make it impossible to support the green transition through financial services; Kuali Fund and its associated TA Facility can contribute to mitigating the **risks** for Green Climate Finance and overcoming existing **barriers**. This is especially the case with respect to the risks related to the FSPs' failure to create a short to medium term project pipeline; the low financial appetite for SMEs and farmers in Private Sector; the FSPs' failure to implement the right business model generating lack of demand from SMEs and farmers; the Climatic hazards or the risk of an agriculture sector non conducive for Climate Smart Agriculture practices. At the same time, it relates to the barriers such as the business model of FSPs which are not ready for the new environment with potential higher credit cost, disruption of operations, etc.; the gap between the financial needs of smallholders and the supply of financial services; the gender barriers in financial inclusion (economic, eligibility and physical barriers); the limited access and use of low-carbon technologies and practices at an affordable cost for SMEs and smallholders to manage climate risks; the limited preparedness, understanding and use of climate information; the scarce quality and reliable vendors of low-carbon technologies; the limited regional cooperation, knowledge management and, finally, the fact that most promising current climate technologies are still at prototype phase.

Once capital from private investors is raised by Kuali Fund in addition to public funding, debt and equity investments into FSPs and ICs will be materialized (**activities**) - i.e., Kuali fund will be capitalized and operational (**output**)-and SMEs and Smallholder farmers will receive, in turn, green financial services from FSPs (**activity**).

In parallel, other activities such as the setup of the governance structure and management of the associated Kuali's Technical Assistance will entail the launching of the tendering processes to contract the right service providers to carry out the TA projects, which will imply that the Kuali's TA Facility will be fully operational (output). TA Projects will be devoted to Green Enhancement for SMEs and smallholder farmers; Green Readiness with FSPs; Social Performance and Environmental Risks Management Systems for FSPs and ICs; FSPs' General Business Improvement; ICs' Business Model Improvement; Eco-systemic interventions, stakeholder engagement and gender actions and, finally, Knowledge Sharing **activities**

On the investment side, Kuali's financing will result (**outputs**) in greater availability of green financial services adapted to the need of SMEs smallholder farmers. Besides, thanks to the TA Projects capacities for Climate

Smart Agriculture and adoption of Climate Solutions will be enhanced in smallholder farmers and financial ecosystem actors' capacities will be strengthened, enabling green and inclusive finance.

As a result, it will be achieved (**outcomes**) the Adoption of climate solutions and improvement management of agricultural lands contributing to reducing GHG emissions, the Improved resilience in vulnerable people & communities and the Enhanced green & inclusive financial ecosystem (technology and market development, as well as knowledge generation).

Greater availability of finance together with capacity building will also drive **co-benefits** such as Improved Financial Inclusion and gender outreach; Employment preservation and labor women inclusion (the latter two specially fueled by the gender action plan) and efficient Technology adoption by SMEs together with CSA practices embraced by farmers.

BARRIERS AND RISKS

The poor mitigation and adaptation results from the AFOLU and MSME/SME sector in the past has been caused by several barriers.

A. Financial Barrier

A large gap exists between the actual finance provided and the need by the AFOLU sector to realize its mitigation potential. This gap is particularly important for small-scale agriculture, where climate finance is approximately USD 10 billion per year, but where financing needs are estimated at USD 240 billion per year³². Besides, most of the finance directed toward the sector in general comes from public sources (84% from multilateral and national DFIs alone)³³ and it is usually channeled through large banks, public institutions and companies towards large agroforestry projects.

Regarding SMEs, in the developing economies, the finance gap from formal MSMEs is valued at \$5.2 trillion, which is equivalent to 19 percent of the gross domestic product (GDP). This in turn amounts to 1.4 times the current level of MSME lending in these countries³⁴. Approximately 40 percent of all enterprises are credit constrained.

A review of multilateral climate finance funds reveals that the explicit integration of SMEs within multilateral climate fund projects still remains marginal and that climate finance flows have only marginally enlisted local FIs (microfinance institutions (MFIs) and banks) to deliver capital to SMEs, thus discounting the importance of these financial actors for mainstreaming climate finance in the financial sector³⁵.

FSP are key to mobilize climate finance to markets underserved by large banks, companies and even public institutions. These institutions are essential to channel climate finance towards two key segments that larger banks do not usually serve because of their perceived risk (smallholders and SMEs). However, FSPs struggle to understand and respond to the financing needs of climate-smart SMEs with tailored financial products due to lack of assessment frameworks for green-climate tech & business models.

This finance gap for SMEs hinders the capacity of the whole SME sector to realize its contributions to inclusive economic development and achieve climate as well as social impacts at scale.

Kuali's innovative blended finance structure and target investees can effectively channel climate finance and drive investment into sustainable AFOLU and MSMEs, mobilizing important quantity of private resources. Regarding women, specific barriers limit their access to finance, such as physical, economic and eligibility barriers and FSPs will implement activities to address them to the possible extent.

32 Chiriack, D., Naran, B., & Falconer, A. (2020). Examining the climate finance gap for small-scale agriculture. Climate Policy Initiative and IFAD Rome.

33 Climate Policy Initiative. 2021. Global Landscape of Climate Finance 2021

34 International Finance Corporation. 2017. MSME Finance Gap: Assessment of the Shortfalls and Opportunities in Financing Micro, Small, and Medium Enterprises in Emerging Markets.

35 SEED (2020). Translating Climate Finance into Climate Action on the Ground. Leveraging the Potential for Small and Medium-sized Enterprises (SMEs).

B. Knowledge Barrier

Financial Services Providers must play a major role in catalyzing clients' plans to mitigate and increase their resilience by providing adequate finance for the required assets and investments. Additionally, FSPs will also need to adapt to this new environment with potential higher credit cost, disruption of operations, etc.

However, their business model is not ready for it as FSPs will need to adapt its risk management systems and business model to address these new challenges (i.e., climate maps, more resilient operations, better diversified portfolios).

The main barriers that FSP face are the lack of knowledge about climate change (mitigation and adaptation) and their potential impacts in their portfolio and the opportunities and risks that it represents. There is also a lack of data, tools and methodologies that can manage climate risks, in the form of management systems and "green and climate lending". The regulators and the ecosystem in general are on their way to create a comprehensive framework but there is little external support to individual FSP.

Kuali through its Technical Assistance Facility will strengthen their FSP investees green and climate products design & offering, processes & risk management, technology, and employee capabilities.

C. Innovation Barrier

The so-called Climate Technologies are technologies that are explicitly focused on reducing GHG emissions or addressing the impacts of climate change. Climate tech applications can directly mitigate or remove emissions, help us adapt to the impacts of climate change and enhance our understanding of the climate.

It is estimated that by 2050, almost half of global CO₂ emissions reductions will come from technologies that are currently only at the demonstration or prototype phase³⁶. Significant and sustained investment is required across the innovation life cycle to ensure that commercially ready solutions are able to scale within this next decade. Besides, commercially ready technologies also need important levels of funding to scale.

Likewise, only 4% of the funding is directed towards companies outside of North America, Europe or China and is also disproportionated directed toward the Mobility and Transport sector receiving 61% of all investment³⁷. Areas related to the diverse energy efficient equipment, industry or food, agriculture and land use are lagging behind in funding.

PROGRAMME STRUCTURE: COMPONENTS AND ACTIVITIES

Kuali Fund-GCF investment strategy aims at supporting smaller Financial Institutions in overcoming these barriers by offering:

- a. **Capital** in a form of debt to finance FSP expansion as they transition from Phase 1 of the Green Index to Phase 4 so that they become ready to build new green and climate portfolio or to promote or foster the green and climate portfolio if it already exists. In the case of innovative companies, finance will be used to support their expansion so that their climate solutions can reach new clients and markets.
- b. **Technical assistance** to implement projects that help FSPs to become greener and eventually to build state-of-the-art climate finance SME and smallholder farmers business model. In the case of innovative companies, technical assistance will be used to strengthen their social performance systems, their business model and increase their investor readiness.

The Theory of Change of Kuali Fund includes the transformation of FSPs business models to become greener, scale up green and climate lending for SMEs and smallholder farmers. Kuali Fund-GCF investments are expected to be transformational in the following areas:

³⁶ IEA, Net Zero by 2050, 2021 <https://www.iea.org/reports/net-zero-by-2050>

³⁷ PWC State of Climate Tech 2021

- a. **Implementation of new processes & technologies:** such as efficient client origination models, credit processes or portfolio risk management systems. Establishing risk mitigation systems to monitor and mitigate agriculture and SME/smallholder farmers related risks following the “Task Force on Climate-related Financial Disclosure” recommendations. Using of data analytics and client segmentation as tools to reduce credit costs.
- b. **Training people on climate finance,** including product specialists, risk officers, loan officers and managers so that the institution can make strategic commitments of green and climate lending figures and environmental mitigation goals.
- c. **Implementation of Environmental Risk Mitigation Systems** (both internal and external) to reduce the institution’s carbon footprint (reduction in waste, paper, water or energy consumption) and to include environmental risk as a factor of the activities financed and on the credit approval process.
- d. **Implementation of green and climate products directed to the SME and smallholder farmers** such as loans to finance more efficient new machinery or equipment or smart agriculture loans.

After this transformation process, the ICs and FSPs invested by the Funded Activity will be greener and more inclusive so that they can continue with their environmental and social impact even after the investment is exited and possibly crowding in more Financial Institutions that have not been investees to launch new climate finance initiatives. Kuali Fund-GCF will support this transformation by providing capital and Technical Assistance to FSPs and innovative companies that will strengthen their green and climate SME and smallholder farmers product design & offering, processes & risk management, technology, and employee capabilities:

- **Processes:** reflects the policies, tools, mechanisms, procedures and frameworks that innovative companies and FSPs (Fintechs included) use to identify, assess and manage environmental risks. Kuali expects to use part of the Technical Assistant facility to support innovative companies and FSPs implementing environmental risk management systems to monitor and manage their own ecological footprint and their clients’ portfolio, including implementing changes in the loan approval process to include the environmental risk level of the clients.
- **Products:** the ICs and FSPs progress towards sustainability begins in many cases with the adoption of eco-efficiency practices, but Kuali Fund-GCF’s purpose is to make them reach a strategic green commitment, including offering solutions that incorporate environmental benefits, which are intentionally and differentially marketed as green and climate to the FSP’s client base. Climate financing products include loans to finance energy efficient equipment, solar panels, hybrid vehicles or loans to finance other environmental-friendly activities of the SMEs and smallholder farmers such as ecosystem-based adaptation solutions, recycling, waste management or climatic microinsurance products that contribute to help these beneficiaries become more resilient to environmental shocks and climate change.
- **Governance/ People:** environmental lending products are potentially more complex in their appraisal and reporting. Staff will often require training to recognize potential customer opportunities, communicate benefits to customers, ensure that loan applications meet eligibility criteria and to report on key indicators. Support will be provided in the form of Technical Assistance that allows innovative companies and FSPs to mitigate technical risks through the support of external consultants or by the creation of in-house specialist teams. Over time, these skills can be mainstreamed into the organization. Technical assistance will also be used to design and launch training programs to SMEs and smallholder farmers about environmentally friendly practices.

- **Technology:** recent advances in digital technologies and innovative business models represent a game changer that can help close the SME and smallholder farmers finance gap by enabling smaller firms to tap alternative sources of funding, thanks to the data generated by their digital footprint. The COVID-19 global pandemic has led to a devastating impact on SMEs and smallholder farmers, with millions of small businesses being at risk of closing permanently if the crisis persists, while others are suffering massive losses and laying off many of their staff. The situation is more dire in emerging market countries where there are limited public resources to help small businesses. The use of digital technologies is proving to be critical to help SMEs and smallholder farmers in crisis contexts. The delivery of digital financial services can be done through several players such as financial technology (FinTech) firms, which generally focus on a particular financial product or service and utilize new technologies and ways to do business to serve customers in a more efficient and transparent manner, or through financial institutions that adopt these new products and services or may partner with FinTech companies to deliver these products. These players are transforming the traditional lending process by automating the underwriting and loan servicing tasks making it significantly cheaper, faster, and easier to provide financing to SMEs and smallholder farmers. In addition, the use of alternative data and advanced data analytics is helping eliminate the information asymmetry and provide additional information to assess the credit risk of SMEs and smallholder farmers. The data from digital transactions can help innovative companies and FSPs better understand their customer needs and patterns, thereby helping create new products and services.

These strategies aim to transform the FSPs' operations to increase SME and smallholder farmers' access to more affordable lending for climate-related loans. It benefits both levels of beneficiaries FSPs (diversification of their portfolio and improvement of their image and reputation) and SMEs and smallholder farmers (greater liquidity, more resilient, reduction of their energy costs, or increase access to global value chains). These mitigation and adaptation activities undertaken by Kualí Fund will result in three co-benefits: (i) Improved Financial Inclusion and gender outreach; (ii) Employment preservation and labor women inclusion (the latter two specially fueled by the gender action plan) and (iii) efficient Technology adoption by SMEs together with CSA practices embraced by farmers.

The Funded Activity will provide loans, equity, and grants (through the Technical Assistance Facility) with a gender approach as well as increase the availability of inclusive financial products for women led SMEs and women farmers and will positively impact indigenous woman as the majority of indigenous communities in the region works as smallholder farmers³⁸.

Kualí Fund-GCF's commitment in environmental and social fields is reflected in the *Portfolio Impact Score* (PIS), a tool designed by the Fund Manager that has already been successfully employed in previous funds. Its main purpose is measuring the socio-economic impact of each investment in order to register the specific impacts generated. The methodology of this tool consists of applying a score to the performance of each project based on social aspects -including gender- and environmental objectives previously set. The Impact Score will be measured at the beginning of each investment during the social and environmental due diligence. It will be measured and monitored on a quarterly basis. After the exit of each investment, the Investors Advisory Committee will select an independent social auditor that will measure the Audited Impact Score. A Kualí Fund-GCF's Audited Impact Score will be obtained as the average of all the investee's Audited Impact Score. This Audited Impact Score will determine half of the potential carried interest of the managers.

The PIS supports the Impact Management process and it is the weighted average of two main dimensions: (i) **Outcome/Output metrics**, measured at investee level, and summed to give an aggregate score at the Funded Activity level; and (ii) **Transformative metrics**, aimed at measuring to what extent the investee is

³⁸ Desigualdad horizontal y discriminación étnica en cuatro países latinoamericanos, Alicia Puyana Mutis, October 2018.

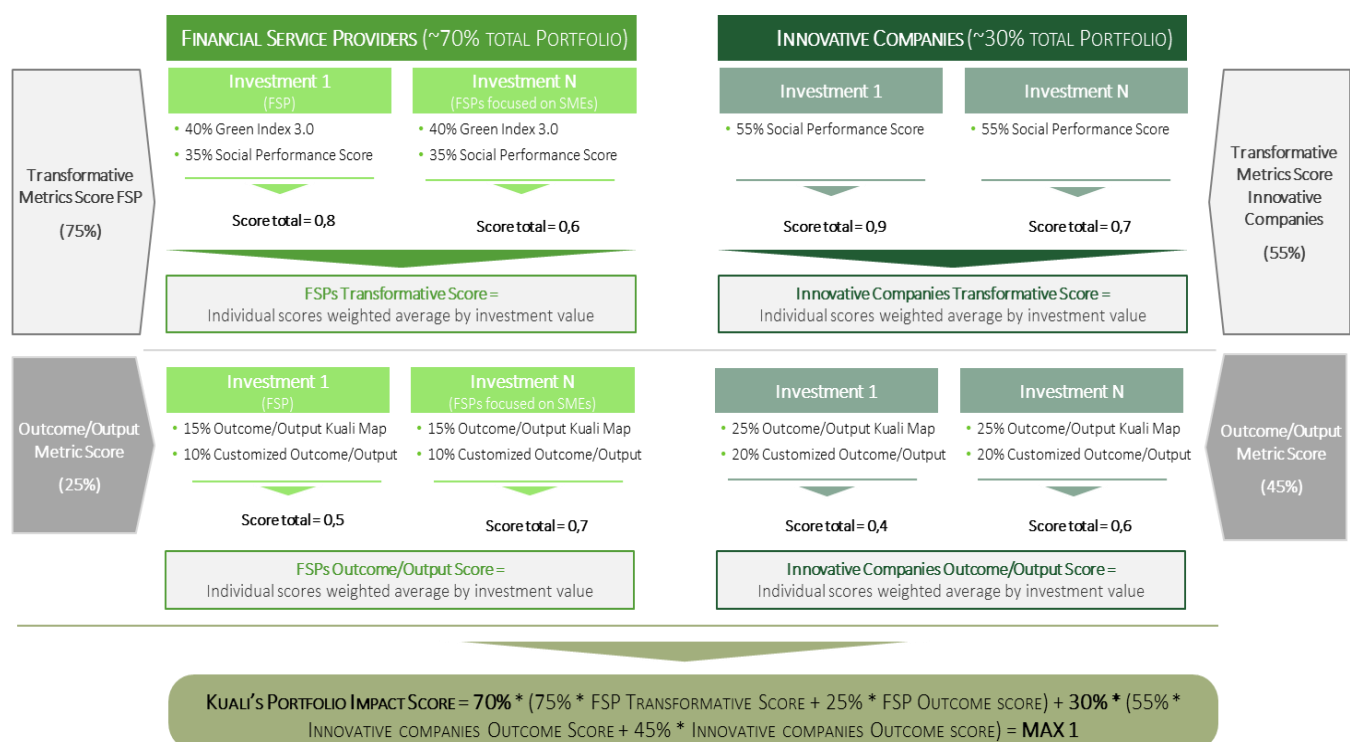
developing its policies/ business model to better serve smallholder farmers or SME's and these metrics are measured and scored at investee level and applied as a weighted average to give the Funded Activity's score.

Transformation metrics are made up of two set of metrics: **(1) Green Index³⁹** – which measure how well an FSP currently performs in inclusive green finance through the Green Index 3.0 conceptualized by the e-MFP Green Inclusive and Climate Smart Finance Action Group (GICSF-AG)⁴⁰ and **(2) Social Performance Score** – which measures how effectively an organization achieves its stated social and environmental goals and creates value for the population it aims to reach through the SPI4-Alinus tool.

Outcome/Output metrics are made up of two set of metrics for a FSPs: **(1) Outcome/Output Map** – which is designed to measure impact, defined as the change in an outcome/output caused by Kuali activities and **(2) Investee Customized Outcome/Output** – which is designed to measure a specific impact, defined as the change in an outcome/output, at the investee level that is not being capture by the Funded Activity level preestablished metrics.

The score is calculated as a weighted average (by investment value) of the Transformative Metric Score and Outcome/Output Metric Scores for FSPs and Innovative Companies. All scores range between 0 and 1.

The chart below summarizes the process to calculate the Portfolio Impact Score:



The result will be established within a range of 0-10 and will be analyzed and justified by external auditors. The carried interest will be linked to this green and climate performance, so if the global portfolio score is positive, the Fund Manager will benefit from a better carried interest. In this way, the Manager's interests are aligned with the results achieved in environmental, social and climate issues.

³⁹ The Green Index 3.0 was developed in order to generate a coordinated response among different stakeholders around inclusive finance. The main goals are enhancing cooperation, improving learning from different inclusive finance actors, and developing tools to standardize the inclusive finance sector to attract more international attention into the sector from both the public and the private side. It is used to assess many different FSPs helping them to develop better action plans regarding green inclusive finance. SPI4-Alinus complements the Green Index 3.0 by providing investors indicators to improve their Due Diligence processes with the FSPs regarding their social outcomes: <https://cerise-spm.org/es/alinus/>

⁴⁰ <https://www.e-mfp.eu/resources/green-index-innovative-tool-assess-green-inclusive-finance-performance-fsps>

It should be noticed that the PIS is not used during the identification phase. This phase relates to pipeline construction and the preliminary investment committee. At those stages, more macro level variables are being taken into account (e.g. financial ratios, overall green portfolio, average loan, social mission and targets, etc.). Then, the preliminary IC will approve/reject the mandatory on site due diligence that precedes the final investment committee. During this Due Diligence, an initial PIS is constructed to serve as a baseline and also to evaluate in detail the social and impact performance of the investee and potential contribution to Quali Fund-GCF's targets. At this stage, the PIS is used to make an investment decision and if favorable to establish a base line for monitoring

B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Outcome number	GCF Mitigation Results Area (MRA 1-4)				GCF Adaptation Results Area (ARA 1-4)			
	MRA 1 Energy generation and access	MRA 2 Low-emission transport	MRA 3 Building, cities, industries, appliances	MRA 4 Forestry and land use	ARA 1 Most vulnerable people and communities	ARA 2 Health, well-being, food and water security	ARA 3 Infrastructure and built environment	ARA 4 Ecosystems and ecosystem services
Outcome 1 Adoption of climate solutions and improvement management of agricultural lands contributing to reducing GHG emissions	☒	☒	☒	☒	☐	☐	☐	☐
Outcome 2 Improved resilience in vulnerable people & communities	☐	☐	☐	☐	☒	☒	☐	☐
Outcome 3 Enhanced green & inclusive financial ecosystem	☒	☒	☒	☒	☒	☒	☐	☐

If any co-benefits have been identified in section B.2(a), fill in the Co-benefit table below to map each co-benefit to the corresponding category as defined in the FP guidance note.

Co-benefit number	Co-benefit					
	Environmental	Social	Economic	Gender	Adaptation	Mitigation
Co-benefit 1: Improved financial inclusion and gender outreach	☐	☒	☒	☒	☐	☐

Co-benefit 2: Employment preservation and labor women inclusion	☐	☒	☒	☒	☐	☐
Co-Benefit 3: Efficient technology / Climate smart agriculture practices adoption by SMEs/ farmers	☒	☐	☐	☐	☒	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

Kuali Fund aims to support the transformation of the LAC (minimum of 70% of Kuali Fund resources) and Indian (up to 30% of the total resources) financial sector to become more inclusive and greener by providing climate finance for SMEs and smallholder farmers, fostering systemic adoption of climate finance best practices. Since the Paris Agreement, countries, companies, and the population itself have made a commitment to reduce greenhouse gases and to adopt best climate practices. Kuali Fund will invest in 15 countries in LAC and India. Nevertheless, since the No Objection Letters from the whole universe of countries have not been reached, the resources from GCF will only be allocated in seven countries: Brazil, Mexico, Colombia, Panama, El Salvador, Honduras, and Guatemala. The Funded Activity (or Kuali Fund-GCF) will invest in those NOL countries jointly with part of the EU resources, the private resources, and the SV resources from Kuali Fund. Therefore, as there will be separate contributions, there will be also separate cash flows for the different financiers.

The size of Kuali Fund-GCF for investments in NOL-countries⁴¹ is expected to reach EUR 119.5 million in total commitments to be used for investments and EUR 5.91 million in Technical Assistance. An additional EUR 0.4 million is requested to GCF for Communication, Audit and Evaluation purposes and EUR 2.4 million for Monitoring and Evaluative Data Collection. Kuali Fund-GCF is expected to catalyze private and institutional investment at scale through a blended finance structure. The EU and GCF contributions to the first-loss tranche of Kuali Fund-GCF⁴² (EU: EUR 1.26 million⁴³ and GCF: EUR 25 million) will be key to mobilize private investors' participation by reducing their exposure to the perceived risk of the SME and smallholder farmer's sector. AECID's contribution⁴⁴ to Kuali Fund-GCF (up to EUR 17.6 million) plus EUR 1.8 million from the SICAR itself would be channeled through a Securitization Vehicle (SV) *pari passu* with private investors. This SV will be a separate legal entity from the Funded Activity, yet applying the same investment strategy, and it will be managed by the same General Partner. AECID contribution to the SV will be in Senior notes and the SICAR contribution to the SV will be in subordinated notes to protect the contribution from FONPRODE, that enhance the return of the private investors. The remaining funding is expected to come from GAWA Capital (1% of the Kuali Fund-GCF commitments) and from private investors (approximately EUR 73.8 million), which will be raised in collaboration with top private banking institutions. COFIDES will also invest as a private investor (approximately EUR 5 million).

The GCF, EU, FONPRODE and Kuali Fund itself will also contribute to the funding of the Technical Assistance (EUR 5.0 million from GCF; EUR 0.57 million from EU; EUR 0.3 million from FONPRODE and EUR 0.04 from Kuali Fund). Since Kuali Fund will invest in 15 countries, 100% of GCF resources will be allocated in NOL countries, and a 15% of the sum of EU's contribution in first loss and EU, FONPRODE and

⁴¹ Kuali Fund will include contributions from EU and private resources to finance investments in 15 countries, including the 7 countries (Ecuador, Peru, Bolivia, Costa Rica, Dominican Republic, Paraguay, Nicaragua) where the NOL has not been issued for GCF contributions, up to EUR 250 MM. GCF will not be involved in these deals.

⁴² For Kuali Fund, the catalytic contribution will be: EUR 12 million from EU + EUR 25 million from GCF.

⁴³ EU contribution in first loss will be EUR 12 million: 1.26 for Kuali Fund-GCF and 10.74 for Kuali Fund.

⁴⁴ AECID's approved by Spanish Council of Ministers of 12/20/2022.

Kuali Fund contributions in TA resources will be allocated in NOL countries (Kuali Fund-GCF), keeping 85% of their resources to cover the no-NOL countries of Kuali Fund.

The **objective** of Kuali Fund-GCF is to transform FSPs in their transition to become greener and more inclusive so that they eventually provide green and climate products to SMEs and smallholder farmers. The Funded Activity will also support companies with innovative solutions (denominated as innovative companies) to expand the number of available mitigation and adaptation solutions that could eventually be financed by FSP. The Funded Activity will be contributing to the economic growth and job creation/support of these countries from a social and environmentally sustainable perspective. This objective is expected to be met by setting up a **EUR 119.5 million investment fund (Component I)** and accompanied by **Technical Assistance (TA) support of EUR 5.91 million (Component II)**. An EUR 0.4 million is requested to GCF for Communication, audit and evaluation purposes and an additional request to GCF of 2.4 MM EUR for Monitoring and Evaluative Data Collection. According to the IRMF, the Funded Activity will have an impact on four Mitigation Results Areas⁴⁵ and two Adaptation Results Areas⁴⁶, both with their respective core project chain results and indicators.

Both Components I and II will support the same beneficiaries (namely, FSPs, including the SMEs and the smallholders financed by the FSPs) and Innovative Companies. In order to be eligible for TA support, investees must have been previously selected under Component I, implying the provision of funding. Therefore, all beneficiaries of Component I will be offered TA support related to TA focus areas, however in rare circumstances the beneficiaries could reject the support offered or show little interest, capacity, and commitment. The TA Manager will make its best efforts as that all can develop TA projects ⁵².

Kuali Fund-GCF will undertake debt and/or equity investments into FSPs and ICs (**Activity I.1.1.2**) to build climate portfolios and provide or implement climate products and services and therefore contributing to the adoption of climate solutions and improvement management of agricultural lands and reducing GHG emissions (**Outcome 1**); improve resilience in vulnerable people and communities (especially in smallholder farmers) (**Outcome 2**); and improve Financial Inclusion and gender outreach (**Co-benefit 1**); Preserve employment and labor women inclusion (specially fueled by the gender action plan) (**Co-benefit 2**); and adopting efficient technologies by SMEs and embracing CSA practices by farmers (**Co-benefit 3**).

The Funded Activity will invest in **Financial Service Providers** (Tier 2 banks, MFIs, cooperatives, non-bank financial institutions and Fintech companies) to drive transformational change that will generate a positive environmental impact and to improve access to finance by channeling capital to specific underserved target segments (SMEs and smallholder farmers), supporting its investees in their green transition to develop climate lending SME portfolios with high mitigation and adaptation impact. A special effort will be made to build collaboration and synergies between these traditional FSPs and in line with emerging Open Banking trends in Europe and in Emerging Markets. Kuali Fund-GCF will transform these institutions to adopt and implement green strategies following a progression that we measure with the Green Index 3.0. This Index divides the Investments into 4 Phases:

- **Phase 1: FSP has a green strategy and systems to implement it.**
 - 1.1— Definition of the green strategy:
 - Detailed goals, mission, documented strategy.
 - Compliance with applicable standards and regulation).
 - 1.2— Implementation of the green strategy:
 - Management, governance, and processes.
 - Monitoring of environmental impacts.
- **Phase 2: FSP identifies environmental risks and opportunities.**
 - 2.1 -- Identification of direct risks & opportunities

⁴⁵ _MRA 1 (Energy generation and access); MRA 2 (Low-emission transport); MRA 3 (Buildings, cities, industries and appliances); MRA 4 (Forestry and land use).

⁴⁶ ARA 1 (Most vulnerable people and communities) and ARA 2 (Health, well-being, food and water security).

- Identification of building and staff: vulnerability, negative environmental impacts, identify green opportunities.
- 2.2 -- Identification of indirect risks & opportunities
 - Identification of clients: vulnerability, negative environmental impacts, demand and needs
- **Phase 3: FSP manages environmental risks and opportunities.**
 - 3.1 -- Management of direct risks & opportunities
 - Actions and processes to reduce institution's vulnerability and negative env. impacts and exploit green opportunities.
 - 3.2-- Management of indirect risks & opportunities
 - Inclusion of vulnerability, negative env. impacts, and demand/needs in financial risk credit & management processes, tools, indicators
- **Phase 4: FSP or innovative companies offer financial and non-financial green products and services.**
 - 4.1-- Financial products & services
 - Green loans: clean energy / energy efficiency⁴⁷ /sustainable agriculture; Savings, emergency loans; Climate insurance.
 - 4.2-- Non-Financial products & services
 - Awareness raising
 - Training
 - Technical assistance
 - Partnerships.

FSPs in Phases 1-3 are considered "Green Investments" and FSPs and innovative companies⁴⁸ in Phase 4 are considered "Super Green Investments":

- Green Investments will be financed at market rates and the environmental impact generated by mitigation of these FSPs' own carbon footprint and the integration of the environmental risk management will be analyzed (including indicators on vulnerability of clients to climate change and identification of green financing opportunities according to the clients' profile).
- Super Green Investments (institutions and companies with innovative climate solutions in Phase 4) will be supported to with below-market rates to increase the green portfolio.

The breakdown of the Programme's outputs, activities and sub-activities is shown below:

COMPONENT I INVESTMENTS

Output I.1.1: Kuali fund is operational and capitalized (Executing entity: General Partner)

Activity I.1.1.1. Raise capital from public & private investors

I.1.1.1.1 Preparation of the Fund's legal documentation and governance:

- Legal Advisory
- Finalization of legal documents

I.1.1.1.2. Marketing Period:

- Private Capital Raising
- Formalization

⁴⁷ The technologies targeting energy efficiency being considered by Kuali Fund-GCF (e.g LED Lighting, High-Efficiency Heat Pumps and Solar Hot Water) are proven to have significant efficiency gains.

⁴⁸ Innovative climate companies are those companies that already use technology solutions to prevent climate change, by offering climate mitigation and resilience solutions to reduce GHG emissions or addressing the impacts of global warming. These innovative companies that employ technology to get positive environmental effects on mitigation and adaptation to climate change include, among others, agri-tech companies, climate-tech companies, renewable companies or ecosystem-based adaptation companies.

I.1.1.1.3: Closings:

- First Closing
- Final Closing

Activity I.1.1.2. Debt and/or equity investments into FSPs & ICs

- I.1.1.2.1. Financial, Environmental & Social Due Diligence
- I.1.1.2.2. Investment Committee meetings
- I.1.1.2.3 Formalization with partners
- I.1.1.2.4 Debt investments in FSPs
- I.1.1.2.5 Debt and equity investments in ICs

Output I.1.2: Increased green financing available to SMEs and smallholders farmers (Executing Entity: General Partner with support of the Fund Manager)

- Activity I.1.2.1. Delivery of finance towards SMEs and Smallholder farmers through FSPs
 - I.1.2.1.1. Implementation of FSPs' Processes & Procedures (Financial and Social)
 - I.1.2.1.2. Kuali's Monitoring and Supervision of the operations (Financial and E&S)

COMPONENT II TECHNICAL ASSISTANCE

Output II.2.1: Kuali's TA Facility is operational (Executing entity: TAF Manager)

- Activity II.2.1.1. TA Governance and Management in place
 - II.2.1.1.1. Preparation of the Fund's and the TAF legal documentation and governance
 - II.2.1.1.2. Identification of TA Projects
 - II.2.1.1.3. On-site TA Needs Assessment
 - II.2.1.1.4. Elaboration of the TA request
- Activity II.2.1.2. Procurement in place and contractors ready to implement TA Projects
 - II.2.1.2.1. Draft of ToRs
 - II.2.1.2.2 Call for Proposals
 - II.2.1.2.3. Contracts with Service Providers

Output II.2.2: Capacities for Climate Smart Agriculture and adoption of Climate Solutions built (Executing Entity: TAF Manager)

- Activity II.2.2.1. Green Enhancement projects with SMEs & Smallholder farmers
 - II.2.2.1.1. Workshops/ marketing about energy efficient equipment
 - II.2.2.1.2 Environmental check-ups of individual businesses & advice on opportunities to reduce emissions.
 - II.2.2.1.3 Support digitalization of processes
 - II.2.2.1.4 Streamlining value chains to make them energy efficient
 - II.2.2.1.5 Workshops & practices at farmer level on climate smart agricultural practices through cooperatives and producer organizations

Output II.3.1. Strengthened financial ecosystem actors' capacities enabling green and inclusive finance (Executing Entity: TAF Manager)

- Activity II.3.1.1. Green Readiness TA projects with FSPs
 - II.3.1.1.1. Develop Green financial products
 - II.3.1.1.2. Implementation of new processes & technologies
 - II.3.1.1.3. Training on green finance

Activity II.3.1.2. Social Performance and Environmental Risks Management Systems projects with FSPs and ICs

- II.3.1.2.1 Purchase of specific software packages to be implemented within the FSPs & ICs
- II.3.1.2.2 Establishing risk mitigation systems to monitor and mitigate agriculture and MSME/ smallholder farmers
- II.3.1.2.3. Projects aiming at improving the ability of investees to achieve its social mission and adequately manage Environmental and Social Risks by following the SPTF Universal Standards
- II.3.1.2.4. Elaborating and implementing a gender and SEAH policy and action plan for FSPs/ICs' internal dimension (GAP: 2.1 & 2.2)
- II.3.1.2.5. Elaborating and Implementing a gender and SEAH action plan for external dimension in FSPs (GAP: 2.3 & 2.4)
- II.3.1.2.6 Training and support for FSPs and IC to implement a ES management system including gender and SEAH and to gain knowledge on these issues (GAP: 2.5)
- II.3.1.2.7 Promoting access to finance taking into account women's barriers for providing guarantees (GAP: 3.1 & 3.2)

Activity II.3.1.3. General Business Improvement projects with FSPs

- II.3.1.3.1. Creation of new lines of business to address the consequences of the COVID-19 crisis
- II.3.1.3.2. Financial and capacity building education for SMEs and farmers
- II.3.1.3.3. Identifying new green opportunities in the economic recovery.
- II.3.1.3.4. TA Projects on Digitalization

Activity II. 3.1.4. Business Model Improvement TA projects with ICs

- II.3.1.4.1. Design and scale of distribution and supplying schemes.
- II.3.1.4.2. Advisory service on green practices
- II.3.1.4.3. Design of marketing strategies.
- II.3.1.4.4. Establish partnerships with local companies.
- II.3.1.4.5. Technical support for operational challenge
- II.3.1.4.6. Talent management support

Activity II.3.1.5. Ecosystemic Projects, stakeholder engagement and Gender actions

- II.3.1.5.1. Updating and extending gender country assessments and updating Kuali Fund-GCF due diligence process (GAP: 1.4 & 1.5)
- II.3.1.5.2. Capacity building and awareness raising of potential final beneficiaries. Support for women's economic empowerment (GAP: 4.1, 4.2 and 4.3)
- II.3.1.5.3. Projects in markets for products, country level infrastructure, policy and regulatory framework, institutional set up, etc.
- II.3.1.5.4. Partnerships between FSPs via an open-banking collaboration scheme
- II.3.1.5.5. Elaboration of Indigenous People Plans

Activity II.3.1.6. Knowledge Sharing Program

- II.3.1.6.1 Workshops, symposium and/or conferences for partners, bringing together practitioners involved in green finance.
- II.3.1.6.2 Technical packages, systematizing and documenting the knowledge and best practices obtained throughout each project.

With respect to Component I and II, COFIDES as Accredited Entity will be the Executing Entity for all activities relating to evaluative data collection and communication audit.

Kuali Fund-GCF will invest approximately 60% of the capital in FSPs (either Green or Super Green Investments) and will provide Technical Assistance to foster their transition into a green strategy and eventually offering financing for mitigation and adaptation solutions to its clients, an attractive and underpenetrated market opportunity. Kuali Fund-GCF will invest the remaining capital (approximately 30%) in Innovative Companies (Super Green Companies) which offer products/services related with mitigation and adaptation, including “Agri-tech” and “Climate-tech” companies. Kuali will support the growth of these Super Green Investments by establishing partnerships with the Funded Activity’s investments in traditional FSPs or with its clients, both SMEs and smallholder farmers. Kuali Fund will invest **60-70 % in debt** and **30-40 % in equity** in growth capital opportunities.

Kuali Fund-GCF will invest in FSPs which, in turn, might finance SMEs in assets or activities such as solar roof-top panels, high-efficiency heat pumps, insulation, low-emission transport, energy-efficient machinery, methane digesters, among others; and the smallholder farmers may be supported in activities such as tree plantation, composting, abandoned farmland restoration, farm irrigation systems, regenerative annual cropping, silvopastoral systems or tree intercropping. As regards to innovative companies, Kuali Fund-GCF will invest in companies with innovative solutions in mitigation (such as electric transport, rural solar energy provider, biodigester manufacturer companies, EV charging network) and in adaptation (farm-to-business mobility supply chain, smart farming, Farming as a service platform or vertical farmings).

Kuali Fund-GCF expects to build a portfolio of about 12-18 investees. Each investment is expected to range between EUR 5 and 20 million, with an average of EUR 8 million. As mentioned above, debt-like investments might have an automatic renewal in the case that certain financial and environmental milestones are met.

- **Eligibility and investment criteria**

The potential beneficiaries of the Kuali Fund-GCF are defined as follows:

- Potential investees:
 - Financial Service Providers (FPS): An institution focused on the provision of a diverse set of financial services to micro and small entrepreneurs or to micro, small and medium enterprises including savings, loans, insurance, leasing, and factoring products. These institutions are oriented towards providing mainly enterprise financing (versus consumer financing which is dominant in institutions operating in developed countries) through basic and transparent banking and a close lender-borrower relationship. The institution can take the form of a variety of legal entities, including banks, NGOs, microfinance institutions, cooperatives, finance companies and other private types of institutions.
 - Innovative Companies: Companies that provide or implement products and services that have a direct positive effect on mitigation and adaptation & resilience to climate change as well as mitigation. This relation will be established at the beginning of each investment in the Investment Memorandum and the Social Due Diligence.
- Final beneficiaries:
 - MSME/SME: enterprise qualifies as a micro, small or medium enterprise if it meets two out of three criteria of the IFC MSME Definition (employees, assets, and sales), OR if the loan to it falls within the relevant MSME loan size proxy.

	IFC MSME Definition			MSME Loan Size Proxy
Indicator	EMPLOYEES	TOTAL ASSETS (USD)	ANNUAL SALES (USD)	LOAN SIZE AT ORIGINATION
Micro enterprise	< 10	< 100,000	< 100,000	< 10,000
Small enterprise	10-49	100,000 -< 3 million	100,000 -< 3 million	< 100,000
Medium enterprise	50-300	3-15 million	3 -15 million	< 1 or 2 million

- Smallholder farmers (IRIS+ definition): marginal and sub-marginal farm households constrained in size and resources. Some sources define smallholder farmers as those who cultivate between 1 hectare to 10 hectares (for more semi-arid areas) of land. While they will vary in farm size and crop/livestock distribution according to their activity and region, common characteristics of smallholder farmers are that they have low access to technology, limited resources in terms of capital, skills, and risk management, depend on family labor for most activities, and have limited capacity in terms of storage, marketing, and processing. The definition of smallholder might differ from investment to investment, depending on the investees' location, country, and regional area. This definition will be established at the beginning of each investment in the Social Due Diligence Memorandum.

Kuali Fund-GCF will originate potential investing opportunities according to the following criteria:

1. Social and Environmental Impact Criteria: Kuali Fund-GCF will assess the potential social or environmental impact of its investees through a tool called Portfolio Impact Score (PIS). This tool applies a score to the performance of each project based on social aspects -gender included- and environmental objectives previously set. Further details and methodology are provided in Section B2 (a).
2. Financial criteria: The Funded Activity's financial eligibility criteria will be further defined in the Policies and Procedures Manual that will be developed in the following phase. In particular, in general terms and subject to the specific conditions of the country, potential investees need to meet the following financial investment criteria:
 - For Financial Service Providers:
 - Minimum total assets of EUR 20MM.
 - A positive Return On Assets in 2021 after the COVID-19 impact.
 - Capital adequacy ratio higher or around 15%.
 - Portfolio At Risk > 30 days + rescheduled loans less or around 10%.
 - Write-off ratio less or around 2%.
 - Operational self-sufficiency higher or around 100%.
 - At least 2 years of audited statements and 3 years of operations.
 - For companies with innovative climate solutions:
 - Positive equity.
 - EBITDA breakeven or projection for EBITDA breakeven in following 12 months with review of debt-to-equity and debt-service coverage ratios.

- Sustainable and scalable sources of revenues (> EUR 500k per year).
- At least 2 years of audited statements and 3 years of operations.

Finally, according to the investment selection process, Kuali will follow the next phases for any deal:

- A preliminary report is developed to check the initial criteria and needs.
 - This report will be presented to a preliminary internal committee.
 - If the Committee agrees to continue with the process, then a Due Diligence will be addressed.
 - Once fully finalized, a final report of the operation will be developed.
 - This final report and complementary information will pass through a final internal committee to decide whether the operation is subject to be financed or not.
 - If the committee has agreed to move forward, then the legal and financial documentation must be negotiated between Kuali Fund and the beneficiaries.
 - Signature of the contracts.
 - Disbursement.
3. Selection of the investment instrument: Kuali Fund-GCF will select the instrument that (i) best fits the financing needs of the investee, (ii) provides, in most cases, the expected risk-adjusted returns and (iii) in case of equity, has a clear liquidity event. More specifically, it is expected to invest through the following instruments:
- **Debt investments** usually with a maturity of 2-3+2-3 years, with automatic renewal in the case certain financial or social milestones (such as advancing in the investee's green strategy) are met; all investments will be in local currency and any foreign exchange risk will be offset through swaps. The typical debt investee will be a FSP.
 - **Equity or quasi-equity investments** including common or convertible equity, royalty financing and other mezzanine schemes in FSP or innovative companies. Common or convertible equity will be used when a liquidity event for the investee (IPO, secondary sales, etc) is feasible in the future and liquidity rights are negotiated (such as right-along rights, drag-along, mandated sale or right to sale on a capital expansion). Mezzanine investments can be structured as loans where the interest rate has a variable component which depends on certain Key Performance Indicators of the investee such as revenues or net income, which are proxy for how well the company is doing. The advantage of mezzanine instruments is that they can capture equity upsides while also providing a clear exit option. This instrument is expected to be used for innovative companies where the best financing option would be equity but where exit might be an issue as liquidity events could be difficult.

Kuali will originate potential investing opportunities according to the following criteria:

- Fit of basic investment criteria (size, stage of development, minimum/ maximum amount of the investment, country). In the case of FSPs, investee management must have expressed interest in advancing towards green and climate opportunities and products. In the case of innovative companies, the company must have a clear social and environmental strategy and plans to strengthen and expand its operations.
- Basic ratio analysis assessing profitability (ROA or Contribution/EBITDA Margins), Capitalization (Capital adequacy ratio), Portfolio quality and revenue growth rate.
- Quality of management team
- Quality of co-lenders or co-investors
- In FSPs, there are certain Social Performance criteria that can directly exclude an opportunity, such as high interest rates (relative to sector), elevated levels of profitability or excessively aggressive business plans.

- In the case of an equity/ mezzanine transaction, consideration is given of the growth potential, quality of shareholders and exit opportunities.

4. Besides all the above criteria, Kuali investment team will ensure that every investment will also have an adequate management team with a track record and knowledge of FSPs and appropriate Management Systems and Credit Policies. Also, the investments in FSPs need to comply with the Anti-Money Laundering and Financing Terrorism (AML-FT) process, have an updated and agreed list of exclusion and are not involved in OFAC official and ultimate beneficiary lists. Climatic Requirements: Kuali Fund-GCF will be able to support certain beneficiaries with no Climate track record in their green transition by incorporating these solutions into their processes and business, with the ultimately target of assisting on its transformation. The investment portfolio will balance a mix of entities where the majority of their activities are green and entities that are still not advanced in their green transition.

- **Use of funds**

The Funded Activity guidelines for the use of GCF funds are as follow:

Kuali Fund-GCF Portfolio

Kuali Fund-GCF's portfolio will be built during the investment period (5 years from the first closing) complying with the following milestones:

- Kuali Fund will use GCF funding for investments in eligible Innovative Companies or for lending to FSPs. The FSPs will undertake to use GCF funding only for building Climate Portfolio following the eligibility criteria. FSPs will be allowed a period of 3 years to build a Climate Portfolio. If an FSP is not able to build this Climate Portfolio by the end of Year 3, then the AE/Kuali Fund will request the FSP the total repayment of the stake of the loan provided using GCF proceeds.
- GCF funds will not be used by Kuali Fund/ FSPs for financing assets or projects other than the climate projects as per eligibility criteria.
- On an aggregate basis, Kuali Fund commits on a commercially reasonable best effort basis to build an aggregate Climate Portfolio equal to one hundred percent of the aggregated amount disbursed by co-investors within the Kuali Fund-GCF Funded Activity by the end of the life of the investments.
- Ramp-up period for building Climate Portfolio from co-financing: in 3+3, 50% of Climate Portfolio by end of Year 3 and 100% by end of the following 3 years. In 2+2+2, 30% by end of Year 2, 65% by end of the following 2 years and 100% by the end of the following 2 years.

Equity Investments

GCF funds will be exclusively used for equity investment in Innovative Companies that are companies that manufacture or market products and services that have a direct positive effect on mitigation and adaptation and resilience to climate change.

These Companies will not have any other relevant business lines and therefore the funds will exclusively support the advancement of climate solutions and impact.

The sectorial scope is wide-ranging, but it should relate to the sectors, technologies and specific criteria depicted in the technology list.

Equity investments in FSP and other Innovative Companies with mixed climatic and non-climatic portfolios and solutions will remain an alternative for the rest of investors. Even in these cases, the funds will support the advancement of climate solutions and impact.

All the investment tickets made available to these companies can be considered **fully climate finance**.

Debt Investments

The **overall goal of Kuali Fund-GCF resources is to transform FSPs** to start developing products and a loan portfolio directed towards climate finance. In this regard, Kuali Fund-GCF commits on a commercially reasonable best effort basis that by the exit of the investments 100% of its investees shall have expanded their climate finance portfolio (if they already have a climate finance portfolio) or at least will have piloted climate finance products for their clients.

FSP will start with different climate-readiness levels, a few with no climate lending yet, however we expect that FSPs Climate Finance portfolio will increase over time as they adapt their business model in terms of products, process and people to finance assets related with climate finance.

Kuali Fund-GCF commits to building a portfolio of debt investments in FSPs. The companies in this portfolio will have the **obligation to increase their total aggregated Climate Portfolio** during the life of the investments.

In order to ensure an adequate path towards relevant climate products and portfolios at the investee level, Kuali Fund-GCF will include **covenants in the loan agreements** that will prevent the renewal of the deals if a clear path toward climate finance products has not been achieved.

The climate lending scope is wide-ranging, but it should relate to the sectors, technologies and specific criteria for adaptation and mitigation depicted in the technology list. Analog technologies will be eligible.

The specific sector and technologies climatic criteria are shown in the Investment Criteria and Governance Annex. The technology pool displayed does not present carbon lock in risks of long-lived, high-emission infrastructure.

Requirements

- Climate lending relate to the sectors, technologies and specific criteria for adaptation and mitigation depicted in the technology list attached as Figure I and II of the Term Sheet.
- The Kuali fund will not finance fossil fuel assets.
- The Kuali fund will not finance energy efficiency investments that extend the lifetime of fossil fuel assets.
- The Kuali fund has selected a wide-reaching list of technological solutions that can be frequently implemented by the prototypical clients of the FSP and Innovative Companies in the developing countries that Kuali will serve. The solutions list proposed by the Kuali fund is as extensive as possible, however, the number of agricultural practices, technologies, etc, that potentially represent a climate solution (mitigation and adaptation) are countless. During the life of the fund new solutions are expected to be added as robust data and peer-reviewed research becomes more available and accessible.
- The Exclusion List (attached in Annex 3 of the Term sheet) shall apply to investments under the Funded Activity. Based on updated baseline studies, the exclusion list must be revised in consultation with GCF.

- **Expected target returns and other terms**

Equity or quasi-equity investments target returns: Kuali Fund-GCF will seek in its equity or quasi-equity investments a relevant minority stake (usually between 15 to 25% ownership) and a board seat and a clear and/or pre-negotiated exit reflected in the Shareholders Agreement's liquidity rights. Typical multiples range between 2x – 3x Price to Book Value or 7x – 10x EBITDA, depending on the opportunity and on the country. Kuali targets returns exceeding 15-20% p.a. in EUR.

Debt investments target returns: the Funded Activity targets debt rates to FSPs between 4 and 8% in Euro after cost of hedging which vary from country to country. To the maximum extent possible loans will be done in local currency and FX fully swapped to EUR with the use of swaps or forwards.

- **Expected holding periods**

According to holding period, the senior or subordinated debt with a tenor of either 2+2 or 3+3 years, where an option for early repayment will be negotiated so that at year 2 or 3 the investment would be repaid if certain financial or environmental milestones are not met (including the commitment to advance in the green strategy). The Fund could also consider 2-3 years tenor, with the commitment to extend by 2 or 3 more years if the investee is moving forward with the commitment to advance in its green strategy and the financial performance remains solid.

- **Role in financing rounds: will the Funded Activity act as a lead, co-lead, follower or sole investor**

In debt investments, Kuali Fund-GCF normally acts as lead or co-lead lender, investing in companies where other large international impact investing firms have already invested in. In equity investments, the Funded Activity prefers making co-investments with other carefully chosen investors sharing the same impact principles and vision.

PIPELINE KUALI FUND-GCF⁴⁹

Country	Target Investee	Avg allocation
México	FSP 1	22.5
México	FSP 2	5
Brasil	FSP 3	13.5
Brasil	FSP 4	10
Colombia	FSP 5	11
Colombia	FSP 6	11
El Salvador	FSP 7	6
El Salvador	FSP 8	6
Panamá	FSP 9	5.5
Panamá	FSP 10	5.5
Honduras	FSP 11	4.5
Honduras	FSP 12	5.5

⁴⁹ Investees' names are confidential in the FP but are available in Annex CO2 Calculations.

Guatemala	FSP 13	6
Guatemala	IC 1	4
México	IC 2	3.5
TOTAL		119.5

India plays an important role in Kuali Fund because the country shows a robust development steadily maintained through the last years in the FinTech sector even during the pandemic context. The country has the highest FinTech adoption rate; 87%, being the world average a 64%. This development was achieved due to an enabling policy environment, a sizeable talent pool, a large unbanked population eager to have financial services at disposal, an improving internet access tendency combined with a digital literacy increase and a quick smartphone penetration in a growing economy. Fintechs are critical to transform and improve the financial sector, both broadening its potential client range and increasing its efficiency by lowering costs as physical presence is not as frequent as in traditional banking. The sector accomplishes this improvement by providing services to people historically unattended by the sector because of social and geographical conditions (places which are tricky to access, remote rural areas populated by groups at risk from social exclusion).

Latin America and the Caribbean would benefit from the Indian sector's maturity avoiding overlooking risks such as data security, privacy leak or consumer protection issues. India's experience in adapting its regulation to a new and changeable Fintech context come handily in a developing market such as the American. Either too lax or too restrictive regulation can imply cost-related challenges. Avoiding them is extremely valuable and will generate synergies (south-south cooperation: knowledge transference) which will enhance Latin America and the Caribbean to break their endogenous barriers. The American continent has a better structured and developed traditional banking sector, whose reluctance to embrace this new technology acts as a barrier, and the slow data transmission speed in some areas.

Climate finance activities

In the following table, the core climate finance activities of Kuali Fund have been identified. Those activities will have a positive impact in the environment resulting in the reduction of 6,796,959 tons CO₂. The attribution to Kuali Fund-GCF is 2,707,455 tons CO₂.

Mitigation Focused Technologies

			Total M € Invested per Technology	Total CO2 -eq (tn) Reduced / Sequestered Midterm	Total CO2 -eq (tn) Reduced / Sequestered Final	Cost (€) per ton of Reduced/Sequestered CO2
Sector	SubSector	Solution				
Energy generation and access	Shift Production	Distributed Solar Photovoltaics	13,50	28.261	94.205	143,31
		Micro Wind Turbines	0,50	596	1.988	251,52
		Small Hydropower	3,00	12.010	40.034	74,94
		Methane Digesters	3,00	2.686	8.952	335,12
		Biogas	7,00	6.660	22.200	315,32
	Total		27,00	50.213	167.378	161,31
Low Emission Transport	Electrify Vehicles	Electric Cars	9,50	4.174	13.915	682,73
	Total		9,50	4.174	13.915	682,73
Buildings, cities, industries and appliances	Enhance Efficiency	Industrial processes and appliances	9,50	94.010	313.367	30,32
		Insulation	6,25	77.523	258.410	24,19
		High-Performance LED Lighting	2,00	95.000	316.666	6,32
		High-Efficiency Heat Pumps	5,50	4.401	14.670	374,91
		Solar Hot Water	11,75	19.056	63.519	184,99
			4,00	4.972	16.572	241,37
	Total		39,00	294.961	983.203	39,67
Forestry and Land Use	Shift Agriculture Practices	Conservation Agriculture	11,00	99.047	330.158	33,32
		Regenerative Annual Cropping	11,00	99.047	330.158	33,32
		Sustainable Intensification for Smallholders	9,00	102.444	341.480	26,36
		Sustainable Livestock Management	9,00	24.316	81.055	111,04
		Farm Irrigation Efficiency	14,00	104.248	347.494	40,29
	Land Sinks - Shift Agriculture Practices	Managed Grazing	1,00	13.045	43.482	23,00
		Bamboo Production	0,50	46.757	155.858	3,21
		Silvopasture	2,50	68.105	227.017	11,01
		Multistrata Agroforestry	2,25	74.702	249.007	9,04
		Tree Intercropping	0,50	11.685	38.950	12,84
		Perennial Staple Crops	1,00	26.893	89.642	11,16
	Land Sinks - Use Degraded Land	Abandoned Farmland Restoration	1,00	16.798	55.994	17,86
		Tree Plantations (on Degraded Land)	7,00	996.315	3.321.050	2,11
	Use Waste	Biogas	1,25	1.203	4.009	311,76
		Composting	1,75	3.548	11.827	147,97
		Methane Digesters	1,75	1.585	5.282	331,33
	Total		74,50	1.689.739	5.632.464	13,23
TOTAL - Kuali			150	2.039.088	6.796.959	22,07

Adaptation and Resilience Focused Technologies

			Invested per Technology (M€)
Sector	Subsector	Solution	
Forestry and Land Use	Shift Agriculture Practices	Organic Fertilizers	6,50
		Conservation Agriculture	12,00
		Agroecology	6,50
		Organic Agriculture	6,50
		Windbreaks	2,75
		Drainage Systems	6,50
		Natural retaining walls	6,50
		Terraces	6,50
		Greenhouses	18,50
		Rainwater reservoirs	6,50
		Farm Irrigation Efficiency	18,50
		Silvopasture	12,00
		Agroforestry	6,50
	Shift Agriculture Practices	Crop Diversification	18,50
		Beekeeping	2,75
		Biodigester	6,50
		Aquaculture	6,50

TOTAL-- Kuali-- Adaptation

150

TOTAL-- Kuali

300

*Figures have been realized for Kuali Fund.

Taking into account the abovementioned solutions and the climate change problems the area faces, here below some match examples have been identified between problems and solutions in specific areas and sectors:

Hydrological changes:

- Glacier retreat: Colombia will suffer from water reservoir decreases due to the reduction of glacier formations. Consequently, the river flow will decrease generating potential water services disruption, distortions on the water cycle and a decrease in the hydroelectric power plants generation. To improve water efficiency and alternative renewable electricity production, Kuali proposes the following solutions: Farm irrigation efficiency, conservation agriculture, distributed solar photovoltaics and high efficiency heat pumps.

- Irregular rainfall patterns: Caribbean countries as well as part of Colombia will suffer changes in rainfall seasons due to “El Niño” phenomenon. Kuali Fund-GCF will encourage tree plantation and intercropping as one of its solutions to achieve rain and soil retention as well as resilient agriculture techniques.

Impact on coastal and marine zones:

According to the Economic Commission for Latin America and the Caribbean (ECLAC) the countries suffering the sea level rise the most (by number of hectares) would be mostly Brazil and Mexico. However, percentage wise, Honduras would be strongly affected by this phenomenon too. It would affect the population living in coastal villages and cities, coastal biodiversity, infrastructures (mostly roads and ports) and coastal economic activity. Kuali Fund-GCF would be able to reduce the negative effects by the “Tree plantation” solution. Specifically, mangroves are quite effective in absorbing potential wave impacts while at the same time generating a rich ecosystem and capturing CO₂.

Extreme events in coastal zones:

The Caribbean countries are the main ones affected by this type of catastrophes due to water warming in the Caribbean Sea and Mexican gulf. In top of the mangroves’ solution, Kuali Fund-GCF can help vulnerable people and SMEs living in coastal areas by providing a reliable source of electricity in areas in which the grid gets frequently damaged by this kind of events. Off-grid solar photovoltaic combined with high efficiency heat pumps or other electric devices can provide a reliable source of electricity and a cost reduction in the medium and long term.

Impacts on agriculture:

This sector will be affected in many different ways depending on the socio-economic and geographical reality of each country as shown previously. Climate change effects (temperature increase, rainfall pattern changes, etc.) can produce several effects such as soil moisture, soil loss or reduction of yields. Kuali Fund-GCF proposes several solutions for both SMEs and farmers such as: Conservation agriculture, Regenerative annual cropping, nutrient management, or farm irrigation efficiency. These solutions generate a resilience improvement which helps locals to increase their adaptation capacity to the mentioned natural events.

Country	Avg allocation
Mexico	31
Brazil	23,5
Colombia	22
El Salvador	12
Panama	11
Honduras	10
Guatemala	10

Traditionally larger Financial Institutions have not served the segments of SMEs and smallholder farmers and, as a result, SMEs in LAC region are facing a finance gap of 900 billion USD⁵⁰. The gap increases by additional USD 745 billion if considering demand from informal SMEs. About 31% of formal SMEs in LAC have unmet financing needs. The existing funding gap arises from FIs’ limited understanding of the SME sector, lack of information or disparities, the large proportion of informal business practices, high market entry

⁵⁰ “SME and smallholder farmers Finance Gap. Assessment of the shortfalls and opportunities in financing small and medium enterprises in emerging markets”. IFC, Washington DC, 2017.

barriers in relation to available margins, heterogeneity of the market, hurdles to SME growth and productivity and regulatory limitations. Serving efficiently the SME segment requires the adaptation of FIs' business models, as the credit assessment, risk management, marketing strategies and products are different from more traditional retail and corporate segments.

Based on Cerise SPI4 "Green Index", Kuali Fund-GCF will analyze the "green readiness" of the different innovative companies and FSPs and will identify gaps that its investees will need to improve if they wish to transform to a more sustainable business model. GAWA Capital's Co-CEOs are certified SPI4 social and environmental auditors.

The Green Index 3.0 has been conceptualized by the e-MFP Green Inclusive and Climate Smart Finance Action Group (GICSF-AG)⁵¹ and it is moreover aligned with the new Environmental Dimension of the Universal Standards for Social and Environmental Performance Management (USSEPM), developed by the joint work of the GICSF AG, SPTF and CERISE.

This tool will allow Kuali Fund-GCF:

- To assess and understand the current environmental performance of the investees.
- To compare its performance with its peers.
- To identify environmental policies, actions and strategies that could be implemented in the investee.
- To track progress on environmental performance over time.
- To communicate on their environmental performance to Kuali investors.

The Green Index will not be directly used to determine which FSP/Companies will be financed. The FSP/Companies that will be financed are determined by their capacity to deliver impact (mitigation, adaptation) over the investment period. Through this "green readiness" process, potential improvements to be implemented through TA projects will be identified.

Kuali Fund-GCF will ensure systematic and consistent application of the ESMS framework to its investment and its adherence to E&S requirements (Annex 6). Potential investees' financing activities included in the IFC's Exclusion List or with a record of E&S issues will not be considered for financing.

Besides, Kuali Fund-GCF will categorize the investments according to their existing and potential portfolio activities. The Funded Activity will require all its investees to develop and operate an ESMS commensurate with the level of E&S risk. In the case of investees financing activities with medium and high E&S (e.g. small hydropower, agriculture, forestry, etc.), it will be required to establish an Internal Environmental and Social Management System that assesses and ranks all individual loans according to size, loan amount, economic activity, and location. The higher the risk, the more exhaustive the evaluation is needed, requiring the entities to conduct formal impact analysis before approval. During the Due Diligence process, the General Partner team will also conduct an Environmental and Social Due Diligence that ensures that such procedures are in place in the potential investees and designs an Action Plans to solve any minor issues.

Additionally, Kuali Fund-GCF will tackle the SME and the smallholder farmers segments funding gap in LAC from **three different angles**:

- Address financial constraints by investing in and transforming small Financial Service Providers to efficiently serve the SME and the smallholder farmers segments -including women-owned SMEs⁵²

⁵¹ <https://www.e-mfp.eu/resources/green-index-innovative-tool-assess-green-inclusive-finance-performance-fsps>

⁵² An enterprise qualifies as a woman-owned enterprise if it meets the following criterium: (A) ≥ 51% owned by woman/women; OR (B) ≥ 20% owned by woman/women; AND (i) has ≥ 1 woman as CEO/COO/President/Vice President; AND (ii) has ≥ 30% of the board of directors composed of women, where a board exists.

(https://www.ifc.org/wps/wcm/connect/industry_ext_content/ifc_external_corporate_site/financial+institutions/priorities/ifcs+definitions+of+targeted+sectors)

and women farmers, expected to represent 30% - and to support collaboration between FSPs and Fintechs, leveraging an increasing deployment of open banking solutions by banks and regulators. SME clients will benefit from such collaboration because they will have access to wider and more innovative products offered by the Fintech companies on banking platforms. TA will be used to adapt innovative companies and FSPs' products, risk management systems, processes, people and technology to adequately prepare to serve SME and smallholder clients with green and climate products by overcoming main challenges in lending to these two segments (including credit risk, engagement of clients and technology adoption, capacity building and financial literacy). TA will also be used to improve Social Performance Management and Environmental systems of innovative companies and FSPs.

- Productivity/Digitalization: investments in Fintech companies focused on SME and smallholder farmers lending, improving the productivity and digitalization processes of these beneficiaries while providing financial solutions with a green perspective. Potential collaborations between Fintech investees could be established for FSPs and also innovative companies to improve their risk assessment by leveraging on-line SME and smallholder farmers data, while Fintechs can broaden their marketplace strategies. TA will be used for capacity building and technology adoption in SME and smallholder farmers clients, preparing them to access financing from Fintechs and the rest of FSPs. TA will also be used to improve Social Performance Management and Environmental systems of innovative companies and FSPs.
- Increasing the access to green and climate finance, so that SMEs and smallholder farmers can embrace sustainable production and efficient energy use, key elements in achieving a greener economy and meeting sustainability standards (required by larger firms integrated in global value chains). TA will be used to provide educational programs through innovative companies/FSPs and to train also SMEs and smallholder farmers in the economic and financial aspects of renewable energy and energy efficiency projects and to train smallholders to adopt climate smart agricultural practices.

Technical Assistance Facility (TAF)

Structure and Governance

The TAF (Component II) will be established in parallel with the Funded Activity to provide institution building support to investees in enhancing outreach and reducing risk. It will be set up in parallel to the Funded Activity base in a Fiduciary Agreement. It shall be managed by the TAF Manager (TAFM), GAWA Capital Partners SGEIC, S.A. and oversee by the Technical Assistance Steering Committee (the "TASC", see below). The TASC will have a strategic role and will provide overarching guidance to the TAFM. The TAFM shall operate within the guidelines and procedures approved by the TASC and in accordance with a TA Management Agreement.

The Technical Assistance resources shall be made available through a Fiduciary Arrangement (fiducie) referred to as the "Technical Assistance Facility", "TAF" or "TA Facility". Therefore, the TA Facility will be governed by a Fiduciary Agreement between: (i) the Donors/Contributors to the TAF (including COFIDES on behalf of GFC and the EU, AECID and the SICAR)⁵³; (ii) the fiduciary Bank (the fiduciary) and (iii) GAWA Capital Partners (the TAFM). The Luxembourg Trust and Fiduciary Contracts Act 2003 provides the legal basis for the creation of this type of contracts.

The contributions and/or donations of assets made to the TAF are referred as the Fiduciary Assets. The Fiduciary Assets shall be credited to the fiduciary account established with a reputable bank in Luxembourg (the Fiduciary Bank)⁵⁴ which will act as the holder of the Fiduciary Assets in its capacity as Fiduciary.

⁵³ During the investment period, the SICAR will also make a one-off contribution of EUR 250.000.

⁵⁴ It is common practice that the custodian Bank of the SICAR is also the fiduciary of the TAF.

The TAF funds are expected to reach a size of EUR 5.9 million for Kualifund-GCF (a total of EUR 12.25 for Kualifund⁵⁵) from GCF (EUR 5 million), EU (EUR 0.57 million), FONPRODE (EUR 0.3 million) and Kualifund (EUR 0.04 million). The TAF contribution provided will be ultimately deployed to address key barriers that prevent SMEs and smallholder farmers to adopt mitigation as well as adaptation practices and achieve the expected outcomes. GAWA Capital will manage the TAF.

The TAFM shall apply the contributions in accordance with guidelines (the **TA Guidelines**) drafted by the TAFM and approved by the TASC. The TA Guidelines include at least a TA Operations Manual (see initial draft in Annex 21), that will refer to TA Policy and TA Procurement Policy, and the TA Annual Plan (TA Annual Operational Plan Budget).

The link between the TAF and Kualifund-GCF will be guaranteed by: (i) the innovative companies and FSPs supported by the Funded Activity will be also a target for the TAF and (ii) the TAFM will be GAWA Capital, which is also the manager of Kualifund-GCF.

The TASC shall at any time be composed of at least three (3) members and a maximum of five (5) members, including at all times one representative per contributor (GCF or AE in representation of GCF) and one independent member ("the Initial Members"), and others (e.g. COFIDES), with expertise in SMEs/ smallholder farmers finance and TA Funds. This composition shall allow the TAF to benefit from the expertise of relevant actors. The Fund manager can attend the TASC meetings but will have no voting rights. The TASC will hold at least 3 meetings a year and will have a strategic role (approval of TA Guidelines). However, the TASC will also approve all agreements exceeding EUR 200,000⁵⁶. Decisions among the TASC shall be adopted by the simple majority of its members.

Day-to-day management decisions on TAF deployment will be made by the TAFM. The TAFM will be responsible, inter alia, for (see Annex 21-TA Operations Manual): structuring the TA services, managing tender procedures, negotiating, and signing agreements with service providers, coordinating and monitoring TA Projects, drafting monitoring reports and preparing the TA Guidelines

Key barriers

At the level of innovative companies and **FSPs**, the following **key barriers** are expected to be addressed:

- **Understanding of the addressable market:** Kualifund-GCF expects to conduct specific country market research to identify key opportunities/ clients' needs for innovative companies and FSPs to address profitably.
- **Designing financial products that meet clients' demand:** supporting innovative companies and FSPs in identifying key assets to finance, engage and build partnership with manufacturers, understanding mitigation and adaptation potential.
- **FSPs staff able to properly serve SMEs and smallholder farmers segments** by providing effective training. Effective training will be provided also for innovative companies.
- **Ensure that creditworthy clients are able to receive a loan at affordable rates by**
 - Adapting credit process to SMEs and smallholder farmers segments by using of data analytics and client segmentation as tools to reduce credit costs.
 - Supporting open-banking solutions and Identifying synergies between FSPs in Kualifund's portfolio.
 - Leveraging digitalization.

At **SMEs and smallholder farmers level**, the following key barriers are expected be addressed with TA:

⁵⁵ For Kualifund, the total amount would be composed of different contributors: the EU would contribute with EUR 5 million and the GCF would contribute with another EUR 5 million; AECID, through FONPRODE, EUR 2 million and the Kualifund itself EUR 0.25 million.

⁵⁶ GCF might be exempted from such decisions.

- **Increase awareness about the potential to increase income and reduce CO2 emissions** through new energy efficient equipment by running workshops/ preparing marketing material.
- Run **ad-hoc environmental checkups** of individual businesses by suggesting opportunities to reduce emissions.
- Support **digitalization** of processes and streamlining value chains to make them energy efficient.
- Support the adoption of **climate smart agricultural practices** by running workshops delivered by aggregators.
- Support the implementation of climate smart agricultural practices at a farmer level with specific training.

Areas of intervention

The TAF will support the implementation of new processes that reduce innovative companies and FSPs environmental footprint. As a result, approximately 55% of this amount is expected to be delivered to FSPs/innovative companies; about 10% to SMEs and smallholder farmers (the final beneficiaries); and other 10% to ecosystemic projects. The remaining amount will be allocated to TA management (for further information, please see Annex 10).

The TAF will implement Green Enhancement projects with SMEs and smallholder farmers (Activity II.2.1.1); Green Readiness projects with FSPs (Activity II.3.1.1); Social Performance and Environmental Risks Management Systems projects (including gender and SEAH actions) with FSPs and ICs (Activity II.3.1.2.); General Business Improvement projects with FSPs (Activity II.3.1.3.), Business Model Improvement projects with Innovative Companies (Activity II.3.1.4); Ecosystemic Projects, stakeholder engagement and gender actions (Activity II.3.2.1.) The estimated cost breakdown among different activities is provided on Annex 4 Budget Plan and the TA Operation Manual.

All these activities together contribute mostly to the Outcomes 2 (Improved resilience in vulnerable people & communities) and 3 (Enhanced green & inclusive financial ecosystem).

Innovative Companies and FSPs will receive TA assistance to improve their Environmental Risk Management System (Activity II.3.1.2.); to monitor and mitigate climate and agriculture related risks, aligning it to TCFD and reducing innovative companies and FSPs' environmental footprint. TA will also be used **to improve innovative companies and FSP's Social Performance Management System**: projects aiming at improving the ability of investees to achieve their social mission and adequately manage Social Risks by following the Social Performance Task Force Universal Standards (SPTF) and the **SPI4 tool** of CERISE.

The **Green Index 3.0 tool** used during the due diligence will also be used under the TAF. The tool will perform a **"green-readiness" analysis of the innovative companies and FSPs** and identify gaps that these institutions need to improve in order to transform to a more sustainable business model.

This tool includes the following parts, to provide a full picture of the environmental engagement of the potential investee:

- **Qualitative questions** to understand the global environmental performance of the potential investee. This will provide a graphic representation of the results, which will help to benchmark the potential investee against other financial institutions and identify areas of improvement in the potential investee's green-readiness in the following dimensions: environmental strategy of the investee, internal/external environmental risk management, and specific actions being taken by the investee to foster green opportunities.
- A **quantitative part** with detailed data on energy, water, paper, gasoline consumption; number and volume of green energy loans disbursed and number of borrowers with active climatic microinsurance products. This will help keep track of the progress in the investees' green activities.

Furthermore, TA will be allocated to innovative companies and FSPs in order to improve their processes and provide a comprehensive product offering to SMEs and smallholder farmers as well as supporting these

beneficiaries in digitalization and implementing better health, safety and environmental protocols. TA will offer a general business improvement: projects aiming at improving the financial performance and the risk management of the FSPs and ICs, with a special focus on risk assessment for the COVID-19 crisis and recovery.

In addition, TA funding will consider the importance of addressing **the consequences of the COVID-19 crisis in the countries**. Therefore, activities such as the creation of new lines of business, financial and capacity building education for SMEs and smallholder farmers, new green opportunities in the economic recovery or the enhanced development of digital ecosystem will also be supported.

The investments from Kuali Fund-GCF are also expected to improve opportunities and have a beneficial impact on women, given their significant participation in entrepreneurial and farming activities in LAC. The objective is to foster an enabling environment by identifying specific areas where the Funded Activity may be able to promote women economic empowerment and equality of opportunities. Specific gender interventions have been designed to increase women's participation: i) development of gender policies and action plans in innovative companies and FSPs; ii) training and support for innovative companies and FSPs to implement a ESMS including gender and SEAH considerations; iii) participation in TA activities; iv) business skills training and financial literacy programs and v) financial products adapted to women's needs and realities. External consultants will be hired to carry out country assessments that will serve as the basis for activities included in Gender Action Plan (including SEAH).

Eligibility Criteria

Main eligibility criteria, guidelines, policies and procedures for the application of the TAF /Fiduciary Assets will be defined by the TAFM and submitted for TASC approval under the TA Guidelines (i.e. final version of the TA Operational Manual drafted in Annex 21 and other Guidelines if requested by the TASC). It is intended that partners will be eligible for TA once the investment has been formalized. Some other criteria could be anticipated, such as: (i) prevailing interest in advancing towards green and climate opportunities and products (FSPs)/clear social and environmental strategy and plans to strengthen and expand its operations (Innovative Companies); contribution from partners; etc. For the cross-cutting projects that will indirectly benefit the FSPs, Innovative Companies and/or the SMEs/smallholder farmers non investees could be eligible (such as actors in the value chains or other agents at meso level).

TA Implementation (see details in Annex 21. Draft of Ta Operational Plan):

The TAFM will channel the GCF funds to the final beneficiaries through service providers. The TAFM will select and manage reputable service providers as needed to deliver TA services and execute the agreements with the relevant service providers.

TA will be delivered through the provision of grants that cover:

- Consultant Services, i.e., hiring experts and consultants for tailor-made technical assistance for investees, SME, smallholder farmers and ecosystemic partners Institutions.
- Trainings: evaluate, train and establish induction programs with green finance related subjects.
- Goods or capital expenditures, i.e., hardware and other goods that the beneficiaries may need, capped to a % of the total project cost.

COFIDES Contracting Procedures, as part of the TA Guidelines, will regulate apply to the selection of consultants. The purpose of the Contracting Procedures is to describe all the steps and applicable rules required to undertake procurement procedures from the very first steps to the award of contracts with Service Providers.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

Kuali Fund-GCF expects to build a portfolio of about 12-18 investees in the beneficiaries' countries⁵⁷. Each investment is expected to range between EUR 3.5 to 20 million with an average of EUR 8 million⁵⁸. The average investment size is expected to be higher for FSPs than for innovative companies.

As already explained, the following instruments are expected to be used:

- **Debt-like investments** (approximately 60-70% of portfolio) for FSPs with a maturity of 3+3 years, with automatic renewal in the case certain milestones (financial or social) are met, or 6 years with the option of calling back the capital if certain conditions are not met. All investments will be made in local currency and any foreign exchange risk will be offset through swaps. Innovative companies might be also financed by debt.
- **Equity**: approximately 30-40% of portfolio for investing in innovative companies.
 - **Mezzanine investments**, such as royalty financing or participatory loans. Expected holding period: 5-6 years.
 - **Growth-capital equity investments** with a relevant minority stake (less than 20%), a board seat and a clear and/or pre-negotiated exit. Expected holding period: 6-7 years.

The investment period of the Funded Activity is 5 years, and most investments are expected to be deployed over the first 4 years, implying 3 to 6 investments per year. Kuali Fund-GCF resources will be used for business expansion of the investees and not for refinancing. Investments will be recorded at Fair Value Through Profit/Loss (FVTPL), according to IFRS 10 Exception to Consolidation. The implementation period for the TA will be the 10-12 years of activity of Kuali Fund-GCF.

Organizational set-up:

As already detailed in section A, Kuali Fund-GCF's structure encompasses the Kuali SICAR-EuSEF (the SICAR) and a Special Purpose Vehicle incorporated as a Securitization Vehicle (SV), together "Kuali Fund"⁵⁹, which are two different vehicles with a separate legal set-up⁶⁰:

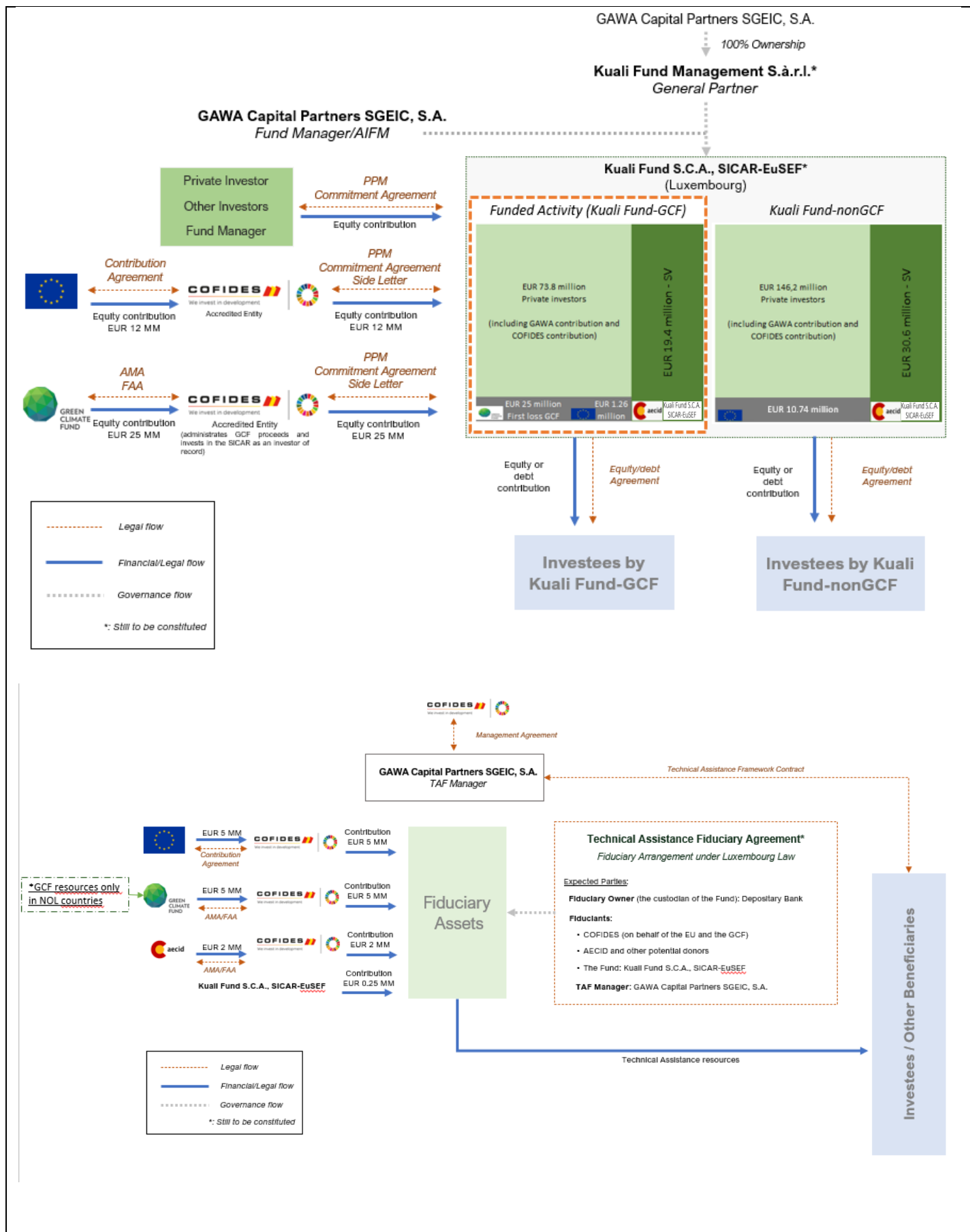
⁵⁷ TBC – number could vary depending on the final size of the Funded Activity.

⁵⁸ FSP total loan portfolios are on average financed on a 20-25% with own resources and the rest with several local and international financiers. The same can be expected for green and climate portfolios.

⁵⁹ Kuali Fund will include contributions from EU and private resources to finance also investments in 8 countries (Ecuador, Peru, Bolivia, Costa Rica, Dominican Republic, Paraguay, Nicaragua and India) where the NOL has not been issued for GCF contributions, up to EUR 250 MM. GCF will not be involved in these deals.

⁶⁰ Kuali Fund and the SV will be two legally independent vehicles. Both will have their respective governing bodies, although FONPRODE will only be able to participate in them to a limited extent (observer), given its status as a debt holder and not as a shareholder.

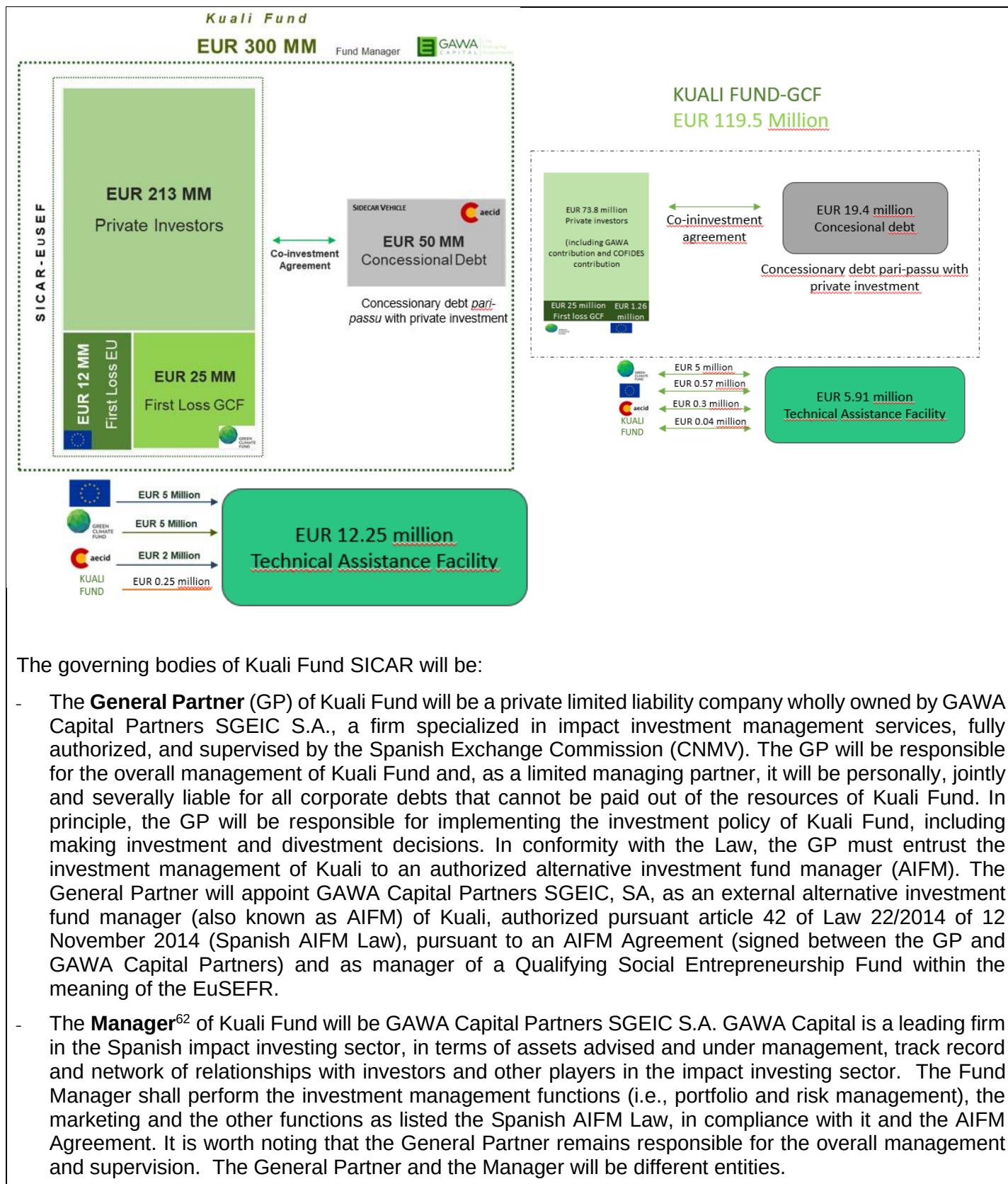
The formalization of the Commitment Agreement also implies the adhesion to the SV with the characteristics set forth in its Articles of Incorporation (this document includes the description of the characteristics of the vehicle, such as its objective, share capital characteristics of the shares, their transferability, management and governance, confidentiality, responsibilities, conflicts of interest, management of annual accounts, etc.).



- Kuali S.C.A., SICAR-EuSEF: a corporate partnership limited by shares (*Société en commandite par actions*) qualifying as a *société d'investissement en capital à risque* (SICAR) pursuant to the Luxembourg 2004 Law and a Social Entrepreneurship Fund (EuSEF) pursuant to the EuSEFR⁶¹. A SICAR is an investment company in risk capital that was designed for investments in private equity and venture capital. The SICAR is an externally managed Alternative Investment Fund (AIF) and, therefore, the Shareholders have a passive role and commit to drawdowns upon requests meeting certain formal requirements.
- Kuali SV: It will be a special purpose vehicle constituted under Luxembourg Law as a Securitization vehicle to accommodate the contribution of the Spanish Agency for International Cooperation and Development. This SV, regulated by the Luxembourg securitization law, will not be authorized, and supervised by the Commission de Surveillance du Secteur Financier (CSSF), but by making *pari-passu* co-investments with the SICAR, its activity will be subject to the same rules and requirements of operation and transparency as Kuali Fund, which will be authorized and supervised by the CSSF. The sole shareholder of the SV will be the SICAR General Partner.

Kuali SV will be managed by GAWA Capital Partners, and its sole shareholder will be the General Partner of the Kuali SICAR. Kuali SV will issue senior notes to FONPRODE and subordinated notes to Kuali SICAR, whose participation in the SV will be limited to 10% of FONPRODE's contribution. Kuali SV will not be authorized and supervised by the Commission de Surveillance du Secteur Financier (CSSF), but by making *pari-passu* co-investments with the Kuali SICAR, its activity will, de facto, be subject to the same rules and requirements of operation and transparency as the SICAR, which must be authorized and supervised by the CSSF. The first loss contribution from EU and GCF, and also the resources in concessional conditions from FONPRODE will enable to attract private investors' participation, as this catalytic contribution will provide a function of de-risking the private investments:

⁶¹ Regulation (EU) No 346/2013 dated 17 April 2013 on European social entrepreneurship funds, as amended or supplemented from time to time ("EuSEFR").



The governing bodies of Kuali Fund SICAR will be:

- The **General Partner** (GP) of Kuali Fund will be a private limited liability company wholly owned by GAWA Capital Partners SGEIC S.A., a firm specialized in impact investment management services, fully authorized, and supervised by the Spanish Exchange Commission (CNMV). The GP will be responsible for the overall management of Kuali Fund and, as a limited managing partner, it will be personally, jointly and severally liable for all corporate debts that cannot be paid out of the resources of Kuali Fund. In principle, the GP will be responsible for implementing the investment policy of Kuali Fund, including making investment and divestment decisions. In conformity with the Law, the GP must entrust the investment management of Kuali to an authorized alternative investment fund manager (AIFM). The General Partner will appoint GAWA Capital Partners SGEIC, SA, as an external alternative investment fund manager (also known as AIFM) of Kuali, authorized pursuant article 42 of Law 22/2014 of 12 November 2014 (Spanish AIFM Law), pursuant to an AIFM Agreement (signed between the GP and GAWA Capital Partners) and as manager of a Qualifying Social Entrepreneurship Fund within the meaning of the EuSEFR.
- The **Manager**⁶² of Kuali Fund will be GAWA Capital Partners SGEIC S.A. GAWA Capital is a leading firm in the Spanish impact investing sector, in terms of assets advised and under management, track record and network of relationships with investors and other players in the impact investing sector. The Fund Manager shall perform the investment management functions (i.e., portfolio and risk management), the marketing and the other functions as listed the Spanish AIFM Law, in compliance with it and the AIFM Agreement. It is worth noting that the General Partner remains responsible for the overall management and supervision. The General Partner and the Manager will be different entities.

⁶² In conformity with the applicable regulation, the General Partner must entrust the investment management of the umbrella fund and its Sub-Funds to an authorized alternative investment fund manager. Therefore, the General Partner will appoint a manager – GAWA Capital Partners- that is both an authorized **Alternative Investment Fund Manager** (AIFM) and an authorized Qualifying Social Entrepreneurship Fund (align with the requirements set out in the EuSEFR) manager.

- The **Investors Advisory Committee (IAC)** is a body comprised of representatives of Kualu Fund's Investors that have made large commitments (the "Member Investors") and have requested to be part of the IAC. COFIDES shall be a member as well. The number of Member Investors shall be a minimum of two and a maximum of eight. One or more observers with no voting rights may be invited. Member Investors shall vote on a per capita basis (and not on the size of their respective commitments). The IAC shall act on an advisory capacity and shall not decide on the investments. Investments will be identified in line with the investment guidelines and requirements included in the Private Placement Memorandum (PPM) and the applicable legal documentation.

In addition, another relevant body will be the **Strategic Advisory Group**, composed by experts in climate change, climate finance, emerging markets, SME, smallholder farmers and indigenous people financing agriculture, private sector development and geographical expertise. The Group can make recommendations to the Fund Manager on business development strategy for Kualu Fund, purely of an advisory and non-binding nature. It will meet on an ad-hoc basis.

COFIDES will manage the GCF and the EU Proceeds for both investors and the TA. GCF requirements will be further secured through a Side Letter signed between COFIDES and the Kualu Fund. The Fund Manager, in coordination with the General Partner, may enter into agreements with certain investors granting specific rights (the Side Letters) not included in the Private Placement Memorandum. The Side Letter will be formalized as long as the Commitment Agreement (which formalizes the committed contribution to Kualu Fund) and will include all the specific requirements that a given Investor (e.g. GCF) obliges Kualu Fund to fulfil (e.g. the relevant obligations under the AMA and FAA). Once any financial need is requested by Kualu Fund (for either new opportunity, reinvestment, fees...), the General Partner will issue COFIDES, as AE for the EU and the GCF, the relevant capital call. COFIDES will review such request and, if agreed, will disburse the relevant amount into the Kualu Fund banking account. Based on Kualu Fund-GCF's budget and its investment estimations, COFIDES will progressively request the GCF to disburse its commitment. The GCF would then transfer the requested amount to a COFIDES bank account. According to the TA resources, COFIDES will manage the costs related to Communication, which include website design and maintenance, domain and logo design, the launching events, promotion and other types of communication and visibility action. For audit and evaluation purposes, COFIDES will probably hire an external consultant according to COFIDES procedures.

In summary, the Subsidiary Agreements that COFIDES as AE will put in place for the implementation of this Proposal are: i) in the case of the equity component, the Private Placement Memorandum (PPM), the Commitment Agreement, and the Side Letter; ii) for the TA component, the Fiduciary Agreement.

The Executing Entity of Kualu Fund-GCF will be GAWA Capital Partners SGEIC, SA, in its role as sole owner of the General Partner (a Luxembourg private limited liability company specifically constituted to set up Kualu Fund). The Fund manager (i.e. GAWA Capital Partners SGEIC, SA), as Executing Entity, will establish a rigorous investment process with an emphasis on adherence to the investment objectives. The Manager will use a disciplined review of potential investments using a standard framework and consistent set of criteria⁶³. Investment decisions will only be taken after intensive due diligence, review, and discussion.

Regarding climate specific knowledge the Investment Committee members have 13 years of experience in investing in FSPs and technology companies. The green and climate aspects of the investees have been taken into account with several of them already deploying green products. For example, the Technical Assistance of the Huruma fund has financed the development of a solar water pump product in Panama, targeted to smallholders that currently use diesel pumps. This has allowed the IC members to learn about the opportunities and challenges related to climate finance.

⁶³ For more details check Kualu Fund – Manual of policies and procedures.

Besides, Gawa Capital and its Co-CEOs are initiators and active members of the “microfinance” climate community helping develop the Green Index 3.0 of the European Microfinance Platform (e-MFP) and the Scale for Resilience Initiative with Yapu and CGIAR.

In addition, a Senior Climate E&S Expert and E&S Analyst with substantial experience on climate lending and microfinance will be hired before the initial investments. They will play an important role, offering more in-depth technical expertise to the IC and ensuring that adequate baseline, monitoring and verification protocols regarding mitigation and adaptation are in place. The investment team will also be expanded with 2-3 new positions aligned with past experiences.

The E&S Analyst will also have expertise in gender. The Gender Officer will report to the Investment Committee whenever an investment is to be approved and provide gender information to decision-making committees. After the investment approval process, GAWA will call the investor commitments and will be responsible to ensure that the funds will be adequately allocated in the relevant approved concept (investee, expenses, fees). GAWA will be also responsible for the monitoring of the investees.

Tracking Shares Methodology and distribution waterfall

Kuali Fund-GCF will distribute the available cash using a "tracking shares" methodology. Distribution for the Funded Activity will be separated and will come from the eligible operations.

Given the geographic restrictions of each of the Kuali Fund's first loss investors (EU India, EU LATAM and NOL countries), the Kuali Fund SCA SICAR-EuSEF will have different share classes to address the geographical constraints of its investors.

(i)

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

GCF participation will be essential for Kuali Fund-GCF for several reasons. The funds will be used to support the two sectors in Latin America which are the most vulnerable and potential contributors to reduce CO2 emissions: the MSME sector as well as the Agricultural sector.

- SMEs are the backbone of the emerging markets economies, representing the vast majority of businesses. Estimates suggest that small businesses contribute to 60-70% of total industrial pollution⁶⁴. Therefore, the ecological transition should be built around decarbonizing MSMEs to gradually include environmental practices in their business processes, rethinking the production model and adapting the use of energy in companies. Making SME greener will lower production costs as a result of lower uses of energy and other resources and it will also enhance their access to export markets and to international value chains which are under increased pressure to mitigate the climate footprint of their operations.
- Agricultural sector is responsible for 30% of global emissions and farmers are the most vulnerable segment of society to the consequences of climate change. Recent research shows that climate change is already impacting smallholder farmers activities in Latin America. As a result, 32% of smallholder farmers in the region are experiencing food insecurity and producers of essential products for the region such as maize and coffee are experiencing drops in productivity as a result of climate change.⁶⁵

On a positive look there is an increasing number of nature-based solutions that, in addition of providing substantial mitigation benefits reducing the carbon footprint of MSMEs and farmers, are also contributing to building resilience among these vulnerable segments. When a company invests in a mitigation solution it

⁶⁴ https://www.oecd.org/greengrowth/GGSD_2018_SME%20Issue%20Paper_WEB.pdf

⁶⁵ “Climate change impacts and adaptation among smallholder farmers in Central America” - Celia Harvey, 2018

makes its operations more resilient to climate change. Similarly, many of the nature-based adaptation solutions that can be implemented by farmers regenerate the soil producing carbon sequestration.

The Kualu Fund-GCF aims at ensuring that the MSME and agricultural sector can easily implement these solutions by facilitating financing and advisory by MFIs and other financial service providers. These institutions have the needed capillarity to deliver the climate-smart solutions to the hands of excluded farmers and businesses. The Kualu Fund-GCF will help the institutions to make their green transition so that they start offering or expand their financing of climate mitigation and adaptation solution to their clients.

Apart from investing in MFIs and other feet-on-the-ground financial institutions, the Kualu Fund-GCF will also invest in fintech and insurtech companies that are providing financial service and insurance to both MSME and farmers in innovative ways, reducing operating costs and tapering new clients in new geographical areas in a very efficient way. These players are capturing in increasing market share of the MSME and farmers financing market and will be invested by the Kualu Fund-GCF to start offering climate finance solutions to their clients.

In addition, Kualu Fund-GCF will also invest in innovative companies which produce products and services related to mitigation and adaptation. Some examples include alternative energy sources such as solar roof systems, energy efficient machinery, adaptive/integrated water resource management, climate related decision-making services, efficient cold chains or cooling systems and new farming inputs adapted to new climate conditions. These solutions are often implemented by climate-tech and agri-tech companies.

The GCF's contribution to the **first-loss tranche** will have a catalytic role. GCF investment will provide a function of de-risking (first loss) which is essential to mobilize private investors, particularly institutional private investors. This cushion will address perceived risks by the private sector; hence, the proposed structure will allow *Kualu Fund-GCF* to catalyze private sector participation at scale. Besides, the GCF's contribution will foster systemic change via market-based solutions, promoting sustainable private investment and leading to less and less need for currently vital, catalytic capital in the future. To this end, a first-loss tranche of EUR 26.26 million (**EUR 25 million provided by the GCF** and the EUR 1.26 million by the EU⁶⁶) is required. GCF's investment will also provide, as a well-respected institutional investor, enormous added value, boosting confidence and acting as a stamp of approval to private investors.

GCF participation will surely attract investors that may be completely new to Impact investing and/or Climate finance, giving additional security and boosting environmental awareness in the investing community. GAWA's latest fund (Huruma Fund, focused on boosting financial inclusion and strengthening agri-value chains for smallholder farmers in developing and emerging markets) found that the majority of the EUR 90 million committed by private investors came from investors who had never invested in impact investing or agriculture before. This interest was spurred by increasing awareness of the opportunity to boost social impact via investments, but also by key catalytic capital injected in the fund thanks to a similar structuring of blended finance.

According to investees, once financial institutions have undergone the proposed transformation and managed to begin to cater for the SME and smallholder farmers / climate segment, they will continue doing so after Kualu Fund-GCF, creating a systemic shift of capital from financial institutions to SME and smallholder farmers / climate opportunities as well. The participation of GCF in Kualu Fund-GCF will be crucial to the Funded Activity's viability and will foster the replication of the project among the countries in LAC.

The **TAF** will be key to significantly increase the impact of the financing provided to the FSPs by supporting their adaptation to SME and smallholder farmers' needs. The TAF will also allow improving the outreach in scale and depth of SME and smallholder farmers financing and ensuring the sustainability of the project.

⁶⁶ EU total contribution for First Loss investments will be EUR 12 million for Kualu Fund.

TA supported by the GCF, EU, FONPRODE and Kuali Fund itself (EUR 5.9 million) is essential to the transformation and is an integral part of what Kuali Fund-GCF is offering: investments + knowledge (TA). Without TA there would be no transformation, which is at the core of Kuali Fund-GCF strategy. The TA Fund is also a crucial component in order to secure the alignment of interest of all the parties involved and the highest potential impact of the investment.

The GCF contribution will therefore strategically contribute to the sustainability of the action by improving innovative companies and FSPs' capacities.

For the above reasons, Kuali Fund-GCF would probably not be able to be raised without the participation of GCF.

B.6. Exit strategy (max. 500 words, approximately 1 page)

Kuali Fund-GCF will have a duration of 10 years, with a possible extension of a maximum of 2 additional years, subject to the approval of the Investors Advisory Committee. However, the objective of Kuali Fund-GCF is that financial institutions will have built the right infrastructure and business model to provide green and climate loans beyond the life of Kuali Fund-GCF.

Kuali Fund-GCF will return investors' capital with a yield in a form of distributions which will take place as and when underlying investments reach maturity. Thanks to its extensive track record (50+ investments and no losses so far), the Fund Manager (GAWA Capital Partners SGEIC) has a strong pipeline⁶⁷ in the region and carries out exhaustive initial due diligences in addition to close monitoring of each investee throughout the life of each investment, assuring the financial sustainability of the Funded Activity. The Fund Manager has developed sophisticated financial models which allow for the detailed follow up and management of Kuali Fund-GCF's cash inflows and outflows. The careful selection of target investees, thorough analysis of the robustness of their business models, financial and operating environments, implies that the inability to provide targeted return is very low.

Debt financing (including mezzanine transactions) is self-liquidating and may be rolled over once during the Investment period. Debt investments have an average tenor of 6 years, so that at the end of Kuali Fund-GCF's life (10 years) they have always matured. These operations are always backed by promissory notes, which in certain cases can be endorsed to another investor. In the case of equity investments, from year 6 onwards the manager starts planning the exit of the investment, having enough time (4 years) to sell trying to get the maximum profit. Equity investments' exit options are evaluated and documented before making an investment and are a key decision point during investment evaluation. Several options are typically listed in the Shareholder Agreements, in order of priority including:

- Right to sale on future capital expansion,
- Initial Public Offers (IPOs)
- Put option to the majority shareholder (the right, but not the obligation, to sell an asset to another party).
- Tag-along rights (if the majority shareholder sells his stake, minority holders have the right to join the deal and sell their stake in the same terms and conditions as would apply to the majority shareholder).
- Mandatory sale right with drag-along (if the majority shareholder sells his stake, minority holders are forced to join the deal).

Any investment will require the implementation of gender policies of FSPs and innovative companies, aimed at ensuring non-discrimination and empowering women as employees and entrepreneurs. The specific gender interventions will make investees more inclusive and strengthen women capacities, knowledge, sustainable skills and self-confidence.

⁶⁷ Founded in 2009, GAWA Capital is the leading impact investor in Spain. GAWA Capital has directly reached 419,000 low-income households through its investments, fostering their access to financial services and enabling families and businesses to thrive:

- 256,000 families directly affected.
- 83% female clients.
- 50% rural clients.
- EUR 204 million advised.
- 52 impact investments, supporting 32 entities.
- 9.6 million total end-beneficiaries.

Since its inception, GAWA has pioneered the introduction of the impact investing asset class in Spain, having launched three funds, in addition to advising a third-party fund - Magallanes Impacto FIL. Each of these funds invest equity and debt in emerging countries, in companies focused on providing market-based solutions to key societal issues such as poverty. To date, GAWA has advised over EUR 204 million, with investments in 16 countries and a positive track record of 6.34% annual IRR to investors in GAWA's first fund.

Source: <https://www.gawacapital.com/impact>

C. FINANCING INFORMATION				
C.1. Total financing				
	Total amount		Currency	
	32.8		million euro (€)	
(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)				
GCF financial instrument	Amount	Tenor	Grace period	Pricing
(i) Senior loans	25 MM	10 years		Enter % equity return as per financial model/terms and conditions
(ii) Subordinated loans				
(iii) Equity				
(iv) Guarantees				
(v) Reimbursable grants	5 MM	10 years		
(vi) Grants (TA)				
(ii) Grants (evaluative data collection +Communication, Evaluation and Audit)	2.8 MM	10 years		
(vii) Results-based payments				
(b) Co-financing information	Total amount		Currency	
	Total co-financing: 95.4 76.86 in equity		million euro (€)	

	+ 17.6 in senior loans + 0.9 in grants					
Name of institution	Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority
EU (Blending Facility)	<u>Equity</u>	<u>1.26</u>	<u>million euro (€)</u>	<u>10 years</u>	<u>3.9%</u>	<u>Junior</u>
EU (Blending Facility)	<u>Grant</u>	<u>0.57</u>	<u>million euro (€)</u>	<u>10 years</u>		
AECID	<u>Senior Loans</u>	<u>17.6</u>	<u>million euro (€)</u>	<u>10 years</u>	<u>Annual Euribor - 1% floor and 3.75% cap</u>	<u>pari passu</u>
AECID	<u>Grant</u>	<u>0.3</u>	<u>million euro (€)</u>	<u>10 years</u>		
GAWA Capital	<u>Equity</u>	<u>1</u>	<u>million euro (€)</u>	<u>10 years</u>	<u>TBD%</u>	<u>senior</u>
Kuali Fund	<u>Grant</u>	<u>0.04</u>	<u>million euro (€)</u>	<u>10 years</u>		
Private investors	<u>Equity</u>	<u>74.6</u>	<u>million euro (€)</u>	<u>10 years</u>	<u>6.5%</u>	<u>senior</u>
(c) Total financing (c) = (a)+(b)	Amount			Currency		
	<u>Total financing: 128.2</u> <u>101.86 in equity</u> <u>+ 17.6 in senior loans</u> <u>6.3 in grants + 2.4 for Eval. Data Collection</u>			<u>million euro (€)</u>		
(d) Other financing arrangements and contributions (max. 250 words, approximately 0.5 page)	The GCF and EU contributions to the first loss tranche (EUR 25 million + EUR 1.26 million) will help mobilizing private investors’ participation and reduce their perceived risk of the SME and smallholder farmers sectors. The GCF, EU, AECID and the SICAR itself will also contribute to the funding of the Technical Assistance (EUR 5 million, EUR 0.57 million, EUR 0.3 million and EUR 0.04 million each). AECID will contribute with EUR 50 million to Kuali Fund, of which EUR 17.6 million in Kuali Fund-GCF through Senior debt and EUR 1.8 million from the SICAR itself through Subordinated debt that will be channeled through a Securitization Vehicle (SV). This SV will issue notes with a tenor consistent with the duration of Kuali Fund-GCF (10-12 years). The GCF will contribute an additional 0.4 million EUR for Communication, Evaluation, Audit and other purposes and with EUR 2.4 million for Evaluative Data Collection. Finally, private investors will contribute with EUR 73.8 million in equity. COFIDES and GAWA will invest in the Funded Activity to align their interests and perceived risks, but the amount is still to be determined.					

C.2. Financing by component

Component	Output	Indicative cost million euro (€)	GCF financing		Co-financing		
			Amount million euro (€)	Financial Instrument	Amount million euro (€)	Financial Instrument	Name of Institutions
<u>Component I: Investment</u>	I.1.1. Kuali fund is operational and capitalized	<u>119.5</u> (100.1 + 19.4 through a Securitization Vehicle)	<u>25</u>	<u>Equity</u>	<u>17.6</u>	<u>Senior loans</u>	AECID - Securitization Vehicle
					<u>1.8</u>	<u>Subordinated loans</u>	Kuali Fund SICAR– Securitisation Vehicle

	I.1.2. Increased green financing available to SMEs and smallholders farmers				<u>1</u>	<u>Equity</u>	GAWA Capital
					<u>72.8</u>	<u>Equity</u> Private investors	
					1.26	Equity	EU Blending Facility
<u>Component II: Technical Assistance</u>	<u>II.2.2 Capacities for Climate Smart Agriculture and adoption of Climate Solutions built</u>	4.75	4.02	Grants	0.46	Grants	EU Blending Facility
					0.24	Grants	AECID
					0.03	Grants	Kuali Fund
<u>Communication, Evaluation and Audit & Evaluative Data Collect</u>	<u>II.3.1. Strengthened financial ecosystem actors. Capacities enabling green and inclusive finance</u>						
	<u>II.2.1. Kuali's TA Facility is operational</u>	1.16	0.98	Grants	0.11	Grants	EU Blending Facility
					0.06	Grants	AECID
					0.01	Grants	Kuali Fund
	<u>Communication, Evaluation and Audit</u>	0.4	0.4	Grants			
	<u>Evaluative data collection</u>	2.4	2.4	Grants			
Indicative total cost (EUR)		125.8+ 2.4 for Eval. Data Collection	30.4 + 2.4 for Eval. Data Collection		<u>95.4</u>		

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?

Yes ☒ No ☐

C.3.2. Does GCF funding finance technology development/transfer?

Yes ☒ No ☐

Kuali Fund-GCF provides capacity building to financial institutions to help them become “greener” and to lend to SMEs and smallholder farmers with the same goal. The main key objective of the project is to develop and strengthen the capacity at bank level to serve SMEs and smallholder farmers with a specific focus on climate lending, by implementing the following best practices/ technologies:

- Innovative underwriting methodologies which make lending to SMEs and smallholder farmers faster and easier.
- Financial products aim at financing assets that promote mitigation and adaptation.
- Internal Environmental best practices.

- Incentivizing climate lending to women led SMEs and women smallholder farmers (women led SME and women smallholder farmers are expected to represent at least 30% of the total beneficiaries).
- More broadly, all activities supported by the technical assistance facility.

The TAF is intended to cover the following types of capacity building activities:

- Consultant Services, i.e., hiring experts and consultants for tailor-made technical assistance for FSP, Innovative companies and SMEs.
- Training: evaluate prior experience or training in agriculture and establish induction and training programs with agriculture related subjects.
- Goods and Services related, i.e., hardware, software and other goods that the beneficiaries may need, capped to a percentage to be determined.
- Ecosystemic technical assistance (TA) that will indirectly benefit the FSPs, Innovative Companies and/or the SMEs/ smallholder farmers.

Indeed, to maximize the Funded Activity impact in the agriculture sector, the TAF will support projects seeking improvements in markets for products, country-level infrastructure, and other activities that, in addition to tailored TA to investees, could be implemented under a Value Chain Development (VCD) and/or thematic approach. This will be done through the Cross-cutting TA. The Cross-cutting projects of TAF will address specific needs and market failures identified during the investment period of Kuali Fund-GCF. TAF should indirectly help the Funded Activity's end beneficiaries, i.e., producer organizations, agribusiness SMEs (both Kuali's direct investees) or smallholder farmers' clients of FIs which are the investees.

These activities could embrace specific programs at meso level addressing major common challenges for smallholder farmers (e.g., need of better extension Services, access to markets, resilience and climate smart agriculture, access to market information, etc.), as well as enhance better access to finance for women. The Cross-cutting activities could be channeled through many actors in the smallholder support community working at different levels of the value chain, always in close relationship and coordination with the Delegations and Government of those countries.

In addition, Kuali Fund-GCF will support partnerships between FSPs (smaller traditional financial institutions and Fintech companies) to build a better offering to SMEs and smallholder farmers; and will also develop a methodology/technology to assess "Green readiness" through data analytics, machine learning, open banking, etc.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's [Initial Investment Framework](#).

D.1. Impact potential (max. 500 words, approximately 1 page)

Kuali Fund-GCF aims at transforming Financial Institutions to better serve **the unbanked SME and smallholder farmers segments with a specific focus on climate lending**. As a result of better access to financing, SMEs and smallholder farmers will have access to more energy efficient equipment and vehicles, clean energy production such as solar panels or assets that allow entrepreneurs and smallholders to adapt to climate change. Kuali Fund-GCF will have a significant impact in terms of SMEs and smallholder farmers support, women empowerment and in the global fight against climate change, supporting a large number of SMEs, smallholder farmers and entrepreneurs in LATAM and avoiding 2,707,455 anticipated tons of CO₂ equivalent in 10 years expected lifetime.

Adaptation and resilience to climate change will be assessed evaluating the change in vulnerability of farmers based on the IPCC methodology that considers vulnerability as a function of exposure, sensitivity and adaptive capacity. Climate information will be derive using available platforms to set up customized baselines and technology/practice adoption will increment their adaptive capacity⁶⁸,

To this end, Kuali Fund-GCF will support **more than 12 FSPs and innovative companies financed** to reach approximately 4,428 SMEs and 237,907 smallholder farmers. This would represent approximately 0.05% of the population of the target countries of Kuali Fund-GCF.

The Funded Activity expects to support smallholder farmers in financing assets that foster adaptation to climate change such as water solutions or farming inputs better adapted to new climate conditions – assuming an average loan of EUR 2,100. Hence, people benefiting from Kuali Fund-GCF's funding in FSPs/innovative companies and potential SMEs/smallholder farmers will have greater access to funding, increased business opportunities, greater diversification of their activity, better technology employed, more sustainable practices and an increase in their quality of life. Also, the total population of these countries will benefit from the sum of tons of CO₂ reduced and by increasing their resilience to the effects of climate change, in line with the commitment of the Paris Agreement.

In addition to the above benefits, the potential impact of the transformation of the financial system in FSPs and innovative companies, SMEs and smallholder farmers towards greener and more innovative models will also reduce the financing gap in these final beneficiaries and between the traditional banking, favor the digitalization of beneficiary companies and integrate these final beneficiaries into the value chains thanks to their greater competitiveness, which will contribute to strengthening the sector and the economic activity at the macro level.

Moreover, the flow of climate finance towards smallholders will help filling up their financing gap, will result in resilience to climate change by this vulnerable population, increase in their productivity and their household income.

Finally, gender targets have been established considering existing data regarding the gender finance gap. Kuali Fund-GCF propose to target at least 30% women-owned SMEs and women smallholder farmers to enhance the engagement of women in accessing financial services and participating in capacity building and training programs. Additional activities are described in the gender action plan.

⁶⁸ For more details check Annex 22.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

Kuali Fund-GCF will be an innovative investment fund in the region, benefiting from the Fund Manager's long and successful experience in LAC. The benefits that the Funded Activity will bring to the SMEs and the smallholder farmers can be easily replicated in the sector by other smaller or new FSPs once the Funded Activity has divested, as Kuali Fund-GCF's main objective is to change the trend of business models in the financial intermediation towards a greener and more inclusive transition through good practices, processes, technology, and appropriate products. After this transformation process, the financial institutions invested by Kuali Fund-GCF will be greener and more inclusive so that they can continue with their environmental and social impact even after the investment is exited and possibly crowding in more Financial Institutions that have not been investees to launch new climate finance initiatives.

In this regard, the contribution to paradigm shift of Kuali Fund-GCF will be channeled through FSPs and innovative companies. If FSPs implement appropriate environmental strategies and risk management systems with the support of Kuali Fund-GCF, then (i) SMEs will reduce their carbon footprint and (ii) smallholder farmers will increase their adaptative capacity to climate change, because (i) SMEs will invest in more energy efficient equipment and (ii) smallholder farmers will invest in assets that support climate smart agricultural practices to increase their productivity, increase the resilience of their communities and reduce their carbon footprint. From the Innovative Companies' perspective, if these companies also implement these strategies and risk management system, then they will benefit from higher productivity, a reduction in their carbon footprint and an improvement of their resilience to climate change, because of the transformation of their processes and business models into a more sustainable and ecological models.

This replicability is directly related to the potential for knowledge sharing and learning. The transformation that Kuali Fund-GCF will make in the target sectors will generate lessons learnt for the future development of the companies themselves and for new companies that want to incorporate these business models. With partnership from the GCF, this Funded Activity will demonstrate that the technology, processes and products that will be developed by the funded FSPs and Innovative Companies will favor an improvement in the value chain and in the business structure that is expected to have a high impact on the sector, favoring the resilience of SMEs and smallholder farmers towards the ecological transition. Moreover, the influence of private capital has the potential to support businesses that build climate resilience for smallholders, while also supporting overall growth of SMEs and smallholder farmers sectors. This will allow Kuali Fund-GCF to develop a strong track record in climate resilient financing and will enable to raise future, larger funds to invest in more companies that are aligned with the GCF's impact goals. In this regard, by investing in for-profit companies, GCF and other investors in Kuali Fund-GCF will be creating financially sustainable enterprises that continue to operate through internal profits and follow-on investment capital even after the Funded Activity has divested. The expected success of Kuali Fund-GCF, due to an experienced Fund Manager team and a huge financial gap with a high-potential demand of FSPs/innovative companies and SMEs/smallholder farmers, will build further expertise and a strong track-record in the climate resilient investment scope, which will enable Kuali Fund-GCF or other investors in the region to raise more money in the future and make more investments.

Kuali Fund-GCF's investments will develop, prove and scale innovative inclusive finance, reduce the impact of climate shocks on the incomes of SMEs and smallholder farmers. Success stories from such investments should attract further private sector capital into those same companies and other similar that arise to compete, which ultimately will serve to increase the scale and impact of the final beneficiaries.

In this context, Kuali Fund-GCF will develop its investments within an adequate environmental and regulatory framework, thanks to the previous experience in the region of the Fund Manager and of the accredited entity. The potential investments will have significant impact within the specific identified countries. Such investments will create employment opportunities, local institutional knowledge that can be shared within

public and private sectors and strengthen local supply and distribution value chains required for scaling sustainable businesses.

D.3. Sustainable development (max. 500 words, approximately 1 page)

SMEs are the backbone of the emerging markets economies and contribute **60-70% of total industrial pollution**. SMEs need to include environmental practices in their processes, which will lower production costs and enhance their access to international value chains. On the other hand, the agricultural sector is responsible for **30% of global emissions** and farmers are the most vulnerable to the consequences of climate change. 32% of smallholder farmers in LAC are experiencing food insecurity and producers of maize and coffee are experiencing drops in productivity as a result of climate change.

From the perspective of mitigation measures, preventing and reducing the emission of greenhouse gases into the atmosphere will make the impacts of climate change less severe. Kuali Fund-GCF will seek to reduce human interference with the climate system in order to ensure that food production is not threatened and to enable economic development in a sustainable manner. Securing affordable-climate friendly energy is key to support climate mitigation. Several initiatives are being developed to cut greenhouse gas emissions, adopting legislation to increase the use of renewal energy and improve overall energy efficiency. From the adaptation to climate change side, it is really important to invest in supporting farmers and communities to better manage unpredictable weather patterns and maximize the resources by connecting them with information, tools and services for growing hardier yields and raising livestock. This includes helping farmers diversify their crops and redesign their farmland to improve their productivity and protect the soil, so they are better equipped to continue growing food and earning income in the face of drought.

Kuali Fund-GCF will be deeply committed to creating sustainable development in developing countries, as evidenced by previous activities and track record of both the Fund Manager and the Accredited Entity. The Funded Activity will always seek to cooperate with local partners with a high potential of sustainable and innovative growth. The collaboration with these local partners will create appropriate values and processes that provide a sustainable and durable model for the future. Each investment decision will be made on the basis of a triple bottom line methodology, considering the economic, environmental and social sustainability view:

- From a global perspective, Kuali Fund-GCF will also promote greater competitiveness in the target sectors, a modernization of the regional financial sector and the contribution to economic growth in the target countries.
- From an economic perspective, the benefits identified are: increase in the number of jobs, (over 640,000 indirect jobs supported) economic growth of SMEs and smallholder farmers, greater access to financing of SMEs and smallholder farmers that have not traditionally been supported, the strengthening of small financial services providers that have a high innovative component, the reduction of the gap between traditional banking and these FSPs and innovative companies, the synergies that can be found with traditional banking and the increase in purchasing power of small businesses and families. Additionally, the flow of financing to the smallholders will result in an increase in agriculture resilience through climate adaptation, which will result in an increase in agriculture productivity.
- From a social perspective, as a result of better financing, SMEs and smallholder farmers will be able to grow, increasingly engaging with international value chains, create more quality jobs and therefore increase income and purchase, which can result in better health, education and livelihood. The increase in smallholders' productivity will result in higher household income for this especially vulnerable segment. The transformation that Kuali Fund-GCF will achieve will provide the FSPs/innovative companies and final beneficiaries with a greater knowledge and sustainable skills that will be useful after the Funded Activity's investment. These processes will

lead to an increase in competitiveness in the sector and better access to new technologies, making their business models more efficient. Women's local organizations will be identified and engaged with in country targets to incorporate their knowledge on women empowerment. The Gender Action Plan will ensure that cross-cutting gender measures are integrated throughout the project. The participation of women into the productive sector has repercussions on economic growth and on a better distribution of income, since they are agents that promote the education and well-being of children, resulting in an increase in the human capital of future generations. The commitment in gender and the number of jobs supported will imply a co-benefit in women employment during and after the lifespan of Kuali Fund-GCF.

- In addition, Kuali Fund-GCF will have a clear benefit in the environmental field. The Funded Activity will contribute to the mitigation objectives of the GCF through estimated savings of approximately 2,707,455 tons of CO₂ equivalent, distributed over the life of the Funded Activity; and will also contribute the soil structure with the adoption of agro-ecological practices (such as improvements with crop residues through mulching, natural restoration of soil fertility, anti-erosion techniques through hedgerows or agroforestry, etc.). This will imply a clear co-benefit in the improvement of the air quality.

D.4. Needs of recipient (max. 500 words, approximately 1 page)

The climate gap in the LAC region is USD 2.3 billion. Large financial institutions in the region have been channeling green lending towards the financing of large renewable energy projects, large industrial power plants and large efficient building construction companies.

However, smaller financial institutions are key to mobilize climate finance to markets underserved by large banks. These institutions are essential to channel climate finance towards SMEs and smallholder farmers.

Nevertheless, capital doesn't glow into these two segments naturally. As already mentioned, according to IFC⁶⁹, the latest estimates show that the formal SME financing gap⁷⁰ in LAC is estimated to be over USD 900 billion – 3.1x the current level of SME lending-. Financing demand increases USD 745 billion if informal SMEs are considered. About 31% of formal SMEs in Latin America have unmet financing needs. Additionally, smallholders' finance gap in the region is USD 20 billion⁷¹.

Therefore, these smaller institutions need to transform their risk management systems, processes, technology, staff and products to be ready to mobilize green and climate products for SMEs and smallholder farmers in a sustainable and efficient way.

Given the strong adoption of sustainability values among multinationals, the SMEs and the smallholder farmers that are proactive on sustainability issues and transparency are in a better position to gain access to new value chains and improve their business. Kuali Fund-GCF will therefore transform Innovative Companies and mainly FSPs sector with innovative and ecological practices that will transfer this new methodology and know-how acquired to the SMEs and the smallholder farmers, which will increase their competitiveness in the sector in a sustainable way. This may lead to an increase in opportunities for SMEs and smallholder farmers in global value chains.

The financial institutions financed by Kuali Fund-GCF will support farmers by increasing their financial resources to build resilience against climate change (e.g. by improving the irrigation systems, buying more suitable seeds...). Smallholder farmers are often more vulnerable to impacts of climate change, especially women farmers. This population will need to rapidly adapt to new climate conditions by adopting climate

⁶⁹ "SME Finance Gap. Assessment of the shortfalls and opportunities in financing small and medium enterprises in emerging markets". International Finance Corporation, Washington DC, 2017.

⁷⁰ The financing gap is defined as the amount of credit that would be needed to satisfy the demand of unserved and underserved formal SMEs. Unserved SMEs are those that do not have a loan but need one. Underserved SMEs are those that have a loan but still find access to finance to be an operating constraint.

⁷¹ Pathways to prosperity 2019, Initiative for Smallholder Finance.

smart agriculture principle and equipment. It is estimated that 95% of the 15 million smallholder farmers in Latin America and the Caribbean are already experiencing negative impacts from rising temperatures, unpredictable rainfall and extreme weather events on crop yields, pest, and disease incidence, decreasing income generation and food security. Small farmers can also reduce their carbon footprint by using new equipment such as biodigesters and reforestation degraded areas. Financial institutions can play a key role in financing climate smart agriculture equipment to increase adaptation and promote mitigation. As a result, the Funded Activity may also contribute to poverty reduction.

During earlier stakeholder engagement, the key factors identified were (please refer Annex 7):

Lack of tools and knowledge of farmers to protect their crops from adverse climatic events. This has been integrated into Kuali Fund-GCF's proposal through the financing of climate adaptation financial products and technical assistance to entities to develop these green products and offer training to end customers on better agricultural adaptation practices.

Lack of women's access to individual financial products, and mainly lack of access to green financial products. Through the focus on gender equity detailed in Annex 8, Kuali Fund-GCF will analyse the reach of the entities to women through individual products and propose an action plan to increase that reach. The design of a specific financial product for women may also be considered, if relevant.

Lack of a permanent market for farmers to sell their products, or even very low prices received for the sale of their production. Kuali Fund-GCF includes in its technical assistance proposal a block of projects that are aimed directly at end customers, and which can help farmers to improve their access to markets and their product offering (try to sell value-added product variants) in order to make their product more attractive to potential buyers.

D.5. Country ownership (max. 500 words, approximately 1 page)

Kuali Fund-GCF's mission is aligned with the political strategy of the LAC region countries, as evidenced in their national climate policies and National Determined Contributions (NDCs) targets submitted under the Paris Agreement. Kuali Fund-GCF will contribute to climate change mitigation goal and will provide adaptation benefits to climate change and to social development of FSPs, innovative companies, SMEs and smallholder farmers in the target countries. Every targeted country⁷² should promote the transformation of the financial system⁷³ with greener practices and the flow of green and climate products to SMEs and smallholder farmers.

COFIDES, as an international private-public company and as a European Development Financial Institution (EDFI), is highly committed to various International Climate Change mitigation and adaptation initiatives in LAC. The over 30 years of experience working with private sector and with institutional and multilateral organizations in sustainable, development and climate projects has also built a significant experience in international private sector project mobilization, facilitating the contact with international national institutions based in target countries. Moreover, the Fund Manager's previous experience and its know-how in development and sustainability projects in Latin America, such as Huruma, will be a key factor in the potential success of Kuali Fund-GCF.

Strategies at the national level are highlighted below⁷⁴:

⁷² Brazil, Mexico, Colombia, Panama, Honduras, Guatemala, and El Salvador.

Inclusion and Financial Literacy, Keys to Reducing Gaps in Latin America and the Caribbean", CAF.

"Fintech Solutions as a Vehicle to Expand Financial Inclusion in Latin America and the Caribbean", IDB.

"The Fintechs Promoting Financial Education for All in Latin America", Crowdfund Insider.

⁷⁴ For further information, please see Annex 2.

BRAZIL

- **The National Policy on Climate Change (2009) - PNMC**, by means of Law no 12,187/09. In accordance with this law, Brazil will pursue voluntary actions for the mitigation of greenhouse gas emissions with a view to reducing its projected emissions by 36.1%-38.9% by 2020. The PNMC is implemented by means of several action and sectoral plans for the mitigation and adaptation to climate change, in compliance with the principles and provisions of the Convention:
 - Action Plan for the Prevention and Control of Deforestation in the Legal Amazon (PPCDAm in the Portuguese acronym).
 - Action Plan for the Prevention and Control of Deforestation and Burning in Cerrado (PPCerrado in the Portuguese acronym).
 - The Ten-Year Energy Expansion Plan (PDE in the Portuguese acronym)
 - Sectoral Plan for the Mitigation and Adaptation to Climate Change for a Low Carbon Emission Agriculture (ABC Plan in the Portuguese acronym).
 - Sectoral Plan to Reduce Emissions in the Steel Industry.
 - Sectoral Plan for the Mitigation and Adaptation to Climate Change for the Consolidation of a Low Carbon Emission Economy in the Manufacturing Industry (Industry Plan).
 - Sectoral Plan for the Mitigation and Adaptation to Climate Change in Low-Carbon Emission Mining.
 - Sectoral Transport and Urban Mobility Plan for the Mitigation and Adaptation to Climate Change (PSTM in the Portuguese acronym).
 - Health Sectoral Plan for the Mitigation and Adaptation to Climate Change (PSMC-Saúde in the Portuguese acronym).

Several components of these plans, such as the use of renewable energies and the fight against deforestation, are also essential parts of the Brazilian sustainable development strategy. Submitted to the Convention as a Nationally Appropriate Mitigation Action (NAMA), the National Policy on Climate Change provides that the country will adopt voluntary actions to mitigate greenhouse gas emissions at the national level with a view to reducing its projected GHG emissions by 36.1% to 38.9% by 2020. The goals achieved are recognized, including by non-governmental entities, as one of the most ambitious contributions undertaken by a single country to fight climate change.

COLOMBIA

- **2017 The National Policy for Climate Change - Plan Nacional de Adaptación al Cambio Climático (PNACC)**- aims to incorporate climate change management into public and private decisions to advance in a climate-resilient and low-carbon development path that reduces the risks of climate change and allows opportunities to be seized. The long-term objective is for the country to be carbon neutral.
- **The Colombian Low-Carbon Development Strategy (ECDBC)** was launched in February 2012 as a tool to deliver the objectives of the National Development Plan 2011-2014 and the CONPES Document on Climate Change by promoting efficient low-carbon growth.
- **National Disaster Risk Management Plan and the Development Strategy** for the period 2015-2025 (Decree No. 308) - the Plan has as a general objective to guide the actions of the State and civil society regarding risk awareness, risk reduction and disaster management in compliance with the National Risk Management Policy. It should also contribute to people's safety, welfare, quality of life and the sustainable development of the country.
- **2017-2022 Indicative Action Plan of the Rational and Efficient Energy Use Programme (PROURE)** defines objectives and targets for energy efficiency, actions and sectoral measures and

strategies for the achievement of goals and other provisions for the period 2017-2022. It replaces the Indicative Action Plan 2010 to 2015.

MEXICO

- **General Law on Climate Change in 2012**, it specifies the different responsibilities of the Federation, Mexico's pledge under the Copenhagen Accord, in terms of committing the country to an emissions reduction target of 30% below Business As Usual (BAU) by 2020, subject to the availability of financial resources and technology transfer, as well as 50% GHG emissions reduction by 2050 compared to 2000. The law was amended in 2014 to establish a tax on fossil fuels, and in 2016 at article 94 to frame a carbon market. The attached regulation sets the framework for the accounting of carbon emissions. The law was further amended in 2018 by Decree 13/07/2018, notably to initiate a national market of greenhouse gases emissions and to precise the contribution of Mexico within the scope of the Paris Agreement.
- **The National Climate Change Policy** includes a 10-, 20- and 40-year outlook for achieving climate change goals. Sets a target of 30% GHG emissions reductions from the base year.
- **The Special Programme on Climate Change**, -the Programa Especial de Cambio Climático (PECC), published in August 2009- sets Mexico's long-term climate change agenda, together with medium-term goals for adaptation and mitigation. It incorporates the planning for each administration, considering specific programs, goals, and resources.
- **State Climate Change Programs**: incorporates the planning of each state, considering their specific competences, resources, and climate state level regulations.
- **2008 Laws for Sustainable Energy Use and for the Use of Renewable Energies and Funding the Energy Transition** encourage and regulate renewable energy and low-carbon electricity.
- **2002 General Law for Sustainable Forest Development** promotes a variety of initiatives to reduce deforestation and forest degradation.

PANAMA:

- **National Climate Change Strategy**: One of the lines of actions leading to meet this objective is to reduce vulnerability of the communities with the highest exposure to adverse climate change effects through financial instruments and specific national funds for adaptation to climate change.
- **Nationally Determined Contribution to the Mitigation of Climate Change (NDC)** before the UNFCCC: The working focus outlines a set of actions which will allow Panama to responsibly decrease its vulnerability in the face of the adverse effects of climate change, by prioritizing and implementing specific adaptation measures.
- **Governmental Strategic Plan (PEG) for 2015-2019**: prescribes, among other measures, "to consider the battle against climate change and its effects as a fundamental focus of the governmental action, by stopping deforestation and restoring the vegetative cover to prevent desertification and by reducing the existing vulnerability through the development and application of adaptation and mitigation measures".
- **Integrated Development Plan for Aboriginal Peoples of Panama**: promotes actions related to political participation, monitoring of human development plans, conflict prevention, poverty reduction, access to information, among others.
- **2008 Biodiversity National Policy Strategy and Action Plan**: integrate the group of 7 national policies of the Participative Strategic Plan, as well as the Climate Change Policy.

EL SALVADOR:

- **Updated Nationally Determined Contributions 2021:** The document outlines a set of actions that will allow El Salvador to have a consistent strategy in order to face the adverse effects of climate change. The NDC includes three strategic areas: i) Ecosystems recuperation through social inclusion, ii) Highly degraded areas restoration through resilient agroforest systems and sustainable agriculture and iii) Synergic development of physical and natural infrastructure.
- **El Salvador Sustainability Plan:** Published in 2018, This Plan focusses in identifying paths to create economic and social development taking into account the environment. The structure of the Plan followed consist in four thematic axes: i) Strengthening institutions regarding sustainability, ii) Transforming the productive sectors to efficiency and competitiveness, iii) Enhance sustainability education, iv) Holistic risk understanding in terms of climate change to develop an action plan.

GUATEMALA:

- **Nationally Determined Contributions Guatemala 2021:** This document synthesizes the country's context in order to understand why and how Guatemala aims to develop its sustainable development strategy. The document, after being updated, gives special emphasis to four specific sectors in order to generate mitigation impacts: i) Land use change of land use and silviculture, ii) Energy, iii) Agriculture, iv) Residues. It also provides an adaptation component aligned with the national adaptation plan (PANCC).
- **National Adaptation Plan (PANCC):** This Plan presents the different strategies Guatemala wants to develop. It is presented as the summary of the priority actions and precautions that citizens and institutions should take into account to confront the risk intrinsic in the climate change taking the IPCC report as reference. It focuses on the identification of sustainable development opportunities of vulnerable people protection. It focuses in the following six sectors: i) Coastal zones, ii) Agriculture, farming and food security iii) Forestry resources, ecosystems and protected areas, iv) hydric resources integrated management, v) Human health, vi) Infrastructures.
- **Adaptation, Mitigation and Vulnerability Reduction Regulatory Law:** Law primarily designed to fight climate change. It also guarantees the correct procedures to develop the PANCC and the NDC strategies.

HONDURAS:

- **Updated Nationally Determined Contributions (NDC) 2021:** The document has incorporated five key elements to guide the work to do: i) Social inclusion, ii) Greenhouse gases mitigation, iii) Climate Change Adaptation, iv) Financing, v) Report and verification mechanisms. The energy and the agriculture sectors are the two fundamental areas in which the country wants to reduce its emissions.
- **NAMA for a low carbon livestock sector:** Published in 2018, this document shows the importance of the rural sectors in Honduras and the necessity of a quick transition to a sustainability path in order to stabilize the way of living of thousands of families.
- **Honduras Climate agenda:** Published in 2016, it provides an institutional and programmatic framework to develop the National Adaptation Plan and the National Mitigation Plans.

D.6. Efficiency and effectiveness (max` . 500 words, approximately 1 page)

Thanks to the first loss tranche provided by the GCF and the EU, Kuali Fund-GCF expects to mobilize a substantial amount of private capital. The GCF investment will have a de-risking effect (first loss) for private investors. The resources of the GCF and the EU will encourage the participation of private investors, who

will see their investment risk reduced, so the proposed structure of Kuali Fund-GCF will allow catalyzing private sector participation. The de-risking resources will represent 22.2%⁷⁵ of the total investment.

Concerning the return of capital to First Loss Shares, GCF would be integrated into Class E Shares and will receive 100% in proportion to their Capital Contributions until distributions equal four percent (4%) per annum above their capital committed to Kuali Fund-GCF, compounded annually, on their aggregate Capital Contribution.

The minimum concessionality of GCF resources is justified as it is the necessary level of leverage for the private investors to obtain a minimum return in order to make the investment attractive. Likewise, it also ensures the viability of the project and ensures an adequate return for institutional investors.

The efficiency and effectiveness of the GCF resources, considering the total financing and mitigation/adaptation impact, will be adequate since every ton of CO₂ would cost 9.21 EUR (less than the average in 2019⁷⁶: 23 EUR).

Moreover, the *Portfolio Impact Score* methodology designed by the Fund Managers fosters a positive environmental and social performance, since a good performance in this field within the global SME and smallholder farmers portfolio ensures a higher carried interest for the Fund Managers.

According to the available technologies and practices, the Funded Activity will use best of art Impact management techniques, by supporting banks to implement best practices in terms of integrating technology in their business model, such as:

- Open banking. Kuali Fund-GCF will ease the banking transactions for the clients.
- Synergies between FSPs and traditional banking.
- Innovative credit rating methodology leveraging machine learning.
- Fostering banks to lend money to SMEs and smallholder farmers so they can buy the best energy efficient equipment.

⁷⁵ EUR 25 million + EUR 1.6 million out of EUR 119.5 million total Kuali Fund's size (TA not included).

⁷⁶ Source: GCF average projects in 2019.

E. LOGICAL FRAMEWORK

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

- ☒ Reduced emissions (mitigation)
- ☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	Climate finance directed at smallholder agriculture is approx. 10 billion per year however, financing needs are estimates at 240 billion per year⁷⁷. Beside finance it is usually channelled through large banks, public institutions and companies towards large agroforestry projects. Regarding SMEs, In the developing economies, the finance gap from formal SMEs is valued at \$5.2 trillion, which is equivalent to 19 percent of the gross domestic product (GDP)⁷⁸. Approximately 40 percent of all enterprises are credit constrained. Explicit integration of SMEs within multilateral climate fund projects still remains marginal and that climate finance flows have only marginally enlisted local FIs (microfinance institutions (MFIs) and banks) to deliver capital to SMEs, thus discounting the importance of these financial actors for mainstreaming climate finance in the financial sector⁷⁹.	Low	Kuali's target investees will improve their green and climate product offering overcoming the lack of specific knowledge and external financing. This will enable to expand their green and climate loans portfolios. Smallholders and SME implementation of green and climate solutions will increase due to the availability of financing and better green and climate products aimed at them mobilizing important	The Kuali Fund-GCF is projected to deliver 2.7 Million t CO2e over the lifespan of the solutions and mobilize EUR 73.8 Million from private investors, even before any replication effects: this would represent a significant step towards paradigm shift on emissions and adaptation from smallholder farmers and SMEs. Adapted green finance and products are currently not available to most smallholders and SMEs, as they are considered risky or not relevant in terms of market potential for the FSP or supplying companies. Through tailored technical assistance and specific funds targeted to those sectors, Green smallholder and SME finance will

⁷⁷ Chiriack, D., Naran, B., & Falconer, A. (2020). Examining the climate finance gap for small-scale agriculture. Climate Policy Initiative and IFAD Rome.

⁷⁸ International Finance Corporation. 2017. SME Finance Gap: Assessment of the Shortfalls and Opportunities in Financing Small and Medium Enterprises in Emerging Markets.

⁷⁹ SEED (2020). Translating Climate Finance into Climate Action on the Ground. Leveraging the Potential for Small and Medium-sized Enterprises (SMEs).

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)				
Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
	Besides, smallholders and SMEs are also responsible for high levels of greenhouse gas emissions with an emission intensity factor well above their sectorial averages due to its limited productivity caused among other factors by limited financing. The current state shows limited evidence of a pathway towards impact in mitigation and adaptation measures.		quantity of private resources.	become mainstream enabling big parts of the economy to transition to greener production methods due to the availability of funding and support from the ecosystem.
Replicability	Currently only a handful of Financial Services Providers offer an adapted climate finance product to its clients (smallholders and SMEs) Besides, green and climate technologies are not being implemented by the smallholder and SMEs sector at a rate that its consistent with the necessary emissions reductions and adaptation. Even mature technologies need to adapt their economics models to work with these financially constraint type of clients. Significant and sustained investment is required across the innovation life cycle to ensure that commercially ready solutions are able to scale within this next decade. The current state shows limited or no evidence of examples of intervention models funded that reduce emissions and increase resilience with a similar approach to the Kuali Fund.	<u>Low</u>	FSP's and Innovative business models will develop specific and reliable data tools and methodologies that can catalyze their product offering. These new methodologies will address current issues that are limiting the offer (i.e, climate maps, risk assessment, resilience assessment, diversification, etc.). These methodologies and implementation processes can be easily replicated by other entities.	Kuali through its Technical Assistance Fund will strengthen their investees green and climate products design & offering, processes & risk management, technology, and employee capabilities. Lessons learned through this work will directly inform any efforts to replicate the work in other cities or countries

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)				
Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Sustainability	Mitigation figures derived from agriculture remain very low and indicate unsatisfactory progress, accounting for only 1.4% of the mitigated emissions during 2010–2019. Also, to boost decarbonization, micro, small and medium-sized enterprises need to be brought on board. Awareness around smallholders and SMEs mitigation and adaptation potential is growing and finance towards it has been slowly growing.	Medium	The Kualu Fund will create an ecosystem of “climate green” ready FSP and innovative companies that would channel important levels of climate finance towards smallholders and SMEs. Besides, a profitable, commercial lending market where incentives clearly favor green and climate products will be established.	The Kualu Fund-GCF will deploy EUR 119,5 million in “climate green” ready FSPs and innovative companies. Those companies are expected to improve their business models with the help of the technical assistance facility and therefore attract additional capital from other lenders. Green and climate portfolios of FSP and sales from innovative are expected grow more than the proportional Kualu Fund-GCF investment and be sustained beyond completion.

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)						
GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term ⁸⁰	Final ⁸¹	
TOTAL Result Areas Core 1	Core 1: GHG emissions reduced, avoided or	- Investee's quarterly reports - Technical datasheets (of solutions financed)	0	0.81 tons of CO2 reduced	2.71 tons of CO2 reduced	Assumptions: Regulatory framework in target countries remains conducive for Green Financial Inclusion, facilitating private sector participation

⁸⁰ Mid-term targets represent 30% of the final target, due to the estimated investment progress.

⁸¹ Final targets take into account the specific lifespans of the different technologies.

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term ⁸⁰	Final ⁸¹	
	<u>removed/sequestered</u>	(with information about KiloWatts of energy generated and GHG reduction compared with grid access collected at the client level by FSP and ICs) - Drawdown.org estimates of : CHG emission mitigated per vehicle , CO2 sequestration, etc.		pertaining to the lifespan	pertaining to the lifespan	- Political situation in target countries does not deteriorate significantly. - There are no sudden situations of over-indebtedness that make it impossible to support the green transition through financial services. See also footnotes ⁸²⁸³
<u>MRA1 Energy generation and access</u>	<u>Core 1: GHG emissions reduced, avoided or removed/sequestered</u>		0	20,002 tons of CO2 reduced	66,672 tons of CO2 reduced	9% of total investments dedicated to Energy generation and access

⁸² Kuali Fund-GCF assumes a distribution of the total EUR 119.5 million among different sectors and technologies that are related to the investable universe and pipeline. For more details and specific data see Annex 22 and CO2 Calculation Excel File.

Other externalities to be considered refer to:

- Technology – The state of available technologies regarding Energy generation, low emission transport and Buildings, cities, industries and appliances, and their prices and implementation costs might vary over time.
- Economic – international financial conditions like inflation, interest rates and bank risk appetite.
- Political - Commitments and targets regarding climate mitigation and adaptation
- Legal and Regulatory - Central banks regulations regarding green and climate finance. Taxonomy development.
- Social – Uptake and popularity of Nature Based Solution, Regenerative Agriculture among smallholder farmers.

⁸³ CO2 target emission reduction are calculated considering the specific technologies financed in every sector. The emissions are calculated in relation with a baseline scenario: Relative Emissions = “With” Project Emissions (Wp) – “Without” Project Emissions, or Baseline Emissions (Be). The baseline scenario (or “without” project scenario) is defined as the expected alternative means to meet the output supplied by the proposed technologies. Baseline emission and project emissions are calculated using technology and country-specific electricity emission factors. Besides Kuali fund uses assumptions around unitary costs, efficiency gains and capacity factors to construct the “with” project and baseline emissions levels, also considering the specific lifespans of the different technologies. Moreover, in order to calculate GHG emissions avoided/removed, the Kuali fund will use the Guideline for a Harmonised Approach to GHG Accounting elaborated by the technical Working Group of the International Financial Institutions (IFI TWG) of The United Nations Framework Convention on Climate Change (UNFCCC) and the GHG Protocol Agricultural Guidance in the case of the Agriculture and Forestry sector. For more details and specific data being used see Annex 22 and CO2 Calculation Excel File.

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term ⁸⁰	Final ⁸¹	
<u>MRA2 Low-emission transport</u>	<u>Core 1: GHG emissions reduced, avoided or removed/sequestered</u>	<i>FSPs/ICs will report on: # vehicles financed, alternative GHG grid emissions collected at the client level, # ha of land reporting land use changes by FSP's clients and ICs. etc,</i>	0	1,663 tons of CO2 reduced	5,543 tons of CO2 reduced	3,17% of total investments dedicated to Low-emission transport
<u>MRA3 Buildings, cities, industries and appliances</u>	<u>Core 1: GHG emissions reduced, avoided or removed/sequestered</u>		0	117,493 tons of CO2 reduced	391,643 tons of CO2 reduced	13% of total investments dedicated to <u>Buildings, cities, industries and appliances</u>
<u>MRA4 Forestry and land use</u>	<u>Core 1: GHG emissions reduced, avoided or removed/sequestered</u>		0	0.67 million tons of CO2 reduced	2.24 million tons of CO2 reduced	24.83% of total investments dedicated to <u>Forestry and land use</u> (CO2 calculation Excel)
<u>MRA1 Energy generation and access</u>	<u>Supplementary 1.2: Installed energy storage capacity</u>		0	8.01 MW storage capacity installed	26.71 MW storage capacity installed	Assuming a 2-hour generation storage capacity linked to Energy generation and access technologies
<u>MRA1 Energy generation and access</u>	<u>Supplementary 1.3: Installed</u>		0	4,01 MW	13.35 MW	9% of total investments dedicated to Energy generation and access

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term ⁸⁰	Final ⁸¹	
	<u>renewable energy capacity</u>					
<u>MRA1 Energy generation and access</u>	<u>Supplementary 1.4: Renewable energy generated</u>		0	3,115 MWh generated	10,384 MWh generated	9% of total investments dedicated to Energy generation and access
<u>MRA2 Low-emission transport</u>	<u>Supplementary 1.5 Improved low-emission vehicle fuel economy</u>		0	30% net change in fuel/energy consumption per km travelled	30% net change in fuel/energy consumption per km travelled	13% of total investments dedicated to <u>Low Emissions Transport</u> and efficiency gains Assumptions. The fuel unit will be converted into a common energy unit and reported in megajoule
<u>MRA3 Buildings, cities, industries and appliances</u>	<u>Supplementary 1.1: Annual energy savings</u>	- Investee's quarterly reports - Technical datasheets (of solutions financed) - (with information about KiloWatts of energy generated and GHG reduction compared with grid access collected at the client level by FSP and ICs)	0	29,862 MW/h saved	99,541 MW/h saved	13% of total investments dedicated to <u>Buildings, cities, industries and appliances</u>
<u>TOTAL Result Areas Core 2</u>	<u>Core 2: Direct and indirect</u>	- Investee's quarterly reports	0	Direct: 72,700 (≥30% women farmers/ women-led)	Direct: 242,335 ⁸⁵ (≥30% women farmers/ women-led)	100 % of total investments to farmers and SMEs Indirect beneficiaries' calculation considers: 3,76 Average Household size in selected LATAM

⁸⁵ Mexico (40,362), Brasil (64,972), Colombia (49,410), El Salvador (30,064), Panamá (27,559), Honduras (19,606) and Guatemala (10,363). See sheet Beneficiaries in CO2 calculation Excel.

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term ⁸⁰	Final ⁸¹	
	<u>beneficiaries reached</u>	<i>(Clients outreach information⁸⁴ provided by FSPs and Innovative companies)</i>		Indirect: 192,714 ≥ 50 % women	Indirect: 642,379 ≥ 50 % women	countries (UN Population Division ⁸⁶)(CO2 calculation Excel/Beneficiaries Tab)
				≥30% women	≥30% women	
<u>ARA2 Health, well-being, food and water security</u>	<u>Core 2: Direct and indirect beneficiaries reached</u>			Direct: 14,931 ≥ 30 % women farmers	Direct: 237,907 ⁸⁷ ≥ 30 % women farmers	75 % of total investments going to farmers
				Indirect: 188,957 ≥ 50 % women	Indirect: 629,856 ≥ 50 % women	
<u>ARA1 Most vulnerable people and communities</u>	<u>Supplementary 2.1: Beneficiaries (female/male) adopting improved and/or new climate-resilient livelihood options</u>			797 direct beneficiaries (SMEs) (min 30% women-led)	2,657 direct beneficiaries (SMEs) (min 30% women-led)	Assuming that 60% of SMEs adopt improved and/or new climate-resilient livelihood options) Assuming the target beneficiaries will meet 30% of the final target in the mid-term, once their transformation process has started

⁸⁴ Client outreach information refers to loan tapes, client database, that demonstrate financial flow between FSP and IC and end-beneficiaries.

⁸⁶ <https://www.un.org/development/desa/pd/data/household-size-and-composition>

⁸⁷ Mexico (38,015), Brasil (64,972), Colombia (48,660), El Salvador (205), Panamá (27,371), Honduras (19,077) and Guatemala (9,953). See sheet Beneficiaries in CO2 calculation Excel

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term ⁸⁰	Final ⁸¹	
<u>ARA2 Health, well-being, food and water security</u>	<u>Supplementary 2.2: Beneficiaries (female/male) with improved food security</u>			21,412 direct beneficiaries (Smallholders) (min 30% women)	71,372 direct beneficiaries (Smallholders) (min 30% women)	Assuming that 30% of farmers improve food security Assuming the target beneficiaries will meet 30% of the final target in the mid-term, once their transformation process has started
<u>ARA2 Health, well-being, food and water security</u>	<u>Supplementary 2.5: Beneficiaries (female/male) adopting innovations that strengthen climate change resilience</u>	<i>- Investee's quarterly reports</i> (Clients reporting agricultural practices changes and consolidated by in client reports by FSP)	0	42,823 direct beneficiaries (Smallholders) (min 30% women)	142,744 direct beneficiaries (Smallholders) (min 30% women)	Assuming that 60% of the smallholder farmers adopt any of the adaptation techniques (farm irrigation efficiency, regenerative annual cropping, silvopasture, tree intercropping, improved rice production, managed grazing, multistrata agroforestry, perennial biomass production or perennial staple crops) Assuming the target beneficiaries will meet 30% of the final target in the mid-term, once their transformation process has started
<u>ARA2 Health, well-being, food and water security</u>	<u>Core 4: Hectares of natural resources brought under improved low-emission and/or climate-resilient management practice</u>	<i>Ha of land reporting land use changes by FSP and Innovative companies.</i>	0	8,326 hectares	27,753 hectares	Assuming an average implementation cost per hectare of EUR 2.676 100% of investments in Forestry and Land Use sectors Assuming that FSPs will meet 30% of the final target in the mid-term, once their adaptation process is advanced
<u>ARA2 Health, well-being, food and water security</u>	<u>Supplementary 4.2: Number of livestock brought under sustainable</u>	The number of livestock will be reported in Livestock Unit (LSU), as unit	0	1,017 LSU (1,101 ha)	3,390 LSU (3,669 ha)	Assuming an average implementation cost per hectare of EUR 2,475 of investments in Sustainable Livestock Management, Managed Grazing, Silvopasture (EUR 9.76 M). EUR 2.659 of investments in Sustainable Livestock Management, Managed Grazing, Silvopasture (24,5 M€)

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term ⁸⁰	Final ⁸¹	
	<u>management practices</u>	aggregating various livestock species (https://www.fao.org/livestock-systems/en/)				Assuming an average of 0,77 LSU/ha of the selected countries (FAO Livestock Patterns) and a 20% increase in livestock with the same land (0,924 LSU/ha). FSPs will meet 30% of the final target in the mid-term, once their adaptation process is advanced

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)

Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
<u>Core Indicator 6: Degree to which GCF investments contribute to technology deployment, dissemination, development or transfer and innovation</u>	Green and climate technologies are not being implemented by the smallholders and SMEs sector at a rate that is consistent with the necessary emissions reductions and adaptation. Maturing technologies need to adapt their economics models to better serve smallholders and SMES, that are typically late innovators, risk adverse and financially constraint ⁸⁸ .	<u>low</u>	A profound shift of agricultural practices and land sinks use by smallholder farmers will contribute substantially to mitigation and adaptation goals. Besides energy generation equipment, energy efficient appliances and low emission transport will also contribute.	The Kualifund- GCF will invest EUR 76.7 million in promoting sustainable agricultural practices that require technological investment, dissemination and innovation. Besides, the Kualifund- GCF is projected to invest a minimum of 7.5 million in Innovative Companies that provide and/or implement climate solutions (Climate Tech, Agri	<u>Multi-countries</u>

⁸⁸ IEA, Net Zero by 2050, 2021 <https://www.iea.org/reports/net-zero-by-2050>

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)					
Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
	Only 4% of the funding is directed towards companies outside of North America, Europe or China and is also disproportionated directed toward the Mobility and Transport sector receiving 61% of all investment. ⁸⁹ Areas related to the diverse energy efficient equipment, industry or food, agriculture and land use are lagging behind in funding.			Tech, Sustainable agricultural value chain business, etc) and this way help make available fundamental technologies to reach to climate targets. Besides, Technical assistance will be provided to help innovative companies to refine their business models and help them scale up solution.	
<u>Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at the sectoral, local, or national level</u>	The Microfinance industry is in the early stages of engagement with green/climate finance, corresponding with institutions scoring levels 1-3 in the Green Index. The level of understanding and deployment of lending with a climate perspective is very low	<u>low</u>	The microfinance industry has a deep understanding of “climate” finance, and it is an important player in the deployment of funding toward micro entrepreneurs and smallholders farmers for green/climate transition	The project will provide funding and technical assistance to build capacity in the selected entities (investees) that will later spread to other market participants	<u>Multi-countries</u>

⁸⁹ PWC State of Climate Tech 2021

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)

Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
Core indicator 8: Degree to which GCF investments contribute to effective knowledge generation and learning processes, and use of good practices, methodologies and standards	The main barriers that FSPs face are the lack of knowledge about climate change (mitigation and adaptation), their potential impacts in their portfolio and the opportunities and risks that represent. There is also a lack of data, tools and methodologies that can manage the climate risks, in the form of management systems and “green lending”. The regulators and the ecosystem in general are on their way to create a comprehensive framework but there is little external support to individual FSPs.	low	On the target scenario FSPs have an adequate perception of the risks and opportunities of climate finance, use adequate socio-environmental risk management systems and offer green products in their portfolio	The Kuali through the incentives laid out its Technical Assistance Fund will strengthen their FSP investees green and climate products design & offering, processes & risk management, technology, and employee capabilities	Multi-countries

E.5. Project/programme specific indicators (project outcomes and outputs) change						
Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
OUTCOME 1 Adoption of climate solutions and improvement management of agricultural lands contributing to reducing GHG emissions	Number of SMEs reducing their carbon footprint	Kuali's investment portfolio and monitoring system	0	1,764 (min 30% women owned)	4,428 (min 30% women owned)	Assuming that all SMEs adopt the new technologies reduce their emissions.
	Number of farmers reducing their carbon footprint	Kuali's investment portfolio and monitoring system	0	20,847	52,340	Assuming that 22% farmers adopting new technologies reduce their emissions
Output I.1.1 Kuali Fund is operational and capitalized	Additional capital unlocked through the set-up of de-risking mechanism to attract investors to green inclusive finance	Kuali Subscription Report	0	EUR 75.6 million	EUR 75.6 million	Assuming that the risk appetite of private investors in the predecessor funds managed by Gawa is confirmed and new capital is raised .
	Volume of Kuali's outstanding investments with FSPs and Innovative Companies (ICs)	Kuali's investment portfolio	0	119.5	0	Volume of outstanding Kuali investments (debt or equity investments) with FSPs and ICs. Calculated as follows: Outstanding loan portfolio [principal balance of loans] + Amount of equity investments at cost. There is a peak in the outstanding portfolio in the middle of the investment period which

E.5. Project/programme specific indicators (project outcomes and outputs) change

Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
						gradually declines with repayments/exits
	Number of Kuali's investees (cumulated) Disaggregated by type of intermediary, by product/service, by target group, by served area/ sector	Kuali's investment portfolio	8	At least 15 investees From which - 13 FSPs /2 ICs 13/Loans/2 Equity Investments	At least 15 investees From which - 13 FSPs /2 ICs - 13/Loans/2 Equity Investments	Cumulated during the life of the Fund
	Number of investments (cumulated) Disaggregated by type of intermediary, by product/service, by target group, by served area/ sector.	Kuali's investment portfolio	0	> 3 deals	> 10 deals	Cumulated during the life of the Fund (an investee may benefit from several loans)
	Number of outstanding loans in Kuali's portfolio	Kuali's investment portfolio	13	TBD	TBD	Active loans/equity investments with FSPs/ICs in Kuali's portfolio as of the reporting date. There is a peak in the middle of the investment period which gradually declines with repayments/exits.
	Number of outstanding Kuali's equity investments	Kuali's investment portfolio	2	TBD	TBD	
Output I.1.2. Increased green financing	Volume of loans directed towards SMEs	- Investee's quarterly reports	0	EUR 12 million	EUR 30.1 million	Combines lending to Energy generation and

E.5. Project/programme specific indicators (project outcomes and outputs) change						
Project/programme results (outcomes/ outputs) available to SMEs and smallholder farmers	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
	Number of loans directed towards SMEs	(Clients outreach ⁹⁰ information provided by FSPs and Innovative companies)	0	1,328	4,428	access, Low Emission Transport Buildings, cities, industries and appliances
	Number of SMEs reached by the Fund		0	Direct: 1,328 (30% women-led)	Direct: 4,428 ⁹¹ (30% women-led)	25 % of total investments going to SMEs
				Indirect: 3,757 ≥ 50 % women	Indirect: 12,523 ≥ 50 % women	
	Aggregated portfolio volume (gross outstanding portfolio) of FSP investees directed towards SMEs.	Kuali's investment portfolio and monitoring system	n/a	EUR 71 million	EUR 179 million	Average portfolio size of investees of EUR 30 million
	Volume of outstanding loans directed toward Smallholders	Kuali's investment portfolio and monitoring system	n/a	EUR 36 million	EUR 89 million	Combines lending to Forestry and Land Use
	Aggregated portfolio volume (gross outstanding portfolio) of FSP investees directed towards Smallholders.	Kuali's investment portfolio and monitoring system	n/a	EUR 87 million	EUR 219 million	Average portfolio size of investees of EUR 30 M

⁹⁰ Client outreach information refers to loan tapes, client database, that demonstrate financial flow between FSP and IC to end-beneficiaries.

⁹¹ Mexico (2,346), Colombia (751), El Salvador (205), Panama (188), Honduras (529) and Guatemala (410), See sheet Beneficiaries in CO2 calculation Excel.

E.5. Project/programme specific indicators (project outcomes and outputs) change						
Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
OUTCOME 2 Improved resilience in vulnerable people & communities	Increased adaptive capacity of Smallholders	Kuali's investment portfolio and monitoring system	0	5% increased capacity	5% increased capacity	Assuming Kuali's investees can collect this information at field level through sample survey or other tools
	Number of SMEs and smallholder farmers reporting increased turnover (as a result of direct support received from the FSPs)	Kuali's investment portfolio and monitoring system	0	441 SMEs and 23,690 farmers (Disaggregated by sex / min 30% women owned/ women farmers)	1,107 SMEs and 59,477 farmers (Disaggregated by sex / min 30% women owned/ women farmers)	Assuming 25% of the FSPs' clients report the information about their increase in turnover
Output II.2.1. Kuali's TA Facility is operational	Amount of technical assistance resources directed to Green Enhancement projects with SMEs & Smallholder farmers	Kuali's investment portfolio and monitoring system	0	EUR 0.18 million	EUR 0.59 million	Awareness about the potential to increase income and reduce CO2 emissions, ad hoc environmental check-ups of individual businesses, Support digitalization, enhance CSA practices, etc.
Output II.2.2. Capacities for Climate Smart Agriculture and adoption of Climate Solutions built	Percentage of FSPs/Innovative Companies that conduct climate awareness activities and trainings with their SMEs/Farmers clients	Kuali's investment portfolio and monitoring system	0	10% of investees	30% of investees	Activities such as training sessions and discussions / display of posters / flyers on environmental impacts Trainings to clients (directly or in partnership with environmental

E.5. Project/programme specific indicators (project outcomes and outputs) change

Project/programme results (outcomes/ outputs)	Project/pogramme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
	Number of SMEs/Farmers clients having received climate awareness activities and trainings on Climate Smart Agriculture and adoption of Climate Solutions (GAP 4.1.)	Kuali's investment portfolio and monitoring system	0	3,635 attendees (Disaggregated by sex / min 30% women owned SMEs/women farmers)	12,117 attendees (Disaggregated by sex / min 30% women owned SMEs/women farmers)	organizations) on environmentally friendly practices or businesses.
	Percentage of clients of FSPs/Innovative Companies having adapted climate practices as a result of climate awareness activities.	Kuali's investment portfolio and monitoring system	0	30% of attendees (Disaggregated by sex / min 30% women owned)	30% of attendees (Disaggregated by sex / min 30% women owned)	
OUTCOME 3. Enhanced green & inclusive financial ecosystem	Number of Innovative Companies with green product targeting Smallholders and SMEs	Kuali's investment portfolio and monitoring system	n/a	0	2	Assuming that a number of non-green ICs are financed to become green in the future and that the target is not fully met
	Number of FSPs with green finance methodologies and products	Kuali's investment portfolio and monitoring system	n/a	4	12	Assuming that a number of non-green FSPs are financed to become green in the future and that the target is not fully met

E.5. Project/programme specific indicators (project outcomes and outputs) change						
Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
	Number of FSPs using specific tools to evaluate the environmental risks of clients' activities	Kuali's investment portfolio and monitoring system	n/a	4	12	Assuming that a number of non-green FSPs are financed to become green in the future and that the target is not fully met
Output II.2.1. Kuali's TA Facility is operational	Amount of technical assistance resources directed towards FSPs and Innovative Companies	Kuali's investment portfolio and monitoring system	0	EUR 0.8 M	EUR 2.7 million	Output 3.1: Kuali's TA Facility is operational
	Amount of EUR implemented in Knowledge Sharing	Kuali's investment portfolio and monitoring system	0	EUR 0.11 million	EUR 0.35 million	
	Amount of EUR implemented in Ecosystemic projects	Kuali's investment portfolio and monitoring system	0	EUR 0.18 million	EUR 0.59 million	Projects seeking improvements in markets for products, country level infrastructure, policy and regulatory framework, institutional set up and other activities (e.g. creation of partnerships between FSPs and Fintechs, - Open banking initiatives)
Output II.3.1. Strengthened financial ecosystem actors' capacities enabling	Percentage of FSPs improving their green readiness through TA Projects	Kuali's investment portfolio and monitoring system	0	15%	50%	

E.5. Project/programme specific indicators (project outcomes and outputs) change						
Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
green and inclusive finance.	Percentage of FSPs improving their Social Performance and Environmental Risks Management Systems projects through TA	Kuali's investment portfolio and monitoring system	0	2.2%	7.5%	
	Percentage of FSPs improving their General Business through TA	Kuali's investment portfolio and monitoring system	0	2.2%	7.5%	
	Percentage of Innovative Companies improving their Business Model through TA	Kuali's investment portfolio and monitoring system	0	3%	10%	
	Percentage of Innovative Companies or FSP working with SME or smallholders to improve their Green Enhancement through TA	Kuali's investment portfolio and monitoring system	0	3.75%	12.5%	
	Number of attendees to trainings about women's economic empowerment via FSP through business skills training and financial	Kuali's investment portfolio and monitoring system	0	199 women-led SMEs and 10,706 women farmers	664 women-led SMEs and 35,686 women farmers (50% of total women) 5% of total	Participation will be reviewed prior to the trainings being organized

E.5. Project/programme specific indicators (project outcomes and outputs) change						
Project/programme results (outcomes/ outputs)	Project/pogramme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
	literacy completed (GAP 4.2)				attendees will be indigenous women and 5% afro descendant women (as a minimum).	
	Tangible knowledge products or best practices generated	Technical Assistance Facility Reports	0	2	4	
Project/programme co-benefit indicators						
CO-BENEFIT 1 Improved financial inclusion and gender outreach	Number of people accessing to Financial Services (FS) disaggregated by sex, poverty line, country, region and type of service (credit savings, other FS, non-FS) when possible	Kuali's investment portfolio and monitoring system	0	90,876	302,919	The total number of borrowers is 242,335 . An extra 25% end clients using other products than credit has been added (such as savings, insurance etc.)(302,919, from which 90,876 women, 30%).
CO-BENEFIT 2 Employment preservation and labor women inclusion	Number of direct FTE jobs supported disaggregated by sex, age, and country/region when possible	Kuali's investment portfolio and monitoring system	0	101,645 (30,493 women's jobs supported)	356,001 (107,520 women's jobs supported)	See in Annex CO2 calculation, sheet beneficiaries: a) Supported jobs in SMEs 10*4,428 SMEs financed= 44,280: (conservative, since 10 is the minimum number of employees to be considered for SMEs) ;(30% women's jobs, i.e., 13.284)

E.5. Project/programme specific indicators (project outcomes and outputs) change						
Project/programme results (outcomes/ outputs)	Project/pogramme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
						b) Supported jobs in farmers: 237,907 farmers financed* 1,28 [Source FAO] FTE jobs /farm= 304,521 FTE total jobs to farmers (30% women's jobs, i.e., 91,356) c) FTE in FSPs = 400* 13= 5,200 jobs in FSPs. (40% women's jobs, i.e., 2,080) d) FTE jobs in ICs= 1.000*2= 2.0000 (40% women's jobs, i.e., 800) d) Total Employment directly supported: 356,001 FTE jobs (30.2% women's jobs, i.e., 107,520)
CO-BENEFIT 3: Efficient technology / Climate smart agriculture practices adoption by SMEs/ farmers	Number of SMEs implementing new efficient technologies	Kuali's investment portfolio and monitoring system	0	TBD	TBD	Assuming that all SMEs and farmers financed with green loans adopt the new technologies.
	Number of farmers implementing new efficient technologies	Kuali's investment portfolio and monitoring system	0	702 SMEs/ 78,240 farmers	2,341 SMEs/ 260,801 farmers	

E.6. Project/programme activities and deliverables			
Activities	Description	Sub-activities	Deliverables
Activity I.1.1.1. Raise capital from public & private investors	Raise capital from private investors. Legal documents, set up of the TA Facility, Private Capital Raising,	I.1.1 1 1. Preparation of the Fund's legal documentation and governance: - Legal Advisory	Kuali Fund closed with EUR 213 million of private capital

E.6. Project/programme activities and deliverables			
Activities	Description	Sub-activities	Deliverables
	Formalization, Closing period (1-1,5 years), when investors can make commitments to invest in the fund from the fund until its final closing"	- Finalization of legal documents - I.1.1.1.2. Marketing Period: - Private Capital Raising - Formalization - I.1.1.1.3. Closings: - First Closing - Final Closing	
Activity I.1.1.2. Debt and/or equity investments into FSPs & ICs	Financing to FSPs to develop green portfolios through the financing mitigation and adaptation initiatives. Financing to Innovative Companies to catalyze the delivery of mitigation and adaptation technologies to SMEs"	- I.1.1.2.1 Financial, Environmental & Social Due Diligence - I.1.1.2.2 Investment Committee meetings - I.1.1.2.3 Formalization with partners - I.1.1.2.4 Debt and equity investments into FSPs - I.1.1.2.5 Debt and equity investments into ICs	- Environmental & Social Due Diligence Reports - Impact Score and Fund's Audited Impact Score - IC Minutes - Preliminary and Final IC Memo (per investee), etc. - IC Memo (deliverables in Environmental and Social Management System of Kuali Fund, GAWA, Kuali Fund- Manual of Policies and Procedures and Gawa Impact Management System) - Kuali's monitoring reports
Activity I.1.2.1. Delivery of finance towards SMEs and Smallholder farmers trough FSPs	FSPs deliver loans and other financial services to SMEs & Smallholder farmers	- I.1.2.1.1 . Implementation of FSPs' Processes & Procedures (Financial and Social) - I.1.2.1.2 Kuali's Monitoring and Supervision of the operations (Financial and E&S)	- Increase in the green portfolio of the target beneficiaries. - Increase SME portfolio of the target beneficiaries. - Increase Smallholder portfolio of the target beneficiaries. - FSPs/ICs' Monitoring Reports - Kuali's monitoring reports
Activity II.2.1.1.TA Governance and Management in place	Set up of the TA Facility		- TA Fiduciary Agreement - TA Guidelines - TA Identifications needs Report

E.6. Project/programme activities and deliverables			
Activities	Description	Sub-activities	Deliverables
		II.2.1.1.1. Preparation of the Fund's and the TAF legal documentation and governance II.2.1.1.2. Identification of TA Projects II.2.1.1.3. On-site TA Needs Assessment II.2.1.1.4. Elaboration of the TA request	- TA Project Design
Activity II.2.1.2. Procurement in place and contractors ready to implement TA Projects	Procurement processes, call for proposals and contract negotiations with Non-Financial Services Providers	II.2.1.2.1. Draft of ToRs II.2.1.2.2 Call for Proposals II.2.1.2.3. Contracts with Service Providers	- ToR - Announcement - Contracts
Activity II.2.2.1. Green Enhancement projects with SMEs & Smallholder farmers	Projects channeled through FSPs/ Fintech or ICs directly targeting and benefiting SMEs and smallholder farmers. (Technology deployment)"	II.2.2.1.1. Workshops/ marketing about energy efficient equipments II.2.2.1.2 Environmental check-ups of individual businesses & advice on opportunities to reduce emissions. II.2.2.1.3 Support digitalization of processes II.2.2.1.4 Streamlining value chains to make them energy efficient II.2.2.1.5 Workshops & practices at farmer level on climate smart agricultural practices through cooperatives and producer organizations	TA Reports and deliverables of Service Providers contracted under the TAF
Activity II.3.1.1. Green Readiness TA projects with FSPs	Projects aiming at ensuring that the investees have the right People, Processes and Products to serve	II.3.1.1.1. Develop Green financial products	TA Reports and deliverables of Service Providers contracted under the TAF (with indicators about # of Green financial products

E.6. Project/programme activities and deliverables

Activities	Description	Sub-activities	Deliverables
	green solutions to SMEs and smallholder farmers. (Market Development)	II.3.1.1.2. Implementation of new processes & technologies II.3.1.1.3. Training on green finance	# & type of new processes & technologies, Reports on workshops, etc.)
Activity II.3.1.2. Social Performance and Environmental Risks Management Systems projects with FSPs and ICs	Implementation of an Environmental and Social Risk Mitigation Management Systems (both internal and external) to reduce the institution's carbon footprint (reduction in waste, paper, water, or energy consumption) and to include environmental risk as a factor of the activities financed and on the credit approval process. Integration of gender issues	II.3.1.2.1 Purchase of specific software packages to be implemented within the FSPs & ICs II.3.1.2.2 Establishing risk mitigation systems to monitor and mitigate agriculture and MSME/ smallholder farmers II.3.1.2.3. Projects aiming at improving the ability of investees to achieve it social mission and adequately manage Environmental and Social Risks by following the SPTF Universal Standards II.3.1.2.4. Elaborating and implementing a gender and SEAH policy and action plan for FSPs/ICs' internal dimension (GAP: 2.1) II.3.1.2.5. Elaborating and Implementing a gender and SEAH action plan for external dimension in FSPs (GAP: 2.3 and 2.4) II.3.1.2.6 Training and support for FSPs and IC to implement a ES management system including gender and SEAH and to gain knowledge on these issues (GAP: 2.5) II.3.1.2.7 Promoting access to finance taking into account women's barriers	TA Reports and deliverables of Service Providers contracted under the TAF, eg. : software purchased and implemented, ESMS implemented, policies drafted, report on implementations of ICs' Gender Action Plans, etc.)

E.6. Project/programme activities and deliverables			
Activities	Description	Sub-activities	Deliverables
		for providing guarantees (GAP: 3.1 & 3.2)	
Activity II. 3.1.3. General Business Improvement projects with FSPs	Projects aiming at improving the financial performance and the risk management of the investee.	II. 3.1.3.1. Creation of new lines of business to address the consequences of the COVID-19 crisis II. 3.1.3.2. Financial and capacity building education for SMEs and farmers II. 3.1.3.3. Identifying new green opportunities in the economic recovery. II. 3.1.3.4. TA Projects on Digitalization	TA Reports and deliverables of Service Providers contracted under the TAF
Activity II. 3.1.4. Business Model Improvement TA projects with ICs	Support to IC's business models to make their products ready for market, to improve their efficiency and to ensure that commercially ready solutions are able to be adopted/scaled up, aiming at better include and serve farmers and SMEs	II. 3.1.4. 1. Design and scale of distribution and supplying schemes. II. 3.1.4. 2. Advisory service on green practices II. 3.1.4.3. Design of marketing strategies. II. 3.1.4.4. Establish partnerships with local companies. II. 3.1.4.5. Technical support for operational challenge II. 3.4.6. Talent management support	TA Reports and deliverables of Service Providers contracted under the TAF
Activity II.3.1.5. Ecosystemic Projects, stakeholder engagement and Gender actions	Improving green financial ecosystem at regional or country level to indirectly		- Update of Kuali investment due-diligence process,

E.6. Project/programme activities and deliverables

Activities	Description	Sub-activities	Deliverables
	benefit the investees and their clients. Supporting projects seeking improvements in markets for products, country level infrastructure, policy and regulatory framework, institutional set up and other activities.	II.3.1.5.1. Updating and extending gender country assessments (GAP: 1.4) II.3.1.5.2. Capacity building and awareness raising of potential final beneficiaries. Support for women's economic empowerment (GAP: 4.1, 4.2 and 4.3) II.3.1.5.3. Projects in markets for products, country level infrastructure, policy and regulatory framework, institutional set up, etc. II.3.1.5.4. Partnerships between FSPs via an open-banking collaboration scheme II.3.1.5.5. Elaboration of Indigenous People Plans	including the GGA as part of E&S appraisal - . Assessment Report on ecosystemic issues and market failures - Gender and SEAH Policies - Specific reports on gender and SEAH training, Cultural hazards workshops, Sustainable agriculture techniques workshops, etc. (see Annex 6, 7 and 8)
Activity II. 3.1.6. Knowledge Sharing Program	Systematizing, documenting and disseminating the knowledge generated and the results of the Fund and best practices found as a result of Kuali and TA interventions. Connecting FSPs and innovative companies in difference geographies (LATAM – India)	II. 3.1.6.1. Workshops, symposium and/or conferences for partners, bringing together practitioners involved in green finance. II. 3.1.6. 2. Technical packages, systematizing and documenting the knowledge and best practices obtained throughout each project.	Tangible knowledge products or best practices generated. TA Reports and deliverables of Service Providers contracted under the TAF (eg. webinars, workshops, Reports on Lessons Learned, etc.)

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Kuali Fund-GCF represents a significant initiative to address current environmental and climate challenges. With the aim of ensuring effectiveness and transparency in action implementation, a comprehensive Monitoring Plan has been developed to span the entirety of the Fund's lifespan. This plan not only seeks to fulfill regulatory obligations but also aims to maximize the positive impact of the Funded Activity.

- Annual ex-post third party verifications:

These verifications will be carried out by a third-party validation and verification body. The Programme will appoint a third-party agency to verify the GHG emission reductions generated by Kuali Fund investments. By conducting these independent verifications, Kuali will be able to report GHG reductions to GCF in an open, transparent, and consistent manner during the project implementation.

Monitoring:

The plan encompasses a rigorous project monitoring process to ensure the efficient execution of funded activities. Examples of monitoring activities include: Establishment of key performance indicators (KPIs) to measure progress in implementing each project; Periodic reviews of progress reports provided by project stakeholders; On-site visits to directly assess the status of projects and address any identified issues.

Additionally, the AE will undertake the following requirements as monitoring, reporting and evaluation covenants:

- Contractually require, monitor and enforce that the FSPs receiving funding under the Funded Activity apply such amounts towards meeting the agreed portfolio targets described in the paragraph below;
- Ensure that subsequent disbursements (whether by way of a capital call or a disbursement under the relevant debt instrument or otherwise) from Kuali Fund-GCF to an FSP are based on evidence of the FSP having met the agreed portfolio targets during the Ramp-up Period, where such portfolio targets per FSP are based on the baseline studies and proposed by the Kuali Fund-GCF;
- Contractually require, monitor and enforce such requirement, that the verification of targets shall be based on annual sub-loan reporting to the Kuali Fund by each FSP and certified by an independent verifier, which shall inform the Kuali Fund-GCF on the type (number and volume) of loans that are climate aligned and other loans (which shall form part of APR referred in paragraph above). The climate alignment aspect must be based on the Eligibility Criteria and the relevant Study referred in Clause 13.I (h). of the Term sheet;
- Ensure that the targets referred to in paragraph above are verified by an independent verifier based on terms of reference and the approach agreed between the Accredited Entity and the Secretariat;

- Impact Assessment:

Impact assessment will be an integral component of our monitoring plan. Examples of activities include: Analysis of collected data to assess the real impact of interventions in terms of emission reduction and social benefits; Surveys and stakeholder consultations to gather valuable feedback on perceived impact at the local level; Comprehensive assessment reports to be shared with all stakeholders, fostering transparency and accountability.

The AE (COFIDES) will monitor the EE's (General Partner or GAWA) in two different scopes: (i) ESG performance and compliance, and (ii) impact reporting both on an annual basis and by the corresponding evaluations. Furthermore, the General Partner is available on an on-going basis for any questions the AE may have regarding Kuali Fund-GCF assessment and impact reporting/methodologies.

The value of the EE's impact indicators should be based on reliable source documents, such as latest audited annual reports or consultant reports. If none of those are available, then data coming directly from client may be used. The information will be referred for verification purposes to the original source including the name of the document, the year of the report, the page number, etc. and saving the document in a permanent folder for the rest of the fund life. To verify data, Partnerships for Development (area in COFIDES in charge of the GCF accreditation and identification, analysis, monitoring, evaluation and all issues related to GCF) will check this monitoring information internally in collaboration with E&S department, legal department and internal audit department. For measuring the impact data correctly, EE will develop an impact measurement tool to enable portfolio companies measure its GHG emission reduction; enhancing capacity of portfolio companies to measure climate impact. GAWA will be in charge also of any update in the monitoring framework, reporting and verification of GHG emission of any portfolio company of Kuali Fund-GCF.

GAWA Capital is focusing not only on measuring its environmental and social impact, but also to actively managing the investments in order to maximize the potential environmental and social impact. To do so, the Fund Manager have integrated a social performance management system to the investment process.

The Impact Score will be measured at the beginning of each investment during the social and environmental due diligence. It will be measured and monitored on a quarterly basis. After the exit of each investment, the Investors Advisory Committee will select an independent social auditor that will measure the Audited Impact Score. An Audited Impact Score will be obtained as the average of all the investee's Audited Impact Score. This Audited Impact Score will determine half of the potential carried interest of the Fund's managers.

The Fund Manager shall report to the Shareholders on a quarterly and on an annual basis.

The quarterly reports shall be delivered to Shareholders 45 days after the end of each quarter and shall include, at least, the following information:

- NAV of the Funded Activity and by share class and unaudited financial statements.
- Economic and markets information of the investee countries.
- Information about the investee portfolio and breakdown by geographies.
- Financial performance of investees as well as ESG metrics and gender metrics (including, if available, the reporting indicators).
- Impact score evolution.

- Information about the investments in pipeline.
- Expected capital drawdowns and distributions to Shareholders during the following quarter.
- Capital invested, capital to be called and total capital committed.

On an annual basis, the Fund Manager shall deliver to the Shareholders:

- Audited annual accounts of Kuali Fund (according to IFRS) and the auditor's report.
- Main milestones achieved during the financial year and expected achievements for the following year.
- E&S Annual Report including gender issues and GAP implementation.
- TAF Annual Report.



When generating pipeline, GAWA always seeks Investees with **the potential of servicing the SME and the smallholder farmers segment and with willingness to become "greener"**: opportunities in potential investees which target and/or plan to expand their operations in the SME and smallholder farmers sectors and which are committed to improve their environmental practices.

During the Due Diligence (DD) process, GAWA Capital conducts a **detailed environmental due diligence** with the objective of assessing (i) investee environmental adaptation using a tool called Green Index which is part of the Cerise SPI4 tool and (ii) transformation potential of the investee to better serve/include SMEs and the smallholder farmers. All the strengths, weaknesses and areas identified for improvement will be included in the Environmental and Social Due Diligence report, which will serve as an initial input for the TA Steering Committee to **explore potential TA interventions** that could be implemented in agreement with the investee's management.

Legal documents will include **social covenants** (e.g. implementation/further development of environmental policies; etc.) as well as **key impact-related goals** (e.g. new SME or smallholder farmers clients to be reached with green lending, new products to be launched, etc) which the investees commit to achieving during the life of the investments. In addition, goals will be set that the investment needs to achieve. These goals will be linked to the calculation of carried interest for the General Partner. Goals will refer to the number of SMEs or smallholder farmers to be reached and to transformative metrics both referring to green adaptation of the investee and to SME/smallholder farmers adaptation of the investee.

The monitoring system follows the evolution of the environmental and social metrics and of the implementation of agreed TA projects, revised quarterly. The investee will need to fill out a social monitoring form and there will be a monitoring call with management to understand recent developments of TA projects. The Fund will also monitor the compliance with environmental and social covenants included in the investment agreements. The result is reported quarterly to investors.

The aggregated quarterly and annual reports are constructed by the sum of individual reports at the investees level. Data will be captured and recorded through the iLEVEL⁹² software a tool that streamlines data collection, portfolio monitoring, analytics, valuation, and reporting. At the Due Diligence and initial investment phases (sometimes with the help of dedicated consultants that will guide the institution) specific Climate lending eligibility requirements, CO2 baselines, CO2 mitigation calculations, Adaptation baselines and all expected targets will be embedded in the software.

⁹² [https://www.marketplace.spglobal.com/en/solutions/ilevel-software-\(1480715a-1925-49f3-8b63-4e88178a2300\)](https://www.marketplace.spglobal.com/en/solutions/ilevel-software-(1480715a-1925-49f3-8b63-4e88178a2300))

External evaluators will assess twice (mid-term (year 5) and final (year 10)) progress across each of the three paradigm shift dimensions (scale, replicability, sustainability). Assessments will be scorecard-based following the IRMF and supported by a qualitative, narrative assessment. Enabling environment scorecard assessments for the interim and final evaluations will also be reported (core indicator 6, 7 and 8). A brief qualitative report of the progress against the selected enabling environment indicators will also be provided whenever possible.

The **TAF Manager** shall report to the TA Steering Committee (TASC) on a quarterly and on an annual basis. The governing documents of the TAF shall determine the specific contents of the quarterly and annual reports.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Please describe financial, technical, operational, macroeconomic/political, money laundering/terrorist financing (ML/TF), sanctions, prohibited practices, and other risks that might prevent the project/programme objectives from being achieved. Also describe the proposed risk mitigation measures. Insert additional rows if necessary.

For probability: High has significant probability, Medium has moderate probability, Low has negligible probability

For impact: High has significant impact, Medium has moderate impact, Low has negligible impact

Prohibited practices include abuse, conflict of interest, corruption, retaliation against whistleblowers or witnesses, as well as fraudulent, coercive, collusive, and obstructive practices

Selected Risk Factor 1

Category	Probability	Impact
<u>Legal</u>	<u>Medium</u>	<u>Medium</u>

Description

Political instability (Transfer restriction, expropriation, currency convertibility, war and civil disturbance, economic turndowns).

Mitigation Measure(s)

The top-down due diligence approach starts with country selection. Kuali Fund-GCF will select target countries analyzing the political, macroeconomic and social situation and the risk of political intervention in the financial system.

- **Political intervention in the financial sector** can bring new regulation that may hinder the development of financial inclusion and, more specifically, the SMEs and the smallholder farmers finance. Before investing in any country, GAWA Capital conducts a detailed analysis and due diligence of the political, economic and regulatory risks and screens out countries that are politically unstable, prone to transfer and convertibility risk. Part of the analytical review entails: (i) discussions with sovereign rating analysts, (ii) meetings with multilateral representatives, (iii) reviewing country reports and (iv) discussions with embassy officials and other relevant third parties (including government bodies). Emerging economies are more exposed to **volatility of macroeconomic events** such as recession, inflation or government-related defaults which, as a result, can negatively affect the financial and agricultural sectors. Commodity prices can also strongly impact the economy and further exacerbate currency volatility. This risk is mitigated in two ways:
 - Top-down investment approach, picking countries which are less likely to suffer macroeconomic events and/or are more resilient to shocks. Extensive macroeconomic/political analysis is carried out before making an investment.
 - Picking companies that have the financial strength to be resilient to a potential shock. For example, companies that are well capitalized and have demonstrated the ability to raise capital in difficult times (e.g. owned by shareholders that can inject more capital if needed) or which are profitable and use these profits to strengthen their capital base.
- Concerning **foreign exchange risk**, thanks to its partnership with hedging providers, Kuali Fund-GCF can lend in local currency and hedge to EUR for all debt investments. In equity investments, where hedging is not an option given the lack of a clear exit date, we invest in local currency after careful consideration of the historical performance of the currency against the EUR and after a thorough analysis of the currency perspective.
- Another risk has been identified regarding possible **economic turndowns** due to global fluctuations or specific crisis like COVID-19. At a lower level, credit risk would be also related to specific risks linked to the SMEs and the smallholder farmers sectors or even the credit/financial intermediary risk.

Finally, a thorough scoring model has been developed, providing the maximum percentage of Kuali Fund-GCF that can be invested in a specific country by analyzing a wide range of macro-economic, political, regulatory and market indicators.

Selected Risk Factor 2

Category	Probability	Impact
<u>Credit</u>	<u>Medium</u>	<u>Medium</u>
Description		
- Specific risks linked to the SMEs and smallholder farmers sectors. - Credit /Financial intermediary risk.		
Mitigation Measure(s)		
Kuali Fund-GCF will seek investments with a low risk profile activity in order to create a portfolio with an adequate quality, according to the experience and the long track record of the Fund Manager and the accredited entity in developing markets. There will be also a diversification policy in the portfolio investments in order to mitigate this risk, that will be also lowered by the TA facility (with a thorough selection process and the Fund Manager expertise) in the SMEs and smallholder farmers' adaptation process. Credit risk is extensively analyzed during the on-site due diligence. In addition to this, there will be a quarterly monitoring review where credit risk parameters are closely followed and a thorough analysis is carried out if portfolio quality worsens or any covenant is broken. If the situation persists, an additional on-site due diligence may be arranged to visit affected branches and assess the situation.		

Selected Risk Factor 3

Category	Probability	Impact
<u>Fiduciary</u>	<u>Medium</u>	<u>Medium</u>
Description		
- Money laundering. - Terrorism financing. - Prohibited Practices. - Sanction lists.		
Mitigation Measure(s)		
No activities will be undertaken in any UNSC sanctions regimes. No individual or entity that is listed on any UNSC sanctions list will be involved in any manner with the project or its activities, either as a counterpart, implementer or beneficiary. There is no intention to distribute or disburse to beneficiaries, either directly or indirectly, cash, vouchers, commodities or other items of value. An integrity channel has been set up to enabling the report of complaints and allegations of impropriety, wrong-doing or other related issues to the projects or its activities. The channel is publicly available (both in Spanish and English) in the following link: https://www.cofides.es/integridad. Regarding jurisdictions that are listed by the Financial Action Task Force (FATF) such as Panama, a reinforced due diligence will be carried out, in line with the requirements of COFIDES' AML/CFT procedure. The specific activities declared by the potential investee and the identification of the holder will be closely looked at.		

Selected Risk Factor 4		
Category	Probability	Impact
<u>Other</u>	<u>Low</u>	<u>Medium</u>
Description		
- Social and Environmental risks: SMEs and smallholder farmers specific risks (i.e. Client Protection Principles, financial consumers' rights). - Implementation and operational risks. - Others.		
Mitigation Measure(s)		
The due diligence will include a social and an environmental risk analysis that will cover SMEs and smallholder farmers specific risks (i.e. Client Protection Principles, financial consumers' rights) including special needs of vulnerable groups such as indigenous peoples if any risk or harm is estimated to be possible (see more details in Annex 6). Regarding the implementation risk, an adequate and thorough selection process together with the previous experience of the senior managers would mitigate the potential lack of experience in managing direct operations with Fintech companies. The operational and fraud risk is mitigated via field audits performed during the on-site due diligences, analysis of investees' full operating manuals, in addition to random checks. For corruption related risk, there will be background checks on the key individuals of the FSP and innovative companies, including the OFAC list, analyzing the existing shareholders and their affiliations and monitoring information from Transparency International and other corruption-focused information providers. Regarding the asset-liability management, it will be mitigated by an initial ALM analysis and the correspondent monitoring of the investee's liquidity position. Another risk in technology and innovation of Fintech has been identified, which will be mitigated by the support on technology use, both in the field and in the head offices, recommending potential technology vendors if needed. Kuali Fund-GCF will benefit from the Technical Assistance facility, that will act as a strong mitigant of some of these risks. TA will be used to help investees in improving aspects such as technology adoption or product improvement. Finally, as for the business cycle of the investees, it is important for FSPs to adjust their sourcing requirements to the cash model of their loan products' cycles. In the same line, it is essential to adapt their loan products to the business cycle of their clients' productive activities (i.e. longer tenor for agricultural loans, amortization consistent with harvests). The Fund Manager analyses the cash flow models of invested FSPs and may advise the management in achieving the optimal funding structure.		

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

RISK CATEGORY

Kuali Fund-GCF (and Kuali Fund) is categorized as I-2, though investments mostly will be rated as I-3. The Funded Activity is not intended to finance or invest in FSP/ innovative companies with exposure to high Environmental and Social (E&S) risk sectors according to IFC standards. FSP/ Innovative Companies are expected to trigger Green Climate Fund E&S Standards in their Environmental and Management Systems (ESMS). GAWA will support this through capacity building (by means of its Technical Assistance (TA) facility). As for Innovative Companies (IC), the risk associated is C.

ENVIRONMENTAL AND SOCIAL ASSESSMENT AND MANAGEMENT INSTRUMENTS

GAWA has developed an operational ESMS according to the Green Climate Fund E&S Standards (See Annex 6). It is integrated into Kuali Fund-GCF's own investment process and is focused on the E&S assessment of the FSPs/ Innovative Companies with a risk-based approach. In this regard, the E&S due diligence and monitoring of the clients will be based on the project life cycle and will comprise the following stages:

STEP 1: SCREENING AND CATEGORIZATION

Kuali Fund-GCF Portfolio and the expected project activities will be screened by the investment analyst against IFC exclusion list to ensure no activity on this list will be financed.

The E&S Officer will carry out the E&S risk categorization according to the ICF Categorization List.

Kuali Fund-GCF's investments in FSP will normally fall into the I-3 category (low risk) and the I-2 category (medium risk). As for Innovative Companies (IC), the risk associated is C or B, rated according GCF Risk Categorization Ratings (being A -high, B-medium; C-low) for direct investments. Potential investments that fall on the A category for ICs or I-1 category for FSPs will be screened out and will not be considered for further analysis and investment.

The Investment Officer will include in the **Preliminary Investment Memorandum** the conformance with the exclusion list and the E&S Officer will include the key E&S issues, the proposed investee E&S risk category, the proposed scope of the ESDD and any anticipated E&S requirements.

STEP 2: E&S and SEAH DUE DILIGENCE (ESDD)

During the due diligence, Kuali Fund-GCF's team will gain an insight into the nature and scope of the FSPs/ innovative companies' operations. An E&S performance due diligence is conducted in parallel with the business due diligence process when evaluating a potential investee.

An E&S due diligence and an on-site visit is conducted in parallel with the business due diligence process when evaluating a potential investee. This ESDD shall be carried out by the investment team in collaboration the E&S Officer.

The level of ESDD actions and requirements depend on the E&S risk of a potential FSP/ innovative companies. In all cases, the management of the E&S risks -and the E&S risks associated to its investments- of every FSP/innovative company will be evaluated. According to the E&S level of risk, an E&S Action Plan (ESAP) will be established in order to strengthen the ESMS of the FSP/ Innovative Company and it will have

to be accomplished along the loan tenure. In this stage, the TA could be used to address the ESAP (please refer to Annex 6).

A particular case within social risks is SEAH risk management. The ESDD will include an assessment of the situation and the need to include actions and requirements (from training, zero-tolerance of SEAH Guideline's code of conduct, policy and management system and resolution of incidents, GRM, among others) in a survivor-centered and gender-responsive manner. The objective will be avoided, and where avoidance is impossible, mitigate the risks of SEAH to people impacted by Kualiti Fund-GCF.

Despite being a very novel risk issue during due diligences, the SEAH risk forecasted for the project rated low-medium risk based in the AE experience in microfinance and SMEs investments (according to UN criteria -UN Protocol on Allegations of Sexual Exploitation and abuse involving IP, 2018- for considering SEAH high-risk activities the Funded Activity will not take place in high risk environments such as camps and shelters and involve nor the Funded Activity management company neither the FSP and ICs having direct contact with children. The aspect to be considered as relevant is the fact that the subprojects (FSP and IC) will take place in countries where sexual and gender-based violence is prevalent, therefore medium rate is present). It is required that every single subproject/investee company (FSP and IC) has a SEAH risk diagnosis and a SEAH plan accordingly to the satisfaction of AE and based on the SEAH risk assessment tool developed by the GCF's Secretariat.

SEAH risk management is far from being systematized and understood in the corporate world. This implies that for the management of SEAH risks in this program, the first measure that will necessarily have to be established is a specific staff training plan with a top-down flow (Kualiti Fund-GCF to FSPs/Fintech companies/investors). It will cover:

1. The fund management company will (i) acquire the necessary knowledge and skills in this area, including general aspects and country specificities (ii) adopt an explicit commitment to combat the SEAH and in favour of zero-tolerance of SEAH, and it has to be reflected in a code of conduct and a management system.
2. The E&S officer will include in the contracts with the underlying entities, clauses of commitment to Kualiti Fund-GCF Zero-Tolerance policy and the implementation of an ad-hoc management system, which may be the same as that of Kualiti Fund for the better centralization of data and its subsequent evaluation or based in the GCF SEAH risk assessment tool.
3. Within this contractual framework, the underlying companies of Kualiti Fund-GCF shall undertake to receive training in the field of SEAH, to increase their capacities transversally in the organization and to appoint a person responsible for making that commitment materialize (an E&S officer or a Human Resources Officer).
4. The EA will be reviewing and monitoring all these acts: Kualiti Fund-GCF's commitment and capacity; incorporation of clauses in contracts with underlying companies; training and assignment of managers in the underlying companies; aggregate and integrated monitoring by the Funded Activity of all these issues in an annual report that will reflect actions taken, incidents, resolution of the same and lessons learned.

The management system will not only be preventive to avoid SEAH but inclusive survivor-centered and gender responsive as well.

Additionally, the GRM of each underlying entity will be adopted not only for E&S claims but also to receive SEAH complaints in an anonymous way. Kualiti Fund-GCF will be informed quarterly about SEAH incidents and actions taken. This information will be processed and included in the annual E&S report to the AE.

Besides, the AE will also be available to receive and process SEAH complaints in its Program mailbox. Those complaints will be evaluated by the AE Sustainability and Impact Division.

Kuali Fund will use several tools/guidelines to support this process: IFC Performance Standards, IFC EHS Guidelines, Alinus/SPI4 with Green Index module and Global Map of Supply Chain Risks in Agro-Commodity Production, UN SEAH Policies and Protocols (*UN Protocol on Allegations of Sexual Exploitation and abuse involving IP*), among others.

The result of the ESDD will be documented in an **ESDD Report** which will include all the strengths and weaknesses detected in the FSP/innovative company, in addition to the areas identified that could be improved with TA interventions.

STEP 3: E&S Conditions of Investments

The Investment officer and director of the Fund Manager will negotiate and agree with the FSP/ innovative company the E&S provisions and investment conditions in the term sheet and investment agreement. These consist of standard E&S terms applicable to all Fund investments, and specific conditions identified during the ESDD of a proposed investment (ESAP with SEAH requirements will be included in the legal documentation).

The Funded Activity's Fund Manager should ensure that any conditions of investment tied to disbursement of funds, as specified in the investment agreement, are met before disbursing funds.

STEP 4: TECHNICAL ASSISTANCE

The ESDD will help identify potential TA projects with regard to the green readiness, E&S risks management and gender approach integration of FSPs and Innovative companies.

Examples of Green Readiness projects:

- Implementation of green products directed to the MSME or smallholder farmers such as loans to finance more efficient new machinery or equipment or climate smart agriculture loans.

- Training people on climate finance, including product specialists, risk officers, loan officers and man. For more details about the Technical Assistance Facility and its use please refer to the Kuali Fund TA Operations Manual.

STEP 5: MONITORING AND REPORTING

The Investment officer and E&S Officer should actively supervise and monitor compliance with the E&S covenants included in the investment agreements and the E&S performance of each of its portfolio investments. For this purpose, FSPs/ innovative companies will fill out an E&S Performance Report on a yearly basis. It will include at least the following:

- Portfolio breakdown by industry sectors, E&S risk category and product lines, and sample ESDD reports carried out by I-1 investees.
- Cases of non-compliance with E&S requirements
- Serious E&S accidents or incidents related to a transaction, including SEAH information.
- Information on the implementation of any changes to the E&S Management System.

Besides, Kuali Fund-GCF will prepare a E&S monitoring report for all investors on an annual basis with aggregated information of the FSPs/ innovative companies:

- E&S risk category of each investee.

- Major E&S performance related activities per investee.
- Evolution of E&S covenants and E&S Action Plan, if applicable.
- Evolution of the Green Impact Score (GAWA customized metric that measures social impact and green readiness based on SPI4 and other indicators) of each investee and on an aggregated basis.
- Evolution of SEAH measures, incidents, and their solution
- Status of implementation of Technical Assistance projects by each investee and underlying investments, if applicable.

GRIEVANCE MECHANISM

The grievance mechanism ensures the right to be heard for complainants who feel affected by Kuali Fund-GCF's financed operations in order to enable resolution of disputes and assist the Funded Activity in drawing lessons learned for current and future operations. Any person or group may lodge a complaint and it can be submitted in any language by letter, e-mail and/or web form (e-mail and web to be determined). Kuali Fund-GCF will require all investees to have a GRM in place in which they compile all complaints and follow up their resolution.

DISCLOSURE OF INFORMATION

After the ESDD of a potential investee and before the financial legal agreement is signed, the E&S Officer will disclose an "Executive Summary E&S Assessment" (includes the E&S category of the investee and a brief description of the identified E&S risks and mitigation measures to be implemented) in the Funded Activity's webpage according to the requirements of GCF's Disclosure Policy.

CAPACITY IN TERMS OF HUMAN RESOURCES

Senior Management

The CEOs of GAWA Capital as representatives from the upper management are responsible for Kuali Fund-GCF's overall commitment to E&S objectives during the whole investment process. In particular, the CEOs establish the Funded Activity's E&S requirements and conditions for investees, as defined herein. In cases of unresolved E&S issues or non-compliance associated with a transaction that cannot be resolved by the Investment Officers, Senior Management determines the appropriate course of action to follow to reduce the financial institution's potential exposure to E&S risk, which may include taking legal action against the client/investee.

E&S Officer

The Technical Assistance Manager of GAWA Capital will act as the E&S Officer of the Kuali Fund-GCF. The E&S Officer is responsible for developing and implementing the ESMS as well as for communicating with senior management on E&S issues and concerns.

The E&S Officer is responsible for developing and updating the procedures and documents that are part of Kuali Fund-GCF ESMS. This person also evaluates the E&S risks at the portfolio level and provides assistance to Investment Officers in evaluating and monitoring the E&S performance of clients/investees.

The E&S Officer in coordination with the Gender Officer will be involved in the solution of all E&S claims (including SEAH) received through the Funded Activity's GRM.

The E&S Officer will also lead the communication with the Members of the Technical Assistance Committee and, when necessary, with the management of the TA implementation partners.

The E&S Officer will receive annual training of E&S issues, including SEAH in order to keep up to date and will integrate and share the updated knowledge with the investees. Given the multi-country nature of the programme, the training will need to collate cross-cutting material subjects with countries E&S specificities.

Investment Officer

The Investment Officer is responsible for following the procedures of the ESMS at the transaction level. They discuss and negotiate possible E&S mitigation measures with the client/investee.

The Investment Officer is also responsible for evaluating the E&S risks at the level of individual transactions and make a recommendation to the Credit/Investment Committee on whether to proceed with a transaction.

The Investment Officer ensures that the Funded Activity's E&S requirements are incorporated in legal agreements for each transaction. The Investment Officer may advise if a client's/investee's non-compliance with E&S clauses constitutes a breach of contract and is considered an Event of Default under the terms of the legal agreement that requires follow up by Senior Management.

Investment Committee

The Investment Committee is responsible for deciding if E&S risks are acceptable to Kuali Fund-GCF overall exposure to risk before proceeding with a transaction.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

Kuali Fund-GCF aims at improving access to financial services with a special focus to support women entrepreneurs. In addition, specific gender interventions through TA funding will enable for more empowered women participation. The gender assessment is built on quantitative data and qualitative evidence derived from a desk review of existing literature and secondary databases. It includes general data about women in LAC as well as country-specific ratings and information.

Target countries have made substantial progress in recent decades, particularly in the topics of access to education and health services and have a solid legal framework. However, social norms limit the practical impact of the legally recognized rights of women. Gender gaps are still large in areas such as access to employment, entrepreneurship, representation in informal work, assets' property and control, access to finance and distribution of household and caring tasks. Gender-based violence continues being a major social issue in all countries. An external consultant will be hired to carry out country assessments.

Women in LAC has a strong history of entrepreneurial activity as the female/male led TEA ratio shows: 0.84, the highest in the world. Like other regions, women entrepreneurs are often driven more by necessity than in the case of men. For this reason, supporting them via financing and other mechanisms gains further importance. On top of that, over 60% of women are stuck in the informal sector, lacking access to financial, human and social capital, key constraints for the growth of their business. These constraints are exacerbated by weaker levels of financial literacy and lower legal ownership of assets or guarantees. However, women have shown to be responsible and loyal financial clients with higher aversion toward indebtedness than men.

Regarding agriculture, a high proportion of rural women employed in this sector are also unpaid family workers which puts them at a disadvantage. Gender gaps accentuate the vulnerability of women to the impacts of climate change, limit their adaptation capacity and reduced their potential contribution to reduce emissions of greenhouse gases.

The project will mainstream gender equality and women's empowerment at the Funded Activity level, the FSPs and Innovative Companies' level and their portfolio. Women's local organizations will be identified in each country and consultations with them will be conducted to incorporate their knowledge and views in the implementation of the project. Institutions and initiatives to address gender-based violence will also be identified in the target countries and dissemination of information on gendered violence as well as resources available in each country will be included. A gender policy will be required in the FSPs and innovative companies for both internal and external dimension. A gender approach management system has been integrated in the ESMS to evaluate gender issues and implement an action plan. To ensure that gender equality is addressed, specific covenants will be introduced in loan agreements.

Tracked indicators include, among others, the number of trainings about business skills and financial literacy and % of participation in capacity building activities (see Gender Action Plan for further information).

Regarding human resources, a Gender Officer who will receive periodic training will monitor the investee's compliance with the gender action plan and will be responsible for developing and implementing the gender management system. An E&S officer with expertise in gender will also be hired and work in coordination with the gender officer. In addition, gender related issues will be part of the calculation of an environmental and social performance score which will be linked directly to carried interest of the fund managers – if objectives are not achieved, the fund manager will earn a lower performance fee. Annual report will include information on the implementation of the Gender Action Plan.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

Kuali Fund-GCF will apply best practices in its financial management and procurement practices. The Funded Activity will benefit from the extensive experience in fund management of the Fund's Manager, GAWA Capital Partners SGEIC S.A., in addition to the support of external service providers such as a Fund Administrator, Custodian, Auditors, Legal and Tax advisors, amongst others. The Fund's Administrator will be in charge of book-keeping and preparation of the quarterly NAV and Annual Accounts of Kuali Fund, supported by documentation from the Fund Manager. The Funded Activity will undergo annual external audits, to be realized by a Big-Four company, again supported with documentation and evidence from the Administrator and the Fund Manager.

A detailed Financial Model enables the Fund Manager to oversee all operational and investment cashflows to ensure Kuali Fund-GCF's adequate financial management. The Funded Activity's Financial Model will include the consistent logging of cashflows in line with real bank cash movements and balances, whilst projecting the future cash inflows/outflows, thus enabling the Funded Activity to maximize return of capital/dividend payments to investors whilst ensuring the timely payment of all service providers.

Disbursements will be carried out on an investment-by-investment basis, involving a Capital Call procedure following the IC approval of each investment. Capital Call notifications are sent out to investors by the Administrator and funds enter the Kuali Fund's Investor Account from each investor, to be then transferred in their totality to Kuali Fund's Transaction Account (as per industry best practices) for disbursement. Prior to any disbursements, both Kuali Fund's Administrator and its Custodian must have received all pertinent documentation backing the transaction. In the case of debt financing, a disbursement schedule will be established. In the case of capital subscription, a Commitment Agreement for every investor will be made and this will be accompanied by the corresponding request for resources through a capital call⁹³. Commitments from Component I (loans and equity for investments) and commitments from Component II (grants for TA) will be separate and there will be therefore different calls for either financing capital and TA capital.

⁹³ As long as COFIDES will be a limited partner, COFIDES will not provide any no objection to the disbursements. COFIDES will ensure that the process will comply with the legal documentation that will be established the eligibility criteria and the rights granted to investors.

To ensure the financial sustainability of the Funded Activity's investments, close monitoring of each investee is carried out by the Fund Manager's investment team and CRO. Monitoring is typically carried out on a quarterly basis, involving the review of a detailed Reporting Factsheet to be filled out by investees, Financial Statements and the holding of quarterly monitoring calls with the management of the investee in addition to relevant third parties. Country risk is managed on-the-go, with the team keeping actively informed of political, macroeconomic and sectoral developments to ensure the sustainability of the investee's operating environment. Monitoring is up-stepped to a higher frequency where relevant (for example, in COVID-19 situation, Fund Manager's monitoring of current investees has been heightened).

The procurement of the different service providers necessary for the correct functioning of the Funded Activity's operations (e.g. Administrator, Custodian, Auditor, Insurance, Technical Assistance partners such as Consultants, etc.) will entail the hiring of renowned and trusted specialists in each field, which will be selected following thorough market research and the evaluation of the most appropriate provider for each task. This evaluation is based on cost, adequacy and scope of services provided in each provider's proposal. In the case of partners (such as external consultants) selected for the implementation of the Technical Assistance Facility, the process will involve a tender procedure, with decision-making in the power of the Technical Assistance Steering Committee during at least the first year of Kuali Fund-GCF's life. COFIDES's approved Procurement and Consultant Guidelines reviewed and accepted by the Fund will apply under these grants. Procurement will be carried out by Grant Recipients themselves and procurement plan will be agreed with the Grant Recipient.

COFIDES will carry out constant monitoring of the project. COFIDES will elaborate monitoring reports for the Spanish Cooperation through AECID and progress reports for the EUR and also for the GCF to ensure the proper use of its resources. GAWA will conduct frequent on-site missions during the investment period and also during the monitoring phase and will report to COFIDES and maintain constant communication between COFIDES and the management team. COFIDES will also receive information from each Investment Committee of the Funded Activity. Likewise, Kuali Fund will have independent evaluations and annual audits. It will also have an ESG auditor to assess the portfolio's environmental and social performance.

Finally, thanks to the joint experience of GAWA with COFIDES in GFIF Fund and Huruma Fund (where resources from COFIDES, FONPRODE, and the EU through COFIDES are invested), a highly developed knowledge of the procedures of these types of programs has been achieved. In particular, COFIDES' experience in reporting and compliance with EU regulations is also essential for the proper use of GCF resources.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☐ **No confidential information:** The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ **With confidential information:** The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and

- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

- ☒ Annex 1 NDA no-objection letter(s) [\(template provided\)](#)
- ☒ Annex 2 Feasibility study - and a market study, if applicable
- ☒ Annex 3 Economic and/or financial analyses in spreadsheet format
- ☒ Annex 4 Detailed budget plan [\(template provided\)](#)
- ☒ Annex 5 Implementation timetable including key project/programme milestones [\(template provided\)](#)
- ☒ Annex 6 E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3):
[\(ESS disclosure form provided\)](#)
 - ☐ Environmental and Social Impact Assessment (ESIA) or
 - ☐ Environmental and Social Management Plan (ESMP) or
 - ☒ Environmental and Social Management System (ESMS)
 - ☒ Others: Indigenous People's Plan
- ☒ Annex 7 Summary of consultations and stakeholder engagement plan
- ☒ Annex 8 Gender assessment and project/programme-level action plan [\(template provided\)](#)
- ☒ Annex 9 Legal due diligence (regulation, taxation and insurance)
- ☒ Annex 10 Procurement plan [\(template provided\)](#)
- ☒ Annex 11 Monitoring and evaluation plan [\(template provided\)](#)
- ☒ Annex 12 AE fee request [\(template provided\)](#)
- ☐ Annex 13 Co-financing commitment letter, if applicable [\(template provided\)](#)
- ☒ Annex 14 Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

- ☐ Annex 15 Evidence of internal approval [\(template provided\)](#)
- ☐ Annex 16 Map(s) indicating the location of proposed interventions
- ☒ Annex 17 Multi-country project/programme information [\(template provided\)](#)
- ☐ Annex 18 Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
- ☐ Annex 19 Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
- ☐ Annex 20 First level AML/CFT (KYC) assessment
- ☒ Annex 21 Operations manual (Operations and maintenance)
- ☒ Annex 22 Assessment of GHG emission reductions and their monitoring and reporting (for mitigation and cross cutting-projects)⁹⁴
- ☒ Annex X Other references
 Annex Investment criteria & Governance
 CO2 Calculation & Ex-ACT
 Manual of Policies and Procedures

* Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.

⁹⁴ Annex 22 is mandatory for mitigation and cross-cutting projects.

No-objection letter(s) issued by the national designated authority(ies) or focal point(s)

MINISTÉRIO DA ECONOMIA
Secretaria Especial de Comércio Exterior e Assuntos Internacionais
Secretaria de Assuntos Econômicos Internacionais
Subsecretaria de Instituições Internacionais de Desenvolvimento
Coordenação-Geral de Instituições Globais de Desenvolvimento

OFÍCIO SEI Nº 196177/2022/ME

Brasília, 08 de julho de 2022.

Mr. Yannick Glemarec

Deputy Executive Director
Green Climate Fund
G-Tower, 24-4 Songdo-dong, Yeonsu-gu
Incheon City, Republic of Korea

Subject: Funding proposal for the GCF by COFIDES regarding the program "Kuali Fund".

Dear Mr. Glemarec,

1. We refer to the program titled "**Kuali Fund**" as included in the funding proposal submitted by COFIDES to us on May 24th, 2022.
2. The undersigned is the duly authorized representative of the Secretariat for International Economic Affairs, Ministry of Economy, the National Designated Authority of Brazil.
3. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.
4. By communicating our no-objection, it is implied that:
 - a) The government of Brazil has no-objection to the programme as included in the funding proposal;
 - b) The program as included in the funding proposal is in conformity with Brazil's national priorities, strategies and plans;
 - c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.
5. We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.
6. We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.
7. We acknowledge that this letter will be made publicly available on the GCF website.

Best regards,

Electronically signed document

MARCO AURÉLIO DOS SANTOS ROCHA

Secretary for International Economic Affairs

National Designated Authority for Brazil



Documento assinado eletronicamente por **Marco Aurélio dos Santos Rocha, Secretário(a) de Assuntos Econômicos Internacionais**, em 08/07/2022, às 20:18, conforme horário oficial de Brasília, com fundamento no § 3º do art. 4º do [Decreto nº 10.543, de 13 de novembro de 2020](#).



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Esplanada dos Ministérios, Bloco K, 8º andar, sala 874 - Bairro Zona Cívico-Administrativa

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Processo nº 12120.100391/2022-06.

SEI nº 26279314

Bogotá D.C., viernes, 07 de julio de 2023



DADS

Al responder cite este Nro.
20234500431861

To: The Green Climate Fund ("GCF")

Att. executive-office@gcfund.org

Re: Funding proposal for the GCF by Compañía Española de Financiación del Desarrollo (COFIDES) regarding Kuali Fund

Dear Madam, Sir,

We refer to the programme titled Kuali Fund in Colombia as included in the funding proposal submitted by COFIDES to us on June 17th 2022.

The undersigned is the duly authorized representative of National Planning Department, the National Designated Authority of Colombia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Colombia has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Colombia;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

Dirección: Calle 26 # 13 – 19 Bogotá, D.C., Colombia
Conmutador: 601 3815000

Línea gratuita: PBX 381 5000

www.dnp.gov.co
Página 1 de 2

DNP

Firmado
digitalmente



We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

CAROLINA DIAZ GIRALDO

Director of Environment and Sustainable Development
National Planning Department

CC: josecarlos.villena@cofides.es; nuria.rodriguez@cofides.es; marialuz.garcia@cofides.es;
vvilloria@gcfund.org; clcortes@dnf.gov.co

Preparó: Claudia Jimena Cortés Mora

Dirección: Calle 26 # 13 – 19 Bogotá, D.C., Colombia
Conmutador: 601 3815000

Línea gratuita: PBX 381 5000

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MINISTERIO DE
MEDIO AMBIENTE
Y RECURSOS
NATURALES

MARN-DEB-5044/2022

San Salvador, 6 de septiembre de 2022.

Asunto: Propuesta de financiamiento para el GCF por el MARN, en relación con el Programa Fondo Kualí.

Señor
José Carlos Villena
Director de Alianzas para el Desarrollo
COFIDES
Madrid, España

Estimado señor Villena:

En referencia al Programa Fondo Kualí en la región de América Latina y el Caribe más la India; atentamente hago de su conocimiento que el suscrito es el representante debidamente autorizado por este Ministerio de Ambiente y Recursos Naturales como Autoridad Nacional Designada de la República de El Salvador ante el Fondo Verde del Clima.

De conformidad con la decisión B.08/10 del Marco de Cooperación Mundial, cuyo contenido reconocemos haber examinado, comunicamos nuestra No Objeción al Programa incluido en la Propuesta de Financiación.

Al comunicar nuestra No-Objeción, se implica que:

- (a) El Gobierno de la República de El Salvador no se opone a dicho Programa incluido en la Propuesta de Financiación;
- (b) El Programa Fondo Kualí, incluido en la Propuesta de Financiación se ajusta a las prioridades, estrategias y planes nacionales de la República de El Salvador;
- (c) De conformidad con las salvaguardias ambientales y sociales del Marco de Cooperación Mundial, el programa incluido en la Propuesta de Financiación se ajusta también a las leyes y reglamentos nacionales pertinentes.
- (d) También, confirmamos que nuestra No Objeción se aplica a todos los proyectos o actividades que se ejecuten en el ámbito del referido Programa

Asimismo, confirmamos que se ha seguido debidamente nuestro proceso nacional para determinar que no hay objeciones a dicho Programa, tal como se incluye en la Propuesta de Financiación. De igual manera, Reconocemos que la presente nota se pondrá a disposición del público en el Sitio Web del Fondo Verde del Clima (GCF por sus siglas en inglés).

Saludos cordiales,




Miguel Alberto Gallardo Meléndez
Director General de Ecosistemas y Biodiversidad
Ministerio de Medio Ambiente y Recursos
Naturales de la República de El Salvador, CA



Ministro

MINISTERIO DE AMBIENTE Y RECURSOS NATURALES
GUATEMALA, C.A.

Guatemala, May 31st, 2023.

Oficio MI-1153-2023/GEBC-gpvg

To: The Green Climate Fund ("GCF")

Re: Funding proposal for the GCF by COFIDES for program "Kuali Fund"

Dear Sir,

We refer to the programme titled *Fund Kuali* in the Republic of Guatemala as included in the funding proposal submitted by Compañía Española de Financiación del Desarrollo (COFIDES), S.A. to us on 23 March 2023.

The undersigned is the duly authorized representative of Ministry of Environment and Natural Resources (MARN), as National Designated Authority of Guatemala.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Guatemala has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Guatemala;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Gerson Elias Barrios Garrido
Minister of Environment and Natural Resources
National Designated Authority
Guatemala



Tegucigalpa, M.D.C., June 26th, 2023

Ref: Funding proposal for the GCF by COFIDES regarding Kuali Fund

To: The Green Climate Fund ("GCF")

Dear Madam, Sir,

We refer to the programme titled **Kuali Fund**, in **Honduras** as included in the funding proposal submitted by COFIDES to us on June 26th, 2023.

The undersigned is the duly authorized representative of His Excellency Lucky Halach Medina Estrada the National Designated Authority of Honduras.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

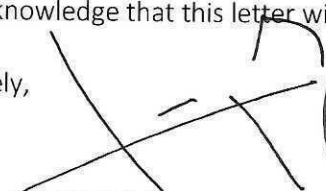
- (a) The government of Honduras has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Honduras;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,


Lucky Halach Medina Estrada
Secretary of state in the office of
Natural Resources and Environment
Honduras



Cc: Archivo

CC:Archive

Ms. Henrik Slotte, UNEP-GCF Coordinator and Authorized Representative, UNEP;

Ms. Piedad Martin, Deputy and Representative Director Office for Latin America and the Caribbean, UNEP.

Attachments:

- ☒ Completed Request for Change of Approved Readiness Support Proposal Form (Annex I)
- ☒ Revised Full Proposal, including the Logical Framework with tracked changes.
- ☒ Revised Budget Plan (Annex II).
- ☒ Revised Procurement Plan (Annex III).
- ☒ Revised Implementation Plan (Annex IV).



To: The Green Climate Fund ("GCF")

Mexico City, 22 November 2022.

Re: Funding proposal for the GCF by Compañía Española de Financiación del Desarrollo (COFIDES) regarding Kualí Fund.

Dear Madam, Sir,

We refer to the programme titled **Kualí Fund** in Mexico as included in the funding proposal submitted by **Compañía Española de Financiación del Desarrollo (COFIDES)** to us on 26 September 2022.

The undersigned is the duly authorized representative of Laura Elisa Aguirre Téllez, the National Designated Authority (NDA) of the United Mexican States.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of the United Mexican States has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of the United Mexican States;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Laura Aguirre Téllez

Laura Elisa Aguirre Téllez
National Designated Authority of Mexico



Para: El Fondo Verde para el Clima ("GCF")

Panamá, 22 de junio de 2022
DM-1168-2022

Re: Propuesta de financiación del FVC por parte de COFIDES en relación con el Fondo Kualí

Estimado Señor / Señora,

Nos referimos al programa denominado Fondo Kualí en Panamá incluido en la propuesta de financiación que nos presentó COFIDES el 24 de mayo de 2022.

El abajo firmante es el representante debidamente autorizado del Ministerio del Ambiente, la Autoridad Nacional Designada de Panamá.

De conformidad con la decisión B.08/10 del GCF, cuyo contenido reconocemos haber revisado, por la presente comunicamos nuestra no objeción al programa tal como se incluye en la propuesta de financiamiento.

Al comunicar nuestra no objeción, se da a entender que:

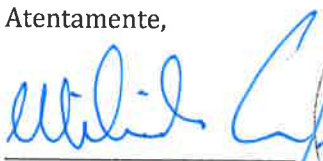
- (a) El gobierno de Panamá no tiene objeciones al programa tal como se incluye en la propuesta de financiamiento;
- (b) El programa incluido en la propuesta de financiamiento está de acuerdo con las prioridades, estrategias y planes nacionales de Panamá;
- (c) De acuerdo con las salvaguardas ambientales y sociales del GCF, el programa, tal como se incluye en la propuesta de financiación, se ajusta a las leyes y reglamentos nacionales pertinentes.

También confirmamos que nuestro proceso nacional para determinar la no objeción al programa tal como se incluye en la propuesta de financiación se ha seguido debidamente.

También confirmamos que nuestra no objeción se aplica a todos los proyectos o actividades que se implementarán dentro del alcance del programa.

Reconocemos que esta carta se pondrá a disposición del público en el sitio web del GCF.

Atentamente,


MILCIADES CONCEPCIÓN
Ministro de Ambiente
Ministerio de Ambiente
Panamá



MC/AGA/LCD/mag


Albrook, Calle Broberg, Edificio 804
República de Panamá
Tel.: (507) 500-0855

www.miambiente.gob.pa

To: The Green Climate Fund ("GCF")

Panama, 22 June 2022
DM-1168-2022

Re: Funding proposal for the GCF by COFIDES regarding Kuali Fund

Dear Madam, Sir,

We refer to the programme titled *Kuali Fund* in Panama as included in the funding proposal submitted by COFIDES to us on 25 May 2022.

The undersigned is the duly authorized representative of Ministry of Environment, the National Designated Authority of Panamá.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Panamá has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Panamá;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,


Milciades Concepción
Environment Minister
Ministry of Environment
Panamá



Albrook, Calle Broberg, Edificio 804
República de Panamá
Tel.: (507) 500-0855

www.miambiente.gob.pa

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	Kuali Fund-GCF
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	Compañía Española de Financiación del Desarrollo (COFIDES), S.A., S.M.E
Environmental and social safeguards (ESS) category	Category I-2
Location – specific location(s) of project or target country or location(s) of programme	The target countries are Brazil, Colombia, El Salvador, Guatemala, Honduras, Mexico, and Panama.
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management System (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Wednesday, January 31, 2024
Language(s) of disclosure	English, Spanish, and Portuguese
Explanation on language	These are the official languages of each of the target countries. Spanish is the official language of Colombia, El Salvador, Guatemala, Honduras, Mexico, and Panama. Portuguese is the official language of Brazil.
Link to disclosure	English: https://www.cofides.es/sites/default/files/adjuntos/2024-01/Annex%206%20-%20Environmental%20and%20Social%20Management%20System Jan%202024 EN.pdf Spanish:

	https://www.cofides.es/sites/default/files/adjuntos/2024-01/Annex%206%20-%20Environmental%20and%20Social%20Management%20System Jan%202024 ES.pdf Portuguese: https://www.cofides.es/sites/default/files/adjuntos/2024-01/Annex%206%20-%20Environmental%20and%20Social%20Management%20System Jan%202024 PT.pdf
Other link(s)	English: https://www.cofides.es/en/financing/kuali-fund/reports-and-documents Spanish: https://www.cofides.es/financiacion/fondo-kuali/informes-documentos
Remarks	An ESMS consistent with the requirements for a Category I-2 programme is contained in Annex 6 “Environmental and Social Management System”.
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), Indigenous Peoples Planning Framework (IPPF) (if applicable)	
Description of report/disclosure on accredited entity’s website	The “Environmental and Social Management System” (ESMS) includes the Indigenous People Policy Framework (IPPF) as Annex 6. bis.
Language(s) of disclosure	English, Spanish, and Portuguese
Explanation on language	These are the official languages of each of the target countries. Spanish is the official language of Colombia, El Salvador, Guatemala, Honduras, Mexico, and Panama. Portuguese is the official language of Brazil.
Link to disclosure	English: https://www.cofides.es/sites/default/files/adjuntos/2024-01/Annex%206.bis-%20Indigenous%20People%20Policy%20Framework Jan%202024 EN.pdf Spanish: https://www.cofides.es/sites/default/files/adjuntos/2024-01/Annex%206.bis-%20Indigenous%20People%20Policy%20Framework Jan%202024 ES.pdf Portuguese: https://www.cofides.es/sites/default/files/adjuntos/2024-01/Annex%206.bis-%20Indigenous%20People%20Policy%20Framework Jan%202024 PT.pdf
Other link(s)	English:

	https://www.cofides.es/en/financing/kuali-fund/reports-and-documents Spanish: https://www.cofides.es/financiacion/fondo-kuali/informes-documentos
Remarks	N/A
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Thursday, February 1, 2024
Place	Brazil: Secretariat for International Affairs, Ministry of Finance. Esplanada dos Ministérios, Bloco P, 6º andar, Brasília, Brazil. Mexico: Ministry of Finance and Public Credit, Unit of Public Credit and International Affairs. Av. Insurgentes Sur 1971, Plaza Inn, Torre III, Piso 3, Col. Guadalupe Inn, Alcaldía Álvaro Obregón, Ciudad de México, Mexico. Guatemala: Ministry of Environment and Natural Resources 7 Avenue 06-67 zone 13, Guatemala City, Guatemala Panama: Ministry of Environment. Diego Dominguez Street, Building 804 Albrook, Ancón, Panama City, Panama. Colombia: National Planning Department. Calle 26 No. 13-19, Bogotá, D.C, Colombia El Salvador: Ministry of Environment and Natural Resources (MARN) Kilómetro 5 ½ Carretera a Santa Tecla, Col. Las Mercedes, Frente a Círculo Miliar, Edificios MARN, San Salvador, El Salvador. Honduras: Secretary of Energy, Natural Resources, Environment and Mines. Edificio Principal, 200 metros al Sur del Estadio nacional, Tegucigalpa, Honduras
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	N/A
Date of GCF's Board meeting	Monday, March 4, 2024

Note: This form was prepared by the accredited entity stated above.

Independent Technical Advisory Panel's assessment of FP230

Proposal name:	Kuali Fund-GCF
Accredited entity:	Compañía Española de Financiación del Desarrollo (COFIDES)
Country/(ies):	Brazil, Colombia, El Salvador, Guatemala, Honduras, Mexico, Panama
Project/programme size:	Medium

I. Assessment of the independent Technical Advisory Panel

1.1 Overview

1. Latin America is highly vulnerable to climate change due to its exposure to acute climate events, chronic climate risks and limited adaptation and mitigation capacity.¹ High exposure to climate events and limited adaptation and mitigation capacity make some countries especially vulnerable. Adaptation investments are insufficient partially due to increased public debt levels and a weak domestic revenue base.
2. Agriculture is an important economic sector and source of employment in Latin America, especially in rural areas. The agriculture sector's structure and scale vary significantly between countries in this region.² Countries with an extensive agricultural industry sensitive to climate change are especially vulnerable. South American states have a significant agricultural sector, which has been hit hard, especially by severe droughts. Climate change damages farm assets such as livestock shelters, and farmers incur losses related to lower crop yields. Smallholder farmers are more affected and exposed to climate risks as they lack the instruments and know-how to increase their resilience.
3. The region's financial service providers (FSPs) are indirectly exposed to climate change since a significant proportion of the lending portfolio is in sectors exposed to climate risks, for example the agricultural sector.³ At the same time, FSPs are crucial for shifting investments towards increasing climate resilience and greenhouse gas (GHG) mitigation activities.
4. Micro, small, and medium-sized enterprises constitute the majority of enterprises and generate around 60 per cent of formal productive employment in "the Americas". The Organisation for Economic Co-operation and Development (OECD) has identified that Latin American small and medium-sized companies have a higher productivity gap than their peers in other world regions.⁴ Like smallholder farmers, small and medium-sized enterprises (SMEs) have less ability than large companies to deal with the effects of climate change due to limited resources and know-how.
5. The programme realizes investments and provides technical assistance (TA) in seven countries: Brazil, Colombia, El Salvador, Guatemala, Honduras, Mexico and Panama. The

¹ European Investment Bank (EIB), 2023, Climate Risks for Latin America and the Caribbean.

² Inter-American Development Bank, 2021, Landscaping the Agritech Ecosystem for Smallholder Farmers in Latin America and the Caribbean.

³ EIB, 2023, Climate Risks for Latin America and the Caribbean.

⁴ OECD, 2019, Latin America and the Caribbean 2019: Policies for Competitive SMEs in the Pacific Alliance and Participating South American Countries.

programme (Kuali Fund) may also undertake activities in other countries of the region, as well as India, but this is outside the scope of the funded activities.⁵ The funded activity is thus named “Kuali Fund-GCF”. This assessment is therefore of the Kuali Fund-GCF.

6. Kuali Fund-GCF shall increase the adoption of low-carbon technologies and improve the resilience to climate change of involved countries by supporting small financial service providers to green their portfolios and finance investments of smallholder farmers and SMEs in activities which increase climate resilience and reduce GHG emissions. The fund will also directly support companies which provide climate solutions with the aim of growing climate-relevant products and services available to farmers, which could then in turn be financed through FSPs.

7. Kuali Fund-GCF will fund an expected 13 FSPs to build a “climate portfolio”. More than 90 per cent of the fund shall be used for this purpose, while the remaining part is to be used to invest in innovative companies, as indicated in the response to question 13 raised by the independent Technical Advisory Panel (TAP) to the accredited entity (AE). FSPs shall provide loans to SMEs (around 20 per cent of the total fund) and farmers (about 80 per cent of the fund). Loans to SMEs provided through FSPs are expected to be, on average, EUR 18,000 for a tenor of two years to finance assets or activities such as solar rooftop panels, high-efficiency heat pumps, insulation, low-carbon transport, energy-efficient machinery, etc. Loans to smallholder farmers given through FSPs are expected to average EUR 2,100 with a one-year tenor for supporting activities such as tree plantation, composting, farmland restoration, farm irrigation systems, etc. Debt investments in FSPs will usually have a maturity of two to three years and are renewable for the same amount of time. All debt investments of the Kuali Fund-GCF will be in local currency, with offsetting of foreign exchange risks through swaps. The fund has targeted returns from debt investments in FSPs of 4–7 per cent in euros after the cost of hedging.

8. The primary purpose of this programme is to green small financial service providers. A successful implementation of this approach allows for a transformational change and an influx of private capital into climate investments. The progression of FSPs will be measured with the Green Index 3.0,⁶ a framework to assess the performance of FSPs in green-inclusive finance. FSPs shall grade their performance using this index over time due to the investments made by the Kuali Fund-GCF. FSPs will start to offer their clients financial and non-financial green products. The Kuali Fund-GCF allows FSPs a ramp-up period to build their climate portfolio with an initial loan to FSPs for two to three years and a second loan over the same period and intermediate monitoring of the climate portfolio. The Kuali Fund-GCF will require the FSPs to build 50 per cent of the climate portfolio by the end of the third year and 100 per cent by the end of the following three years.

9. Kuali Fund-GCF will also invest around 10 per cent of its resources in agritechology and climate technology companies with innovative solutions in mitigation (e.g. rural solar energy providers, biodigester manufacturer companies, electric vehicle charging networks) and in adaptation (e.g. farm-to-business mobility supply chains, smart farming), with an average ticket size of EUR 4 million using primarily equity or quasi-equity investments basically with a tenor of six years, on average. Two investments are expected for the Kuali Fund-GCF. The fund has target returns of 15–20 per cent per annum for equity investment projects in innovative companies.

10. Around 50 per cent of investments are expected in adaptation and resilience-focused technologies and 50 per cent in mitigation technologies.

⁵ No-objection letters were not received by the accredited entity for other targeted countries. The total Kuali Fund aims to achieve a volume of EUR 300 million working in 14 countries of Latin America and the Caribbean and in India.

⁶ See: [The Green Index: An innovative tool to assess green inclusive finance performance of FSPs | e-MFP](#)

11. GAWA Capital Partners, a private limited liability firm specializing in impact investment management services, registered as an alternative investment fund manager and supervised by the Spanish Exchange Commission, will act as a fund and TA fund manager and is the executing entity (EE).⁷ GAWA Capital has 14 years of experience and EUR 220 million in assets under management across four funds investing in various Asian and Latin American and Asian countries in microfinance, SMEs and agriculture. The Kuali Fund-GCF will have an investment advisory committee comprised of large investors, but with a purely advisory role, and a strategic advisory group to make recommendations to the fund manager of a strictly advisory nature.

12. The EUR 128.2 million project has a financing source of (i) EUR 25 million from the GCF as equity with a tenor of 10 years and an equity return of 3.9 per cent; (ii) A GCF grant of EUR 7.8 million for TA and monitoring; (iii) EUR 1.26 million from the European Union as equity with the same conditions as GCF; (iv) EUR 17.6 million from the Spanish Agency for International Development Cooperation (AECID) as senior loans with a tenor of 10 years and a 3.75 per cent cap; (v) EUR 1.8 million from the Kuali Fund, indirectly from AECID, as a subordinated loan with the same conditions as the AECID direct loan; (vi) EUR 1 million in senior equity from GAWA Capital; (vii) EUR 72.8 million in private investor senior equity at 10 years with 6.5 per cent interest; (viii) EUR 0.57 million in grants from the European Union; and (ix) EUR 0.3 million in grants from AECID and EUR 0.04 million in grants from Kuali Fund, indirectly from AECID. The GCF and European Union contributions to the first-loss tranche (EUR 26.26 million) will help mobilize private investors' participation and reduce their perceived risk of the SME and smallholder farmer sectors. It is expected that Compañía Española de Financiación del Desarrollo (COFIDES) and GAWA Capital will invest in the programme to align their interests and perceived risks.

1.2 Impact potential

Scale: Medium

13. The programme claims an adaptation impact of 242,000 direct and 642,000 indirect beneficiaries (0.28 per cent of the total population). The GHG mitigation impact is estimated at 2.71 million tonnes of carbon dioxide (t CO₂) over the lifespan of the technologies and investments.

14. Direct beneficiaries are smallholder farmers and SMEs which receive a loan from FSPs. Indirect beneficiaries include the household members of the beneficiary. The calculation of beneficiaries is based on (i) the number of loans extended by FSPs to SMEs and farmers, assuming 100 per cent of loans are relevant to climate resilience; (ii) an average loan size per group, and (iii) an average tenor per group with a fund investment period of six years. Beneficiary numbers will be lower (higher) if the average loan size is higher (lower), the tenor is longer (shorter), and the share of climate-relevant loans is lower.

15. Beneficiary numbers are considered to be overstated in the original funding proposal for the following reasons: (i) Investments in SMEs are for mitigation activities, such as insulation or solar hot water with no direct resilience impact. The beneficiary number calculated in this area is thus deemed incorrect. (ii) It is assumed that 100 per cent of loans are given for climate investments, while in the funding proposal (page 35), it is stated that the climate portfolio of FSPs will be 50 per cent by the end of year three and 100 per cent by the end of year six. Thus, on average, only 50 per cent of loans would be given with a direct climate impact. Therefore, beneficiary numbers of farmer-related loans need to be divided by two to account for the gradual portfolio build-up of climate investments.

16. The mitigation benefit is calculated based on 50 per cent of the investment targeted towards mitigation and an estimated average cost per t CO₂ avoided based on a calculation of

⁷ Compañía Española de Financiación del Desarrollo (COFIDES) is also an EE with an amount of EUR 0.4 million.

total CO₂ mitigated and total investments made. Calculations are based on typical investment projects, differentiating between types of projects and sectors (buildings/industrial, energy generation and access, transport, and forestry and land use) and between investments from FSPs to SMEs and from FSPs to farmers, as well as investments in climate technology companies. Approx. 83 per cent of mitigated CO₂ is based on forestry and land-use change (50 per cent from tree plantations, albeit having less than 5 per cent of investments), followed by 14 per cent for buildings and industrial appliances, 2 per cent for energy generation and less than 1 per cent for transport. Around 60 per cent of the calculated mitigation impact is due to investments in innovative firms, and 40 per cent is due to loans from FSPs.

17. The mitigation benefit is considered to be overstated in the original funding proposal due to calculations being based on the total Kuali Fund, which has a different distribution of investments, with a higher share going to innovative firms with a higher GHG impact per invested capital compared to loans channelled through FSPs. The total Kuali Fund invests 24 per cent of the total fund in innovation companies, while the Kuali Fund-GCF invests less than 10 per cent. The mitigation numbers of the Kuali Fund-GCF are lower than initially estimated based on a 10 per cent share of investments in the Kuali Fund-GCF⁸ going to innovative firms and 90 per cent being channelled through FSPs.

18. The impact calculations for energy generation follow a standard methodological approach using the grid factor per country based on the methodology and dataset as published by the UNFCCC / International Financial Institutions. For buildings and energy generation, an assumption is made that 20 per cent (e.g. for insulation or industrial appliances) to 60 per cent (e.g. for light-emitting diodes (LEDs)) of electric energy can be saved. It also assumes a capacity factor of 10 hours per calendar day, or 40 per cent, which means, on average, double shifts. These assumptions are not deemed as conservative. However, the impact of these assumptions on the total projected GHG mitigation impact is minor, as the share of energy generation in the total mitigation impact is only 14 per cent.

19. The impact calculations in the transport sector are overly optimistic and overstate emission reductions for this sector due to (i) usage of assumptions concerning efficiency improvements,⁹ which are very optimistic; (ii) baseline emissions of vehicles, which are very high and presumably correspond to old poorly maintained vehicles instead of comparing, as requested by GHG transport methodologies, a project alternative of a new vehicle with a baseline new vehicle; and (iii) assumption for electric vehicles of zero emissions instead of applying the grid factor per country and electricity usage. Using a more conservative approach, expected GHG reductions in this area are deemed to be 20–30 per cent of the amount suggested by the AE. However, the impact of these assumptions on the total projected GHG mitigation impact is marginal as the share of transport in the total mitigation impact is less than 1 per cent.

20. The approach used to determine agricultural, forestry and land-use impacts is based on total hectares (has) financed using the GHG Protocol Agricultural Guidance and impacts per activity per ha based on the EX-ACT tool of the Food and Agriculture Organization of the United Nations (FAO). GHG reductions of 3–24 tonnes per ha of land are expected per annum, depending on activities. Other sources¹⁰ used by other GCF-financed or to-be-funded programmes estimate impacts for the same activities as ranging from 0.07 to 4.7 t CO₂/ha. Project Drawdown GHG data, as one example, shows two tonnes per annum for bamboo cultivation, while the AE assumes 24 t CO₂ per annum. For tree plantations, 24 tonnes per ha were considered, while other sources show 3.3 tonnes (see [Tree Plantations \(on Degraded Land\) | Project Drawdown](#)). The emission factors therefore do not seem to be on the

⁸ The AE indicated in its written response to question 13 raised by the independent TAP that indicatively, EUR 7.5 million out of EUR 119.5 million (i.e. 6.3 per cent) shall be invested in innovative companies.

⁹ For example, 50 per cent of fuel savings using hybrid vehicles, while standard figures are in the order of 20–30 per cent.

¹⁰ For example, <https://www.jswnonline.org/content/jswn/71/3/68A.full.pdf>; see tables 2 and 3.

conservative side but are rather optimistic. The AE considers, in general, an impact period of 20 years for agriculture, forestry and land use based on FAO EX-ACT guidelines. However, the investment period is one year for the average credits and six years for innovative companies. Various areas targeted, such as the usage of organic fertilizers, are reversible if no further loan is given, and others, such as terraces and rainwater reservoirs, require continuous maintenance. A more conservative approach also used by other GCF-funded projects is to assume the impact only over the invested period, that is a maximum of six years.

21. Multiple agricultural investments, for example in forestry, have potential issues of permanence. This is not discussed nor accounted for in calculations. Therefore, mitigation numbers need to be taken with caution as they reflect, to a certain extent, avoided and sequestered emissions, which have the risk of not being permanent.

22. Based on the above considerations, the independent TAP estimates a more realistic adaptation and mitigation benefit for this programme: 121,000 direct beneficiaries, 321,000 indirect beneficiaries and a GHG mitigation impact of 0.95 million t CO₂ avoided with the remark that the GHG mitigation impact is partially based on sequestered emissions with the risk of non-permanence.

23. The programme allows for some investment areas which can be considered to lock in fossil technologies, such as investments in fossil-efficient trucks or hybrid vehicles. Technologies have moved fast in this area, and investments in such vehicles have long permanence. Electric vehicles in trucking are also already cost-competitive in most markets. Climate investments should avoid continuing investments into outdated technologies to achieve a maximum climate impact and achieve the target countries' decarbonization goals.

24. Neither the EE, GAWA Capital, nor the fund management's designated investment committee members have relevant experience in assessing climate impacts of climate investments or projects. This endangers the potential impact of the programme. GAWA Capital has, however, ensured the independent TAP that relevant expertise will be brought on board. As this is considered critical not only for the programme impact but overall, for programme success, independent TAP approval is conditional upon fulfilment of this point.

25. The project interventions include investing in innovative companies and FSPs. While the former has higher immediate GHG mitigation impacts per invested euro, the latter interventions green the FSPs, presumably resulting in continued ongoing lending of FSPs in climate-friendly investments, thus multiplying the impact of the initial investment. The indirect implications of this thus favour investments in FSPs and not in innovative companies.

26. The programme aims to green FSPs. Greening their lending practices has a potentially high multiplication impact, resulting in private capital flowing into this sector and multiple instances of follow-up lending by the greened FSPs. Thus, the medium and long-term indirect impact is considered high or very high.

27. Appropriate monitoring of the achieved impact in terms of resilience and mitigation is critical to ensure that investments achieve their desired impact and realize corrections during programme implementation by avoiding investments with low impact and strengthening those with high impact. FSPs must also be provided with simple-to-manage monitoring tools to track the climate performance of their investments.

28. Overall, the independent TAP considers the project to have a medium impact. The short-term or direct impact is regarded as a medium. The long-term indirect impact is viewed as potentially high, conditional upon successfully integrating climate-relevant know-how into programme execution.

1.3 Paradigm shift potential

Scale: Medium-High

29. The Kuali Fund-GCF targets FSPs. The greening of FSPs and their shift towards financing investments with favourable climate impact is paramount for moving large amounts of capital from the private sector towards investments with an adaptation and/or mitigation impact. Small FSPs in Latin America have, at the moment, limited exposure to and experience with climate-related lending, and unlocking this potential is a crucial paradigm shift.

30. The investee companies are intended to be financially sustainable enterprises that continue operating after project termination. Successful companies have the potential to attract additional investments, thus expanding their impact. Successful loans from FSPs and exits of the fund in innovative enterprises could provide an essential signal to private investors concerning the profitability and risk of investing in this area, thus supporting a paradigm shift.

31. The Kuali Fund-GCF intends to transform small FSPs to adopt and implement green strategies. The status and progression of the FSPs will be measured with the Green Index 3.0. This is considered an appropriate approach to assess the progression of the FSPs in accommodating climate-related investments in their portfolio. The gradual build-up of the portfolio in the climate change arena is also considered proper, as FSPs are new to the topic. Together with grant-based TA, this incentivizes FSPs to make the required adjustments. The intermediate assessment of target achievement in year three provides the required pressure to stay on track.

32. The paradigm shift is achieved through greening the loan portfolio of FSPs. The area of direct investment in companies which provide climate solutions is less transformational. Also, with only a few investments expected in this area (two currently planned investments), no critical mass is achieved, and no transformational impact can be predicted. Investments in individual enterprises can be justified to diversify risks and increase the fund's profitability, which are both critical to attracting private investors. However, investments in this area should be limited to allow for a clear focus on FSPs.

33. High-quality TA and capacity-building on climate lending will be crucial to achieving the target of greening FSPs. The TA strengthens the FSPs and is considered essential and acknowledged for attaining high climate impact and reducing risks to FSPs. GAWA Capital Partners and the fund management's designated investment committee members have an excellent background and experience working with financial institutions and impact investments but lack the critical climate focus. This can and must be brought on board to ensure the transformational potential is achieved.

34. Ecosystem issues and failures are also significant barriers to greening FSPs. The AE has not yet identified these at the country level. The TA includes an analysis of the ecosystem and activities to remove identified barriers. A further strengthening of this area and collaboration with other initiatives would result in a more substantial impact on the macro level, which is also considered critical to achieving a transformational impact. Knowledge-sharing with other FSPs and organizations in this space will be essential to entice other FSPs to engage in climate lending and spread out from investments in individual FSPs to the larger market (for example, 160,000 fintech companies (finance and insurance area) are registered in Brazil alone).¹¹

35. Based on the above, the independent TAP considers the proposed investments in FSPs linked with TA to be critical to green the financial sector, which is crucial for the massive deployment of private capital towards climate-related investments. This will be a transformational change. However, the effort of this programme alone will be insufficient to achieve such change in all the targeted countries; nevertheless, it is a critical first step. Focusing on FSPs, collaborating with other institutions in the same sphere and good outreach with a high-quality knowledge management system are essential to ensure and strengthen the transformational impact. The rating given is thus medium to high.

¹¹ [Brazil: number of finance and insurance companies | Statista.](#)

1.4 Sustainable development potential

Scale: Medium

36. The project is aligned with several Sustainable Development Goals (SDGs): SDG 1 (No poverty), SDG 2 (Zero hunger), SDG 3 (Good health and well-being), SDG 5 (Gender equality), SDG 6 (Clean water and sanitation), SDG 7 (Affordable and clean energy), SDG 8 (Decent work and economic growth), SDG 11 (Sustainable cities and communities), SDG 13 (Climate action), and SDG 15 (Life on land).
37. Environmental co-benefits are related to organic farming and reduced fertilizer use, reduced nitrogen and chemical run-off, efficient water usage, sustainable land use with less post-harvest loss, and reduced pressure on land. On the mitigation side, environmental co-benefits are reduced energy usage, which can again translate into fewer pollutants.
38. Economic benefits are achieved through investing in businesses with services that will improve the incomes of smallholder farmers and SMEs in the host countries. Farmers can improve their incomes through crop diversification, improved efficiency using fewer input materials, increased productivity and yields, and improved sales prices of agricultural products through enhanced quality of products and market information. SMEs and invested companies can improve their revenues and profits and position themselves with products and services with a high growth potential.
39. Social benefits are realized through improving the livelihood of farmers by increasing crop productivity (through the adoption of climate-smart agriculture) and incomes, resulting in enhanced quality of life. The project also expects to create around 1,600 jobs over the life of the fund.
40. The project seeks to invest in and support agribusinesses and SMEs through a gender lens. It also provides TA to the invested companies and FSPs to enhance their gender expertise.
41. Overall, the project's sustainable development potential is considered medium. It can make contributions in the area of gender and have positive social, economic and environmental impacts.

1.5 Needs of the recipient

Scale: Medium-High

42. The countries included are vulnerable to climate change, and many have a significant agricultural sector that is especially exposed to climate risks. FSPs are exposed to climate risks through lending, among other things, to the agricultural sector, which has high climate risks. Also, SMEs experience above-average exposure to climate risks due to their lack of adaptive capacity.
43. Many countries involved have significant and persistent fiscal deficits, which have led to public debt accumulation, crowding out private sector borrowing, and posing macroeconomic risks. Limited access to credit results in low levels of private investment. High-level government borrowing from the financial sector crowds out private sector financing and has kept the financial system from extending finance to riskier and vulnerable sectors like agriculture or SMEs. It also limits government financing in the area of adaptation to climate risks.
44. The independent TAP considers the recipient's need medium to high.

1.6 Country ownership

Scale: Low-medium

45. The programme is consistent with the nationally determined contributions (NDCs) of the involved countries, which is unsurprising in itself as the programme intends to cover two large sectors of the economy (agriculture and SMEs), adaptation and mitigation, and a broad range of technologies. These technologies, as well as the sectors, are included in the NDCs.

However, the funding proposal submitted does not show if the NDCs or country policies and strategies specifically include FSPs for achieving climate targets.

46. The no-objection letters (NOLs) of the seven countries included (Brazil, Colombia, El Salvador, Guatemala, Honduras, Mexico and Panama) have been provided. The programme is designed for 14 countries in Latin America, the Caribbean and India, but it has not (yet) received an NOL from the other 8 countries.

47. The project did not undergo formal stakeholder engagement. The formal stakeholder engagement strategy shall be realized once the programme is operational. This is also related to the fact that the FSPs have not yet been selected, and the direct beneficiaries have not yet been determined. This is acknowledged, and the funding proposal has a procedure which includes formal stakeholder engagement at a later stage. However, it would have been helpful to engage multiple FSPs, and not only the ones already working with the AE and the EE before or during programme formulation to better understand their needs, constraints and possible support for such a programme. This is also critical to ensure replication of efforts and to create a knowledge management platform that is useful to the invested FSPs and others.

48. The independent TAP therefore assesses country ownership as low to medium.

1.7 Efficiency and effectiveness

Scale: Medium

49. Kuali Fund-GCF has a blended finance structure. The European Union and GCF contributions to the first-loss tranche (EUR 1.26 million from the European Union and EUR 25 million from the GCF) are essential given the risk perspectives of investors and enable the influx of private capital to the agriculture and SME sectors. The AE intends to establish a EUR 119.5 million returnable fund with a 10–12-year duration.

50. The European Union (EUR 1.26 million in equity and EUR 0.57 million in grants) and AECID (EUR 17.6 million in loans, EUR 1.8 million indirectly through Kuali Fund-GCF and EUR 0.3 million in grants) commitments have been approved, and legal drafting is being finalized. COFIDES is expected to invest EUR 5 million from its balance sheet and GAWA Capital is expected to invest EUR 1 million as equity. The targeted private funding is EUR 72.8 million from private investors, including from COFIDES as equity. Current investors in the Huruma Fund managed by GAWA Capital have expressed interest in investing, including large institutional investors from Europe and the United States of America and several prominent family offices. Considering the challenging market conditions and high interest rates, the target for the overall Kuali Fund-GCF of reaching private investment of EUR 213 million might not be achieved. In that case, the total fund would be smaller than expected. To ensure that private capital is not spread out over the entire Kuali Fund-GCF, leaving the GCF with a higher share of equity than envisaged, the GCF disbursements should be tied to achieving the private sector capital inflow targets.

51. The AE requests EUR 25 million in equity capital from GCF with a 3.9 per cent equity return. This vehicle, and GCF's anchoring investment, should enable the fund to raise EUR 17.6 million in senior loans, capped at 3.75 per cent from AECID, EUR 1.8 million in subordinated loans from Kuali Fund-GCF (indirectly from AECID), EUR 1 million in equity from GAWA Capital and EUR 72.8 million as equity from private investors with a 6.5 per cent equity return. GCF participation is considered material to provide de-risking in attracting additional capital. Thus, the GCF equity investment could be leveraged by nearly factor 4, a high leverage factor. At the moment, it is, of course, not yet guaranteed if the programme will achieve its private investment target. A staged or tranching investment of the GCF with clear achievement targets of private sector financing is required to ensure that the leverage ratio is not significantly lower than expected.

52. The fund expects to raise EUR 8.7 million in grant finance for the TA fund and data collection, EUR 7.8 million from GCF and EUR 0.9 million from the European Union and AECID. GCF grants could thus be leveraged with a low rate of 0.1.
53. The total investment amount is EUR 128.2 million, of which EUR 32.8 million is from GCF, with an expected co-financing ratio of 74 per cent and a leverage factor of 2.9. This is a high leverage ratio and a high co-finance ratio. The positive aspect of co-finance is that the large majority is actual private capital and does not come from multilateral development banks or government/semi-government financial entities. GAWA Capital has experience and a proven track record with their previous Huruma Fund in attracting private capital, which shall also be used for this programme.
54. Kuali Fund – GCF is a for-profit fund. This can potentially increase the impact, replicability and sustainability and bring efficiency and effectiveness to investment decisions.
55. Based on 50 per cent of the finance used for adaptation and the updated number of beneficiaries, the GCF cost per direct beneficiary is EUR 136. Based on 50 per cent of the mitigation finance and the updated GHG mitigation income, the GCF cost per t CO₂ avoided is EUR 17. Both figures are considered reasonable and have a good cost-benefit relationship.
56. The fund and TA fund manager, GAWA Capital, is a private limited liability firm specializing in impact investment management services with considerable experience in fund management and the agricultural and SME sectors working through FSPs. GAWA Capital has performed in multiple countries in Latin America. The targeted investments in FSPs are essentially existing clients from a previous and ongoing GAWA Capital fund (Huruma Fund). Neither the fund manager nor the four designated members of the investment committee have relevant climate or climate finance experience. GAWA Capital has, however, committed to bringing a senior climate expert on board.
57. The overall independent TAP assessment concerning efficiency and effectiveness is considered medium. The co-finance ratio, if achieved, is high. To achieve this level, safeguards must be implemented to prevent the GCF from funding the programme with a higher share than anticipated. The involvement of GAWA Capital and COFIDES is also deemed essential to ensure the alignment of interests. The inflow of private finance into the fund is considered very favourable. The cost per direct beneficiary and tonne of CO₂ mitigated are relatively low but are, as with any programme, dependent on the final projects financed.

II. Overall remarks from the independent Technical Advisory Panel

58. The independent TAP considers the funding proposal to be in line with the GCF's strategic targets. The independent TAP notes that the programme aims to invest in FSPs in the agriculture and SME sectors, which are considerably affected by climate change and face serious climate risks. Greening financial service providers is critical to achieving a large-scale deployment of private capital towards climate investments. Greening the portfolio of small FSPs is paramount to completing a transformational impact and moving investments from one-time projects towards structural changes in the financial system. GAWA Capital, as an EE, has experience attracting private capital and working with FSPs and, indirectly, smallholder farmers. Investments are expected to happen in the field of adaptation and mitigation. This novel programme approach, the financial experience background of the managing entity, the significant impact and especially the transformational nature of this programme proposal warrant approval.
59. The independent TAP also recognizes some significant deficiencies in the funding proposal, including (i) the current lack of climate experience in the management team; (ii) the deficient and non-conservative calculations regarding GHG impact and the number of beneficiaries; (iii) incomplete documentation within the funding proposal; and (iv) the risk of

losing focus and spreading out scarce capacities by investing in geographical areas outside Latin America and the Caribbean and by focusing too many efforts on investment companies.

60. Nevertheless, the independent TAP ultimately decided to provide an endorsement with conditions (see para. 61 below). Factors which tip the scale for endorsement of this funding proposal are (i) the relevance of the programme itself and its innovative nature; (ii) the experience of the managing entity with FSPs, SMEs and the agricultural sector in target countries; (iii) the limited size of the funding request with a high leverage ratio; and (iv) the amount of design that has already taken place. We think it is imperative to provide a path forward and consider that the weak points identified can be amended with the conditions listed below.

61. Therefore, the independent TAP endorses this funding proposal subject to the following conditions:

- (a) **Condition to be met prior to the effectiveness of the funded activity agreement (FAA):** Delivery by the Accredited Entity to the GCF, in a form and substance satisfactory to the GCF Secretariat, of the disbursement schedule under the FAA for the GCF Reimbursable Funds and the GCF Non-Reimbursable Funds, with the amount and schedule for each disbursement tied to milestones in securing private capital for the Kualu Fund-GCF, such disbursement schedule to set out the breakdown in terms of amount per disbursement and the equity/grant split as agreed between the Accredited Entity and the GCF Secretariat (the “**Disbursement Schedule**”).
- (b) **Condition to be met prior to the effectiveness of the FAA:** Delivery by the Accredited Entity to the GCF, in a form and substance satisfactory to the GCF Secretariat, that GAWA has contracted a senior climate expert (acceptable to the GCF Secretariat) with specialisation, preferably in adaptation and agriculture and experience in Latin America, whose role is to provide approval authority on the climate validity of Kualu Fund-GCF investments (the “**Senior Climate Expert**”).
- (c) **Condition to be met prior to the effectiveness of the FAA:** Delivery by the Accredited Entity to the GCF, in a form and substance satisfactory to the GCF Secretariat, of evidence that GAWA has subscribed for shares in the Kualu Fund-GCF in an amount of not less than EUR 1 million.
- (d) **Condition to be met prior to the effectiveness of the FAA:** Delivery by the Accredited Entity to the GCF, in a form and substance satisfactory to the GCF Secretariat, of evidence that the Accredited Entity has subscribed for shares in the Kualu Fund-GCF in an amount of not less than EUR 1 million.
- (e) **Condition to be met prior to each disbursement under the FAA:** Unless otherwise agreed by the GCF Secretariat, delivery by the Accredited Entity to the GCF, in a form and substance satisfactory to the GCF Secretariat, of evidence that the amounts requested by the Accredited Entity in the Request for Disbursement are consistent with the Disbursement Schedule.
- (f) **Condition to be met prior to the first disbursement under the FAA:** Delivery by the Accredited Entity to the GCF, in form and substance satisfactory to the GCF Secretariat, of a stakeholder review report, setting out the outcome of a formal stakeholder review conducted by the Accredited Entity, such review to include, at minimum, FSP providers of the different Host Countries, government entities (at minimum from the agricultural, industry, environmental and finance ministries), SME and farmers associations.
- (g) **Covenant to be included in the FAA:** The Accredited Entity shall ensure that the GCF proceeds and the Co-financing are used exclusively in the Host Countries.
- (h) **Covenant to be included in the FAA:** The Accredited Entity shall ensure that the Kualu Fund-GCF (i) invests at least 80% of its capital into FSPs; and (ii) invests no more than

20% of its capital in innovative companies. For the avoidance of doubt, the “capital” of the Kuali Fund-GCF means the aggregate of the commitments of the Class E Shares and the relevant Co-financing.

- (i) **Covenant to be included in the FAA:** The Accredited Entity shall ensure that the Kuali Fund-GCF ensures that (i) each FSP builds a balanced investment portfolio in adaptation and mitigation; and (ii) if an FSP’s combined adaptation and mitigation investments fall below 30% or the ramp up period target as set by Kuali Fund for that FSP, whichever is higher, of total invested monies by the Kuali Fund-GCF in that FSP, no further disbursements are made by the Kuali Fund-GCF to that FSP until that FSP meets the threshold of 30%. The threshold value is set at the level of the FSP’s aggregate portfolio.
- (j) **Covenant to be included in the FAA:** The Accredited Entity shall ensure that the Kuali Fund-GCF does not invest more than 30% of its capital into any single country.
- (k) **Covenant to be included in the FAA:** The Accredited Entity shall ensure that the Kuali Fund-GCF does not invest in fossil fuel vehicles, including, without limitation, any investment in hybrid, plug-in hybrid, or “efficient” fossil vehicles, even if operated with biofuels (including gaseous as well as liquid fossil fuels).
- (l) **Covenant to be included in the FAA:** The Accredited Entity shall ensure that (i) a Senior Climate Expert is engaged by GAWA/Kuali Fund-GCF at all times; and (ii) the Senior Climate Expert is a member of the Kuali Fund-GCF’s investment committee with the same decision rights as other investment committee members.

Response from the accredited entity to the independent Technical Advisory Panel's assessment (FP230)

Proposal name:	Kuali Fund-GCF
Accredited entity:	Compañía Española de Financiación del Desarrollo (COFIDES)
Country/(ies):	Mexico, Guatemala, El Salvador, Honduras, Panama, Colombia, and Brazil
Project/Programme size:	Medium

Impact potential

1. Realistic Adaptation and Mitigation Benefits:

ITAP suggestion of a more conservative approach for impact calculations due to potential risk of overestimation it is acknowledged and accepted. An important upside to the committed targets will remain a potential scenario as some current and recommended assumptions might change in the future. (More than avg. 50% climate portfolios, relevant number of IC clients and suppliers as beneficiaries, etc.)

Besides, the highlighted importance of monitoring for achieving impact in terms of resilience and mitigation it is shared by the AE and the EE. Technical Assistance resources will play a key role on catalysing and ensuring the equipment of FSP with the proper tools.

Paradigm shift potential

The Fund manager, GAWA Capital, has committed to hiring a climate expert to complement their sound expertise and background in the financial inclusion sector and impact investment with the required climate expertise.

The intermediate three-year assessment is directly linked to the agreed requirement for FSPs to build 50% of their climate portfolio by the end of year three. Moreover, GAWA Capital has extensive experience in working with FSPs. In the case of Kuali GCF, the covenants will be defined to ensure that FSPs' interests are aligned with those of Kuali GCF's.

Following the previous experience with Huruma Fund (www.fondohuruma.com), Kuali GCF is committed to knowledge sharing. Furthermore, part of the TA resources will be dedicated to identifying specific barriers at country level, although GAWA Capital has already a sound field-knowledge of nearly all the countries where Kuali GCF is going to be deployed.

Sustainable development potential

No Comments

Needs of the recipient

One of the key outcomes of COP28 was the need to promote a joint effort by governments, international financial institutions and the private sector to align financial flows with global climate goals.

As a result of growing adaptation finance needs and stagnating flows, the current adaptation finance gap is estimated at US\$194-366 billion per year¹. Simultaneously, adaptation planning and implementation appears to have stagnated. This has severe consequences, especially for the most vulnerable.

Kuali will help mobilise private capital to finance the climate transition. In particular, it will support the adaptation of MSMEs and smallholder farmers by helping FSPs to transform themselves to be able to offer adapted products and solutions.

Country ownership

As the ITAP itself stated Kuali Fund is aligned with the nationally determined contributions (NDCs) of the host countries.

AE considers that the Country Ownership is higher than the level assessed by the ITAP for the following reasons:

- Kuali will focus on SMEs and it will support agriculture sector, specially on adaptation, as well as mitigation with a comprehensive range of technologies. These technologies, as well as the sectors, are included in the NDCs.
- In order to obtain the Non Objection Letters, the proposal was not only assessed by the NDA, but also underwent a validation process involving various ministries and institutions in all the countries concerned.
- Host countries have assessed the proposal in relation to their NDCs and policies, and have found Kuali's strategy for achieving climate objectives (i.e. support for the FSP) to be relevant and in line with their climate strategy.
- As ITAP acknowledges, Kuali has established a process that includes formal stakeholder engagement once implementation has begun. Knowledge sharing is part of Kuali's value added, as explained above, and technical assistance and capacity building on climate finance will be the tools to achieve this.

Efficiency and effectiveness

GAWA Capital and COFIDES have a long track record of working in similar blended finance structures where alignment of interests is a critical condition.

The participation of AE and EE is granted because of their fiduciary duties, responsibilities, and economic interests.

The funding request is small and the leverage ratio is high.

¹ Adaptation Gap Report 2023. UNEP

Overall remarks from the independent Technical Advisory Panel:

AE Comments on the deficits in the funding proposal highlighted by the ITAP

- (i) *the current lack of climate experience in the management team;*

As mentioned above, the Fund manager has committed to hiring a senior climate expert to complement the management team with the required climate expertise.

- (ii) *the deficient and non-conservative calculations regarding GHG impact and the number of beneficiaries;*

ITAP suggestion of a more conservative approach for impact calculations due to potential risk of overestimation it is acknowledged and accepted.

- (iii) *incomplete documentation within the funding proposal;*

Full package (with agreed term sheet) has been provided to GCF and it has been reviewed and cleared by the Secretariat.

- (iv) *the risk of losing focus and spreading out scarce capacities by investing in geographical areas outside Latin America and the Caribbean and by focusing too many efforts on investment companies.*

We consider this risk to be fully mitigated as the Kuali Fund-GCF will invest exclusively in Latin America.

Alignment of interests is ensured by the minimum co-financing rate negotiated for the investment of GCF funds, which gives the fund manager a clear incentive to invest in countries eligible for GCF commitments.

The experience, track record and capacity of both AE and EE in financing these activities in the region should also be highlighted.

Conditions requested by ITAP has been accepted.

GCF GENDER ASSESSMENT & ACTION PLAN – KUALI FUND-GCF

1. GENDER ASSESSMENT

1.1. Introduction

This Gender Assessment and the resulting Gender Action Plan has been prepared following the “*Gender Analysis/Assessment and Gender and Social Inclusion Action Plan Templates*”¹ and the guiding questions listed therein. The Kuali Fund-GCF gender analysis/assessment is built on quantitative data and qualitative evidence derived from a desk review of existing literature and secondary databases, introduced as in body and footnote citations on this document.

The Kuali Fund-GCF objective is to promote the transformation of the Latin America and the Caribbean (LAC) financial sector into a more inclusive and greener industry by fostering systemic adoption of climate best practices by smaller financial institutions, including Microfinance Institutions, Cooperatives or other Non-Bank Financial Institutions and companies with innovative climate solutions (Innovative companies)² so that they start serving green lending products to Micro, Small and Medium Enterprises (MSMEs) and smallholder farmers in participating countries (Brazil, Colombia, El Salvador, Guatemala, Honduras, Mexico, Panama,).

There is ample literature about gender issues in MSMEs and smallholder farmers in some of the target countries and in LAC as a whole. Consequently, the gender assessment is divided in two main chapters. Chapter 1.2 focuses on a general overview of gender issues regarding MSMEs and smallholder farmers in Latin America and Chapter 1.3 provides a gender analysis/assessment for the specific target countries with an emphasis on national gender strategies/policies and gender issues in specific areas like entrepreneurship and agriculture.

The Kuali Fund-GCF gender targets are considered to be ambitious and of significant contribution. These targets have been defined in general terms, not for each country in specific. Nonetheless, the targets have been structured according to GAWA Capital’s current investments including most of the countries of this multi-country proposal.

¹ Accessible online under: <https://www.greenclimate.fund/document/gender-assessment-and-action-plan-annex-8-funding-proposals>

² Companies that already offer products/services related with mitigation and adaptation, including “Agri-tech” and “Climate-tech”.

1.2. Country Analysis

1.2.1. General overview of LAC region

A general overview of the target countries regarding gender dynamics can be provided by the Gender Development Index (GDI)³, the Gender Inequality Index (GII)⁴ of the United Nations and the Global Gender Gap Ranking⁵ of the World Economic Forum.

Country	Gender Development Index (GDI)	Group Rank ⁶	Gender Inequality Index (GII)	Rank	Global Gender Gap ⁷	Rank
Brazil	0,993	1	0,408	95	0.695	93
Colombia	0,989	1	0,428	101	0.725	59
El Salvador	0,975	2	0,383	85	0,738	43
Guatemala	0,941	3	0,479	119	0,655	122
Honduras	0,978	1	0,423	100	0,716	67
Mexico	0,960	2	0,322	71	0.757	12
Panamá	1,019	1	0,407	94	0.737	46

Looking at GDI, disparities in development between men and women are more pronounced in Guatemala which belongs to group 3 that comprises countries with medium equality in HDI with absolute deviation of 5–7.5 percent. Then, El Salvador and México belong to group 2 which comprises countries with medium to high equality in HDI achievements between women and men (absolute deviation of 2.5–5 percent). The rest of target countries have high equality in HDI achievements between women and men (absolute deviation of less than 2.5 percent).

Regarding the GII which reflects inequality in achievement between women and men in three dimensions: reproductive health, empowerment and the labor market, all target countries range between the 62–119 positions

³ The GDI measures gender gaps in human development achievements by accounting for disparities between women and men in three basic dimensions of human development—health, knowledge and living standards using the same component indicators as in the HDI. The GDI is the ratio of the HDIs calculated separately for females and males using the same methodology as in the HDI. It is a direct measure of gender gap showing the female HDI as a percentage of the male HDI.

⁴ The GII is an inequality index. It measures gender inequalities in three important aspects of human development—reproductive health, measured by maternal mortality ratio and adolescent birth rates; empowerment, measured by proportion of parliamentary seats occupied by females and proportion of adult females and males aged 25 years and older with at least some secondary education; and economic status, expressed as labour market participation and measured by labour force participation rate of female and male populations aged 15 years and older. The GII is built on the same framework as the IHDI—to better expose differences in the distribution of achievements between women and men. It measures the human development costs of gender inequality. Thus, the higher the GII value the more disparities between females and males and the more loss to human development. See Technical note 4 at http://hdr.undp.org/sites/default/files/hdr2020_technical_notes.pdf for details on how the Gender Inequality Index is calculated.

⁵ The index benchmarks national gender gaps on economic, education, health, and political criteria (see Figure 1), and provides country rankings that allow for effective comparisons across regions and income groups

⁶ Countries are divided into five groups by absolute deviation from gender parity in HDI values.

⁷ World Economic Forum. Global Gender Gap Report. 2021

out of a total of 189 countries. Guatemala shows the biggest level of inequality. Mexico shows the lowest level of inequality.

The Global Gender Gap of the World Economic Forum (WEF) benchmarks national gender gaps on economic, education, health and political criteria, and provides country rankings that allow for effective comparisons across regions. Western Europe is once again the region where the gender gap is smallest (77,6%), placing it ahead of North America, which has closed 76,4% of its gap, Latin America and the Caribbean (72,1%), and Eastern Europe and Central Asia (71,2%). The East Asia and the Pacific region (68,8%) is just ahead of Sub-Saharan Africa (67,6%), while South Asia has closed 62,7% of its gap and is ahead of the Middle East and North Africa, the region with the lowest performance (61,6%)

Looking at the four subindexes, regional performance is well positioned in terms of Health and Survival (97,6%) and gender parity in Educational Attainment (99,7%). Regional performances on the Economic Participation and Opportunity subindex (64,2%), however, vary within a wider range. Political empowerment gaps (27,1%) are also large in many countries of the region.

All target countries in LAC region have ratified the CEDAW, Convention on the Elimination of All Forms of Discrimination against Women as well as the “Convention of Belem do para” Interamerican Convention on the Prevention, punishment and eradication of violence, except Colombia which is adhered to this last one. In relation to ILO Conventions, all countries have ratified Core Conventions 100 on equal remuneration for work of equal value and 111 on discrimination (employment and occupation). Regarding maternity protection, two countries (El Salvador and Panamá⁸) have ratified number 183 which is the most advanced in rights and protection for women and two countries have ratified number 103 (Brazil and Guatemala). Two countries have ratified Convention 156 on workers with family responsibilities (El Salvador, Guatemala). Finally, two countries have ratified Convention 190 on violence and harassment at work (México and Panama⁹)

1.2.2. Specific Gender Analysis by country

1.2.2.1. Brazil

From a strictly legal standpoint, men and women are fully equal in Brazil. The Citizens' Constitution of 1988 declared women equal to men in all legal respects, explicitly stating in Article 5 of Title II that "men and women have equal rights and duties under the terms of this Constitution." Women, Business and Law Index scores 85, with legal constraints found in the areas of workplace (law does not mandate equal remuneration for work of equal value) and assets (law does not prohibit discrimination in access to credit based on gender)¹⁰. Besides, 91.7% of legal frameworks that promote, enforce and monitor gender equality, with a focus on violence against women, are in place according to UN Women.

The Ministry of Women, Family and Human Rights (MMFDH) has the purpose to implement, promote, and protect human rights, civic rights, and the rights of children, adolescents, women, families, the elderly, and the disabled.

The OECD Development Centre's Social Institutions and Gender Index (SIGI) ¹¹ which measures discrimination against women in social institutions taking into account laws, social norms and practices that restrict women's access to

⁸ For El Salvador and Panama the Convention will enter into force in 2023 m

⁹ For Mexico, Peru and Panama the Convention will enter into force in 2023

¹⁰ World Bank. Women, business and the law. 2023

¹¹ <https://www.oecd.org/stories/gender/social-norms-and-gender-discrimination/sigi/dashboard>

resources and empowerment opportunities, scores 21,6¹². 19% of population think that a man should have more right to a job than a woman and 22% that men makes better business executives.

The road to equality is still a long one for women and even more difficult if the woman involved is black, brown, or mixed race and lives outside of the urban centres in the South and Southeast Regions.

The following table shows some basic gender data about Brazil:

Maternal mortality (deaths per 100,000 live births)	60 (WEF)
Life Expectancy (years)	F: 67.4 ; M: 67.3 (WEF)
Adult Literacy Rate (%)	F: 93.4 ; M: 93 (WEF)
Labor force participation rate (%)	F: 61.9 ; M: 80.2 (WEF)
Share of women membership in boards (%)	16,9 (WEF)
Unemployment adults (%)	F: 14.39; M: 10.44 (WEF)
Employment in agriculture (%)	F: 4; M: 13 (WB)
Employment in service (%)	F: 85 ; M: 59 (WB)
Women in parliament (%)	15.2 (WEF)
Prevalence of gender violence in lifetime (%)	33.5 (WEF)
Time spent on unpaid domestic and care work (%)	F: 18.2; M: 5.3 (UN CEPAL)

Brazil is fairly egalitarian when it comes to providing education and health rights for men and women but continues to have large gender gaps within the workforce and government representation. Gender gap in management positions and in top management is 26% and 19% respectively.

Some representative indicators show for example that the proportion of women aged 20-24 years old who were married or in union before age 18 is 26.2%. Also, the adolescent birth rate is 58.6 per 1000 population as of 2016.

UN Women also states that in Brazil, only 43.8% of indicators needed to monitor the SDGs from a gender perspective are available, with gaps in key areas such as violence against women. In addition, many areas such as gender and poverty, women's access to assets including land, physical and sexual harassment, and gender and the environment currently lack comparable methodologies for comprehensive and periodic monitoring.

Data regarding entrepreneurship, access to finance, digitalisation, and agriculture, show gender inequalities exist:

Account at a financial institution	M.: 73%, F.: 68% (WB)
Saved to start, operate, expand a business or farm	M.: 16%, F.: 10% (WB)
Saved at a financial institution	M.: 19%, F.: 10% (WB)
Borrowed from a financial institution	M.: 10%, F.: 7% (WB)
Borrowed from family or friends	M.: 16%, F.: 11% (WB)

¹² 0= no discrimination. 100= absolute discrimination

Received payments for agricultural products	M.: 5%, F.: 2% (WB)
Received payments from self-employment	M.: 18%, F.: 13% (WB)
Made or received digital payments	M.: 59%, F.: 57% (WB)

Regarding the program specific areas of intervention, Brazil has 16 million MSMEs, being the largest contributor in the region to total enterprises¹³. MSMEs form an essential part of the Brazilian economy, accounting for 98.5% of all legally constituted companies, for 27% of GDP, and for 41% of the total payroll¹⁴. Out of 49 economies, Brazil rank 8 in Total Early-stage Entrepreneur Activity (TEA), 7 in Established Business Ownership (EBO) and 5 in informal investment. There is a significant gender gap in both TEA (23% male: 17.2% female) and EBO (14.2% male: 6.8% female)¹⁵

Despite their importance to economic growth, MSMEs and smallholder farmers suffer more from credit constraints than larger companies, since they usually have less collateral to secure a loan and are more likely to default than large companies. This situation is often exacerbated by the lack of financial planning and training of the manager.

Women account for 31% of the total entrepreneurial population in Brazil, but for 47% of individual micro-entrepreneurs (MEI), suggesting that women-owned businesses are on average smaller than men-owned businesses. Other studies also confirm that Brazilian businesses owned by women are less growth-oriented, export-oriented, innovative and profitable than those owned by men¹⁶. It has been estimated that if women were to start growth-oriented businesses at the same rate as men, 5.8 million more jobs would be created in two years¹⁷

In terms of policies, there is a common perception in Brazil that special programmes for women entrepreneurs are not needed since all programmes are open to everyone. However, a lack of explicit exclusion is often not enough to build a culture of full inclusion in which women enjoy the same opportunities as men. This is also true for other underrepresented groups in the entrepreneurial population, such as Afro-Brazilians, migrants, and refugees.

The finance gap in LAC is the second largest after East Asia region, mainly driven by Brazil (\$0.6 trillion). This large financial gap is especially relevant for women, around 45 percent of women-owned SMEs identify access to finance as a major constraint in operating and growing their businesses¹⁸.

According to OECD SIGI, regarding access to productive and financial resources, Brazil scores 16.2¹⁹, better than other target countries of the Fund such as El Salvador (22.1) and Colombia (33.7). According to an OECD study²⁰, in Brazil, the gender gap in financial knowledge, one of the main barriers for inclusion, is 8 points, similar to financial behaviour, understood as budgeting, setting goals, choosing financial products and using independent advice, where the gap is 7 points. Meanwhile, there is also a relevant difference in financial attitudes in favour of women, with 52% showing positive attitudes towards the longer term compared with 49% of men. In terms of formal education, Brazil has experiences of interest in the framework of the national financial education strategies²¹.

¹³ WB, IFC, SME Finance Forum (2017). MSME Finance Gap

¹⁴ OECD (2020), Financing SMEs and Entrepreneurs 2020: An OECD Scoreboard, OECD Publishing, Paris, <https://doi.org/10.1787/061fe03d-en>

¹⁵ GEM (Global Entrepreneurship Monitor) (2023). 2022/2023 Global Report. Adapting to a “New Normal”. London: GEM.

¹⁶ Kelley, D., B. Baumer, C. Brush, P. Greene, M. Mahdavi, M. Majbouri, M. Cole, M. Dean, R. Heavlow (2017), Global Entrepreneurship Monitor Women’s Entrepreneurship 2016/2017 Report, Babson College, Smith College, and the Global Entrepreneurship Research Association (GERA), <https://www.gemconsortium.org/report>.

¹⁷ Aidis, R., J. Weeks and K. Anacker (2015). The Global Women Entrepreneur Leaders Scorecard 2015: From Awareness to Action Report, ACG, Inc., Washington, DC

¹⁸ IFC

¹⁹ 0= no discrimination. 100= absolute discrimination

²⁰ OECD (2016), “OECD/INFE International Survey of Adult Financial Literacy Competencies”

²¹ Corporación Andina de Fomento (2018/). Inclusión Financiera de las Mujeres en América Latina y el Caribe. Situación actual y recomendaciones de

According to a study of the Interamerican Development Bank (IDB) about leadership in microfinance institutions²², 50% of these institutions in Brazil have a female general manager and 20,83% of women in senior management positions.

Despite provisions protecting women's land ownership rights, local customs often infringe on the enjoyment of this right in the case of inheritance or after divorce. Also, many women in rural areas lack birth certificates or identity cards, which prevents them from accessing land titles. Evidence shows that the entire financial architecture of lending, especially in relation to microcredit, has not taken into account the needs of women, particularly poor women and women at the intersection of multiple discriminations²³.

Regarding climate change, Brazil is the fifth-biggest emitter of greenhouse gases, an important agro-exporter and also home to the Amazon Basin ecosystems that provide essential services for many people both regionally and globally. Brazil's Amazon deforestation and the agriculture sector are increasingly main contributors due to the expansion of cattle-ranching, soy cultivation, illegal gold mining and logging.

Climate change effects can be felt notably in such a dynamic environmental and socio-economic system. Important impacts can therefore be expected from both global price changes and local yield changes. Previous studies on the impacts of climate change on agriculture in Brazil have found potentially severe impacts, with farms losing on average 23 percent of their land values by 2060 in the worst climate scenario²⁴

Brazil has an unusually large share of female-headed households compared to other countries in Latin America²⁵ (34,8), but they are mainly concentrated in urban areas. In rural areas it is 18% and they are less likely to be vulnerable due to reasons such as higher levels of per capita income which are also more diversified. This could be because in those households there are several income earners, women are older and so have grown-up children and since they earn less money in equivalent jobs, women tend to have more than one main source of income. Female-headed households should therefore be better able to absorb the impacts of climate change regarding decreasing yields and increasing prices of agricultural products. However, according to IFAD²⁶, family farms headed by women have performed worse than average in reducing poverty over recent years and rural women suffer more the constraints of a social environment marked by discriminatory practices

1.2.2.2. Colombia

Colombia has a robust normative system and institutions to support the rights of girls and women. The country's 1991 Constitution recognises women's equality and outlaws gender-based discrimination. Particularly, the High Presidential Office for the Equality of Women was created to monitor policies on gender equity. Besides, Colombia has introduced over the years vigorous legislation to promote equality like the law requiring that women candidates comprise at least 30% of party electoral lists that has been crucial for obtaining higher representation of women in public institutions.

políticas.

²² Interamerican Development Bank (2016). El liderazgo femenino en las entidades microfinancieras en America Latina y el Caribe.

²³ OECD. Development Centre. Social institutions and gender index. 2019

²⁴ Seo, S. N., and R. Mendelsohn. 2008. "A Ricardian Analysis of the Impacts of Climate Change on South American Farms." *Chilean Journal of Agricultural Research* 68 (1): 69–79

²⁵ Lykke E. Andersen, Clemens Breisinger, Luis Carlos Jemio, Daniel Mason-D'Croz, Claudia Ringler, Richard Robertson, Dorte Verner, and Manfred Wiebelt/IFPRI (2016). Climate change impacts and household resilience. Prospects for 2050 in Brazil, Mexico and Peru. Food Policy Reports. International Food Policy Research Institute (IFPRI)

²⁶ IFAD (2016). Country strategic opportunities program.

The National Development Plan 2018-22 includes an entire chapter on women's rights based on three dimensions: the economic, the political and physical integrity, which includes violence against women²⁷.

Despite a good legislative framework, in practice, girls and women still endure discrimination, the most prominent on women participation in the labour market and their economic development in general. Women, Business and Law Index scores 84.4, with legal constraints found in the areas of workplace (law does not mandate equal remuneration for work of equal value) and pension (periods of absence from work due to childcare are not accounted for pension benefits)²⁸. Particularly important is the exclusion of rural women in the processes of social and productive order that leads to equitable and sustainable rural development.

An important factor affecting women in Colombia has been the civil armed conflict of recent decades. An estimated of 8.8 million people have been registered as victims of the armed conflict. The majority are victims of forced displacement, of which about 80% are women and children and 87% are from rural areas. Furthermore, 15.8% of the women displaced because of the armed conflict have stated that they were also victims of sexual violence.

The following table shows some basic gender data about Colombia:

Maternal mortality (deaths per 100,000 live births)	83 (WEF)
Life Expectancy (years)	F: 70.5; M: 67.4(WEF)
Adult Literacy Rate (%)	F: 95.3; M: 94.9 (WEF)
Labor force participation rate (%)	F: 61.6 ; M: 84.6 (WEF)
Share of women membership in boards (%)	12,9 (WEF)
Firms with female top managers	18,9 (WEF)
Unemployment adults (%)	F: 13.17; M: 8.04 (WEF)
Employment in agriculture (%)	F: 8 ; M: 23 (WB)
Employment in service (%)	F: 79; M: 54 (WB)
Women in parliament (%)	18.8 (WEF)
Prevalence of gender violence in lifetime (%)	37.4 (WEF)
Time spent on unpaid domestic and care work (%)	F: 18.2; M: 5.3 (UN CEPAL)

Significant gaps are in the labour and political participation rate. Likewise, the participation of women in decision-making spaces is still low despite the specific legislation introduced. The direct influence on policies that affect women remains low. OECD SIGI scores 23.5 and a significant 19% of population think that a men should have more right to a job than a woman and that men makes better business executives. Only 19% of firms have women in top management positions.

Data regarding entrepreneurship, access to finance, digitalisation and agriculture, show gender inequalities exist:

²⁷"Pacto de equidad para las mujeres" Accessible online under: <https://colaboracion.dnp.gov.co/CDT/Prensa/Resumen-PND2018-2022-final.pdf>

²⁸ World Bank. Women, business and the law. 2023

Account at a financial institution	M.: 49%, F.: 41% (WB)
Saved to start, operate, expand a business or farm	M.: 19%, F.: 13% (WB)
Saved at a financial institution	M.: 11%, F.: 7% (WB)
Borrowed from a financial institution	M.: 16%, F.: 13% (WB)
Borrowed from family or friends	M.: 20%, F.: 21% (WB)
Received payments for agricultural products	M.: 4%, F.: 3% (WB)
Received payments from self-employment	M.: 17%, F.: 14% (WB)
Made or received digital payments	M.: 42%, F.: 33% (WB)

Regarding the program specific areas of intervention, MSMEs and smallholder farmers represent an important part of the Colombian economy. In 2017, according to the National Department of Statistics (DANE), MSMEs and smallholder farmers contributed to 40% of GDP, generated 80% of employment and constituted 90% of the country's productive sector.

According to figures from the Bogotá Chamber of Commerce, of the total number of entrepreneurs in the capital, 38.7% of legal representatives are women. Figure that can certainly be estimated to be much lower on other areas of the country. Often the need for economic subsistence is the main reason for entrepreneurship, accompanied by the aspiration to balance family and work responsibilities and to achieve professional development.

In Colombia, the historical gaps in entrepreneurship by gender have shown a decreasing trend and the ratio of male entrepreneurs to female entrepreneurs is close to 1. Despite this data, women face significant barriers when it comes to participating in the formal economy. The perception of gender roles, the sexual division of labour and the lack of access to financial capital are some of the factors that condition women's access to the productive sphere.

Women entrepreneurs are characterized by participating in fragile business initiatives, not very intensive in job creation and in branches of activity with few entry barriers (requiring little initial capital, intensive in labour, etc.). Thus, women entrepreneurs operate in highly competitive sectors that are more vulnerable to changes in the economic context.

According to the GEM report, with respect to ventures, the extractive sector is the one with the lowest participation of women, with 2.3%, and the consumer-oriented sector is the most prevalent, with 57.4%, followed by that of transformation, with 20.5%.

The degree of innovation and internationalization of women's business initiatives is equally low, their presence in high-impact sectors is low. The influence of a culture and social structure articulated around gender differences, which condition their attitude and self-esteem, represent greater difficulties for them. Despite reporting high educational levels and social skills comparable to those of men, companies created by women tend to have a slower size and expansion than those created by men.

Business financing in Colombia was rated with a score of 3.5 on a 5.0 scale (GEM Colombia, 2022), which indicates that Colombian entrepreneurs do not have sufficient sources of financing such as angel investors, equity capital, bank debt, public subsidies, venture capital, crowdfunding, etc. The gender gap in perceived entrepreneurship skills remains at around 10 points over the last five years and in terms of no fear of failure is closed to 4 points in 2022.

Out of 49 economies, Colombia rank 2 in TEA, 34 in EBO and 34 in informal investment. The proportion of adults starting or running a new business is highest in five Latin America & Caribbean countries, being Colombia one of them²⁹. Moreover, it is one of the seven countries in which one in five women were starting or running a new business. Female new entrepreneurship has moved in line with the males, so a small gender gap has persisted. Regarding the levels of TEA and EBO by gender, the gap is 4 and 2.2 points respectively.

The country has no legislation prohibiting discrimination in access to credit³⁰. Colombia scores 33 regarding access to productive and financial resources³¹, and there is a 6 point gap in ownership of land³². There are differences in access and use of financial products between women and men. Gap in access is 6.6 and in use is 3.8. Access to credit product also show a gap of 3.3. In addition, in all forms of credit, the average amount of money disbursed is higher for men than for women. Women aged 18-25 and in rural areas are the groups with a lower level of access to financial products³³.

According to a study on female leadership by the Interamerican Development Bank, 54,5% of microfinance institutions have a female general manager and 51,4% of women in senior management positions, the best figures among the target countries of the Kuali Fund-GCF, together with Panama.

Regarding the rural context, women are commonly involved in unpaid agricultural jobs and housekeeping due to strong gender roles in rural family structures. Therefore, their entrepreneurship activity tends to move towards sectors other than the traditional ones where they find space for growth and that enables them to have economic independence.

Due to internal displacement and the tendency of rural men to migrate to urban areas, the number of female-headed households has increased in the last 10 years. As a result, women must shoulder the responsibilities of both domestic and productive activities. Their poverty rate is 52.3% compared with 44.7% of households headed by men. Regarding extreme poverty rate, is 29.3% and 20.5% respectively. Among the main barriers, it stands out their limited access to credit, paid work, land, and participation in decision-making; 31.3 % of agricultural workers are considered unpaid family help and these activities are often not reported as work³⁴.

The promotion of female entrepreneurship and companies run by women in agricultural activities, the increase in activities related to the secondary and tertiary sectors in the rural economy constitute an essential aspect of rural development policies to bring progress to the regions hardest hit by the conflict. The Second Biennial Update Report on Climate Change in Colombia³⁵ built by IDEAM and UNDP states for the first time the importance of addressing climate change with gender perspective. In Colombia the main source of carbon emissions is linked to the agricultural sector, according to the latest inventory of greenhouse gases (IDEAM 2017), the emissions of this sector were of a 36%, above sectors such as transport (11%) and energy (10%). Rural women in Colombia constitute more than 48% of the registered rural population, and 36% of them are agricultural producers. The recognition of the central role played by women in aspects such as agricultural production, food security and resilience in communities to climate change are essential aspects for the promotion of sustainable and inclusive development

From the Directorate of Climate Change, the "Proposal of Technical Guidelines to Promote and Strengthen the Gender Approach in Attention to the Establishment of the PNCC (2017)" was built, which is framed in the provisions of the national and international contexts, both in terms of gender approach as in relation to its incorporation in the management of climate change.

²⁹ GEM 2022/2023

³⁰ Women, Business and the Law. World Bank. 2023

³¹ OCDE SIGI

³² 0= no discrimination. 100= absolute discrimination

³³ <https://www.findevgateway.org/sites/default/files/publications/2022/Memorias%20-%20Caf%C3%A9%20con%20Finequity.pdf>

³⁴ IFAD, 2016. Country strategic opportunities program.

³⁵ Accessible online under: http://www.ideam.gov.co/documents/24277/77448440/PNUD-IDEAM_2RBA.pdf/ff1af137-2149-4516-9923-6423ee4d4b54

1.2.2.3. El Salvador

El Salvador has implemented numerous legislative amendments in the last years regarding, among others, improving maternity protection, prevention of violence against women, reinforcing gender equality and non discrimination in the workplace including equal pay for equal work and a place free from violence³⁶.

The Salvadoran Institute for the Advancement of Women³⁷ is the institution responsible for formulating, executing and monitoring compliance with the National Policy for Women.

During the period 2016-2020 a National Equality Plan has been the main policy tool with national scope but with regional and sectoral specificities. Institutional changes have been achieved and today more women are working at all levels of public service. In the executive branch, representation of women in decision-making positions increased from two female ministers in the period 2009-2014 to seven in the present presidential term (43,8%). In the municipal councils in 2021, 11% of mayor's offices are women.

Women, Business and Law Index scores 88.8, with legal constraints found in the areas of pay (law does not mandate equal remuneration for work of equal value), marriage, parenthood and pension. Access to assets are equal³⁸.

The following table shows some basic gender data about El Salvador:

Maternal mortality (deaths per 100,000 live births)	46 (WEF)
Life Expectancy (years)	F: 67.8; M: 61.6 (WEF)
Adult Literacy Rate (%)	F: 87.2; M: 91.1 (WEF)
Labor force participation rate (%)	F: 49.3; M: 79.6 (WEF)
Firms with female top managers (%)	28 (WEF)
Unemployment adults (%)	F: 4.62; M: 4.21 (WEF)
Employment in agriculture (%)	4; 29 (WB)
Employment in service (%)	78; 47 (WB)
Women in parliament (%)	33.3
Prevalence of gender violence in lifetime (%)	26.3 (WEF)
Time spent on unpaid domestic and care work (%)	F: 20,2; M: 7 (UN CEPAL)

Regarding employment, the IGUAL-ES programme has been rolled out to encourage businesses to establish egalitarian, inclusive and decent workplaces, which can be certified by a "gender equality seal". Since 2018 employers have a duty to provide childcare facilities for their employees' children between the ages of 4 months and 3 years for the duration of the workday.

El Salvador scores 19.6 in OECD SIGI and a significant 27% of population think that a men should have more right to a job than a woman and that men makes better business executives. Gender gap in management positions is only 3 points but just 28% firms have women in top management positions.

³⁶ UN CEDAW. Tenth Periodic Report. October 2021

³⁷ <https://isdemu.gob.sv/>

³⁸ World Bank. Women, business and the law. 2023

More specifically, data regarding entrepreneurship, access to finance, digitalisation and agriculture, show gender inequalities:

Account at a financial institution	M.: 36%, F.: 24% (WB)
Saved to start, operate, expand a business or farm	M.: 15%, F.: 11% (WB)
Saved at a financial institution	M.: 14%, F.: 9% (WB)
Borrowed from a financial institution	M.: 9%, F.: 8% (WB)
Borrowed from family or friends	M.: 14%, F.: 7% (WB)
Received payments for agricultural products	M.: 5%, F.: 1% (WB)
Received payments from self-employment	M.: 15%, F.: 15% (WB)
Made or received digital payments	M.: 30%, F.: 18% (WB)

To support the growing economy of microenterprises and small and medium-sized businesses, in 2019, the Legislative Assembly approved amendments so that 25% of the annual budget for procurement and contracts will be earmarked for goods and services provided by microenterprises and small and medium-sized businesses, with at least 10% reserved for purchases from businesses whose owner, majority shareholder or legal representative is a woman.

The Women's Entrepreneurship Programme promotes the entrepreneurship and economic empowerment of Salvadoran women. Women in El Salvador own 64% of microenterprises and 29% of medium and large enterprises³⁹, which are also a more formal type of business. This offer an opportunity to train women so that their businesses grow. One of the objectives of the National Policy for Enterprise Development is to strengthen competitive and productive capacities from a territorial and gender perspective.

Companies are located mainly in urban areas (91,13%). In the rural areas, entrepreneurship by women are more than double than those led by men. Both male and female MSMEs owners used their own resources as a primary source to finance their economic activity. For women owners, also stand out as important sources of financing community banks, NGOs, other cooperatives, moneylenders and seed capital granted by CONAMYPE⁴⁰.

Women have lower default rates. However, the lack of assets in their name are the main barriers to accessing formal sources of finance. Access to productive and financial resources scores 22.141. National data show that less than 30% of population has an account in a formal institution. The country has a National Policy for Financial Inclusion that has gender equity as one of the main goals. According to the National Survey of Demand of Financial Services the gap in the use of at least one financial product, including savings, insurance, pensions and credit, reached 13 percentage points. There is no gender gap in relation to the use of mobile phones to make payments or transfers and the gap in relation to obtaining credit is also small (2%). In 2018 the Salvadoran Institute for the Advancement of Women in coordination with the Central Reserve Bank of El Salvador, conducted an assessment of the invisible barriers to women's access to financial services with a view to prepare guidelines on financial inclusion from a gender perspective.

³⁹ CONAMYPE, 2022

⁴⁰ CONAMYPE, 2017. Encuesta Nacional de la Micro y Pequeña Empresa

⁴¹ OECD SIGI. 0 = no discrimination and 100 = absolute discriminations.

The IDB study on female leadership show that 20% of microfinance institutions have a female general manager and 50% of women in senior management positions.

Measures have been taken in order to ensure women's rights access to and control over land, housing and property, especially in rural areas. In 2018, the Salvadoran Agrarian Reform Institute revised and incorporated a gender perspective into its user service guidelines and provided information on Legislative Decree No. 719, which establishes land as a family asset. The Ministry of Agriculture has also taken steps to include women in its services (agricultural packages, TA programmes, trainings) but there is still a significant gender gap.

Although the rate of rural poverty decreased by 18% between 2000 and 2013, many rural people continue to live in poverty. Traditionally excluded groups such as young people, women, indigenous peoples and seniors are especially vulnerable. Young rural people are trapped between the lack of access to education, which makes it difficult to enter the formal labour market, and the lack of assets needed to launch a sustainable business. They are also among the main victims of crime and, as a result, many choose to migrate. They are reluctant to work in the agriculture sector because of its low profitability and the perception that agriculture is drudgery.

The National Policy for Rural, Indigenous and Campesina Women was designed to guarantee human rights and promote the autonomy of rural women. Women and girls are 52,1% of rural population. 32.1% of households are headed by women (67.9% by men). However, they make up only 9% of the rural population engaged in agricultural activities and almost 30% as unpaid family workers. Most of the majority of these women, 75 %, declare themselves as economically inactive and 50.8 % have no income of their own, compared to 17% of men⁴².

The illiteracy rate among women stood at 17.4 per cent in rural areas. In 2019, the rate of participation in the labour force was 59.1% in rural areas (36,8% women and 84,4% men). Data regarding wages show a gender gap: the average monthly salary at the national level was \$344.29, with women earning \$306.11 and men earning \$373.40 on average and in rural areas, women earning \$213.23 and men earning \$276.34 on average.

El Salvador is located in one of the world's most vulnerable areas to the impact of natural hazards in the world. 2.2 million people live in poverty and climate vulnerability in the 114 municipalities that make up the so-called "dry corridor". The effects of climate change and environmental degradation are causing the displacement of thousands of people. The link between gender and climate change has been scarcely studied but there is consensus on the types of strategies that should be addressed. In the case of adaptation measures, subsistence farming practices and rural water management are tasks often assigned to women. UN WOMEN highlights strategies such as empowering women through work in the areas of land, credit, agricultural inputs, technology, extension and training services to broaden their capacity and the sustainable use of natural resources⁴³.

1.2.2.4. Guatemala

In Guatemala, the Constitution incorporates an article on the right to non-discrimination and the Constitutional Court upheld the exercise of this right in the workplace and the family, informed by a perspective of intersectionality and equality⁴⁴. The Presidential Secretariat for Women (SEPREM) is the high level institution which depends directly from the President of the Republic. It is the advisory and coordinating body for public policies to promote the comprehensive development of women.

⁴² UN WOMEN, 2020

⁴³ UN WOMEN, 2020

⁴⁴ UN CEDAW. Tenth periodic report. December 2021

Guatemala, the biggest economy in Central America, is known for its fertile land, abundant natural resources and robust agricultural sector, which employs half of the population and accounts for 10% of the country's GDP. However, the country has one of the highest inequality rates in Latin America and the lowest rate of women's participation in the workforce in LAC. Rates of poverty, malnutrition and maternal-child mortality, especially in rural and indigenous areas, are some of the worst in the region. Additionally, chronic malnutrition affects almost one half of all children under the age of five, predominantly those living in rural areas (53%)⁴⁵. Access to formal financial services and resources, health and education services are still limited. Interrelated territorial, ethnic and gender inequalities intensify women's constraints to full participation in development

The National Policy for the Promotion and Comprehensive Development of Women have set three priorities for the period 2021-2024: education, eradication of violence against women and girls and women's economic development. In 2021 the strategy for the implementation of the 2020-2029 National Plan for the Prevention and Eradication of Violence against Women was adopted. In 2017, the Ministry of Labour and Social Security presented a protocol for addressing and preventing workplace harassment against women working in both public and private sectors.

Women, Business and Law Index scores 73.8, with legal constraints found in the areas of workplace (the law does not prohibit discrimination in employment and there is no legislation on sexual harassment), pay (law does not mandate equal remuneration for work of equal value), marriage, parenthood and entrepreneurship (law does not prohibit discrimination in access to credit). Access to assets are equal⁴⁶.

The following table shows some basic gender data about Guatemala:

Maternal mortality (deaths per 100,000 live births)	95
Life Expectancy (years)	F: 64.1; M: 6.5 (WEF)
Adult Literacy Rate (%)	F: 76.4; M: 86.8 (WEF)
Labor force participation rate (%)	F: 42.5; M: 88.2 (WEF)
Firms with female top managers (%)	18,50%
Unemployment adults (%)	F: 3.63; M: 2.03 (WEF)
Employment in agriculture (%)	F: 9; M: 39 (WB)
Employment in service (%)	F: 73; M: 38 (WB)
Women in parliament (%)	19.4 (WEF)
Prevalence of gender violence in lifetime (%)	18 (WEF)
Time spent on unpaid domestic and care work (%)	F: 19,5; M: 2,6 (UN CEPAL)

The 2017–2032 national policy for decent employment implemented by the Ministry of Labour and Social Security include gender equity as priority area, with the aim of ensuring that women have access to fairly paid and productive work under conditions that ensure respect for their freedom, security and human dignity.

⁴⁵ IFAD country reports

⁴⁶ World Bank. Women, business and the law. 2023

OECD SIGI scores 25.7 and a significant 22% of population think that a men should have more right to a job than a woman and 18% that men makes better business executives. Only 19% of firms have women in top management positions and 37% of managers are women.

Data regarding entrepreneurship, access to finance, digitalisation and agriculture, show gender inequalities:

Account at a financial institution	M.: 46%, F.: 41% (WB)
Saved to start, operate, expand a business or farm	M.: 21%, F.: 17% (WB)
Saved at a financial institution	M.: 15%, F.: 10% (WB)
Borrowed from a financial institution	M.: 11%, F.: 9% (WB)
Borrowed from family or friends	M.: 13%, F.: 13% (WB)
Received payments for agricultural products	M.: 14%, F.: 6% (WB)
Received payments from self-employment	M.: 15%, F.: 17% (WB)
Made or received digital payments	M.: 35%, F.: 32% (WB)

Regarding entrepreneurship, out of 49 economies, Guatemala rank 1 in TEA, 5 in EBO and 2 in informal investment. Women in Guatemala own 40.37% of microenterprises and 16.27% of small and medium enterprises⁴⁷. The proportion of adults starting or running a new business is highest in five LAC countries, being Guatemala one of them and is one of the seven countries in which one in five women were starting or running a new business⁴⁸. In the levels of TEA and EBO by gender, the gap is 2.6 and 3.9 points respectively, scoring better than other countries of the project. The percentage of adults starting or running a new business in Guatemala has actually increased over the pandemic cycle, from 25% in 2019 to 29% in 2022, although the level of EBO has gone the other way, from 15% in 2019 to 12% in 2022. There were more than two adults starting a new business for every adult running an established business in 2022, with men slightly more likely than women to be running those new businesses. Guatemala is an example of a country with low levels of human development and high levels of TEA. Consumer services made up 78% of startups.

The Women's Economic Development Act facilitates access to economic and productive resources as well as technological services to implement projects for the economic empowerment of women. As at December 2020, statistical data show that women have limited access to the financial system and when they do, they, in general, receive financing in lower amounts and with higher interest rates than men, even though women have a lower default rate. 4 in 10 loans were for women, the interest rate applied was 21.2 (19.4 for men), while the default rate was 1.8 in the case of women and 2.6 of men⁴⁹. Through the Fund for the Development of MSMEs, during the period 2017–2021, 35.1 % of loans was granted to women. Guatemala scores 28.4 in access to productive and financial resources. In spite of equal ownership rights to immovable property the gender gap in ownership of land reaches 26 points⁵⁰.

According to the IDB study on female leadership, 38% of microfinance institutions have a female general manager and 33% of women in senior management positions.

⁴⁷ [SME Finance Forum](#)

⁴⁸ GEM 2022/2023

⁴⁹ UN CEDAW. Tenth periodic report submitted by Guatemala. December 2021

⁵⁰ OECD SIGI. O= no discrimination. 100= absolute discrimination

In 2019, women represented 8.3 per cent of employers in the agricultural sector. The procedure to facilitate access to ownership of land and other assets for peasant was approved in 2018. Under the State Land Regularization and Allocation Programme, the Government provides peasant families with legal certainty regarding land, granting titles to applicants and their spouses. The Ministry of Agriculture, Livestock and Food is empowering women by providing them with training and technical guidance in the implementation of best practices and the use of agricultural products, and by providing them with supplies in order to improve household finances.

The Ministry of Agriculture, Livestock and Food is empowering women by providing them with training and technical guidance in the implementation of best practices and the use of agricultural products, and by providing them with supplies in order to improve household finances. Between 2017 and 2021, 60.9% (538,014) of the beneficiaries of the various activities implemented under the Ministry's institutional programmes were women. In order to advance equal opportunity in the rural areas it is critical to target women producers and it is also a significant driver of improved nutrition at home⁵¹. Exclusion and racism have generated various forms of structural, legal and institutional violence and discrimination, particularly those living in rural areas.

Guatemala is one of the 20 countries in the world that are most affected by the severe impacts of extreme climate events. Some studies have shown that losses caused by natural disasters affect directly to more vulnerable people, old age, women and children living in poor rural areas.

1.2.2.5. Honduras

Honduras is a middle-income country of Central America that is facing persistent poverty, insecurity and socio-economic inequality. Poverty rate reached 66% in 2016. The country has one of the lowest Human Development Index of the region, specially due to the low expectancy life and gross national income per capita.

Since 2015, Honduras has adopted several laws to protect women's rights such as the Wage Equality Act, the Credit for Rural Women Act, regulations for the implementation of the principle of parity on electoral lists, regulations to monitor investigations of violent deaths of women and cases of femicide, among others. Likewise, Honduras has also adopted policies against racism, on trafficking with persons, cities for women and sexual and reproductive health⁵².

The National Institute for Women is implementing the Second National Gender Equity and Equality Plan 2010-2022 through the Gender Units and the municipal offices for women. The Plan was developed with wide participation of women's movements, civil society, and municipal governments and has had the support of international agencies such as AECID, UNFPA and UNDP.

Women, Business and Law Index scores 75, with legal constraints found in the areas of pay (law does not mandate equal remuneration for work of equal value), marriage, parenthood and pension. Access to assets are equal⁵³.

The following table shows some basic gender data about Honduras:

Maternal mortality (deaths per 100,000 live births)	65 (WEF)
Life Expectancy (years)	F: 63.3; M: 62.7 (WEF)
Adult Literacy Rate (%)	F: 87.3; M: 87.1 (WEF)

⁵¹ <https://blogs.worldbank.org/latinamerica/promoting-food-security-and-empowering-women-farmers-guatemala-one-school-day-time>

⁵² UN CEDAW. Ninth Periodic Report. April 2021.

⁵³ World Bank. Women, business and the law. 2023

Labor force participation rate (%)	F: 54.3; M: 88 (WEF)
Firms with female top managers (%)	28% (WEF)
Unemployment adults (%)	F: 8.50; 4.47 (WEF)
Employment in agriculture (%)	F: 9; M: 45 (WB)
Employment in service (%)	F: 71; M: 35 (WB)
Women in parliament (%)	21.1 (WEF)
Prevalence of gender violence in lifetime (%)	21.6 (WEF)
Time spent on unpaid domestic and care work (%)	F: 17,3; M: 4,3 (UN CEPAL)

Data regarding entrepreneurship, access to finance, digitalisation and agriculture, show gender inequalities:

Account at a financial institution	M.: 47%, F.: 39% (WB)
Saved to start, operate, expand a business or farm	M.: 17%, F.: 10% (WB)
Saved at a financial institution	M.: 17%, F.: 12% (WB)
Borrowed from a financial institution	M.: 17%, F.: 13% (WB)
Borrowed from family or friends	M.: 17%, F.: 4% (WB)
Received payments for agricultural products	M.: 10%, F.: 9% (WB)
Received payments from self-employment	M.: 13%, F.: 12% (WB)
Made or received digital payments	M.: 43%, F.: 32% (WB)

OECD SIGI scores 26 mainly because of restrictive access to productive and financial resources, laws on land assets. Gender gap are significant in ownership of land (28% of women are owners of land). women in top management positions (28%) and in management positions (40%).

The National Service of Entrepreneurship and Small Businesses gives credits and support to women to strength their businesses. More specifically, Honduras has a program, INNOVAMUJER⁵⁴, to foster the developmen of women-led SMEs by providing training, mentoring and services for the digitalisation of businesses.

According to UN WOMEN, the limited access to land and credit severely restrict women's economic prospects and autonomy. Some women wishing to form their own businesses often cannot do it due to their need of capital or incapacity of complying with some requirements such as having a formal account. The National Banking and Insurance Commission launched the Financial Inclusion Plan for Women, aimed at ensuring that data disaggregated by sex is compiled and promoting access to and use of financial services and products by women.

According to the IDB study on female leadership, 31% of microfinance institutions have a female general manager and 29% of women in senior management positions.

In 2015, 45% of population lived in rural areas and 65% of rural households lived in poverty. Agricultural land accounts for about 28% of the country's land area, and the agricultural sector employs almost 39% of the population. Most of

⁵⁴ <http://innova.ciudadmujer.gob.hn/>

the agricultural land is used for the production of low-yielding crops such as bananas, plantains, rice, maize and beans. In addition, the agricultural sector has lost almost a third of its income over the past 20 years, partly due to the decline in prices for the country's export crops, especially bananas and coffee.⁵⁵

Rural women and youth are particularly vulnerable, impacted by violence, migrations and poverty. 50% of rural population is composed of women but only 27% of this population is economically active. Women are involved in much lesser extent in agricultural activities with limited access to land or financing. There is an invisibility phenomenon of the contributions women do in agriculture hidden by the domestic tasks they usually perform. Rural women combine agriculture activities (mostly related to subsistence production and taking care of nutrition with their households) with other the economic activities. In spite of having achieved greater educational results, opportunities have not increased for rural women and gender gaps have not changed. Strong patriarchal culture continues to prevent rural women from reaching their economic autonomy. Poverty in rural areas has affected the women-headed households in a disproportional manner

Initiatives related to the empowerment of rural women have included the adoption of the Act and regulations on credit for rural women and the launch of the microenterprise credit line “Working Capital for Women”. In 2019, the National Institute for Women advised the Ministry of Natural Resources and the Environment on the creation of the Gender Equity and Environment Strategy with a view to eliminating gender inequalities related to the environment and encouraging women’s participation in the development, implementation and evaluation of environmental policies and programmes for sustainable development.

The country is prone to natural disasters. Climate events such as droughts increase women’s vulnerability. Decreases in the quantity and distribution of rainfall lead not only to failed crops, but also to fewer employment and income opportunities, price increases, and changes in the consumption patterns of the most vulnerable population. Therefore, the most impacted families are landless producers or those with small plots dedicated to subsistence farming, day labourers and women heads of households⁵⁶. With regard to the active inclusion of women in the design and implementation of climate change policies, the School for Equality and Empowerment of Rural Women offers advice and support to rural women. The initiative is designed to develop skills and promote equality and equity in the use, conservation and preservation of the environment and natural resources.

1.2.2.6. Mexico

Mexico is the second-largest economy in Latin America. Despite being a large, upper-middle-income country, Mexico continues to have high rural poverty levels and wide social and economic disparities.

The country has made significant progress in the achievement of women’s rights and gender equality, especially in key areas at federal level: strengthening of national laws to ensure women and men equality; strong gender institutionalism and increased public resources earmarked for gender equality. The most prominent legislation at the federal level to promote gender equality is the National Constitution⁵⁷, the Federal Law for the Prevention and Sanctioning of

⁵⁵ FIDA, 2020

⁵⁶ Oseguera de Ochoa, M.; Guillén de Bográn, M. A.; Borjas, R.; González, J. A.; Cáceres, R.; Ordoñez, R. A.; Jiménez Tabora, M.; Rodríguez M. A.; Schrunder A. I.; Agulla J.; Rizzo C. 2009. Estrategia Nacional de Seguridad Alimentaria y Nutricional 2010-2022. Secretary of State in the Office of the Presidency, Food and Nutrition Security Technical Unit, World Food Programme, Food and Agriculture Organization of the United Nations, and Food Security Support Programme in Honduras – European Union..

⁵⁷ http://www.diputados.gob.mx/LeyesBiblio/pdf_mov/Constitucion_Politica.pdf

Discrimination⁵⁸, the General Law of Equality between Women and Men⁵⁹ and the General Law Women Access to a Life Free from Violence⁶⁰

Regarding institutions, the National Institute of Women⁶¹ is the federal office that works for gender equality in Mexico, combating violence and discrimination against women. The National Gender Equality Program (2019–2024)⁶² is focused on advancing substantive equality around 6 strategic goals (economic autonomy, domestic work, health rights, violence, decision-making and safe environments). Important milestones recently achieved were the Political-Electoral Reform that elevated gender parity to a constitutional level for candidacies to Federal and State Congress.

Despite the progress made, gender equality in Mexico faces a series of structural challenges characterized by an unrelenting gap between formal and substantive equality in all areas of development. Besides, a cause for concern is the escalation of generalized violence in several target areas of the country, showing patterns of human rights violations and impunity at all levels, in particular enforced disappearances, torture, arbitrary detention, as well as attacks on human rights activists and journalist men and women alike.

Women, Business and Law Index scores 88.8, with legal constraints found in the areas of pay (law does not mandate equal remuneration for work of equal value), parenthood and pension. Access to assets are equal⁶³.

The following table shows some basic gender data about Mexico:

Maternal mortality (deaths per 100,000 live births)	33 (WEF)
Life Expectancy (years)	F: 67.2; M: 64.3 (WEF)
Adult Literacy Rate (%)	F: 94.6 ; M: 96.2 (WEF)
Labor force participation rate (%)	F: 49.1 ; M: 82.4 (WEF)
Share of women membership in boards (%)	10,6 (WEF)
Unemployment adults (%)	F: 3.65; M: 3.61 (WEF)
Employment in agriculture (%)	F: 4 ; M: 18 (WB)
Employment in service (%)	F: 79 ; M: 51 (WB)
Women in parliament (%)	48.2 (WEF)
Prevalence of gender violence in lifetime (%)	14.1 (WEF)
Time spent on unpaid domestic and care work (%)	F: 24.2; M: 8.8 (UN CEPAL)

Less than half of Mexican women of working age participate in the labour market. Only 10,60% women are members of the Boards and 15% are in top management positions. Almost 60% of the women who do work have informal jobs,

⁵⁸ http://www.diputados.gob.mx/LeyesBiblio/pdf/262_210618.pdf

⁵⁹ http://www.diputados.gob.mx/LeyesBiblio/pdf/LGIMH_140618.pdf

⁶⁰ https://www.gob.mx/cms/uploads/attachment/file/209278/Ley_General_de_Acceso_de_las_Mujeres_a_una_Vida_Libre_de_Violencia.pdf

⁶¹ <https://www.gob.mx/inmujeres>

⁶² http://cedoc.inmujeres.gob.mx/documentos_download/Proigualdad%202020-2024%20Web.pdf

⁶³ World Bank. Women, business and the law. 2023

with low social protection, high insecurity and low pay. One of the causes of this low participation is the excessive unpaid work burden which prevents them from devoting time to formal work.

OECD SIGI scores 21,9 and a significant 25% of population think that a men should have more right to a job than a woman and 19% that men makes better business executives.

Data regarding entrepreneurship, access to finance, digitalisation and agriculture, show gender inequalities:

Account at a financial institution	M.: 41,1%, F.: 33,3% (WB)
Saved to start, operate, expand a business or farm	M.: 16,5%, F.: 8,4 % (WB)
Saved at a financial institution	M.: 12,1%, F.: 7,8% (WB)
Borrowed from a financial institution	M.: 5,5%, F.: 5,9% (WB)
Borrowed from family or friends	M.: 16%, F.: 12,3% (WB)
Received payments for agricultural products	M.: 8,4%, F.: 2,1% (WB)
Received payments from self-employment	M.: 10,9%, F.: 10% (WB)
Made or received digital payments	M.: 35,8%, F.: 28,2% (WB)

Regarding entrepreneurship, smallholder farmers and MSME, there are 4 million SMEs, of which 97.4% are microenterprises that represent 12.4% of total gross production and employ 47.2% of the workforce⁶⁴. Altogether account for 99.7% of all private enterprises, 62.6% of private-sector employment and 35.2% of national total gross production.

Out of 49 economies, Mexico rank 18 in TEA, 49 in EBO and 42 in informal investment. The national entrepreneurship context substantially worsened over the pandemic period in Mexico. The score fell from 4.7 in 2019 to 4.1 in 2020 and 3.9 in 2022, in part due to be heavily dependent on tourism. There is not a significant gender gap in entrepreneurship in TEA (13.8% male: 12.1% female) nor EBO (2.2% male: 1.0% female)⁶⁵, scoring better than other countries of the project.

According to the IDB study on female leadership, 33% of microfinance institutions have a female general manager and 27% of women in senior management positions.

Mexico is one of the most populous countries in LAC, with more than six million microfinance borrowers, the largest number in the region with nearly 5,000 FSPs but has the smallest loan portfolio which implies a small average loan size provided mainly through the group lending approach, the dominant model in the country to reach low-income entrepreneurs and non-entrepreneurs⁶⁶. Group lending is a good entry point for the unbanked into the formal financial sector but it does not serve well microenterprises as they grow. Since 80% of Mexico microfinance borrowers are women, moving to an individual lending model will affect women's access to finance. There seems to be a big potential to grow the financial services sector in Mexico.

In 2018, the average interest rates varied according to the amounts of the loans and the size of the borrowing company. For large companies, the average interest rate was approximately 11.78%; for SMEs, the average was 17.70%. In recent

⁶⁴ OECD (2020), Financing SMEs and Entrepreneurs 2020: An OECD Scoreboard, OECD Publishing, Paris, <https://doi.org/10.1787/061fe03d-en>

⁶⁵ GEM (Global Entrepreneurship Monitor) (2023). 2022/2023 Global Report. Adapting to a "New Normal". London: GEM.

⁶⁶ Women's World Banking. 2014. Individual Lending to Microenterprise in Mexico: An overview of constraints and opportunities.

years, the Mexican government has developed a series of initiatives to support entrepreneurs and strengthen the access of SMEs to finance. These initiatives have included programs for young people and women.

In a recent study by Value for Women on women-led small and growing businesses⁶⁷ found that women-led SMEs are smaller than those led by men, which limits their economic potential. The percentage of business led by men with profits over \$4 million MXN (\$222,000 USD) is twice that of women-led. The study also found that in Mexico 70% of women were looking for finance. Yet, according to this report, many Mexican women-led businesses (42%) have never applied for credit due to high interest rates and aversion to indebtedness but also due to lack of appropriate credit products. 93% of the sample said they believe that there is a lack of financing opportunities available to and accessible for women-led businesses specifically, while very few (14%) reported knowing about opportunities for financing that exist for women-led businesses.

Socioeconomic disparities are more marked in rural areas, where 61% of the indigenous population is extremely poor, compared with only 19% of the non-indigenous rural population. Although there is no gender gap in the poverty rate (44% of women versus 43% of men), women experience higher levels of deprivation in terms of food, healthcare and education. Most poor women live in rural areas⁶⁸

Mexico's agriculture sector is facing increasing vulnerabilities and a degraded natural resource base. Rural people are constrained by limited human and social assets, inadequate production-related investments and value-adding infrastructure, scarce financial resources and services, weak public-sector technical assistance and poor access to markets. These constraints result in low productivity, depressed consumption and incomes, and poverty.

A key factor in the sector's performance is a lack of smallholder access to financing. Although Mexico has various national development banks, access to rural finance remains a challenge. Women face additional obstacles such as access to land and inputs and restrictions on decision-making in the home. The insertion of women in productive activities requires considering and knowing the role that perform in society, especially taking into account the increase in their responsibilities, due to the migration of man⁶⁹.

Low-income households are increasingly dependent on women's work. Increasing their income requires access to microcredits, productive inputs, training and access to better markets. The incursion of women into productive activities has repercussions on economic growth and in a better distribution of income, since they are agents that promote the education and well-being of children, resulting in an increase in the human capital of future generations.

Crops that are key to the smallholder economy, such as coffee and seasonal white corn, are frequently exposed to shocks such as climate-related events or market imperfections. The country also faces vulnerability to climate-related disasters exacerbated by inappropriate agricultural practices⁷⁰.

1.2.2.7. Panama

In Panama, the basis for gender equality is the Political Constitution of the Republic, whose article 19 establishes that "there will be no privileges or discrimination based on race, birth, social class, sex, religion or political ideas". According to UN Women, in Panama, 83.3% of legal frameworks that promote, enforce and monitor gender equality, with a focus on violence against women, are in place.

⁶⁷ Value for Women, Exxon Mobil, Cherie Blair Foundation for Women, 'Understanding how to unleash the untapped potential of women entrepreneurs in Mexico,' 2018

⁶⁸ National Council for Evaluation of Social Development Policy (2017) and IFAD-FAO, *Closing the gaps: Public policy note for the inclusion of gender and an intercultural perspective in agriculture and rural development* (2019),

⁶⁹ CEPAL. "Productividad agrícola de la mujer rural en Centroamérica y México" <http://hdl.handle.net/11362/26078>

⁷⁰ FIDA

An important milestone was the creation of the National Institute for Women (INAMU) by law No. 71 of December 23, 2008 as a decentralized public entity that ensures compliance with legal instruments, international agreements ratified by Panama and other national laws and regulations related to equal opportunities for women.

Despite recent good progress and a low level of disparity compare with other countries in Latin America, work still needs to be done in Panama to achieve gender equality. The National Strategic Plan 2020-2024⁷¹ recognizes that there are still forms of discrimination against women and highlights several subjects to be improved. According to INAMU, major issues that affect women in Panama relate to unequal employment opportunities (only 39% of productive work force are women), unequal salaries, domestic violence and femicide. At national level, disparity of labor income between men and women is 0.61. Panamanian government is committed to the implementation of the Public Policies for Equality of Opportunities for Women and has designed an Action Plan for the equality of opportunities for women 2014-2024. Major challenges remain in the area of interinstitutional coordination and the assignment of a specific budget line for gender for the implementation of the policies as well as investment in entrepreneur cooperatives financing, microcredit programs, education related to rural development, environment management and climate change impacts⁷².

Women, Business and Law Index scores 79.4, with legal constraints found in the areas of pay (law does not mandate equal remuneration for work of equal value), marriage, parenthood, entrepreneurship (law does not mandate discrimination in access to credit based on gender) and pension. Access to assets are equal⁷³.

The following table shows some basic gender data about Panama:

Maternal mortality (deaths per 100,000 live births)	52 (WEF)
Life Expectancy (years)	F: 70; M: 67.4 (WEF)
Adult Literacy Rate (%)	F: 94.9 ; M: 96 (WEF)
Labor force participation rate (%)	F: 60 ; M: 84.2 (WEF)
Unemployment adults (%)	F: 6.03; M: 4.21 (WEF)
Employment in agriculture (%)	F: 9; M: 18 (WB)
Employment in service (%)	F: 82 ; M: 58 (WB)
Women in parliament (%)	22.5 (WEF)
Prevalence of gender violence in lifetime (%)	n.a. (WEF)
Time spent on unpaid domestic and care work (%)	F: 22.9; M: 12.1 (UN CEPAL)

In the labour market, there are still obstacles that limit participation and full development of women. In the workplace, productivity gaps are very relevant, 76.1% of women are at a low productivity level sector, compared to 53.7% of men, and as productivity levels sectors increase, the participation of women is getting smaller⁷⁴.

Data regarding entrepreneurship, access to finance, digitalisation and agriculture, show gender inequalities:

Account at a financial institution	M.: 50%, F.: 42% (WB)
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⁷¹ "Plan Estratégico Nacional 2020-2024". Accessible online under: https://www.gacetaoficial.gob.pa/pdfTemp/28931_A/GacetaNo_28931a_20191231.pdf

⁷² FIDA. Country Strategy Note

⁷³ World Bank. Women, business and the law. 2023

⁷⁴ <http://oig.cepal.org/es/indicadores/distribucion-la-poblacion-ocupada-segun-nivel-productividad-sexo>

Saved to start, operate, expand a business or farm	M.: 20%, F.: 13% (WB)
Saved at a financial institution	M.: 18%, F.: 11% (WB)
Borrowed from a financial institution	M.: 9%, F.: 7% (WB)
Borrowed from family or friends	M.: 13%, F.: 8% (WB)
Received payments for agricultural products	M.: 4%, F.: 3% (WB)
Received payments from self-employment	M.: 11%, F.: 11% (WB)
Made or received digital payments	M.: 40%, F.: 30% (WB)

Women in Panama own 12,44% of microenterprises and 11.04% of small and medium enterprises⁷⁵. Out of 49 economies, Panama rank 3 in TEA, 28 in EBO and 8 in informal investment. The proportion of adults starting or running a new business is highest in five LAC countries, being Panama (together with Guatemala) one of them. Panama is one of the 10 economies which had more than one in 20 of their adults both starting or running a new business and expecting to employ an additional six or more people in five years time. There is a significant gender gap in entrepreneurship in TEA (31.2% male: 24.6% female) and EBO (7.9% male: 3.7% female)⁷⁶

MSMEs and smallholder farmers represent 96% of all companies in Panama, generating 45% of total employment according to AMPYME. Also, around 51% of all MSMEs and smallholder farmers are concentrated in Panama capital and more than 57% of microenterprises are led by women.

Among the main obstacles that women entrepreneurs face can be mentioned the access to credit. It is necessary to finance the seed capital and make more flexible credit conditions when it comes to loans to women entrepreneurs. In addition to this, there is a limited supply of microfinance services that does not supply the great demand for it ⁷⁷.

Other potential barriers that can be mentioned are that most regulatory standards are designed in a gender-neutral way. Women tend to feel less prepared, and businesswomen report not having sufficient information on the procedures for business registration and compliance with other rules. Besides, traditional gender roles continue to disproportionately assign family and domestic responsibilities to women⁷⁸.

According to the IDB study on female leadership, 51% of microfinance institutions have a female general manager and 55% of women in senior management positions.

More than 50% of the population lives in urban areas which reflects that the rural development has significantly been neglected. The rural population is estimated to be composed of 626,000 women y 688,000 man⁷⁹. Women mostly contribute to agriculture production and the design of strategies to confront climate changes but are not considered key actors in the elaboration of local, national or international strategies. According to INAMU, climate change impacts such as lack of access to water or degradation of the land, unequally affect woman's rights as well the women's health.

⁷⁵ [SME Finance Forum](#)

⁷⁶ GEM (Global Entrepreneurship Monitor) (2023). 2022/2023 Global Report. Adapting to a "New Normal". London: GEM.

⁷⁷ Patiño, A. "Emprendimientos Económico de Mujeres y Acceso al Crédito en Panamá"

⁷⁸ Figueroa, M. Rodríguez, M. (2012) Diagnóstico de la situación de la Mipyme en centroamericana y República Dominicana

⁷⁹ FAO, 2017

1.3. MSME and smallholder farmers overview

The Latin America & Caribbean continent represents ca. 8.4% of the world's total population⁸⁰, yet is the third largest region in terms of number of MSMEs. The continent is home to 27.5 million MSMEs, of which 26.2 million are microenterprises and 1.3 million are SMEs⁸¹. In fact, out of 50 countries surveyed by the “Global Entrepreneurship Monitor, 2019-20 Report” (GEM Report), the top 6 countries in terms of Total Early-Stage Entrepreneurial Activity (TEA) were in Latin America, four of which form part of this multi-country proposal (Brazil, Panama, Guatemala and Colombia). The region showed an average TEA of over 24%, compared to ca. 12% in both Africa and in Asia & Oceania and ca. 10% in Europe & North America – indicating the importance of MSMEs in Latin America's populations' daily livelihoods. The MSMEs bring life to LAC economies, they represent 99,5% of all companies, create 60% of the total employment and generate around a 25% of the regional GDP⁸².

Women in the region have a strong history of entrepreneurial activity, which can be seen via the high female/male-led TEAs ratio for Latin America: 0.84 in comparison with 0.72 for the countries surveyed in Africa, 0.69 for those in Asia & Oceania and 0.67 in Europe & North America. Despite this, Latin American women entrepreneurs are often driven more by necessity than in the case of men – a seemingly general standpoint for women worldwide, as the GEM Report's findings suggest. Out of 50 countries surveyed, in 36 countries more women than men cited that their main motivation for working as an entrepreneur was ‘to earn a living because jobs are scarce’. Furthermore, in each of the 8 countries surveyed in Latin America (of which 6 are relevant to this multi-country proposal), whilst both men and women cited this reason as their main motivation for working as an entrepreneur, the % of women agreeing with this statement in these countries was 7% higher than males (88.2% and 81.3% respectively). In this regard, supporting women entrepreneurs in their activities via financing and other mechanisms gains further importance given the fact that limited other options are available.

In 2019, women represented 50.8% of Latin America's total population, yet only 41% of the region's total employed population. In line with this, the labour force participation rate of men (77% in 2019, according to ILO data as of Jun-20) is significantly higher than that of women (52%), the latter of which has only increased slightly since 2010 (51%). Despite the region's high rate of women participation in entrepreneurial activities in comparison with other geographies, many women are stuck in the informal sector, lacking access to financial, human, and social capital – key constraints for the growth of their businesses⁸³. Over 60% of women in the Latin America & Caribbean region operate in the informal sector, unable to grow out of the informal economy due to a lack of women role models in business, social/cultural constraints, and greater domestic responsibilities.

Financial inclusion

Latin America is the region with the second highest level of failure in women-led businesses in the world, with women entrepreneurs highlighting financing constraints as the main reason for business discontinuation (as opposed to poor profitability, in the case of men). Whilst access to microfinance for women is easier, women are often not able to access more “sophisticated” products that provide the appropriate terms and conditions that will enable their microenterprises to grow into more established SMEs. Increasing women's entrepreneurs' access to capital is therefore key in ensuring the sustainability of MSMEs and smallholder farmers and boosting female livelihoods, whereby for Latin

⁸⁰ World Bank data.

⁸¹ “International Finance Corporation. 2017. MSME Finance Gap: Assessment of the Shortfalls and Opportunities in Financing Micro, Small, and Medium Enterprises in Emerging Markets. Washington, DC. © International Finance Corporation. <https://openknowledge.worldbank.org/handle/10986/28881>

⁸² OECD/CAF (2019), Latin America and the Caribbean 2019: Policies for Competitive SMEs in the Pacific Alliance and Participating South American countries, SME Policy Index, OECD Publishing, Paris, <https://doi.org/10.1787/d9e1e5f0-en>

⁸³ IADB, *Gender Lens Investing: How Finance can Accelerate Gender Equality* (2019).

America a financing gap worth USD 5 billion has been identified for women-led micro-businesses alone, and an additional shortfall exits worth USD 93 billion for women-led SMEs⁸⁴.

Women have shown to be responsible and loyal financial services clients, whilst BCG analysis found that as much as USD 2.5-5 trillion could be added to global economic growth if women and men participated equally as entrepreneurs⁸⁵. Women clients can contribute to reduced client attrition and portfolio risk, and to increased fee income, thanks to women's responsible behaviour towards loan repayments but also to their interest in savings and other complementary products that financial institutions can offer⁸⁶. As per Global Banking Alliance findings, women are 16% more likely to save than men, whilst women also show higher aversion toward indebtedness than men.

Several barriers limit in general the financial inclusion of women. On the supply side, there are physical barriers (related to travel and time costs to a financial institution, insecurity and restrictions to mobility and social interactions outside the home), economic barriers (related to lack of autonomy and decision-making power about income and expenses as well as less labour opportunities) and eligibility barriers related to greater difficulty in obtaining an official documentation and collateral, direct and indirect discrimination by the financial institution (based on biases, conscious and unconscious, about women's roles) or even the need of permission or signature of husbands. On the demand side, women often have less self-esteem in their skills and capabilities, less levels of financial literacy and can even have less confidence in financial institutions⁸⁷.

On top of these constraints, it is also very relevant to take into account social norms and their influence on the different barriers identified. Gender norms are a part of social norms and are defined as "collectively held expectations and perceived rules for how individuals should behave based on their gender identity"⁸⁸. In LAC region, overload of unpaid work, domestic and agricultural activities as well as patriarchal norms about the role of women limit their autonomy in social and economic fields, especially in rural areas and for indigenous women. The Gender Social Norms Index⁸⁹ show that the % of people with no bias against gender equality in areas such as politics, economic, education, intimate partner violence and women's reproductive rights worldwide is 14% of women and 10% of men. Data for target countries are 10,50% in Brazil, 8,60% in Colombia and 12,30% in Mexico.

The project will implement measures to take into account those barriers and will set targets to reach women-owned SMEs and female smallholder farmers which were previously unbanked. Compilation of sex-dissaggregated data, trainings on gender equality and women empowerment (GEWE), gender and SEAH policy and action plans implemented at every FSP and business skills and financial literacy sessions, which will include concepts such as business management, innovation for business expansion, strategic decision-making, financial management, cash flows, savings investment and credit, will help to challenge constraints in the women's participation. As a minimum, 5% of total attendees will be indigenous women and 5% afrodescendant women.

The project will also identify opportunities and challenges of targeting women as clients such as the design of financial products that target women and vulnerable populations. Outcomes of this activity will depend on FSP and country context since every FSP will design the financial products that best adapt to women's realities and needs.

⁸⁴ See notes 2 and 4 above.

⁸⁵ <https://www.bcg.com/publications/2019/boost-global-economy-5-trillion-dollar-support-women-entrepreneurs>

⁸⁶ FMO and IFC, *Non-Financial Services: The key to unlocking the growth potential of WSMEs for banks* (2020).

⁸⁷ M. J. Roa, "Normas sociales: la barrera invisible para la inclusión financiera de la mujer", Documentos de Proyectos LC/TS.2021/184; LC/MEX/TS.2021/21), Ciudad de México, Comisión Económica para América Latina y el Caribe (CEPAL), 2021.

⁸⁸ Koning, Antonique, Joanna Ledgerwood, and Nisha Singh. 2021. "Addressing Gender Norms to Increase Financial Inclusion: Designing for Impact." Technical Guide. Washington, D.C.: CGAP

⁸⁹ UNDP (United Nations Development Programme). 2020. 2020 Gender Social Norms Index (GSNI): Tackling Social Norms: A game changer for gender inequalities. New York

Participants in the financial system need to be aware of and understand how gender norms limit women's access and use of financial services even in aspects where the law has been changed but endure as a social norm⁹⁰. Barriers and social norms will be taken into account in the trainings implemented as part of the GAP aimed at supporting other activities and their effectiveness.

Consultants hired will make emphasis on specific barriers of each country and partnerships with women's organisations will also help to ensure a more enhanced knowledge about women's situations and influence other stakeholders.

Several activities in the GAP (e.g. 2.3, 2.6, 3.1, 3.2) are aimed at enabling women get the funding they need.

Agriculture and rural areas

Regarding agriculture, women play a key role in food production, nutrition, and natural resources management. According to FAO, women provide around 20% of all agricultural employment. However, there are specific issues that make women entrepreneurs more prone to inequality compared with their male counterparts, such as: land rights, productive resources, unpaid work, employment and decision making.

In the case of rural Central America, inequality is deepened by the structural consequences of urban-centric bias in the distribution of strategic investments for national development. According to a study by ECLAC on women in the agricultural sector, it reveals that in 2010 women constituted only approximately 28% of the rural economically active population in Central America. A high proportion of rural women employed in agriculture are unpaid family workers which puts them at a disadvantage, as they do not receive financial reward for their activities. Increasing the income of these women means raising the resources of more than 40% of poor rural households in Central America where they are the household head. This would translate into improvements in education and nutrition of children, and in higher economic growth of the countries.

Women are less likely to hold statutory land rights, and, when they do own land, their plots are often relatively small due to many customary land rights systems. The need of collateral and asset-based lending implies that women have to own and control assets to unlock finance. Collateral requirements are generally much stricter for women, and customary laws and social beliefs favor men and put rural women at a great disadvantage. Being deprived of access to key assets and employment directly impacts access to credit, making it more difficult to acquire production inputs and technologies that would enable them to increase their productivity. This is also a missed opportunity since developing good products and services tailored to the specific needs of women entrepreneurs, financial institutions could capture an underserved market and boost the entrepreneurial potential of an entire generation.

Moreover, they often are expected to provide unpaid farm work, and bear a disproportionate burden of care and reproductive roles within the family and community.

As said above, the project will implement measures to take into account women's barriers in providing guarantees and will set targets to reach women farmers. Awareness about social norms will also be part of the activities implemented so those root causes of gender inequality are better known for all participants.

Gender and climate change

Women are also more vulnerable to the effects of climate change, as they spend more time and energy on activities related to their environment. The United Nations Development Program (UNDP) and the United Nations Environment Program (UN AMBIENTE) have identified 4 major areas that link the environment and poverty, including women and

⁹⁰ See note 44

girls: direct dependence on natural resources, vulnerability to climatic shocks such as floods and landslides, health effects from the indiscriminate use of agrochemicals, substances that deplete the ozone layer or poor waste disposal.

These effects can increase gender inequality, reduces women's ability to be financially independent, and has an overall negative impact on the social and political rights of women, especially in economies that are heavily based on agriculture⁹¹. As a result, women and girls find themselves with less time for education, income-generating activities, and participation in community decision making processes, further entrenching unequal gender relations.

Global studies show that 70% of consumer decisions are made by women. However, in decision-making in general, women do not achieve positions of power on an equal basis with men. This applies to issues of climate change and biodiversity. Women must participate in decision-making processes regarding access, use and control of natural resources, as well as in the equitable distribution of the resulting benefits.

Public environmental policies for the conservation of biodiversity and climate actions, among others, must incorporate gender equity, including access to training, education, access to tools or mechanisms for entrepreneurship.

Currently, Financial Service Providers (FSPs) included in the multi-country proposal reach 40% women in general through products and services. Typical products provided are MSME loans, village banking, and in some cases, specific agricultural and education loans. In relation to health and education services, FSPs generally provide health capacity building, specifically during COVID-19 pandemic, and other education related to financial literacy and agricultural best practices.

Women-owned MSMEs and women farmers reach by FSPs is much lower, thus, the Kuali Fund-GCF aims to contribute increasing their reach by FSPs and improving products and services offered. By achieving these improvements, it is expected that women end-clients will be empowered.

The project will include an activity aimed at improving awareness about the potential to increase income, reduce CO2 emissions and improve adaptation through green strategies financed by FSPs.

The table below provides a summary of the main barriers identified for women to access the credit and achieve SME development and the activities that will be implemented as part of the GAP to address them, taking into account that all are interrelated.

⁹¹ Andersen, Lykke E.; Breisinger, Clemens; Jemio, Luis Carlos; Mason-D'Croz, Daniel; Ringler, Claudia; Robertson, Richard D.; Verner, Dorte; and Wiebelt, Manfred. 2016. Climate change impacts and household resilience: Prospects for 2050 in Brazil, Mexico, and Peru. Washington, D.C.: International Food Policy Research Institute (IFPRI). <http://dx.doi.org/10.2499/9780896295810>

BARRIERS	GAP		
Physical barriers (travel and time costs, insecurity and restrictions to mobility and social interactions outside the home)	2.3	1.1	
	2.4		
	2.6		
Lack of autonomy and decision-making power about income and expenses	4.2		
	4.3		
Less labour opportunities and more participation in the informal economy	2.1		
	2.2		
	2.3		
	2.4		
	2.7		
	3.2		
	4.2		
4.3	1.2		
Greater difficulty in obtaining an official documentation and collateral	2.3		1.3
Less access to land ownership and to productive resources, smaller plots	2.4		1.4
	2.6		1.5
Burden of care and reproductive roles within the family and community	3.1	2.5	
	3.2	3.1	
Less self-esteem in their skills and capabilities	4.1	4.4	
Less levels of financial literacy		4.2	4.5
Less confidence in financial institutions		4.3	
Greater vulnerability to climate events	4.1		
Direct and indirect discrimination by the financial institution	2.3		
Gender-blind processes and policies	2.4		
	2.6		
	2.7		
Sociocultural barriers and gender norms which influence all above	2.1		
	2.3		
	2.4		
	3.2		

1.4. Other aspects in the implementation of the Kuali Fund-GCF

Country assessments will be updated and extended once Kuali Fund-GCF is approved and the countries are confirmed. The country assessments will be updated by external consultants prior to the due diligence. Moreover, the Gender Action Plan will be adjusted as the project progresses. Updated gender country assessments, including SEAH, and gender action plan will be resubmitted to GCF.

Kuali Fund-GCF's stakeholders⁹² include women smallholder farmers and women-owned SMEs as borrowers of FSPs in order to increase their participation in the proposed activities and ensure that their concerns are heard, taken into account and influence decisions that affect their wellbeing and livelihoods. Women's organisations will also be identified in each country and consultations with them will be conducted to incorporate their knowledge and views in the

⁹² See Annex 7 Stakeholder engagement

implementation of the project. Replication of successful initiatives implemented in a FSP or innovative company (IC) in the same country or from one country to another will be analysed.

A gender gap assessment will be conducted in each investee which together with the country information and the insights of the women's organisations, will be the basis for developing specific gender policy and procedure⁹³. Gender Officer will report to the Investment Committee whenever an investment is to be approved and provide gender information to decision-making committees. Specific covenants regarding gender equality will be introduced in loan agreements with FSPs and ICs. The Gender Officer will monitor quarterly the investees gender and SEAH indicators and FSPs / IC will provide data on an annual basis as part of an ES performance report⁹⁴. Finally, Kualiti Fund-GCF will prepare an ES monitoring report for COFIDES with data and information on the implementation of the GAP.

Human resources in GAWA for gender activities

A Gender Officer will be appointed and an E&S Officer with expertise in gender will be hired and provide support to the Gender Officer. The Gender Officer will be in charge of integrating the gender approach across the full investment cycle (analysis, legal agreements and monitoring) Gender Officer will also support Kualiti Fund-GCF's staff on gender issues at any time⁹⁵. GAWA will support with specialized gender and SEAH training to these officers. Training will be also provided to the whole team to enhance competencies and knowledge in the areas of gender, SEAH and social inclusion.

Moreover, external consultants can be hired to provide support to Kualiti Fund manager and Gender Officer on the elaboration of Gender Action Plans of external and internal dimensions of investees as well as for the design of financial products adapted to women's needs. Priority will be given to local expert consultants.

Within FSPs, there will be the possibility of naming a focal person in gender issues, in order to execute the GAPs more effectively.

Budget for gender activities

Specific activities included in GAP will be financed with Technical Assistance Facility (TAF) budget. COFIDES will monitor the implementation of GAP activities and targets set on an annual basis. The following table show TA disaggregated budget for GAP activities:

GAP	TA Budget Category	
	Social Performance and Environmental Risks Management Systems (FSPs and ICs)	Ecosystemic Projects, stakeholder engagement and gender actions
Output 1		67.962,21
Output 2	213.813,71	
Output 3		
Output 4		152.724,08
Total	213.813,71	220.686,29

⁹³ Additional information is included in Annex B of Environmental and Social Management System (ESMS)

⁹⁴ See Annex B in ESMS

⁹⁵ More information on gender officer responsibilities In Annex B in ESMS

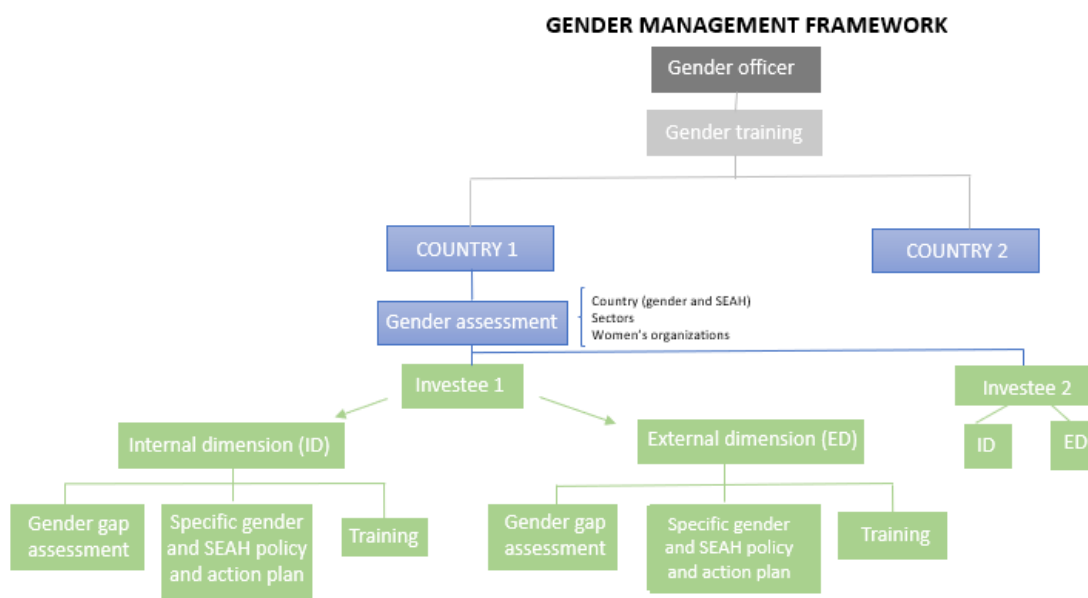
Total amount for GAP activities will be EUR 434,500. Additional clarifications:

- The amount EUR 67,962.21 will be for GAP activities in Output 1. This amount is 11,5% of the total amount for Ecosystemic Projects, stakeholder engagement and Gender actions (EUR 590,750).
- The amount EUR 213,813.71 will be for GAP activities in outputs 2 and 3. This amount is 49,26% of total amount for Social performance and enviromental risks (EUR 434,021).
- The amount EUR 152.724.08 will be for GAP activities in Output 4. This amount is 25,85% of total amount for Ecosystemic Projects, stakeholder engagement and Gender actions (EUR 590,750).

Additional GAWA capital's internal budget (EUR 13,000) will be allocated to support gender and SEAH periodic training as detailed in the GAP.

Explanatory diagram

The following diagram sums up the approach to implement the gender integration in Kualu Fund-GCF. It is developed in the Gender Action Plan.



2. GENDER ACTION PLAN (GAP)

Activities		Indicators and Targets	Baseline	Timeline	Responsibilities	Costs
Impact Statement: Women and other vulnerable groups in Latin America benefit from the mainstreaming of green finance among Tier 2 financial institutions for mitigation and adaptation of climate change.						
Outcome Statement: Increased availability of gender and socially inclusive financial products for different social groups, in particular women-led SMEs, farms and households, to switch to low carbon technologies and to implement adaptation strategies to the climate change effects.						
Output 1: Kualiti Fund-GCF’s Governance. Policies and procedures enhanced to include comprehensive gender approach. Competencies and capacities development enhanced at Kualiti Fund-GCF team. Gender Officer appointed and E&S Officer with expertise in gender hired. Country gender assessments extended.						
1.1	Develop a Gender and SEAH Policy and amend existing ESMS to incorporate gender aspects and implementation arrangements	Gender and SEAH Policy and new ESMS adopted and shared with relevant stakeholders. The gender and SEAH management system will follow the project life cycle and will comprise of the following steps: due diligence and gender gap assessment, action plan, legal agreement, monitoring, reporting and human resources	No Gender and SEAH Policy	Within 3 months of FP approval.	Kualiti Fund-GCF Manager. E&S Officer and Gender Officer	No cost
1.2	Appointment of Kualiti Fund-GCF’s Gender Officer and an E&S officer with expertise in gender. Training for Gender and E&S Officers	Gender Officer appointed among current Kualiti Fund-GCF’s staff and receiving periodic training. An E&S officer with expertise in gender will be recruited	No Gender Officer	Gender Officer will be appointed and Gender and E&S Officers will be trained within 3 months of Kualiti Fund-GCF’s constitution. Quarterly monitoring.	Gender Officer will have to report to the Investment Committee (IC) whenever an investment is to be approved and will monitor quarterly the investees’ gender and SEAH indicators, as well as any	Appointment of Gender Officer included in GAWA’s internal budget Recruitment of E&S officer included in TA Management section within the TAF Budget Up to EUR 8.000 of GAWA Capital’s internal budget to support periodic gender and SEAH specialization courses for

Activities		Indicators and Targets	Baseline	Timeline	Responsibilities	Costs
				Reports directly to the Investment Committee meetings.	country indicators. The Gender Officer should support Kualifund-GCF's staff at any time. GAWA will support this employee with specialized gender and SEAH courses.	the Gender and E&S Officers
1.3	Enhance competencies of key Kualifund-GCF's staff in the areas of gender, SEAH and social inclusion	Specific gender and SEAH training, periodic workshops and online courses/training from reputed organisations such as UN WOMEN.	New activity	First training within 3 months of Gender and SEAH Policy approval and then at least annually.	Kualifund-GCF Manager and team	Up to EUR 5.000 of GAWA Capital's internal budget
1.4	Hire external consultants to update and extend the gender and SEAH country assessments once Kualifund-GCF is approved and the countries are confirmed.	Country assessments completed and submitted.	Country assessments displayed in Annex 8.	Prior to the due diligence. Within 5 months of Kualifund's constitution.	External consultants and Gender Officer.	Up to EUR 67.962,21 of "Ecosystemic projects, stakeholder engagement and gender actions" component of the TA budget. Output 1 (activities 1.4, 1.5)
1.5	Kualifund-GCF investment due diligence process will be updated to include a Gender Gap Assessment (GGA) and an action plan for each of its potential investees.	Kualifund-GCF investment due-diligence process updated, including the GGA as part of E&S appraisal ⁹⁶ . GGA will assess the project specific gender vulnerabilities, risks,	New activity	Due diligence updated within 3 months of approval Checklist prepared within 3	External consultant, Kualifund-GCF Manager, Gender Officer,	

⁹⁶ See Annex 6

Activities		Indicators and Targets	Baseline	Timeline	Responsibilities	Costs
		opportunities and impacts/outcomes. Action plan will propose measurable interventions to support gender actions. Prepare a standardised checklist for collecting sex-disaggregated data and information regarding gender aspects within the FSPs and IC. Develop a digital tool for the follow-up of the ES and gender system that could also be used by FSPs and IC.		months of approval Digital tool developed within 6 months of approval Duration of the investment cycle	E&S Officer and FSP/ IC	
Output 2: Implement level gender assessments and action plans in Financial Service Providers (FSPs) and innovative companies (IC) for both internal and external dimensions (NOTE: investee level assessments and specific gender indicators and targets, can only be established once specific investees are identified).						
2.1	FSPs and ICs to elaborate a gender and SEAH policy and action plan for internal dimension after the gender and SEAH assessment ⁹⁷	Every FSP/ IC with a gender and SEAH policy (formal commitment). A requirement to develop the policy will be included in legal agreements with FSP/IC. Each gender policy will include a procedure about equality and non-discrimination in aspects such as: staff composition, access to leadership positions, recruitment, promotion, training on GEWE (including root causes and barriers), equal remuneration for work of equal value, and a sexual harassment protocol. It will include mechanisms of monitoring and reporting	No policy and action plan.	Policy and action plan within 6 months after investment.	Kuali Fund-GCF Manager, Gender Officer and FSP/ IC Gender and SEAH policy and action plan to be reviewed by the Gender Officer. Requirements will be included in legal agreements.	Up to EUR 213.813,71 of “Social Performance and Environmental Risks Management Systems” component of the TA budget can be allocated to activities related to FSPs and ICs – Output 2 (activities 2.1, 2.2, 2.3, 2.4 and 2.5) & 3 (activities 3.1 and 3.2).

⁹⁷ See Annex B in ESMS

Activities		Indicators and Targets	Baseline	Timeline	Responsibilities	Costs
2.2	Identify opportunities and challenges/ constraints in promoting women's workforce participation (internal dimension) - Participation in the workforce - Participation in leadership positions - Gender equitable practices Monitoring and follow up of female employment creation in Kuali's portfolio – internal dimension.	Percentage of women representation in the Board and Management of investees: - Target: At least 30% Female staff in investees: - Target: At least 40% - At least one gender equality support practice implemented beyond legal requirement⁹⁸ Targets will be reevaluated after the assessment of investees. Monitoring of female employment creation in Kuali's portfolio. Final fund target: 2.880 total female employment directly supported - internal dimension	To be identified in each investee. Targets will be reevaluated after gender gap assessments of investees	Duration of the investment cycle	Kuali Fund-GCF Manager, Gender Officer and FSP/ IC	
2.3	FSPs to develop a gender and SEAH policy and action plan for external dimension after the gender and SEAH assessment ⁹⁹	Every FSP with a gender and SEAH policy (formal commitment). A requirement to develop the policy will be included in legal agreements with FSPs. Each gender policy will include an action plan together with pertinent environmental and social aspects about: i) analysis of gender disaggregated client data (e.g. client type, number/size profitability, savings, client satisfaction, age, geography, belonging to	To be identified and reviewed if there is a gender policy in each investee.	Policy within 6 months.	Kuali Fund-GCF Manager, Gender Officer and FSP Gender and SEAH policy and action plan to be reviewed by the Gender Officer. This	

⁹⁸ Examples of Initiatives in place:..diverse representation policy, fair compensation policy, gender wage equity, flexible work arrangements, remote working and care work permits.

⁹⁹ See Annex B in ESMS

Activities		Indicators and Targets	Baseline	Timeline	Responsibilities	Costs
		Indigenous Peoples); ii) products or services specifically targeting women and girls; iii) periodic training for staff on GEWE in the financial sector (including specific barriers women face); iv) monitoring and reporting.			requirement will be included in legal agreements.	
2.4	Implementation of policy and action plan for external dimension	Each gender policy and action plan will have to be implemented and periodic monitoring will be done accordingly.	Depending on activity 2.3.	Implementation of management system within 1 year after disbursement.	Kuali Fund-GCF Manager, Gender Officer and FSP.	
2.5	Training and support for FSPs and IC to implement a ES management system including gender and SEAH and to gain knowledge on these issues	Workshop/training aimed at developing and implementing a ESMS with adequate digital mechanism/tools that include gender considerations. Training and development of ESMS with gender & SEAH focus. Appropriate monitoring tool including gender considerations implemented.	No ESMS, or ESMS without gender & SEAH focus.	Within 6 months after disbursement.	Kuali Fund-GCF Manager, E&S Officer, Gender Officer and FSP/ IC	
2.6	Identify opportunities and challenges/constraints of targeting women as clients (external dimension)	Indicators: - Sex- disaggregated data availability and use - Products adapted to women's needs and realities - Gender-sensitive delivery mechanisms - Gender-sensitive requirements to open and manage accounts Target: At least 72.700 women reached (71.372 farmers and 1.328 women led-SMEs) (women borrowers)	To be determined in each investee.	Duration of the investment cycle	External consultant Kuali Fund-GCF Manager, Gender Officer and FSP	

Activities		Indicators and Targets	Baseline	Timeline	Responsibilities	Costs
2.7	Monitoring and follow up of female employment creation and improved resilience in Kuali's portfolio – external dimension.	Monitoring of female employment creation in Kuali's portfolio. Final fund target: 104,640 total female employment directly supported - external dimension. 332 women led-SMEs and 17.843 female smallholder farmers reporting increased turnover (as a result of direct support received from the FSPs).	To be determined in each investee.	Duration of the investment cycle	External consultant Kuali Fund-GCF Manager, Gender Officer and FSP	
Output 3: Promote access to finance and take into account women's barriers for providing guarantees						
3.1	Develop mechanisms to monitor, report and verify gender impacts of FSP at final beneficiary levels	Women final beneficiaries in general (including women-owned SMEs and female smallholder farmers).	New activity	Duration of the post -investment cycle	Kuali Fund-GCF Manager, Gender Officer and FSP	
3.2	Implement measures to take into account women's barriers in providing guarantees	Procedure to specifically evaluate and consider guarantees provided by women beneficiaries. Identify the guarantees required by each investee. Evaluate mechanisms or action plans to be developed by FSP to address barriers. Target #1: at least 5% women owned SMEs which were previously unbanked. Target #2: at least 10% of female smallholder farmers which were previously unbanked. Targets are in relation to the total number of women SMEs and women farmer beneficiaries. Both targets will be reevaluated after the assessment of gender consultants.	New activity. External consultants will establish the baseline and evaluate targets accordingly	Yearly monitoring	Kuali Fund-GCF Manager, Gender Officer and FSPs	Up to EUR 213.813,71 of "Social Performance and Environmental Risks Management Systems" component of the TA budget can be allocated to activities related to FSPs – Output 2 (activities 2.1, 2.3, 2.4 and 2.5) & 3 (activities 3.1 and 3.2).
Output 4: Capacity building and awareness raising of potential final beneficiaries						

Activities		Indicators and Targets	Baseline	Timeline	Responsibilities	Costs
4.1	Climate awareness activities and trainings on Climate Smart Agriculture and adoption of Climate Solutions (energy access and power generation, buildings, cities, industries and appliances, forestry and land use, etc) being financed by FSP.	Number of attendees to the training: 12.117 of which 30% women. Follow up of adaptation products implemented and follow up of attendees that measure emissions after the training.	New activity Potential attendees with no adaptation products and not measuring their GHG equivalent emissions.	Duration of the investment cycle	Kuali Fund-GCF Manager, Gender Officer and FSP	Up to EUR 152.724,08 of “Ecosystemic projects, stakeholder engagement and gender actions” component of the TA budget can be allocated to activities related to Output 4 (activities 4.1, 4.2 and 4.3)
4.2	Support for women’s economic empowerment via FSP through business skills training and financial literacy.	Number of training attendees: 664 women-led SMEs and 35.686 women farmers (50% of total women) Trainings will be opened to women non-FSPs clients. 5% of total attendees will be indigenous women and 5% afrodescendant women (as a minimum). Participation will be reviewed prior to the trainings being organised.	New activity Potential attendees with no business skills and financial literacy.	Duration of the investment cycle	Kuali Fund-GCF Manager, Gender Officer and FSP	
4.3	Support for women’s economic empowerment via FSP through financial inclusion programs.	Exploring how access to finance can contribute to women’s autonomy and independence: ▪ Result of women obtaining finance ▪ How are they using it and changing their lives ▪ How are they empowered N. of SME women investees’ clients which have exceeded the national poverty line. N. of smallholder women investees’ clients which have exceeded the national poverty line.	To be identified in each investee.	Initial, mid-term and final lifecycle periods.	Kuali Fund-GCF Manager, Gender Officer and FSP	

Activities		Indicators and Targets	Baseline	Timeline	Responsibilities	Costs
		Targets will be set within 3 months since disbursement.				
4.4	Build partnerships with local women's organizations in each of the target countries to ensure a more specific knowledge about women's situation and local expertise.	Evaluate the potential partnerships with local women's organisations when investment agreements are signed with investees in each country. The aim will be to build one partnership as a minimum per country.	New activity	Duration of Kualifund-GCF lifecycle	Kualifund-GCF Manager, Gender Officer and local women organizations	No cost
4.5	Replication of successful initiatives from one country to another.	Whenever a gender focused initiative is developed in an FSP or IC, the potential replication of the initiative will be analysed. The aim will be to replicate 2 initiatives as a minimum.	New activity	Duration of Kualifund-GCF lifecycle	Kualifund-GCF Manager/Gender Officer	No cost
Total budget allocated to GAP activities: EUR 434,500						